

Datamatic Global Ser (DATAMATICS)

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Call: Aug 2022

DATAMATICS GLOBAL SERVICES LTD.

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| Fax : +91 (22) 2834 3669 | CIN: L72200MH1987PLC045205 | business@datamatics.com | www.datamatics.com August 04, 2022

To,
Corporate Communication Department
BSE Limited
Phiroze Jeejeeboy Towers,
Dalal street, Mumbai - 400 001. Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051.
BSE Scrip Code : 532528 Symbol : DATAMATICS

Sub.: Transcript for Q1FY23 Earnings Call

Dear Sir/Madam,

Pursuant to Regulation 30 and Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, we would like to inform you that the Company has hold a conference call with the Analysts / Investors on Monday, 01st August, 2022 at 04:00 p.m. IST for management discussion on Unaudited Financial Results for the quarter and three months ended June 30, 2022.

Please find attached transcript of the call on Unaudited Financial Results for the quarter and three months ended June 30, 2022. The same can be accessed on the below mentioned link:

<https://www.datamatics.com/about-us/investor-relations/earnings-call>

Kindly take the above on your record.

Thanking you,

For Datamatics Global Services Limited

Divya Kumat
EVP, Chief Legal Officer and Company Secretary
(FCS: 4611)
Encl.: As above

Page 1 of 13

"Datamatics Global Services Limited
Q1 FY2023 Earnings Conference Call "

August 01, 2022

MANAGEMENT : MR. RAHUL KANODIA - VICE CHAIRMAN & CEO -
DATAMATICS GLOBAL SERVICES LIMITED
MR. SANDEEP MANTRI - EVP & CHIEF FINANCIAL
OFFICER - DATAMATICS GLOBAL SERVICES LIMITED
MR. MITUL MEHTA - EVP & CHIEF MARKETING
OFFICER - DATAMATICS GLOBAL SERVICES LIMITED
MODERATOR : MS. ASHA GUPTA - EY LLP, INVESTOR RELATIONS
PRACTICE
Datamatics Global Services Limited
August 01, 2022

Page 2 of 13 Moderator : Ladies and gentlemen , good day and welcome to Datamatics Global Services Limited Q1 FY2023 earnings conference call . As a reminder all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call please signal an operator by pressing “*” then “0” on your touchtone phone . Please note that this conference is being recorded . I now hand the conference over to Ms. Asha Gupta from Ernst & Young . Thank you and over to you Ms. Gupta !

Asha Gupta : Thank you Nirav . Good afternoon to all participants in the call today . Welcome to the Q1FY2023 earnings call of Datamatics Global Services Limited . The results and presentations have been already mailed to you and it is also available on the website www.datamatics.com . In case anyone has not received the copy of press release and presentation please do write to us and we will be happy to send you all . To take you through the results and to answer your questions we have with us the top management of the company represented by Rahul Kanodia - Vice Chairman and CEO , Sandeep Mantri – EVP & Chief Financial Officer , Mitul Mehta – EVP & Chief Marketing Officer . Rahul will start the call with brief overview of the quarter on the business which will be then followed by the financials given by Sandeep . We will then open the floor for Q&A session . As usual I would like to remind you that anything that is said on this call which gives any outlook for the future or which can be construed as forward -looking statement must be viewed in conjunction with the risks and uncertainties that we face . This risk and uncertainties are included but not limited to what we have mentioned in the prospectus filed with SEBI and subsequent a

nnual report which you can find it on our website . With that said I will now hand over the call to Rahul . Over to you Rahul !

Rahul Kanodia : Thank you Asha and welcome and thank you everyone for joining our Q1 FY2023 earnings call. Before I start sharing the business update I would like to inform you all from this quarter we have reclassified our business into three segments, Digital Technologies , Digital Operations , and Digital Experiences . Till FY2022 , we used to classify them into two segments which are IT services and Business Process Management . The relook at classification is primarily driven by three factors,

First, most customers are increasing their deployment of digital technologies and Datamatics has been playing an active role in supporting them in this journey. As legacy technologies are passe , the future market and growth lies in rapid adoption and migration to digital technologies which include cloud, DevOps, Low-code no-code (LCNC) and SaaS platforms, digital workplace, analytics, and artificial intelligence.

Second, almost all of our back-office operations are delivered on the back of digital platforms and going forward this would be the main stay in delivering operations

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Page 3 of 13 outsourcing. Our digitally augmented suite of technologies powers our operations to deliver process excellence. The suite comprises of smart workflows , mobility, robotic process automation (TruBot), intelligent document processing (TruCap+) , AI/ML models (TruAI) and Business Intelligence which is TruBI.

Third, the customer experience has become central to success of all companies . Today , all these companies have a multi -channel engagement model with their customers with technology penetration permeating our lives , it becomes paramount for companies to deliver a seamless digital experience to an increasingly younger customer base. Our expertise in customer management processes and technologies ensure superior and consistent customer experience across the entire customer lifecycle. With all these factors coming together and with Datamatics well entrenched in delivering digital solutions to our

customers it becomes imperative for Datamatics to reposition itself to capture market opportunities and more accurately represent our value proposition which enables enterprises to go deep in digital to boost their productivity, customer experience and competitive advantage.

Coming to the business updates, I am happy with the overall performance of the business. We have started the year on a strong note delivering a revenue growth of 13.6% on year-on-year basis the growth was broad based across all three segments. On a year-on-year basis our new deal closure has increased by 27% in Q1 of this year as compared to Q1 of last financial year. In this quarter we signed a total contract value of about \$19.3 million and for a sequential quarter comparison, we had signed a total contract value of \$14.5 million in Q4. Our EBIT margins of the year-on-year basis have shown a marginal improvement from 11.6% to 12% in the quarter; however, on a sequential basis it has dropped slightly by 148 basis points from 13.5% to 12% primarily due to annual salary increments and investments in our products. Although across the industry we have seen a drop in margins in this quarter; we are confident that our margins should be stable during this fiscal year. Our margins in digital technologies were negative this is primarily for five reasons. First, we have invested heavily in our Tru Suite of products and fare collection platforms business. Our expenses have increased by Rs.4.3 Crores in this quarter compared to Q1 of last year. These investments are now starting to yield results and in Q1 we acquired 10 new customers. Additionally, last year we signed two large AFC deals with Kolkata and NCRTC

valued at Rs.350 Crores. These products have kicked off and this year we will see revenue accrual from both of them which will make us the leading player in AFC market. Second, there is shrinkage in one of our large and highly profitable customers due to a multi-vendor strategy adopted by them recently.

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Page 4 of 13 Third, 77% of our revenues in digital technologies are generated from India and the Middle East. These regions are very price sensitive and low margin territories. We have started taking corrective action on this front by renegotiating our prices and focusing more on the US and European markets. I am happy to state that our efforts in the US are showing good results and our pipeline has increased by 32% over Q1 of last year.

Fourth, some of our services are low margin offerings and we also have some low profitability customers. Here, we are systematically changing our service portfolio to focus on more high margin solution areas and de-weeding low margin customers.

Fifth, the current market is facing strong headwinds on the supply side resulting in an unusual increase in salaries and talent acquisition cost. To counter this, we have stepped up our investments in hiring, training, and upskilling all our employees.

Our margins in digital operations and digital experience are healthy at 23.3% and 23.2% respectively. We expect these operations to continue giving healthy margins in the same range. Although the macroeconomic environment with the war in Ukraine and the economic war with Russia and China coupled with the inflation in the US and Europe pose a concern in terms of a looming recession and therefore a shrinkage in demand we have not experienced a slowdown yet, although we remain cautious about the possible downturn to-date we have seen a very healthy demand environment for our services.

In conclusion, going forward we are optimistic about the overall demand environment and are confident of maintaining the growth of around 15% in the coming year. With that I will now hand over the call to our CFO, Mr. Sandeep Mantri. Sandeep over to you!

Sandeep Mantri: Thank you Rahul. Welcome everyone and thank you for joining us in Q1FY2023 earnings call. As explained by Rahul effective this quarter we are changing our segment reporting with our deep in digital approach and therefore we have changed segment reporting from traditional IT & BPM to digital technologies, digital experiences, and digital operations, and also effective this quarter we are reporting EBIT and not EBITDA for segment. With this now let me take you through the financial performance for the quarter ended on June 30, 2022. Our Q1 FY2022-2023 revenue stood at Rs.326.9 Crores which is 4.3% up on a sequential basis and 13.6% on year-on-year basis. Our consolidated EBIT grew by 17.9% on year-on-year basis. The EBIT margin for this quarter is 12% compared to 11.6% in last year same quarter. However on sequential basis our margin has dropped slightly from 13.5% to 12% due to higher increments and higher spend on product development and marketing. We saw the margin drop across industry in the range of 1.5% to 2.5% in this quarter. We aspire to maintain a healthy double-digit margin in the coming quarters. Our other income for the quarter was Rs.13.2 Crores compared to Rs.12.2 Crores in the last quarter which is an increase of about Rs.1 Crore on a quarterly basis, this is a combination

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Page 5 of 13 of one time income, investment income and exchange fluctuations. Our PBT before exceptional item was at Rs.51.6 Crores compared to Rs.53 Crores in the last quarter and Rs.36.7 Crores in the last year same quarter which is 2.7% less on quarter-on-quarter basis but 40.5% more on year-on-year basis. Our tax rate for the quarter is 17.3% compared to 1

9.1% in FY 2021-2022 we expect to maintain the tax rate north of 20% in this year. Our EPS for the quarter was at Rs.7.36 per share which is higher than last year same period, which stood at Rs.6.72 per share in the last year quarter.

Our segment wise results are as follows;

Our Digital Operations revenue was at Rs.147.5 Crores a growth of 3.6% sequentially and 18% on year-on-year basis. Digital operations EBIT margin was healthy at 23.3% which is 300 basis points up on a year-on-year basis and its contribution to total revenue was 45%. Our Digital Experiences revenue was at Rs.46.2 Crores, a growth of 15.7% sequentially and 18.9% year-on-year basis. Digital experiences EBIT margin was at 23.2% and its contribution to total revenue was 14%. Our Digital Technologies revenue was at Rs.133 Crores which is a growth of 1.6% sequentially and 7.5% on year-on-year basis. Our Digital Technologies EBIT margin for the quarter remains at negative 4.3% primarily due to higher spend on product/s/platform development and sales and marketing as well as shrinkage in one of our last profitable customer due to a multi-vendor strategy adopted by them. Our digital technologies contribution to total revenue was 41%.

Coming to balance sheet we continue to remain healthy, as on June 30, 2022, our liquid and cash net of debt stood at Rs.388.6 Crores, our DSO was at 69 days as of June 2022 as compared to 74 days in March 2022. In terms of geographical footprint US is the largest geography with 55% of our business coming from US, India is 25% and the rest of the world including UK and Europe is 20%. In terms of industry footprint, BFSI continue to remain largest segment for us which is 25% of our revenue followed by education and publishing is 23% and then technology and consulting at 22%, manufacturing, infra and logistic at 13%, 7% is non-profit or non-government organization and rest 3% to our total revenue. Our client contribution remains very healthy with top 5, 10, 20 clients contributing to 25%, 37% and 50% respectively and this quarter we added 19 new clients in the quarter. These were the updates of the financial for the quarter. Thank you for your patience and continued interest in Datamatics. With this I will now pass on the call to operator to open the floor for question-and-answer session. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of NGN Puranik from Enam Securities. Please go ahead.

NGN Puranik: In the context of where the world is moving on digital some of your own digital assets that you have built over a period of time and you have nice set of digital assets, the automation

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Page 6 of 13 assets and digital modernization assets and the three businesses that you have they all have great potential going forward, so let us start from each of these businesses, starting from digital operations so this is a business where you have the high levels of productivity, high levels of margins and what is the outlook for this? This business can grow greater than what is today? How much can it get better? What I mean is how do you focus on large deals today? So how do you win larger deals and what you have been winning? How do you focus on many million dollar accounts, \$1 to \$5 to \$10 to \$20 million accounts, so that can happen only when you win large deals, large deals can construct number of million dollar account of high potential, so if you can take us through that, that will be useful, I also see some very interesting commentary on the operational side and the deal win qualities you have talked about five-six deal wins, if you can comment about potential of each deal wins that will be useful?

Rahul Kanodia: On digital operations and digital experiences, the way we differentiate between the two is

digital experience is more front office where there is customer engagement, multi-channel engagement with end customers, digital operations tend to be more back office, which is internal operations to the banks, insurance companies those types of companies, publishing houses. The opportunities are vibrant because a lot of these guys are now being driven on the back of digital platforms that we have and given that we are seeing good traction we are seeing also larger deal sizes. We have in the past won some we are on the verge of winning a few more. We have recently been covered by Gartner in their Magic Quadrant and that speaks volumes of our offerings, we have won a few deals that are million, two-million-dollar deals. They are in a relative strength still small but nevertheless larger than many deals but our US focus has given us access to a lot more larger deals and I am very

optimistic about these deals. On the customer experience front we have an extremely good pipeline though these are also fairly large anywhere from a TCV of \$3 million, \$5 million to even upwards of \$10 million and we have won a few deals and we are right now in the race and several other deals which are looking extremely promising, so there is a lot of what we do is digital proctoring. So, this is not a call center, we do a lot of work with data and proctoring and that is looking extremely promising more so than the digital operations not that this is a bad area but it is looking very, very promising. Our pipeline is looking very robust with large deals in the pipeline, so I am very confident that we will have a good run on these fronts. In terms of the details of deal wins I do not think I would be at liberty to disclose some of those details obviously because they are customer specific and sensitive but suffice to say that they are all large enterprises and they are potentially highly scalable, so once you are in a large customer you can scale and that could become several million dollar deals for us.

NGN Puranik : What is the largest deal you have won recently?

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Page 7 of 13 Rahul Kanodia : In the AFC space as mentioned we won in the last quarter of last year two deals totaling to Rs.350 Crores in value, so those were the larger deals. In the digital experiences we got deals of \$10 to \$15 million and in the digital operations we have got deals in the pipeline I am talking about the pipeline between \$2 and \$5 million.

NGN Puranik : This \$10 to \$15 million single deal that we are talking about?

Rahul Kanodia : Yes.

NGN Puranik : Single deal of \$10 to \$15 ?

Rahul Kanodia : Yes, it is TCV (total contract value) obviously to be executed over maybe three to five years.

NGN Puranik : What kind of margins these deals will have?

Rahul Kanodia : There is a range, each deal is slightly different anyway from 40 % to 60% depending on the deal and depending on how well it takes off , also it is right now in the current fluidity in the market with the way the costs are going up that the way salaries are going up is crazy and therefore we maintain margins and not something that is questionable. I just wanted to clarify these margins are termed as gross margins.

NGN Puranik : You are saying that the operations vertical is difficult to grow because there you have reached the potential already ?

Rahul Kanodia : No, as I said I have a good healthy pipeline, our focus on the US is delivering results , US pipeline has also increased substantially and I do not think there is anything restricting the growth, as long as we deliver well and aggressively serve there is no challenge that we face on growth. Today, there is a bit of a challenge with the manpower shortage that you see in the industry, but I think that situation is probably going to be short lived and probably in six to nine months that should settle down.

NGN Puranik : Which

group can grow faster, is it the operations, technology, or experience?

Rahul Kanodia : Of the three digital experiences will grow fastest, it is also partly because it is a smaller base followed by digital operations followed by digital technologies.

NGN Puranik : Digital experience is smallest or digital technology is smallest, digital technology I thought is smallest?

Rahul Kanodia : No, digital experience is smallest.

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Page 8 of 13 NGN Puranik : So, technology includes your metro and all that stuff?

Rahul Kanodia : Yes, that is correct.

NGN Puranik : I think your experience margin is very less now almost negative margin is not it, so how do you get?

Rahul Kanodia : 23.2% EBIT margins.

NGN Puranik : I am getting confused with technology; I think technology is the lower margin .

Rahul Kanodia : Yes, technology is low margin and as mentioned in my address it is right now running at -4%. So I did talk about it in my address that there are five steps that we are taking , one is of course there is a huge investment we have made in the products but these investments are now beginning to show results because some of the deal wins will start delivering the benefits that we have invested for. The second is there was a slight shrinkage in one of our key customers which is a very profitable customer because they went with the multi -vendor strategy. The third was that we have 77% of our revenue is coming from India and Middle East and we are progressing out of India and Middle East towards the US and Europe and the results are right now in the US our pipeline has improved by about 32% which is very healthy and I am slowing down the efforts in India and Middle East and pushing more

efforts in Europe and the US. The fourth was in terms of deweeding some low margin customers exiting from those projects and also changing our service portfolio and focusing more on the high margin offerings and projects and reducing the emphasis on the low margin ones. So, lot of internal pressures are moving away from those and finally we are trying to address the current headwinds with the salary hike that we see across the industry but I suspect that should settle down in about six to nine months because the current trend cannot continue for so long.

NGN Puranik : What about the automation business ?

Rahul Kanodia : It is much better as I mentioned we got 10 new customers in the first quarter of this year, if we continue that trajectory we should end up between 40 and 50 new customers in this financial year which is looking very healthy. Some of those deals are also large deals but as they materialize I am sure we will talk about during our quarterly earnings calls.

NGN Puranik : What are the deal sizes in this?

Rahul Kanodia : It ranges from very small value sometimes customers are just testing it and they were \$20,000, \$30,000 – \$50,000 dollars, some of the better ones would go to above a million dollars per annum kind of deal.

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Page 9 of 13 NGN Puranik : Then potentially this can be million-dollar kind of deals most of them?

Rahul Kanodia : They would always start small \$100 – \$200 thousand is normal over two or three years, say we are talking about \$60 – \$70 thousand per annum kind of a deal, they start like this and then they scale depending on how well it delivers. So far we have got very good traction the analyst coverage has been excellent, customer feedback has been excellent, so far we have had very, very good feedback from both the customers and I am talking about US and European customers not Indian customers and also the analysts like Gartner, Forrester, Everest these guys and they are benchmarking us with all the other products in the market and they are giving us extremely encouraging feedback.

NGN Puranik : What is the revenue

on this sort of projects?

Rahul Kanodia : Right now, we have not called this out because of couple of reasons and that is why we do not disclose these numbers, one is that there is some component of direct customers and there is some component of indirect customers where we bundle it along with some services. So, we need to call that out and we will go through segregating our financials once we do that, we will be able to give a better picture.

NGN Puranik : Is there a license, transaction, maintenance, application, how does it work?

Rahul Kanodia : A lot of it is licenses and when it bundles with our thing it goes as a platform.

NGN Puranik : Platform?

Rahul Kanodia : It goes as a platform when it is bundled with our services, it can be a built on to our workflow, it can be a standalone, so it varies customer-to-customer depending on what they are looking for.

NGN Puranik : But is there implementation cost maintenance, implementation revenue also?

Rahul Kanodia : There is a small implementation revenue at the time of selling, very often we would even give that to our partner, and it is not yet forwarded but if the customer prefers Datamatics or implementing the partner is struggling then we step in and we implement it as well.

NGN Puranik : What is the ratio of license to implementation will it be 1:1, 1:0.5 and how much is that?

Mitul Mehta : Typically, it is about 1:4.

NGN Puranik : Then it is attractive if it is 1:4 it could be attractive.

Mitul Mehta : Yes, and implementation is first time and then the license cost goes every year.

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Page 10 of 13 NGN Puranik : So, 1:4 you mean 1 dollar: four dollars services?

Mitul Mehta : Yes. 4 dollars for services 1 dollar to license, services is time bound onetime, license is annual.

NGN Puranik : Then this business should grow faster than what it is today if it is 1:4 that is how the ERP business grew that is how the hyper scalers are growing, if that is the case why it is not growing?

Rahul Kanodia : The services part we are trying to give to our partners because the partners then get a new cycle.

NGN Puranik : Correct but unless if the partner gets 4 you would not get a million dollar which is very profitable?

Rahul Kanodia : That is correct.

Mitul Mehta : But this is recurring revenue stream at the same time it is license cost

NGN Puranik : This license is payable upfront or annually?

Mitul Mehta : It is paid annually and of course depending on the deal we tend to give payment structures

and milestones if the customer wants but ideally we take it up front .

NGN Puranik: So it is more like a SaaS license?

Mitul Mehta: Absolutely, it is a SaaS license.

NGN Puranik: It is a SaaS license, so when do you see it kicks off, when you are saying it is 1:4 it should really kick off quickly unless the potential is going away what I see is when you see the stock prices of Automation Anywhere and all things are not looking good for the industry, so I think you should quickly deploy this and get into your partners making more money then only you can make money?

Rahul Kanodia: Correct , so we have stepped up our marketing activity and sales activity quite a bit this year.

Mitul Mehta: In fact, last December we also re-launched our partner program to keep our partners more active in this space and we are seeing good traction on that a lot of partners are much more active and upgrading their skill sets on the product and everything. So we have seen the green shoots if I have to summarize it, we are fairly hopeful on growing this business.

NGN Puranik: The global system integrators?

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Page 11 of 13 Mitul Mehta: Absolutely, while on one hand there are enterprises but there are global system integrators who are looking at larger solutioning deals to incorporate the product

s and also BPM

vendors who are looking at automating processes at the core of their operations, so market is there.

NGN Puranik: Signed up with anybody, any global GSI?

Mitul Mehta: We have TCS as one of our global GSIs, we have many regional players as global GSIs and especially mid-size companies are more vertical focused, more region focused.

NGN Puranik: Do they have a serious team deployed for this cause or?

Rahul Kanodia: The smaller and the mid-sized ones have, the larger ones because they are carrying multiple offerings and multiple products have not yet fully kicked in as such not compared because they have other engagements with other companies but the smaller and middle ones are kicking quite well.

NGN Puranik: You see a big number coming next year?

Rahul Kanodia: This year we with current run rate of 10 logos in a quarter continues then we should have about 40 -50 logos within this year or hopefully even more. I think this year will be very crucial for testing the waters and right now it is looking very promising.

NGN Puranik: So, when do you see a \$5-\$10-million-dollar kind of revenue coming from this?

Rahul Kanodia: I think towards the end of the year we will get a good sense of where we are, we now have three quarters to go, so I think we will be in good shape maybe after six months or nine months the quarter I think we can have another discussion here.

NGN Puranik: Excellent, thank you Rahul. Thank you.

Moderator : Thank you. The next question is from the line of Subhankar Ojha from SKS Capital . Please go ahead .

Subhankar Ojha : Thanks for the opportunity . Just wanted a better explanation on this digital technologies, why your margin dropped to negative 4.5% for what reason and what is the outlook here with respect to the margins?

Sandeep Mantri : As explained by Rahul, Subhankar a couple of reasons, one was we are investing heavily in our product space which is into product core development as well as marketing and sales.

So, this time we have spent quite heavily on our sales and marketing product in addition to

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Page 12 of 13 the regular product development. Second is one of our key highly profitable customer has a shrinking business because of a multi-vendor strategy which has resulted into shrinkage in revenue from that customer and that was highly profitable so to that extent our margin got compromised. Third thing is the demand environment in this IT space, technology space we have seen quite unusual increment this time and that has also resulted into cost increase and lower margin in this space. So I think in the next six to nine months we need to see next two to three quarters and the problem will recede but it will take its own time because of these reasons.

Rahul Kanodia: But I do feel that we will get the turnaround within this financial year two to three quarters from now we will see the results going up.

Sandeep Mantri: But if you see overall we are quite stable in terms of our margins with this business and other businesses the margins are stable and healthy and we continue to maintain at healthy margins.

Subhankar Ojha : With respect to this you started investing heavily in this is there a percentage of sales for this particular vertical that you are putting in?

Sandeep Mantri : Not as of now as percentage of sales because right now the strategy is more to basically

capture market share in this space than putting a budget or putting a percentage to sales specifically in product and platform businesses.

Subhankar Ojha : You said that 15% of revenue growth for this year is likely and you expect a stable margin for this year?

Sandeep Mantri : Yes.

Subhankar Ojha : Despite this vertical not being achieving the earlier margin, is that assumption, right?

Sandeep Mantri : Yes, that is a correct assumption.

Subhankar Ojha : That is great. Thank

you so much.

Sandeep Mantri: Thank you Subhankar .

Moderator : Thank you. The next question is from the line of Shreya , a Retail Investor . Please go ahead .

Shreya : My question is are you bidding for any AFC projects outside India?

Rahul Kanodia : Yes, we are bidding for some AFC projects out of India as well.

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Page 13 of 13 Shreya : So, can we have some details about it?

Rahul Kanodia : There are right now three odd large ones , and they would tantum out to approximately \$ 30 million total but I am not so sure I would want to give the details of these totally but we are increasingly focus ing on opportunities outside of India.

Shreya : Okay, thank you.

Moderator : Thank you. As there are no further questions from the participants , I now hand the conference over to the management for closing comments .

Rahul Kanodia : Thank you everyone for spending your time with us on this call and we look forward to connecting with you again next quarter and thank you for your support and confidence in Datamatics. Have a good day.

Moderator : Thank you. On behalf of Datamatics Global Services Limited that concludes this conference . Thank you for joining us. You may now disconnect your lines.

Call: Nov 2022

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To,
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National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
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BSE Scrip Code : 532528 Symbol : DATAMATICS

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Encl.: As above

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"Datamatics Global Services Limited
Q2 FY23 Earnings Conference Call"

October 31, 2022

MANAGEMENT : MR. RAHUL KANODIA - VICE CHAIRMAN & CEO -
DATAMATICS GLOBAL SERVICES LIMITED
MR. SANDEEP MANTRI - EVP & CHIEF FINANCIAL
OFFICER - DATAMATICS GLOBAL SERVICES LIMITED
MR. MITUL MEHTA - EVP & CHIEF MARKETING
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MODERATOR : MS. ASHA GUPTA - EY LLP, INVESTOR RELATIONS
PRACTICE

Datamatics Global Services Limited
October 31, 2022

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Moderator: Ladies and gentlemen, good day and welcome to Datamatics Global Services Limited Q2 FY23 earnings conference call. As a reminder, all the participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" and then "0" on your touch-tone telephone. Please note that this conference is being recorded. I now hand the conference over to Ms. Asha Gupta from investor relations, EY LLP. Thank you and over to you, Ms. Gupta.

Asha Gupta: Good afternoon to all participants in the call today. Welcome to the Q2 FY23 earnings call of Datamatics Global Services Limited. The results and investor presentation have been already mailed to you and it is also available on our website, www.datamatics.com. In case anyone has not received a copy of the press release and presentation, please do write to us and we will be happy to send it out to you all. To take us through the results today and to answer your questions, we have with us the top management of the company represented by Rahul Kanodia – Vice Chairman & CEO, Sandeep Mantri – EVP & Chief Financial Officer, and Mr. Mitul Mehta – EVP & Chief Marketing Officer. Rahul will start the call with a brief overview of the quarter on business, which will be then followed by financials which will be reviewed by Sandeep. We will then open the floor for Q&A session. As usual, I would like to remind you that anything that is said on this call which gives any outlook for the future or which can be construed as a forward-looking statement must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included but not limited to what we have mentioned in the prospectus filed with SEBI and subsequent annual report which you can find it on our website. With that said, I now hand over the call to Rahul. Over to you, sir.

Rahul Kanodia: Thanks Asha. Welcome and thank you everyone for joining our Q2 FY23 Earnings Call. We are glad to have you all with us on this call today. I hope each and everyone of you had a great Diwali and I wish you a very happy and prosperous new year. We announced our Q2 FY23 Results on October 28th detailing out our operational performance. I will touch upon some of the key business performance and Sandeep will update you on the financials, and post that, we will get into the Q&A.

On the business front, I am happy with the overall performance of the business. We have continued our revenue growth momentum from Q1 FY23 and saw a growth of 14.2% on a year-on-year basis. The year-on-year growth was broad based across all the 3 segments of Digital Operations, Digital Experiences, and Digital Technologies. Our EBIT margins on a year-on-year basis reduced marginally from 12.8% to 12.3%, primarily due to the increased cost of salaries and some cyclicalities in our business. We are seeing a drop in margins across the industry this quarter; however, we are confident that our margins will be stable during the rest of the financial year. Our margins in the Digital Operations and Digital Experiences for this quarter remain healthy at 22.7% and 25.4% respectively. We expect these operations to continue giving healthy margins in the same range. Our margins in the Digital Technologies improved marginally from a negative 4.3% to a negative 2%. This improvement was driven by stabilization in a large shrinking account, growth in new customer acquisition, renegotiating prices, and de-weeding Datamatics Global Services Limited
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low-margin customers. In parallel, we continue to focus on the US and European markets. We are confident that we will further improve our margins in this fi

nancial year.

Our attrition stood at 20% which is in line with the industry. This is the result of efforts we have put in into retaining, training, and upscaling key talent, as well as the market environment is cooling off a bit. We expect this to further come down in the coming quarters.

While there are recessionary feelers on the horizon, we are not experiencing any shrinkage in demand. In Q2 FY23, we signed a new business worth \$29 million which is about 50% more than Q1. In H1, we have signed a total contract value of \$48.3 million and our deal pipeline remains healthy.

In conclusion, going forward, we are optimistic about our overall demand environment and are confident of maintaining a growth of 15% in the coming year.

With that, I will now hand over the call to our CFO, Mr. Sandeep Mantri. Sandeep over to you.

Sandeep Mantri: Thank you Rahul. Welcome everyone and thank you for joining us in the Q2 FY23 earnings call.

I hope everyone had a wonderful time during the festive season.

Let me take you through the financial performance for the quarter ended September 30, 2022.

Our Q2 FY23 revenue stood at Rs. 343.4 crores which is up by 5.1% on a sequential basis and 14.8% on a year-on-year basis. Our consolidated EBITDA for the quarter was Rs. 51.7 crores which is up 8% on a sequential basis and 3.6% on year-on-year basis. Our EBITDA margin for the quarter was 15% compared to 14.6% in Q1 which is a slight increase from the last quarter. Our consolidated EBIT for the quarter was Rs. 42.9 crores which is up 9.1% on a sequential basis and 2.4% on year-on-year basis. Our EBIT margin for the quarter was at 12.5% compared to 12.1% in Q1 and we aspire to maintain this double-digit healthy margin in the coming quarters as well.

Our Other Income on a consolidated basis stood at Rs. 9.6 crores compared to Rs. 13.2 crores in the last quarter. The primary reason for drop in Other Income was a one-time export incentive which was booked in the last quarter.

Our tax rate for this quarter was at 23.8% compared to 17.3% in the last quarter. The primary reason for the increase in tax rate during this quarter is the change in profit mix of various legal entities. However, we expect our tax rate to be in the 20% to 22% range on a yearly basis.

Our quarterly PAT after NCI was at Rs. 40 crores which is a growth of 13.2% on a year-on-year basis, however, there is a decrease by 7.9% on a sequential basis.

When we come to our segment-wise performance, we have 3 segments which are Digital Operations, Digital Experiences, and Digital Technologies. Our Digital Operations revenue was Datamatics Global Services Limited

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at Rs. 143.2 crores which is down 2.9% on a sequential basis but has grown 12.6% on a year-on-year basis. Digital Operations EBIT margin remains very healthy at 22.7%.

Coming to our Digital Experiences, the revenue was at Rs. 52.4 crores which is up 13.4% on sequential basis and 39.9% on a year-on-year basis. Digital Experiences EBIT margin remains very healthy at 25.4%.

Our Digital Technologies revenue was at Rs. 147.8 crores which is up 11% sequential basis and 9.8% on a year-on-year basis. Digital Technologies EBIT margin for the quarter remains negative at 2% compared to 4.3% negative in Q1. Hence there is a recovery in profitability. As explained by Rahul, we are confident that we will further improve the margins for the Digital Technologies segment in this financial year.

Coming to the half yearly financials, our revenue was at Rs. 670.3 crores for this half, which is a growth of 14.2%. Our EBITDA was at Rs. 99.5 crores which is up by 9% compared to H1 previous year. Our EBITDA margin for H1 was at 14.8% compared to 15.6% in H1 of previous year. Our EBIT was at Rs. 82.1 crores, up by 9.2%. Our EBIT margin for H1 was at 12.3% compared to 12.8% in H1 of previous year.

Our Other Income was at Rs. 22.8 crores as compared to

Rs. 8.5 crores last year, which is a

significant growth of 168%. This is primarily due to increase in investment income, exchange gain, and export incentive. Tax rate for H1 was at 20.6% compared to 20% in H1 of previous year. So, our tax rate is stable at 20% to 22%. Our PBT before exceptional item was at Rs. 103.1 crores compared to Rs. 82.8 crores which is up by 24.5%. Our H1 PAT after NCI was at Rs. 83.4 crores compared to Rs. 74.9 crores which is a growth of 11.3% over the previous year. If we see segment-wise results for the first half of FY23, our Digital Operations revenue was at Rs. 290.6 crores, up 15.3%. Digital Operations EBIT margin remains healthy at 23%. Our Digital Experiences revenue was at Rs. 98.7 crores which is 29.2% growth over the half of previous year. Digital Experiences EBIT margin remains healthy 24.4%. On Digital Technologies revenue, we were at Rs. 281 crores which is up 8.7% on YoY basis. EBIT margin for the H1 remains at minus 3.1%.

Coming to the balance sheet, our balance sheet continues to remain at a very healthy position.

As on September 30, 2022, our total cash & cash equivalents plus current investment (net of debt) stood at Rs. 375.9 crores. Talking about DSO, as of 30th September, we were at 62 days

compared to 74 days as on 31st of March in the previous year.

In terms of geographical perspective, US is the largest geography with 54% of our business coming from the US; India is 28%; rest of the world including the UK and Europe is 18%. In terms of industries, BFSI continues to remain the largest segment for us which is 24% of our revenue followed by Education & Publishing which is 23%, then Technology & Consulting which is 18%. Manufacturing, Infra, & Logistics is at 13%; non-profit or non-government organization at 11%; Retail at 7% of our business; rest all are 4% of our total revenue. Our client

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concentration remains very healthy with the top 5, 10, and 20 clients contributing to 26%, 35%, and 50% respectively. We added 26 new clients in this quarter.

With this, I will now pass on the call to the operator to open the floor for questions. Thank you for your patience and continued interest in Datamatics.

Moderator: Ladies and gentlemen, we will now begin the question & answer session. We will wait for a moment while the question queue assembles. Our first question is from the line of Yash Patel from Choice International. Please go ahead.

Yash Patel: May I know the total headcount for this quarter or any net addition for this quarter?

Rahul Kanodia: Total headcount for this quarter – we are running at about 11,300. Last quarter we were at 10,900. So, we have had a net increase of about 400.

Moderator: Our next question is from the line of Pavan Kumar from RatnaTraya Capital. Please go ahead.

Pavan Kumar: Sir, how is the progress on our ticketing project revenues from Indian Metro? And what is the kind of scale-up we can expect in terms of domestic revenues going forward?

Rahul Kanodia: I had mentioned in our earlier call that we have recently been awarded 2 contracts; one is Kolkata Metro which has been kicked off, the other one is NCRTC which is the Delhi-Meerut segment.

Both these contracts have been awarded to us. We have started work on it. However, we have not accrued any revenues because it is still in the initial phase. But certainly within this financial year, we will see an uptick in the revenues from the AFC business. We have got a healthy pipeline. We have bid for several projects. But obviously, we cannot talk about them until we don't win them or lose them or until there is a clear decision. As those contracts materialize, we will certainly bring it to the notice of all the investors and analysts. Right now, the pipeline is looking healthy and we have got 2 large contracts recently, which have just about

started.

Pavan Kumar: How would the accounting be? In the sense, I am assuming the expenses part until now for that work on project would already have been done through P&L, right?

Sandeep Mantri: Yes.

Pavan Kumar: But the revenues not recorded?

Sandeep Mantri: We account for the revenue based on percentage completion method, which is basically mark up over cost. So, estimated cost and estimated revenue and whatever is the markup, basis that, we recognize revenues. There is a very insignificant recognition as of this quarter, but from, I think, this current quarter, we will start accruing revenue for NCRTC as well as Kolkata Metro, both the projects.

Pavan Kumar: From which quarter you said, sir?

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Sandeep Mantri: From this October quarter – Q3.

Pavan Kumar: And once these particular revenues start kicking in, is there a chance if the global revenue growth also remains constant that we might overshoot our growth projection?

Sandeep Mantri: As explained in the last call also, we are maintaining our guidance for revenue growth at about 15% as of the moment because of many uncertain factors which are playing in the market. But having said that, it may grow beyond that as well. But as of now, we are mostly maintaining a guidance of 15% revenue growth.

Rahul Kanodia: But our confidence remains high.

Pavan Kumar: What can be the incremental expenses that should come on the cost structures going forward, especially on the employee front from the next quarter?

Rahul Kanodia: On the employee front, the cost structure one is that we do see the market cooling off a little bit. So, we do see a reduced attrition, I mentioned in my address that it is running at 20% which is very much in line with the industry. Having said that, the attrition factor is still there. We have been able to renegotiate prices with several customers anywhere between 5% to 20% hike and that has offset some of the hike in salaries that we have had to give. So, I don't think the hike in salaries or the cost associated with that will be very high because we see the market cooling off a little bit and we have been able to adjust it with the price hikes that we have got from the customers.

Pavan Kumar: What would be our outlook in terms of margins going forward?

Sandeep Mantri: As we explained in the last call as well, our margins are likely to remain in the same range which is if we talk about EBITDA which is 15% to 16%; if we talk about EBIT, it is between 12% to 13%. That's what we are maintaining. And if you see the last 2 quarters, we are in the expected range.

Pavan Kumar: But we are not seeing any kind of deceleration there?

Sandeep Mantri: No, not really.

Moderator: Our next question is from the line of Shreya Bhivalkar, an individual investor. Please go ahead.

Shreya Bhivalkar: My question is about moonlighting. I just wanted to know what are your views on moonlighting. As I see, industry views are kind of divided. So, just wanted to know will you allow it at Datamatics or how it is.

Rahul Kanodia: We do not encourage moonlighting. As it is, there is a shortage of staff and the attritions being high, people are working extra hours anyway. A few cases that have come to our attention, we have parted with those employees. We have had an honest conversation with them and then

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when it was established that they were two -timing or three -timing, we did separate from them.

As a company, our policy does not encourage moonlighting.

Moderator: Our next question is from the line of Asha Gupta. Please go ahead.

Asha Gupta: I would like to ask that given the macro concerns are going on like in the US there is a fear of recession and Europe also is struggling on the macro levels like energy and gas things, do we see any pressure coming

on our business due to these macro issues in the US as well as in the UK or Europe?

Rahul Kanodia: No, we don't see any major impact of the uncertain environment in the world, but as I mentioned in my address that our pipeline is very strong – the number of deals we have signed – we have signed \$29 million in Q2 which is almost 50% higher than Q1. So, we are not seeing any slowdown in our business. Having said that, there is this uncertainty that remains with the war with Ukraine and the China economic war that you see, oil prices, fear of Europe going into a recession. America fortunately seems to have bounced back. This quarter, they are showing a positive GDP growth, so that's looking positive. So, they seem to have turned the corner hopefully. Europe still is very uncertain and on a tightrope. But as far as our business is concerned, we don't see any major impact.

Asha Gupta: In terms of industry-wise, do you see any pressure on any of the industries like BFSI or Education & Publishing or Technology?

Rahul Kanodia: No, we see an even growth across the industries and no, we don't see anything. We have not been very heavy in the hospitality and transport segments and those were the ones that were hit quite badly by Covid. They seem to have bounced back but it is not impacting our numbers because those are not very large segments for us.

Moderator: As there are no further questions, I now hand the conference over to the management for closing comments.

Rahul Kanodia: Thank you everyone for being on the call with us. I once again wish you a very happy new year and hopefully we will meet next quarter and share some good stories about our performance. I look forward to engaging with you again in the next quarter.

Moderator: Ladies and gentlemen, on behalf of Datamatics Global Services Limited, that concludes this conference call. Thank you for joining us. You may now disconnect your lines.

Call: Jan 2023

DATAMATICS GLOBAL SERVICES LTD.

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To,
Corporate Communication Department
BSE Limited
Phiroze Jeejeeboy Towers,
Dalal street, Mumbai - 400 001. Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051.
BSE Scrip Code : 532528 Symbol : DATAMATICS

Sub.: Transcript for Q3FY23 Earnings Call

Dear Sir/Madam,

Pursuant to Regulation 30 and Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, we would like to inform you that the Company has hold a conference call with the Analysts / Investors on Friday, January 20, 2023 at 04:00 p.m. IST for management discussion on Unaudited Financial Results for the third quarter and nine months ended December 31, 2022.

Please find attached transcript of the call on Unaudited Financial Results for the third quarter and nine months ended December 31, 2022. The same can be accessed on the below mentioned link:

<https://www.datamatics.com/about-us/investor-relations/earnings-call>

Kindly take the above on your record.

Thanking you,

For Datamatics Global Services Limited

Divya Kumat
EVP, Chief Legal Officer and Company Secretary
(FCS: 4611)
Encl.: As above

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Q3 FY '23 Earnings Conference Call"
January 20, 202 3

MANAGEMENT : MR. RAHUL KANODIA – VICE CHAIRMAN AND CHIEF
EXECUTIVE OFFICER – DATAMATICS GLOBAL
SERVICES LIMITED
MR. SANDEEP MANTRI – EXECUTIVE VICE PRESIDENT
AND CHIEF FINANCIAL OFFICER – DATAMATICS
GLOBAL SERVICES LIMITED
MR. MITUL MEHTA – EXECUTIVE VICE PRESIDENT
AND CHIEF MARKETING OFFICER – DATAMATICS
GLOBAL SERVICES LIMITED

MODERATOR : MR. PRATIK JAGTAP , E&Y INVESTOR RELATIONS

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Moderator: Ladies and gentlemen, good day, and welcome to the Datamatics Global Services Limited Q3 FY '23 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone telephone. Please note that this conference is being recorded. I now hand the conference over to Mr. Pratik Jagtap from E &Y Investor Relations. Thank you, and over to you, sir.

Prateek Jagtap: Thank you, Inba. Good afternoon to all participants in the call today. Welcome to the Q3 FY '23 Earnings Call of Datamatics Global Services Limited. The results and investor presentation have been already mailed to you, and it is also available on our website, www.datamatics.com. In case anyone has not received a copy of the press release and presentation, please do write to us, and we will be happy to send it out to you all.

To take us through the results today and to answer your questions, we have with us the top management of the company, represented by Rahul Kanodia, Vice Chairman and CEO; Sandeep Mantri, EVP and Chief Financial Officer; and Mitul Mehta, EVP and Chief Marketing Officer. Rahul will start the call with a brief overview of the quarter on business, which will be then followed by Sandeep talking on financials. We will then open the floor for question and answer session.

As usual, I would like to remind you that anything that is said on this call, which gives any outlook for the future or which can be construed as a forward-looking statement, must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included but not limited to what we have mentioned in the prospectus filed with SEBI and subsequent annual reports, which you can find on our website.

With that said, I now hand over the call to Rahul. Over to you, sir.

Rahul Kanodia: Thank you, Pratik, and welcome, and thank you, everyone, for joining our Q3 FY '23 earnings call. Excited to have you all on the call today. Let me begin by wishing everyone a very happy and prosperous new year. We announced our Q3 results yesterday, outlining our operational performance.

I will briefly discuss some of the key business performance, and Sandeep, our CFO, will provide an update on the financials, after which we will open the floor for questions and answers. Coming to the business update, I'm pleased with the overall performance of the business. We are delighted to report that our Q3 performance was strong, with a year-on-year growth of 23.9% and a sequential quarter growth of 8.5%. The growth was broad-based driven by all 3 segments of Digital Operations, Digital Experiences and Digital Technologies. This performance is noteworthy given the backdrop of an uncertain global economy and Q3 being traditionally a weak quarter for the IT sector due to the holiday season. Our EBIT margins have improved sequentially from 12.5% to 13.5% primarily led by a healthy business growth, price negotiations and cost optimization.

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While Sandeep will speak on segment numbers, I would just want to speak about how our segments are performing. I'm happy to share that our Digital Technologies business, which was under stress for the last 2 quarters, has bounced back. Our EBIT margins have improved from minus 2% to a positive 2.2%.

-I'm very happy to inform you that Datamatics has successfully delivered Automatic Fare Collection and mobile ticketing system for Mumbai Metro Line 2A and Line 7, which was inaugurated by our Honourable Prime Minister Shri Narendra Modi Ji yesterday. It is a proud

moment for every

Datamatician to be associated with this project which will be transformational for millions of Mumbaikars. Kolkata Metro also went live with our AFC solution last month, which was also inaugurated by Honourable Prime Minister.

In Digital Operations, we have witnessed strong growth on the top line. However, EBIT margin declined by 323 basis points sequentially. This is in line with our expectations as we ramped up our headcount for Q4.

In Digital Experiences, our EBIT margins continue to be strong at 27.8%, up by 235 basis points sequentially.

On a YTD basis, for the first 3 quarters, we signed new business worth of \$57 million. Our deal pipeline remains healthy.

In conclusion, going forward, we are optimistic about the overall demand environment and are confident of maintaining a growth of over 17% in this financial year.

With that, I will now hand over the call to our CFO, Mr. Sandeep Mantri. Sandeep, over to you.

Sandeep Mantri: Thank you, Rahul. Welcome, everyone, and thank you for joining us in Q3 FY '23 earnings call.

To begin, I would like to wish everyone a very happy and safe New Year. Let me take you through the financial performance for the quarter ended December 31, '22 results, and then I'll take you to 9 months financial performance.

Despite normally being a seasonally weak quarter, we reported strong revenue growth driven by all 3 segments we operate in. Our Q3 FY '23 revenue stood at INR 372.6 crore, which is 8.5% up on a sequential basis and 23.9% on a Y-o-Y basis. A healthy growth, favourable exchange, and cost optimization, all these have led to a healthy consolidated EBITDA for the quarter at INR 59 crore or 15.8% of revenue, which is up by 14.2% on a sequential basis and 16.7% on Y-o-Y basis.

Our consolidated EBIT for the quarter was at INR 50.2 crore or 13.5% of revenue, which reflects a growth of 17.1% on a sequential basis and 18.1% on Y-o-Y basis.

We aspire to keep and grow healthy double-digit EBITDA and EBITDA margin in the coming quarters as well.

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Our other income on a consolidated basis stood at INR 10.6 crore, which is a growth of 10% sequentially and 87% on a Y-o-Y basis. Primary reason is better return on investments and favourable exchange rate.

Our tax rate for the quarter was at 25.3% as compared to 24.2% in Q3 of FY '22. We expect our tax rate to be in the range of 22% to 23% on a yearly basis.

Our quarterly PAT after NCI was at INR 45.9 crore, which is growth of 14.8% on a sequential basis and 24.1% on a Y-o-Y basis. Our EPS for the quarter was at INR 7.78 per share, which is higher than last year, same period, which was at INR 6.27 per share.

When we see segment-wise performance -

Our Digital Operations revenue was at INR 152.8 crore, a growth of 6.7% on sequential basis and 24.2% on a Y-o-Y basis. Digital Operations EBIT margin was at 19.5%. Its contribution to total revenue was 41%. The margins are in line with our expectation as we ramp up our headcount in Q3 in preparation for Q4.

Our Digital Experiences revenue was at INR 61.2 crore, a growth of 16.7% on a sequential basis and 46.9% on Y-o-Y basis. EBIT margin was at 27.8%, and the contribution to total revenue was 16%.

Our Digital Technologies revenue was at INR 158.7 crore, which is a growth of 7.4% on a sequential basis and 16.6% on Y-o-Y basis. EBIT margin improved to 2.2% from a negative 2% in last quarter. The technology contribution to total revenue was 43%. And the primary reason for this margin improvement is growth in revenue as well as optimization costs, resulting in better recovery.

In terms of geographical footprint, US is the largest geography, with 54% of our business coming from U.S. India is 29%. Rest of the world, including U.K. and Europe is 17%.

When we talk about industry footprint, BFSI continued to remain the largest segment for us, which

is 24% of our revenue, followed by education and publishing, which is 22%. Then technology and consulting, which is at 16%, non-profit or nongovernment organization are at 13%. Manufacturing, infra and logistics is at 12%, Retail at 8% of our business, with other businesses at 5% of our total revenue.

Our client concentration remains very healthy, with top 5, 10 and 20 clients contributing to 24%, 37% and 52%, respectively. We added 13 new clients in the quarter.

Now coming to 9M FY '23 financials, our revenue was at INR 1,042.9 crore, a growth of 17.5%

on a Y-o-Y basis. Our EBITDA was at INR 158.4 crore, which is up by 11.7% as compared to last year. EBITDA margin stood at 15.2%. Our EBIT was at INR 132.3 crore, which is a growth of 12.5% on Y-o-Y basis, and EBIT margin to revenue stood at 12.7%.

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Our other income was at INR 33.4 crore, which is a growth of 135.6%, which is primarily due to exchange in SEIS incentives and better investment income.

The tax rate for 9 months is 22.3% compared to 21.4% in the same period of previous year. We expect tax rate to be in the vicinity of 22% to 23% for full year.

Our PBT before exceptional item was at INR 163.3 crore, which is a growth of 25.3%. Our PAT after NCI was INR 129.2 crore, which is a growth of 15.5% on a Y-o-Y basis. Our EPS for the 9-month was at INR 21.92 per share as compared to 18.98 per share in the last year same period, which is a growth of 15.5%.

If you see segment-wise revenue mix for 9M FY '23 -

Digital Operations revenue was at INR 443.4 crore, which is up by 18.2%, and EBIT margin for the same segment was at 21.8%. Our Digital Experiences revenue was at INR 159.8 crore, up by 35.4%, and EBIT margin for Digital Experiences business was at 25.7%. Our Digital Technologies revenue was at INR 439.6 crore, up by 11.4%, and EBIT margin was at negative 1.2% on a 9-month basis.

Our balance sheet continues to remain in a very healthy position. As on December 31, '22, our total cash and investment stood at INR 455 crore. We don't have any debt in our books now. We are a zero-debt company. Our DSO was at 68 days for the first 9 months of this year as compared to 74 days as on March 31, '22.

With this, I will now pass on the call to the operator to open the floor for questions and thank you for your patience and continued interest in Datamatics. Thank you.

Moderator: We take our first question from the line of Faisal Hawa from H.G. Hawa & Company.

Faisal Hawa: Sir, for a midsize or a small-sized company, IT company like ours, where do you see the actual opportunities and how will we compete against much bigger rivals as we may have a problem both for talent as well as business from a major company. So what is the positioning that we are taking to grow our revenues quarter-on-quarter? And what is the revenue increase that you see in dollar terms year-on-year for the next financial year?

Rahul Kanodia: So in terms of competing with the large customers, we service different market segments. So we don't see very heightened competition in the segments that we serve. We don't very often come across TCS or Infosys, or anybody of that kind. Occasionally, we do. And in fact, statistically, we tend to win more often than they're winning. The reason being that we tend to work more closely with the customers and our solutioning efforts tend to be far more engaged.

In terms of the market segments, still the US is the largest market. It's still a huge market and I don't see any issues in terms of growth. As far as talent is concerned, if you see our attrition rate, it's pretty much in line with the rest in the industry. So we're not having any attrition rate that is higher or lower. So, and we are able to attract talent. We don't see an issue that talent is going to Wipro or an HCL and not coming to Datamatics. So I don't

see that happening at all. So I don't

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see those headwinds that you may perceive and we've been around and we continue to grow at a very healthy pace. So have we seen those challenges, then we would not have had the growth that we are currently showing. So I'm not seeing those headwinds for us.

Faisal Hawa: And sir, for the next year FY revenue guidance?

Rahul Kanodia: So this year, we will certainly give about 17% growth. Next year, I am certainly looking at 15% plus. We are right now going through our business planning exercise, so I don't have all the numbers ready. But yes, it will be in the vicinity of 15% for next year.

Faisal Hawa: And sir, what would be the top 5 clients concentration in revenue for us?

Rahul Kanodia: Our CFO just mentioned that, and I will just tell to refer to that.

Sandeep Mantri: 24%, 37% and 52% for 5, 10 and 20 clients.

Moderator: The next question is from the line of Harshit Toshniwal from Bottomsup Research.

Harshit Toshniwal: Thank you and congratulations for a good set of numbers. So, the question was, sir, on two parts. One, when we look at our business, if you can throw some more color. I think in one of our calls, you mentioned that Digital Operation is basically the back-end processing. Digital experience is more the front-end services for the client, like maybe a website designing, website management, etc. And digital technologies is largely the automated fare system business for us. So if you can

throw some color on the understanding of these three businesses. And the second question is that our margins are very high in the digital experience and the digital operations. But for technologies, what would be a more sustainable state of margin? And if I understand it correctly, the metro automated fare system, etc., all these would be more like software as a service, which we provide. So in that case, shouldn't those margins be more around 30%, 35% levels because gross margins are typically high. But if you can please help me clarify on these understanding aspects?

Rahul Kanodia: Sure. So our digital operations in the back office where we do a lot of finance accounting services, the banking back office operations, insurance back-office operations and back office for a lot of publishing and retail companies. So that's what we do on the digital operations side. The reason is digital is because we use a lot of technology tools, automation in doing the back-office operations for our customers.

Harshit Toshniwal: So just to clarify on this. When you say back office for insurance, etc. So does it mean the claim management or anything? So is it more like a software-based service? Or it is more like an IT solution, which is a constant service?

Rahul Kanodia: It is a BPO service on the back of technology platform. So we do a lot of tech processing, account opening, KYC, those kind of things. So that's on the digital operations and digital experiences, as I said, front office, which is more customer management, and that is led driven by a heavy research and analyst team. So we do a lot of analysis and research on customer behavior and customer life. And based on that, we engage with customers. So that's a lot of customer

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management services. And the digital technologies is not only AFC. AFC is one component of it. There are many other things that we do on cloud, on mobility, on low code/no code, application modernization and migration things like that. So there's a lot of work we do on digital technology. Fare collection is one component of it. So if you see our traditional margins have been fairly healthy even in technology. It's last two quarters, we had a huge challenge. And that is because of some project overruns as well as some clients which had a multi

-vendor strategy,

so the part of the portfolio went up to other vendors. The other issue is last six months have been for the IT industry quite troublesome in terms of attrition and salary hikes. So it's a combination of all these things that have put together. Plus, we have been investing on our product space. So that investment continues. And therefore, we see a little muted margin. Otherwise, if you sort extract the investments we are making, our margins are in the vicinity of about 13% to 15%.

Harshit Toshniwal: So just a few questions on that. So it's very clear on the experiences part and the digital operations part. On that, the only question is the margins which we maintain are very high, around 20% margin from for a business process so is it that we have created our own IP products like TruBot, etc., which helps us to command this margin? So that was the first question. And on the digital technology, sir, if I try to look at it, this is more like an IT service there where we would be, say, competing with the TCS, Infosys, Wipro, etc. So to that extent, when we look at our margins, even historically, we were there in the around 8% to 10%. Is there room for this margin to improve to a 15% kind of number over time, obviously, gradually ex of the investments in the products?

Rahul Kanodia: Yes. So you're right. So the margins will improve. Certainly, this year, we'll see better margins on Digital Technologies. One of the reasons the margin is muted is all the investments that we're doing in AI and robotics and all that stuff, intelligent automation is captured in the technology space, and we are not capitalizing those expenses. We are expensing them out.

On the maintenance of the margin on the Digital Operations and Digital Experiences, we expect that we will maintain the margins roughly in the same range. It might go 1% up or down, but that's normal when you're having this 26% to 27% margin. 1% fluctuation is not something that's unexpected. But we will maintain fairly healthy margins even in the next year.

Harshit Toshniwal: The question on the operation side was that the margins of 20% are very strong. What is it that allows us to maintain such high margin in our business outsourcing world? Is it the stickiness? Or is it the automation IPs, which we have created, that helps us to maintain that margin?

Rahul Kanodia: Yes, it is the automation IP that we are deploying in our operations, which gives us the production huge benefits.

Harshit Toshniwal: Just one last. So I think on the cash part, sir, our cash balances have improved a lot over the last 2, 3 years because of the strong accrual. So we are sitting with around INR 450 crore. And if I understand correctly on products from our previous call, I remember, we invest roughly INR 20 crore to INR 25 crore per annum on products part. Now I just want to understand the way you look at this cash flow, you want to distribute it at some point of time, maybe because of some regulatory hurdles you are waiting for that or you think that it is ultimately going to be used for

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acquisitions at some point of time. Because if I remember, the balance used to be around INR 150 crore, INR 200 crore earlier. But the way we are generating cash flow, this keeps on increasing. So some plan on that, if you can throw some light ?

Rahul Kanodia: So we are looking at acquisitions actively. We are in dialogue with some of the companies. Obviously, nothing has happened till it all happens. So we are looking at acquisitions, and some of these funds will be consumed in M&A activities. We are in dialogue with some companies, but we will talk about them or announce them as they mature.

Harshit Toshniwal: But the reason I asked, sir, because we are already growing at a very good pace of 15%, 20%. And I believe your guidance is all ex of acquisitio

ns. So to that extent, which is why I asked this question because if we have an acquisition of around INR 400 crore, then probably it adds 20%, 25% to our current sales broadly roughly. So that was the one part which I wanted to clarify.

And I have one more question after this. Maybe I can add it right now or I can ask after this ?

Rahul Kanodia: No. So you can ask because I think I already answered the question that we are looking at acquisitions. Obviously, you're not going to block INR 400 crore on an acquisition because we've got to keep some reserves for working capital, and plus, we are doing R&D, we keep investing in new technologies. So you do need funds for that. You need to have a healthy reserve in any case, you never know when certain things go wrong in the global market. We had the wireless issue. We had the war with Ukraine. Something else can pop up. So it's important that the company maintains a healthy reserve. Having said that, yes, we are actively looking at these investments both in R&D and technology and acquisitions.

Harshit Toshniwal: And sir, the other question was on the investment in the product and the technology part. So if I remember last three to four years, we have been investing in it and probably if I take an annual expenditure of INR 25 crore, INR 30 crore, then we would have already put around INR 150 crore of expenditure on the various products. I think at some point of time, you mentioned that you would want to give some number on the product revenue when it scales up, but just understand that it has been five years since we have been investing in products and that is impacting the margins of the technology business. So what is the outcome, which we are getting out of it? If you can throw some color of what out of the total digital technology revenue is coming from the various products and how much more time of investment and scale up do you think will be needed here?

Rahul Kanodia: Sure. So we are beginning to see an uptrend in terms of the deals we're getting. That's one direct benefit. There's another indirect benefit. When we go to the market with these products, we're getting spin-off benefits on the BPM side. So some of the deal sizes that we're getting larger deal sizes on BPM is on the back of some of these products. Now one does not correlate and therefore, offset those costs. The cost is showing as investments because we're building the product. We are ready. We have deployed them in our own operation, which has given us efficiency, because of that, we are able to get larger deals and new deals. So there is a spin-off benefit to these investments. Unfortunately, the product license in terms of a direct sale has been a little muted. Having said that, we are seeing a good upswing in terms of the deals.

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Mitul Mehta: So yes, this is Mitul here. So from a product perspective, as Rahul mentioned there are green shoots. The pipeline looks really healthy. So we have already onboarded some customers this year, and there have been some real marquee customers. And going forward, we also feel that next year will be also in here that we will see a good growth, which will bring a certain amount of weight to the entire business. So I think next year is going to be critical for us.

Harshit Toshniwal: And sir, if I look at our shareholding, I think there was some promoter stake, which was spared down in last, this quarter. If you can throw some color as to the reason for promoter stake coming down. If there's something because regulatory, we are well below 75%. So that was not a concern. But just wanted to get a sense of, is there any update on that part?

Rahul Kanodia: So if you read the SEBI disclosures, it's all over there. The promoter as they age are providing for their grandchildren and therefore, they've created a separate trust in which

they have

deployed some of the equity.

Harshit Toshniwal: So the public holder which we see universal trustee, that is nothing but that trust itself.

Rahul Kanodia: That is correct.

Harshit Toshniwal: I think, a great set of numbers. Thanks a lot for answering all the questions. Just one request at

on the technology part, if you can separate the product investments, and show it as a separate line item, it will give us much clearer picture of the technology margins. Because I think that is 1 business where analyst tend to compare your margins with maybe a typical IT service company, and that creates some discrepancy to the difference between the margins, because of the operations part, we are definitely commanding a lot of margin. And the way I was thinking is that all these investments in products is actually helping us in the business versus outsourcing business. The operations business. So does it make sense to classify them as a part of the operations cost rather than taking it in the technology piece? But any which way, I think thanks a lot for the good numbers. Wish you all the best.

Moderator: We'll take our next question from the line of NGN Puranik from Enam.

NGN Puranik: Rahul, congrats on a good set of numbers. Excellent. All around we have been doing very good all across businesses. I've a question on your automation business. So if you can give a meaningful understanding of what's happening in terms of creating the market-focused solution, taking into the market, branding, marketing, customer targeting and is the hiring complete? What's the long-term outlook for this? Are you happy with what's happening in the product business? Or some of these automation businesses it has to see the result in a reasonable amount of time. So what is your view?

Rahul Kanodia: Yes. So overall, I am not as happy about our performance so far on product business. I think it needs to be much better. And we are looking at how we can further augment the channel team because we've built a channel team, but that needs to deliver better results. We have been in dialogue with some of these analyst firms like Gartner and Everest in terms of working our Datamatics Global Services Limited
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strategy for the segment and we've had several rounds of discussion. So along with them, we are relooking at our strategies as we plan our next year. So that is a work in progress.

I think in another month or so we should have nailed that program. I do see some, as Mitul mentioned earlier, green shoots we do see an uptick in the deals that we're getting. I think also we had a slow start, and that's towards pulling us back. But now the new logos in the marquee logos that we are getting, are extremely promising. Some of them, we've signed. So it's not that their prospects. They're signed customers. So I think on the back of that, we will get more -and- more bigger logos. Because they feel confident in the 1, 2, 3, 4 big companies buy from you. The other large companies also feel confident in buying from us.

So overall, it has been much slower than I expected, and I'm not very happy with that. But I am still confident and bullish that we are in the right place at the right time. The analyst coverage that we've got has also been very -very good in terms of the reports have written about us. So I think we are in a good place. We are not increasing our burn substantially. Of course, we are spending INR 25 crore to INR 30 crore a year. But just given the size of Datamatics, that's not a huge number, something we can easily absorb. So it's not causing us nightmares. But yes, that does need to improve, and we are working very actively on that.

NGN Puranik: Do you think you have the right product the market wants?

Rahul Kanodia: Yes. From the feedback that we've got from customers and from the analysts, they are extremely positive. So I'm very confident

because the right product and we are at the right place.

NGN Puranik: Do you need to fine-tune or sharpen your product to the market in relation to the competition?

Rahul Kanodia: No, I think we do need to sharpen some things around the market segment and the focus and the solutions that we take to that segment on the back of this process. So that need be sharpening that's for sure. But I still, I'm very confident that we are in the right place, and we are recalibrating our strategy. As I said, we are talking to these analysts firms getting market inputs because they talk to 100 of companies. So they give us very valuable insights in terms of how we should re-strategize.

NGN Puranik: So what market segments you think are the right one to focus? Is it BFSI, or is it technology?

Rahul Kanodia: I will just say one or two things then Mitul will chime in. So BFSI is certainly the largest user, and within the BFSI segment, there are sub-segments. Mortgages is being one, wholesale banking is another one, but there are many -many segments within insurance also, life insurance, the general insurance, health insurance. So they're all different segments. So we are recalibrating that. Plus, the area of manufacturing is also very -very important, and we did not focus on that as much earlier, but now we are beginning to focus on that again. Specifically around the F&A space from a domain point of view, apart from the industry, the F&A practice is a good practice for automation, on the back of robotics and TruCap and TruBot. So Mitul, do you want to chime in?

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Mitul Mehta: So I think that's fairly you covered most of that Rahul. So IDP has very specific industry focus basically BFSI, logistics, health care, government is also a big buyer. So these are the few industries which would make about 80%, 85% of the market. As Rahul mentioned, last year, we have definitely done better than what we have been doing last year. So green shoots new customers have come on board. And those customers have been across all regions. US, Europe and India. So it has been a fairly muted customer acquisition.

Going forward, we're not changing this strategy per se, but you have to put to be a little more focused in terms of which verticals to be enter into. And that would hopefully give us a faster time to close. As Rahul mentioned, what's not agreeing with us is the time taken for deal to close, is longer than what we had expected. So I think we are working on it. Our strategy is going to get fine-tuned with the right set of challenges, which we are identified and going to the market. Now I think you also answered about recruitment. I think recruitment, we have fairly done. We have good sales teams, both on ground in the US and India and Europe. So at the East and the West both. We may add strategically a few members, but more or less right we are good for our this coming year.

Rahul Kanodia: I think the biggest challenge early that we faced is the cycle time to close. It's actually longer. We have thought that it closed the cycle time will be two to three months, but it's substantially longer.

NGN Puranik: Rahul, the client wins you have, are they significantly referenceable client range?

Rahul Kanodia: Yes. That almost everyone.

NGN Puranik: Sir, from their deep pocket to sophistication of maturity using technology from that perspective?

Rahul Kanodia: Yes. Absolutely.

NGN Puranik: That itself will get you a lot more wins because initially the positioning has to be important in terms of client wins and performance.

Rahul Kanodia: Yes. Right.

NGN Puranik: You have the right partner in place for selling this product?

Rahul Kanodia: We have multiple partners. I think as I mentioned a little earlier about five minutes ago, we do need to we improve our partner channel throughput that t

hroughput is not as strong as we would like it to be.

NGN Puranik: So what do you need to motivate them to sell more?

Rahul Kanodia: It's a \$1 million question you are asking. That there is the some of the product companies like UiPath, their revenue is about \$1 billion or a little over. There's losses are about \$1 billion. So their spend is that mean \$2 billion. If I spend that kind of money, I'm sure partner will be very happy.

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NGN Puranik: No, I understand what you're saying, the UiPath is in a good path actually. So that's a different model. But the key is how do you get to redirect this kind?

Rahul Kanodia: To engage the partners into some of the market logos that we have, which is encouraging them to get more -and-more. So I think there, it is good, but some of it is a slow process. These partners will learn they get confidence, it takes time. And honestly, I don't want to go to a burn more very heavily.

NGN Puranik: No. It's not advisable at all. All this burn mode will take you nowhere. So that's why I was asking you because you are focusing on the right customers, it's very important there because at the end of the day, you look at a customer, you look at profitability, liquidity and referenceability. The referenceability will be help you get more wins. And there's also motivate other partners. That's why I was asking that.

Moderator: Our next question is from the line of Shreya Pawar an individual investor.

Shreya Pawar: First of all, congratulations for the best results Mr. Kanodia. My question is about the supply of the talent. So globally, tech companies are facing talent supply pressures. So are you also facing the impact of this?

Rahul Kanodia So if you remember, about six months ago, the industry was going through a lot of turmoil, very high attrition, very high salary hike. That has eased off right now. It's not come around to zero, but it certainly cooled off. We are not having major challenges in attracting new talent. So I think on the supply side, good news is that it's easing up also what's helping us is the announcement made by the big tech firms in the US, Facebook and Twitter and Microsoft and Amazon, they're all announcing layoffs. And that layoff is creating its own ripples in India. So therefore, I think there's some degree of easing off, which is very helpful. So by and large, we are okay, by and large we're not having any major challenges.

Shreya Pawar: I have one more question. So in last quarter investor call, you had mentioned about the guidance

of about 15% of the growth. And today, you are already at 17% of, for this particular financial year. So I just wanted to know what has contributed for this revised positive guidance?

Rahul Kanodia: So this is a combination of three things. One is that our price hikes that we've re-negotiated several deals with customers because of the turmoil in the industry. So the price hike has given us a little bump up. We've not yet expensed all of the benefits, but some of it will continue in the next one quarter. And of course, there is genuine revenue growth. So we had a good deal flow, and we continue to see healthy deal flows coming in. So the revenue growth is basically contributing to the growth that we are experiencing.

Moderator: Our next question is a follow-up from the line of Harshit Toshniwal from Bottomsup Research.

Harshit Toshniwal: The follow-up is on the product part itself. So if you can throw some color on the key products which we are creating and we're investing more with respect to the use cases? So if I look at our website, when we see a lot of products like digital workplaces, we have products on trade
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finance, etc. But I think are these the ones where we are investing or there are different product categories altogether?

Rahul Kanodia: So there are three or four products that we've invested heavily in. Trade finance is not one of those. TruBot is one product. TruCap Plus is one product. TruBI is another one. And finally, is the TruFare, which is for the metros. So these four have taken significant investment. The TruFare piece with the metros, we've gone live with Mumbai Metro, we've gone online with Kolkata Metro. So there, I expect that the investments will come down now. We don't have to invest so heavily because we've got some live projects going on.

TruBot and TruCap are the two major ones. Even TruBI, the investments are minimal and now it's more in our sales mode. So I'm not expecting too much on investment there. So certainly these two, which is TruBot and TruCap, which are the main investment products. There also we will plateau the investments because we left, of course, sustain investments to keep the product current. We'll continue with that. The larger investment will not be on sales and marketing, which is very critical for us.

Harshit Toshniwal: So when you look at these products, do we want to target the US customers itself? Or we want to target the Indian customers? That's the first question. And the second one is that both these segments of TruBot and TruCap are competitive. So we have a whole lot of US players. We have a whole lot of Indian startups who want to invest in the robotic process automation. So there are many small players who have their own software. How do we plan to differentiate on the product part?

One, and second part is the system integrator, the GSI channel, the only channel to sell the products. Because I think for large clients, taking to the clients will become very difficult. And secondly, is there an alternate channel, which we can use to target the small and medium enterprises? Say, for example, through a player like Redington, etc., to cater to that SME line specifics India. So wanted to get some sense on the customer set, the uniqueness of the product vis-à-vis the competition and the channel through which we want to approach?

Mitul Mehta: So this is Mitul here. So I take one-by-one question. So one about how do we differentiate? So RPA, as you said, yes, it's a fairly crowded market and almost all the categories, all the players are at par. However, there are many wells and vessels within the product, what is the entire total cost of ownership of managing super digital workforce much better value proposition. So TruBot fits into that piece. And it brings down the overall cost of ownership for RPA.

TruCap + is an IDP product. IDP is a new category overall, but it's getting a lot of traction. A lot of new players are entering the market. Where we differentiate is on our AI-based template free capture, which basically means that once you enter the document, it automatically identifies what document it is and captures the information selectively and puts it down to the downstream system. That substantially reduces manual workflow, manual workplace and also make a case for a high amount of state through processing.

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So which makes it very lucrative for enterprises to really bring down a lot of manual data entry if they are doing, especially for paper-based processes, which are very compliant heavy processes which requires typically a wet signature or it could be banking, insurance, financial services industries, healthcare, which are very compliant with the industries. So they are the other use cases for that. And last is you mentioned about?

Harshit Toshniwal: Yes. One is the customers we want to target, the large or mid-tier in US or in India? And the

third is on the channels through which we want to target?

Mitul Mehta: Right. So customers I just mentioned. So it's typically compliance-driven industry are a good target audience

ce. Finance and accounting as a horizontal process because that is also compliance driven, especially if you are a publicly listed company. So those are also very good target audience for these products. Now how we go to market is, across...

Harshit Toshniwal: Sorry to interrupt, but also in the category of customer, the reason I'm asking that for example, if I take the example of an ICICI Bank or JPMorgan, there would always be a player like Newgen or some other mid-tier large cap, largely as player, there in the system, doing the same thing, so, when exactly do we want to target when we say customer? And is it more US customers or the Indian?

Rahul Kanodia: So, one is that we are focusing more on the US and European customers than Indian customers because Indian customers had to be far more price sensitive, and therefore, the margins tend to be squeezed, point number one. Point number two is we are targeting the mid-tier mostly. The small companies are too small because the effort to sell is not commensurate to the scalability that you like. You will get two, three new logos, but they want to scale. So the mid-tier are the ones where we're targeting because the large ones are already crowded as you rightly said.

Having said that, I must say that some of the large companies that we've acquired recently, have come to us because they've already burned their fingers with some of our competitors. And therefore, I would not say that all the large companies are saturated. There is an opportunity for us, even in most large companies, and that's very important because you get some very large logos in your customer, which gives confidence to the rest of the market and the rest of the customers. So our real segment is the mid-tier, but we are getting a few large ones as well.

Harshit Toshniwal: And the last part in that channel, which you can throw some color as to do we have to get then tie up with system integrators, if that is the only viable channel to do this business? Not sure if we can, but if we can name some reference of the clients who we have tapped for these products?

It will be very helpful for reference.

Rahul Kanodia: Sure. So I'm not so sure I bit liberty to talk about customers. But if our channels are concerned, they are system-integrated type of companies. Some of them are large global systematical and some of them are mid-sized and some of them are smaller. So even with the entire spectrum.

The smaller ones tend to act as more resellers rather than value-added retailers, they're not large, but they're just resellers. The mid-tier tend to work as value-added retailers or SIs.

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Mitul Mehta: And a lot of these partners are also regional market leaders in their categories, so they may not be like global companies, really large global SIs. They're may be a regional SIs, but they have good footprint. They are partners who are focusing on a certain vertical in a certain regions, and we're doing very well in that space. So we are speaking to both. So we have those set of partners. And now we are also talking to large global SIs who are likes of the TCS and the Deloitte and the Cognizant of the world.

Moderator: As there are no further questions from the participants, I would now like to hand the floor back to the management for closing comments. Over to you, sir.

Rahul Kanodia: Thank you, everyone, for being on this call. I really appreciate the time you spent with us, and I look forward to engaging with you once again next quarter. If you have any other questions, please feel free to reach out to any one of us, and we'll be happy to address your questions. Thank you once again, and wish you a very happy New Year.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Datamatics Global Services Limited, that concludes this conference. Thank you

u for joining us, and you may now disconnect your lines.

Call: May 2023

DATAMATICS GLOBAL SERVICES LTD.

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To,
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BSE Scrip Code : 532528 Symbol : DATAMATICS

Sub.: Transcript for Q4FY23 Earnings Call

Dear Sir/Madam,

Pursuant to Regulation 30 and Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, we would like to inform you that the Company has hold a conference call with the Analysts / Investors on Tuesday, May 02, 2023 at 04:00 p.m. IST for management discussion on Audited Standalone and Consolidated Financial Results for the quarter and year ended March 31, 2023.

Please find attached transcript of the call on Audited Standalone and Consolidated Financial Results for the quarter and year ended March 31, 2023. The same can be accessed on the below mentioned link:

<https://www.datamatics.com/about-us/investor-relations/earnings-call>

Kindly take the above on your record.

Thanking you,

For Datamatics Global Services Limited

Divya Kumat
EVP, Chief Legal Officer and Company Secretary
(FCS: 4611)
Encl.: As above

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"Datamatics Global Services Limited
Q4 FY '23 Earnings Conference Call"
May 02, 2023

MANAGEMENT : MR. RAHUL KANODIA – VICE CHAIRMAN AND CHIEF
EXECUTIVE OFFICER – DATAMATICS GLOBAL
SERVICES LIMITED
MR. SANDEEP MANTRI – EXECUTIVE VICE PRESIDENT
AND CHIEF FINANCIAL OFFICER – DATAMATICS
GLOBAL SERVICES LIMITED
MR. MITUL MEHTA – EXECUTIVE VICE PRESIDENT
AND CHIEF MARKETING OFFICER – DATAMATICS
GLOBAL SERVICES LIMITED

MODERATOR : MR. PRATIK JAGTAP – E&Y INVESTOR RELATIONS

Datamatics Global Services Limited
May 02, 2023

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Moderator: Ladies and gentlemen, good day and welcome to Datamatics Global Services Limited Q4 FY'23 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*', then '0' on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Pratik Jagtap from E&Y Investor Relations. Thank you, and over to you, sir.

Pratik Jagtap: Thank you, Aman. Good afternoon to all participants in the call today. Welcome to the Q4 and Full Year FY'23 Earnings Call of Datamatics Global Services Limited. The results and presentation have been already mailed to you, and it is also available on the website of the Datamatics. In case anyone has not received a copy of this release and presentation, please do write to us, and we will be happy to send you all.

To take us through the results today and to answer your questions, we have with us the top management of the company, represented by Rahul Kanodia, Vice Chairman and CEO, Sandeep Mantri, EVP and Chief Financial Officer, and Mitul Mehta, EVP and Chief Marketing Officer. Rahul will start the call with a brief overview of the quarter on business, which will be then followed by Sandeep talking on financials. We will then open the floor for question-and-answer session.

I would like to remind you that anything that's said on this call, which gives any outlook for the future, or which can be construed as forward-looking statement, must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included, but not limited to what we have mentioned in the prospectus filed with SEBI and subsequent annual reports, which you can find on our website.

With that said, I now hand over the call to Rahul sir. Over to you, sir.

Rahul Kanodia: Thank you, Pratik, and a very warm welcome. And thank you, everyone, for joining our Q4 FY'23 Earnings Call. We are glad to have you on the call today. I'm extremely pleased with the overall performance of the business during the year. This was the first quarter in which we surpassed the INR 400 crore revenue mark. This revenue growth was broad-based, driven by all three segments of Digital Operations, Digital Experiences, and Digital Technologies. Despite the global economic situation, we managed to maintain a healthy margin throughout the year. We had a strong EBITDA growth of 25.5%, with an EBITDA margin of 16.6% for FY'23.

I will briefly touch upon each of our segments and their performance. The Digital Technologies, our EBIT margins saw considerable improvement from 2.2% to 9.1% in quarter 4 of FY'23, primarily due to renegotiated prices and tighter cost controls. Going forward, we are actively focusing on hyperscalers and deepening our client relationship as our growth strategy. Our deal pipeline for the next year remains strong. In Digital Operations, we witnessed strong growth on the top line, and our EBIT margins improved from 19.5% to 23% on a sequential basis.

Traditionally, our Q4 tends to be better than Q3 due to the cyclicity of some of our projects, which requires us to ramp up headcount in Q3 and execute in Q4.

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In Digital Experiences, though our top line saw a slight decline in Q4, EBIT margins continue to be strong at 28.2%. We have a healthy pipeline, and our business will grow on the back of new customer acquisition. Going forward, we anticipate that these operations will continue to generate strong margins in the same range as this year. We are seeing supply side challenges easing off, which would help us in optimizing our cost

s for the next financial year. In Q4 FY'23 , we signed a total contract of about \$20 million and added about 21 new customers. In line with the account growth, our capabilities and strengths demonstrated to our existing clients have resulted in several deal wins, which remain strong for the quarter. I'm happy to share that we have recommended a total dividend of 100%, which is INR 5 per share.

On a concluding note, I'd like to add that while there is some amount of slowdown across the globe due to macroeconomic factors, we do not see a material impact on the deal wins or existing client spend. We expect to see a sustained growth momentum for FY'23- FY'24, given a decent pipeline of opportunities. This makes us optimistic about our overall demand and confident of maintaining an overall revenue growth of 14% to 15% in FY'24.

With that, I will now hand over the call to our CFO, Sandeep Mantri. Sandeep, over to you.

Sandeep Mantri: Thank you, Rahul. Welcome, everyone, and thank you for joining us in Q4 and Full Year Earnings Call. Let me start with the financial performance for Q4 FY'23, and then I will take you through the FY'23 numbers. Our Q4 FY'23 revenue stood at INR 416.3 crore , which is up by 11.7% on a sequential basis and 32.9% on a Y-o-Y basis. As Rahul highlighted, this was a milestone quarter for us as we exceeded the revenue mark of INR 400 crore for the first time ever in a single quarter and was ably supported by all the three segments. Our consolidated bid for the quarter was at INR 84.1 crore , which is up by 42.7% on a sequential basis and 63.5% on a Y-o-Y basis.

Our cost optimization strategy, coupled with other initiatives, helped us maintain a double-digit healthy EBITDA margin of 20.2%. Our consolidated EBIT for the quarter was INR 75.3 crore , reflecting tremendous growth of 50% on a sequential basis and 78% on a Y-o-Y basis. EBIT margin for the quarter was at 18.1%. Our other income on a consolidated basis stood at INR 5.3 crore , which is a decline of 50% sequentially and 56% on a Y-o-Y basis. The primary reason for the decline is the exchange gains, which were not there in this quarter.

Our quarterly PAT after NCI was at INR 59.7 crore , which is a growth of 30.2% on a sequential basis and 30.9% on a Y-o-Y basis. Our tax rate for this quarter was at 27%, compared to 25.3% in the last quarter, which is Q3 FY'23. Our EPS for this quarter is at INR 10.13 per share, which is higher than the last year's end period, which was at INR 7.73 per share. When we see segment-wise revenue performance, Digital Operations revenue was at INR 187.3 crore , which is a growth of 22.6% on a sequential basis and 31.6% on a Y-o-Y basis. Digital Operations EBIT margin was at 23%. Its contribution to total revenue was 45%.

Our Digital Experience revenue was at INR 59.5 crore , which is a slight decline of 2.7% on a sequential basis, and there was a growth of 48.8% on a Y-o-Y basis. Its EBIT margin was at 28.2%, and its contribution to total revenue is 14%. Our Digital Technologies revenue was at INR 169.5 crore , which is a growth of 6.8% on a sequential basis and 29.4% on a Y-o-Y basis. Datamatics Global Services Limited

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EBIT margin is 2.9.1%. Although the margins were negative in the first two quarters of FY'23, this segment has performed very well, and we will see continuous improvement in the margin trajectory of the Digital Technologies segment. Its contribution to total revenue was 41%.

Now, coming to annual numbers, FY'23 financials, our full year revenue was at INR 1,459.2 crore , which is a growth of 21.5%. Our EBITDA was at INR 242.6 crore , which is again up by 25.5% as compared to last year. EBITDA margin stood at 16.6% on an annual basis, and we aspire to maintain a similar kind of margin next year as well. Our EBIT was INR 207.6 crore , which is a growth of 29.8 on a Y-o-Y basis, and EBIT margin

stood at 14.2%. Our other income

for the year was at INR 38.7 crore , which is a growth of 47% on a Y-o-Y basis, primarily due to exchange gains, exchange incentive, and better investment income.

Our PBT before the exceptional item was INR 243.4 crore , which is a growth of 32.7%. Our PAT after NCI was at INR 189 crore , which is a growth of 20% on a Y-o-Y basis. The tax rate for the year was at 23.9%, which is slightly higher than our earlier expectation of 23%. Our EPS for the full year was at INR 32.05 per share as compared to INR 26.71 per share in the last year.

Our EBIT margin was at 21.8%, which is a growth of 20% on a Y-o-Y basis. If you see our segment-wise revenue mix for FY'23, Digital Operations revenue was at INR 630.7 crore , which is up by 21.9%, and EBIT margin for the digital operation was at 22.2% on an annual basis.

Our Digital Experience revenue was at INR 219.3 crore , which is up by 38.8%, and margin was at 26.4%. Our Digital Technologies revenue was at INR 609.1 crore , up by 15.9%, and EBIT margin for the full year was at 1.6%. We continue to maintain a healthy balance sheet. As on March 31st, 2023, our total cash and investment net of debt, we are a zero-debt company, stood at INR 498.2 crore . Our DSO was at 67 days for the full year as compared to 74 days as on March 31st, 2022.

In terms of geographical footprint, US remains our largest geography with 54% of our business coming from here, followed by India at 27%, rest of the world including UK and Europe at 19%.

In terms of industry footprint, BFSI continues to remain the largest segment of the company, which include 24% of our revenue, followed by education and publishing, which is 22%, then technology and consulting at 19%, non-profit or non-government organization at 12%, manufacturing, infra and logistics at 12%, retail at 8% of our business, and other segments at 3% of our total revenue.

Our client concentration remains very healthy, with the top 5, 10 and 20 clients contributing to 24%, 37% and 52% respectively. The board has recommended a total dividend of INR 5, which includes INR 3.75 as final dividend and INR 1.25 as a special dividend per share for the year ended March 31st, 2023.

With this, I will now pass on the call to the operator to open the floor for questions. Thank you for your patience and continued interest in Datamatics. Thank you. Operator, please.

Moderator: Thank you very much. The first question is from the line of fellow Pallavi Deshpande from Sameeksha Capital. Please go ahead.

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Pallavi Deshpande: Congratulations on a very good quarter. Just wanted to understand on the Digital Technologies side, how it's driving the turnaround and what would be the strategy going ahead? Like, you mentioned about the margins also being sustained. Did we see some new client additions?

Rahul Kanodia: Yes, so we are looking at new client addition quite significantly. Our margins improved because of better negotiation, as I mentioned, and also tighter cost control. Going forward, we will be focusing on hyperscalers, like Microsoft Power Apps, AI, Cloud, Analytics, all of those areas. We're beginning to get some very good traction on that, plus deepening our client relationship. So, these will be the main drivers for growth. Our focus on the US continues, and that's also getting us some very good traction.

In terms of margin stability, I think the margins will be stable. We may have a dip this quarter because of the increments. Every company goes through the increment cycle around April. So, in this first quarter, we'll have a dip, but it'll normalize through the course of the year. So, I think we should have a fairly healthy margin going forward.

Pallavi Deshpande: We saw a lot of volatility in the quarters in FY'23 for this division, I think because of the large client drop-off also. The

stability we'll see is with respect to 4Q margins. Are we restricting to that what is the normalized?

Rahul Kanodia: No, the stability will be there. So, the client that shrunk has now stabilized. In fact, it's marginally grown. So, I don't see an issue on that front. Plus, we have got a very healthy pipeline with good margins coming in. As I said, we negotiated prices, so we should be okay. Having said that, of course, we see in the market a little bit of an issue with the BFSI segment, particularly in the US.

We think there'll be a little bit of softness in the BFSI, but our pipeline is healthy, and our pipeline is good. So, I'm not concerned from a Datamatics point of view, but yes, at the industry level, you may see a little bit of a slowdown, particularly in BFSI. But as far as Datamatics is concerned, I don't see that impacting us majorly.

Pallavi Deshpande: I just wanted to understand, in the RPA space, UiPath reported numbers, which showed that the burn rate is coming down for them. The losses were down. So, does that indicate to you, more sanity in the marketplace in the RPA space in particular?

Rahul Kanodia: Yes, you're right. So, there is some sanity coming in. Valuations have become more realistic than they used to be. I think these companies have stopped burning the way they were. They were unnecessarily burning. We are getting fairly good traction. Our deal sizes are increasing. The customer acquisition rate has gone up. So, I think we are well positioned.

As far as the UiPath is concerned, some of our, we are also getting some customers moving out of the UiPath and switching over to our TruBot product. But overall, we are getting some very good traction in that space. And the annual coverage for our products has been extremely good. The customer feedback also has been very, very healthy.

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Pallavi Deshpande: And in terms of the price negotiation, you mentioned what would be the kind of price uptake you've seen in there?

Rahul Kanodia: So, through the course of last year, at varying points, we negotiated with several customers, and we were able to raise prices anywhere from 5% to 30%. Of course, each customer, each project was very different. And that should go through for this year as well, because we have already

renegotiated. So last year, because it happened through the course of the year, you did not see the full impact. This year, you will see the full impact.

And of course, we continue to talk to some many of our customers for revised prices.

Fortunately, what's happening is that the Western world, America and Europe in particular, are going through huge inflation. So, their cost structures are going up. And because of that, they recognize that they may need to pay higher because their own cost structures are going up. So, we are finding it a little easier to negotiate prices with customers.

Pallavi Deshpande: And sir, lastly, on the acquisition side, if you could update us on how I'm looking at that now. How close are we to completing or doing a deal here?

Rahul Kanodia: We have initiated dialogue with several customers or prospects, target companies. We are looking at making acquisitions somewhere in the range of \$20 million to \$50 million this year.

We are not just going to buy a company for the sake of buying a company, so the due diligence has to be fairly thorough. And then it has to fit our strategy, it has to fit into our customer acquisition and deepening our expertise.

So, in that sense, we are looking for good fits. Fortunately, we are in dialogue with some companies, and I am very hopeful that in this financial year, we will be able to close some deals.

Pallavi Deshpande: And this will be in the Digital Technologies piece or?

Rahul Kanodia: That is correct.

Pallavi Deshpande: I'll come back in the queue for further questions. Thank

you so much.

Moderator: Thank you. The next question is in the line of Pratap Maliwal from Mount Intra Finance. Please go ahead.

Pratap Maliwal: Okay, hi, and thanks for taking my question. Congrats on a good set of numbers. So last quarter, we said that we've taken some price hikes, that we've renegotiated certain deals with customers, and that some of that effect will come in in the next quarter, that is Q4. So, I just wanted to ask, we've got strong growth of about 11.7%, what portion of this growth is due to the price hikes and what portion maybe was due to the ramp up of deals won during the year?

Rahul Kanodia: I don't have that break up. Some of it is not easy to get because some of it would be an increase in business from customers for whom we've hiked the price. So, it's a combination of both, volume increase as well as price hikes. Some of them are new customers, so I don't have a breakup, but that number may not be the easiest one to calculate.

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Pratap Maliwal: Okay, understood. Now, in the last quarter, we had given a guidance that we'll get about 15% growth for FY'24, and now despite such a strong quarter in Q4, we've kind of given a range of 14% to 15%. So just trying to understand, are we baking in some kind of conservatism in our outlook for FY'24, or has something changed material in the demand outlook? Could you just give us some clarity on that?

Rahul Kanodia: Yes, so there's no impact on the demand outlook that remains equally robust, but one is seeing some softness in the US BFSI sector, and one is seeing some headwinds, particularly out of US and Europe. Many other companies are predicting slower growth. So, we think that there could be some softness. However, as far as Datamatics is concerned, we're still seeing a very healthy pipeline, so I don't see that as an issue. But we are being a bit cautious, because you don't know which way the world will go in the next 12 months, because of the economic challenges that they're having, inflation and recession and things like that.

Pratap Maliwal: And you just called out that the deal win for the quarter was about \$20 million. Did I hear that correctly?

Rahul Kanodia: That's correct.

Pratap Maliwal: And this is in range with our normal range, or what is the normal range of deals that we usually get?

Rahul Kanodia: Yes, it typically ranges about \$15 odd million, \$15-\$17 million, so \$20 million is in range with our regular things.

Pratap Maliwal: And we expect this to carry on even in FY'24?

Rahul Kanodia: Yes, we expect, as of today, where we stand, we expect that trend to continue.

Pratap Maliwal: Okay, sir, thank you. Thanks for taking my question, and congrats on a good set of numbers.

Rahul Kanodia: Thank you.

Pratap Maliwal: Yes.

Moderator: Thank you. The next question is in the line of Akshat Mehta from Sameeksha Capital. Please go ahead.

Akshat Mehta: Hi, congratulations on a good quarter, and thank you for the opportunity. I have a couple of questions here. You said that this quarter we will be taking some hikes in terms of employee costs. So, what is the kind of hike that you are planning, if you can share some light on that?

Rahul Kanodia: Yes, the increments would overall range, approximately averaging about 10%, 10.5%, but

obviously it's not the same for everyone. Some high performers will be getting higher, some low performers will be lower. There's a churn. So yes, overall average approximately 10%, 10.5%.

Akshat Mehta: Okay.

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Rahul Kanodia: So, you will see an impact in Q1, because obviously the increments come in now, but it will normalize over the course of the year.

Akshat Mehta: Okay. Secondly, out of which area, out of the three segments that you have, operations, experience, and technologies, and ob

viously there are different solutions that you brought in

that. Which areas are we seeing, the most growth coming out of at the moment?

Rahul Kanodia: Right now, we're getting a fairly even growth across the board. If you see our growth was highest in the digital experiences last year, but this year we're looking at a fairly balanced growth across all these three segments.

Akshat Mehta: Okay, thank you. I'll come back.

Rahul Kanodia: Thank you.

Moderator: Thank you. The next question is from the line of Darshan Jhaveri from Crown Capital. Please go ahead.

Darshan Jhaveri: Hello, good evening, sir, and thank you so much for taking my question. Congratulations on a great set of results. So, I just wanted to ask, we are planning for a 14%, 15% growth, but our margins, we are probably looking at the same range that we did this year, but will we also have some kind of operating leverage that could drive our margins even higher?

Rahul Kanodia: Yes, we are looking at some of those operating benefits and leverage, and we should be able to improve margins a little bit for sure. I think on an overall basis, we could be looking at plus or minus about 1%, so that could happen as we go through the course of the year. Through operational efficiencies, price negotiation, tightening the belt, so there will be a multitude of factors that will contribute to it, but you're right. So, there should be some improvement in margins as well.

Darshan Jhaveri: Correct, sir, and also our inorganic acquisition that we are looking at, so that will also give us a higher revenue than our 14%, 15%. So, our 14%, 15% would be our organic revenue, and whatever we get from our new acquisition would be another. Correct, sir? Is my understanding correct?

Rahul Kanodia: Yes, that is correct.

Darshan Jhaveri: Correct. Okay, sir. So around what kind of range are we looking at the acquisition in terms of which segment or when could we close, or could you just give some more details about the acquisition that we are planning?

Rahul Kanodia: So, we are looking at acquisitions in the hyperscaler areas, which I mentioned earlier, around Microsoft Power Apps, Salesforce, Cloud, those kinds of technology areas. We are looking at companies in the range of \$20 million to \$50 million. It could be one acquisition, or it could be two or three smaller ones. That is unclear as we go through the process of discussing with target companies and negotiating with them. So, it's not quite clear which way to go, but yes, it's somewhere in that range.

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Darshan Jhaveri: Okay, sir. And any sort of timeline, like we could see it in the second half of the year? Nothing concrete, but just a small range that could help.

Rahul Kanodia: That is correct. Nothing so concrete, therefore I don't expect anything significant in this quarter or the first quarter, but depending on how the negotiations mature, there could be something in Q2 or Q3.

Darshan Jhaveri: Okay, sir. And sir, any other risks that you could see, that we could face, or we are on a stable pipeline of growth?

Rahul Kanodia: No, I think we are on a fairly stable pipeline. I don't, at this point, see any risks.

Darshan Jhaveri: Okay. Thank you so much for answering my question. All the best, sir. Looking forward to great numbers

Rahul Kanodia: Thank you.

Moderator: Thank you. The next question is on the line of Pranav Mashruwala from Dolat Capital. Please go ahead.

Pranav Mashruwala: I just wanted to ask about your India plans. So, India plans, India's about 27% of your revenue. And how do you see growth panning out for India and contributing to our FY'24 guidance?

Rahul Kanodia: So, India has traditionally grown very well for us. However, India tends to be a little lower margin. It's a very price-sensitive market. So, our focus is now increasingly focused on the US

and Europe. So that's really very good. So, in that sense, in a proportionate ratio, India might slow down. Although India in itself is growing and will grow very healthy, but we will put more effort on the US and Europe. So therefore, proportionately, India will be a little lower.

Pranav Mashruwala: And BFS I segment, any particular specific pockets of areas where you see the slowdown to be more skewed?

Rahul Kanodia: Not in particular. We're not seeing, we see a fairly healthy pipeline. But yes, many of our customers who are in that segment are a little nervous right now. So, it's possible that some of them start tightening the purse strings. But right now, we don't see that happening. On the ground, in terms of my current deal pipeline and the flow, I don't see that. But given the situation in the US, it's possible that some of them could slow down a little bit. So, we are being cautious, but we are still optimistic because we don't see an impact on our pipeline.

Pranav Mashruwala: Finally, on the education learning segment, so how do you see the outlook?

Rahul Kanodia: So, the bulk of our business in that segment is mostly in the traditional education space, and not much in the Edtech. The Edtech has been impacted quite significantly. So, I don't see an impact on Datamatics because the larger part of our business is in the traditional education space.

Pranav Mashruwala: Thank you.

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Rahul Kanodia: Thank you.

Moderator: Thank you. Our next question is from the line of Arpit Shah from Stallion Asset. Please go ahead.

Arpit Shah: Just wanted to understand if there were any one-offs in revenues this quarter, at least in Digital Operation, because you had a very high sequential growth of around 20% or so. Just wanted to understand if there was any one-off in Digital Operations?

Rahul Kanodia: No, no. There was no one-off deal. We do tend to have a little higher quarter in Q4, typically compared to Q3. That's been a traditional cycle that you see in Datamatics. So, I think it's that, and this quarter probably is stronger, but yes, there's no one-off deal that has caused a spike.

Arpit Shah: Got it. Just wanted to understand, are we seeing any kind of J-curve in Digital Technologies margins? Because we've probably moved from minus 2% to 9%. And are you seeing double-digit kind of margin in this business, or how does it look like going ahead?

Rahul Kanodia: So, if you're asking whether the 9% will go into double digits of maybe 12%, 13%, 14%, 15%, so that will happen as we improve our operations. And as price renegotiation has a full impact, so it should improve. But I don't have a figure to exactly where it'll end up for the year, but yes, it should improve in principle. Obviously, a quarter to quarter, there will be some fluctuation, as I mentioned earlier. Q1, it might go down a little bit because of the increments, but then it'll normalize through the course of the year. So, perceptually, it should improve a couple of percentage points.

Arpit Shah: Got it. And does the product business sit under Digital Technologies, products business?

Rahul Kanodia: That is correct, it does.

Arpit Shah: Okay, and even the AFC contracts, which you all have signed a couple of quarters back, that sits in Digital Technologies? That is also correct. So, is that ramping up very fast for you? Is that the reason the margin is 9%?

Rahul Kanodia: Ramping up, well, we've got several prospects that we are talking to. But these are very tender-driven projects, and they're semi-government in nature, so they take time to materialize. They're chunky deals, so when they materialize, suddenly you get a \$20 million, \$30 million, \$40 million deal. But yes, they do sit under Digital Technologies, and we are in active dialogue with several prospects, but nothing will close in the next, perhaps towards

the end of this quarter, maybe early

next quarter, we might have something happening.

Arpit Shah: Got it. Even in the third quarter of FY'22, we had seen a margin of around 8% on Digital Technologies. And after four or five quarters, we've moved again to 9%. So, do you see any risk that this number would move back to, let's say, lower single digits?

Rahul Kanodia: No, I don't see that at this point in time. There's a slight. We had a slight, largely because of our large customer had chosen a multi-vendor strategy, and therefore a large chunk had moved out, which of course, and also what happened last year is that the whole IT industry went through a

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crazy phase of huge salary hikes. So, there is a combination of salary hikes plus the squeezing from some customers. What is the result? I don't expect that to happen now. We're already seeing the supply side easing off. So, I think that we should be okay.

Arpit Shah: Got it. And we saw about 11% to 12% of sequential revenue growth from Q4 to Q3. So why are we waiting for 14% to 15% kind of growth rates? Is it just trying to be conservative, or do you have any ramp downs or any different kind of revenue adjustments that you have to make? Or what is it? Why is this 14% to 15% revenue?

Rahul Kanodia: No, we don't have any ramp downs. So, we are just being a little cautious given the situation in the US is a little uncertain and volatile, particularly the BFSI segment. So, we are being cautious. As far as our deal pipeline is concerned, we don't see an impact, but we don't know which way the wind will blow in the US.

Arpit Shah: And the 20% margin which we have done this quarter, would that continue, or will it come back to 16% to 17% kind of number which we did for FY'23?

Rahul Kanodia: No, it'll come back. The 20% quarter is not going to sustain at that level. It'll come down a little bit.

Sandeep Mantri: So, on an annual basis, we had 16.6%. And I think for the next year also, we should be in the same range between 16% to 17.5%.

Arpit Shah: Okay. Thank you so much.

Moderator: The next question is a follow-up question from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.

Pallavi Deshpande: On the Digital technologies side, if you could just share total client additions were 21 for the organization. So how many would have been on the Digital Technologies side?

Rahul Kanodia: In the quarter? Okay, I don't have that number for you.

Pallavi Deshpande: For the year.

Rahul Kanodia: For the year?

Pallavi Deshpande: Okay, yes, '21 was for the quarter, right? Either for the quarter or the year?

Rahul Kanodia: So, we are running at about, we had 79 for the year. So roughly 20 per quarter. A good chunk of them are coming from the Digital Technologies side. But I don't have that breakup handy with me right now. Yes. But suffice it to say, it would be about 40% to 50%.

Pallavi Deshpande: What would be the share of implementation work that you do on the Digital Technologies side?

Rahul Kanodia: I don't have that breakup either. How much is implementation versus software support, maintenance, development? We don't have that. We don't do that.

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Pallavi Deshpande: On the educational learning side, or would that be lower margin than the overall margin side?

Rahul Kanodia: No. That's fairly healthy margins.

Pallavi Deshpande: What would be the employee hiring plans for FY'24?

Rahul Kanodia: So increasingly, we are going more on platforms and technology rather than headcount. So, we'll see a disproportionate increase in revenue versus employee headcount. But this year, we would have added approximately 1,200 employees at net increase. Next year, I think we should be in the range of about, depending on the growth rate, of course, at

about maybe 1,300, 1,400 employees.

Pallavi Deshpande: Now, assuming a growth rate of 15% on the revenues, that would be 1,400?

Rahul Kanodia: That is correct. But our employee headcount may not increase in line with the revenue increase.

Pallavi Deshpande: The automatic fare of this system, which you have, and what would be the share of that in the India revenue? And would it be a major chunk of the India revenue?

Rahul Kanodia: So, our India revenue is about, in A FC, it's about a fourth, about a fourth of India. 25% of India comes from the A FC.

Pallavi Deshpande: I just didn't get that part, so I think you mentioned that lumpy and you expect all these there in the second and third quarter, is that right?

Rahul Kanodia: So, these projects tend to be lumpy and chunky because when they come, then it's a large deal, otherwise it doesn't go for a while. So, it's not that every month or two months you're signing new deals. And therefore, the next deal, and because it's very tender-driven, it depends on certain guidelines and timelines given by the government. And therefore, it's very hard to predict. But yes, I do expect sometime around the end of Q1 or early Q2, we should have potentially something maturing. But of course, that depends also whether we win the deal or not. So, yes, that's when we expect to hopefully sign the next deal.

Pallavi Deshpande: In terms of businesses, like we're hearing a lot about the low-code, no-code. How do you see that driving growth in the new areas?

Rahul Kanodia: So, we are implementing it. For us, it's going quite well. We are implementing several projects using low-code, no-code. So therefore, we're generating more and more business on those

platforms. And the margins are also fairly healthy. So, we're quite optimistic about pushing the low-code, no-code solutions into the market. We are beginning to see some internal productivity benefit gains as well. But they're still in a little bit of a pilot phase, internally.

Pallavi Deshpande: In terms of the other business was this application modernization. How is that progressing?

Rahul Kanodia: So that's done well, and low-code, no-code is part of that application modernization.

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Pallavi Deshpande: Lastly on the investments in the product space. I think you mentioned in the last call that we're nearly done with that. So, it's only on the marketing side that you need to ramp up that. What would be the kind of spend, and can that also be a drain on margins in the near term?

Rahul Kanodia: I think I mentioned in the previous quarter calls that we are spending about INR 40 crore to INR 50 crore in that spend. We will sustain that for now. And as we spend more on the marketing, and the growth will happen. So, the growth and the marketing increase will offset each other. But we will sustain the spend at about INR 40 crore to INR 50 crore.

Pallavi Deshpande: Right, okay, thank you so much.

Rahul Kanodia: Thank you.

Moderator: Thank you. The next question is on the line of Keshav from RakSan Investors. Please go ahead.

Keshav: Hi, good evening, sir. So just one clarity on the margin guidance. So, when we are expecting our Digital Technologies margins to hold above the current, and eventually move to a double-digit number, why are we guiding for sub -17 margins on an annual basis?

Rahul Kanodia: So, we're just being cautious because we really have some concerns on how the US market may pan out. As I mentioned earlier, our deal flow is equally robust, so we don't see that as far as Datamatics are concerned. But if the headwinds in the industry grow stronger, then we will not be able to push that back. So, we're being more cautious in that. So, however, we did mention that we do expect some improvement in the margin. So, I am hoping that we will see improvement, but it's very

difficult to calculate that figure right now.

Keshav: Right, thanks, sir. That's all from me.

Moderator: Thank you. The next question is on the line of Arpit Shah from Stallion Asset. Please go ahead.

Arpit Shah: Just wanted to understand the capital allocation, the kind of acquisition you're looking out for. So, these would be mostly on the business processing side, or they would be more on the product side? How would that look like?

Rahul Kanodia: No, we are looking at acquiring in the product space. We have our own IP, and that's what we are going to push in the market. As I mentioned earlier, we're going to double down on that because we're getting very good traction from customers as well as the analysts. The acquisition will be more in the hyperscaler space, which is around cloud, power apps, low-code, no-code, Salesforce, those kinds of things. It's all on the services side.

Arpit Shah: Are you looking to add numbers through acquisition, or are you trying to add capabilities through acquisition?

Rahul Kanodia: We are augmenting our capability and competence. And of course, there will be a natural augmentation of some customers as well. It's more competent than customer based.

Arpit Shah: Good, and what are the typical, let's say, cap rate you're targeting, or the kind of paybacks you're targeting from acquisitions?

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Rahul Kanodia: So, it depends, deal-to-deal. There's no formula, but we traditionally look at about five to eight times earnings, and if it goes well, then we can recover cash in less than five years. If it doesn't go well, then you would recover over 10 years. But five to eight is roughly the range we typically look at. But then, of course, it depends, deal to deal, and it depends on what area of technology the target company is in, and how much they have in terms of their own IP and platform versus pure services. So that would vary, but roughly, at a high level, that's the range we look at.

Arpit Shah: Good, good. Thank you so much.

Moderator: Thank you. The next question is from the line of Shreya Biwalkar, as an investor. Please go ahead.

Shreya Biwalkar: First of all, congratulations to Rahul sir and the Datamatics team for the wonderful result. My question is something related to everybody's talking nowadays, and it is about nothing but ChatGPT. So, I just wanted to know what is your take on ChatGPT, and how are you going to leverage it at Datamatics?

Rahul Kanodia: So, we are piloting about 20 odd projects using OpenAI and other AI technologies, which includes GPT and LLM. ChatGPT is, of course, the consumer version of it. That's not something

that we are using at the enterprise level, because a lot of that information then goes to Microsoft. But if you look at just GPT or LLM, there are several projects that we are currently implementing as a pilot level. Also testing out the efficacy of it from a legal perspective and compliance. So those things are being evaluated as we decide how do we implement this technology for our customers.

Shreya Bilwalkar : Okay. So that's it from my side. Thank you so much. And once again, congratulations.

Rahul Kanodia: Thank you.

Moderator: Thank you. The next question is in the line of Jhalk Manoja from Swan Investments. Please go ahead.

Jhalk Manoja: Thanks for the opportunity, and congrats on the good set of numbers. So, two questions quickly. My first question was, is it that the margins in particular in Digital Technologies business are varying? So, what is it? Is it an investment mode are we or how is it? Could you give some color to that? And secondly, I wanted to understand what would be the target margins do we see in this business going forward or in a good case scenario? Thanks.

Rahul Kanodia: Yes. So, the margins were varying last year because as we had mentioned that we, one of our larger

customers decided to have a multi-vendor strategy. So, there was a squeeze on the revenues from there. It was a very healthy margin customer. Plus, at the same time, you had the salary hikes that were going in the IT industry which was absolutely crazy. The supply side challenges that we had at the industry level. So that really squeezed the margins.

Over the course of the last one or two quarters, we've improved that steadily. I do expect that to improve going forward as well. We clocked this last quarter at about a 9% margin. And that is Datamatics Global Services Limited

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of course after all the investments that we are making in our products and our platforms and things like that. Given that our products and platforms should remain steady, and the revenue should grow, I do expect some improvement on margins there as well.

Plus, one or two customers that we talked about, larger ones have also stabilized. So, I think we should see an improvement in the margin. But having said that, we are equally being cautious, or conservative given some softness in the market in the US and Europe. And therefore, we are projecting a conservative number. Having said that, it's very hard to predict exactly where it'll be next year. But I do think that we will be significantly better than the last financial year.

Jhalk Manoja: Got it. Not just next year, but otherwise what is in a normal scenario as a market?

Rahul Kanodia: Normal scenario, it should get to the high teens for sure. And that is our agenda, that is our goal. Because in the next two to three years, we should certainly get there.

Jhalk Manoja : Got it. Fine, thanks a lot for the opportunity and best of luck. Thank you.

Moderator: Thank you. The next question is from the line of Dhruv Jhaveri from Seven Island PMS. Please go ahead.

Dhruv Jhaveri: Since you have high exposure to US markets, what is the forex gain in this year or in this quarter?

Sandeep Mantri: Forex gain in this quarter will be, so our other income is about INR 36 crore, INR 37 crore, which includes forex gain as well.

Dhruv Jhaveri: Can you give the exact number?

Rahul Kanodia: If you're talking about revenue, then it is about 4.5% because of forex. So, I think our constant currency growth is about 17.5%. And we declared 21.5 percent. So, between 17.5% and 21.5% is the currency impact.

Dhruv Jhaveri : Okay. Thank you, sir.

Rahul Kanodia: 4%, that's 4%.

Moderator: Thank you. The next question is from the line of Harshit Toshniwal from Bottoms Up Research. Please go ahead.

Harshit Toshniwal: Firstly, congratulations on a great set of numbers. It was truly out of the park. Two questions. So, on the technologies side, if you can give some breakup of what is the core product revenue and what is the services revenue within that? And the reason I'm asking is because you think that a large part of the margin improvement is because of our tie-up with hyperscalers. So, when you say that, you mean that our products like Tru Bot, Tru AI, etcetera, all of those are now there on hyperscalers platform and we are getting more traction and business through that distribution channel. Is that the reason of margin improvement to a large extent? And the reason why I'm trying to separate is that because within the enterprise, this IT services business would be where we would want to do the acquisition. So, some color on what has been the trajectory on that particular part within technologies?

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Rahul Kanodia: Yes, no, so we traditionally don't break up the products and the services business.

Harshit Toshniwal : Broad percentage mix.

Rahul Kanodia: The hyperscalers are all in the services space. The hyperscalers is not our product. Our product business is quietly different. Although it falls technically into the same hyper

scaler area, but the

ones that we are talking about are third -party platforms like Microsoft and Salesforce and Cloud and things like that. So that is where we are going to be focusing on. We do have practice in that already today, but our focus is going to increase in the next year.

Harshit Toshniwal: If I can, sorry to ask this, because I just wanted to understand that when we say that hyperscalers, then do we mean that our product is there or we work for Microsoft, Salesforce, etcetera, or do we work for implementation of Salesforce at different clients? I'm just trying to understand that our profile, or do we work directly for these hyperscalers?

Rahul Kanodia: The third one, where we implement these platforms at our client locations.

Harshit Toshniwal: Okay, that's typical IT service implementation business?

Rahul Kanodia: Yes, implementation, yes. And building solutions around it, on top of it.

Harshit Toshniwal: Okay, so the margin improvement has come because of the growth in that particular business?

Rahul Kanodia: Also, the other traditional IT business, both.

Harshit Toshniwal: And the other part which I'm asking that the investments in the product, that is something which we are doing in our own in-house built products of Tru Cap, etcetera, the three to four ones which we are having. Now that is something which is yet to yield revenue and there is some scope of margin improvement through that. If you can help us understand that particular segment, is that profitable right now in itself? And secondly, who is the distributor for all those products for us?

Rahul Kanodia: Yes, so we have multiple distributors, dealers, resellers in the US and in India. That product is not profitable. We are still in the investment mode. So, we are investing, as I mentioned earlier, we're investing about INR 40 crore to INR 50 crore a year and we sustain that level of investment. But it's beginning to show some very good traction. We're getting many, deals and little, larger size deals. So, we're still very bullish because that's an investment. You see the product business typically gives you returns for five to seven years, roughly. We are probably still in year three or year four. So, we still have the next two to three years to go from an investment strategy point of view to see the returns that we are expecting.

Harshit Toshniwal: Fairly, and that is actually positive which means that our services margin is actually much more than 9%. It is just that because of the product being there, it appears to be lower, but otherwise the real margins are much better than the ones which are reflected?

Rahul Kanodia: You're right.

Harshit Toshniwal: Okay, and one last question, if I may ask on the acquisition part, which you mentioned, that when you are saying that you are looking out for acquisitions, so does it mean some smaller

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players who are doing implementation of Salesforce, etcetera, we are looking for some kind of players who have some revenue, obviously, in that segment, or anything specifically? Because the reason I asked was that when you say that 8 to 10 times earnings, I'm just wondering that the kind of assets which will be available at those kinds of valuations. So some more clarity on how exactly or what stage we are at? Should we expect something over the next six, seven months or over the coming year? Or do you think that it is still that we are not yet very close to where exactly we can find those kinds of opportunities?

Rahul Kanodia: No, we are in dialogue with some companies. So, finding opportunities is not a major challenge. I think the bigger challenge is making sure that the company is the right fit, and the financials are appropriate and things like that. So, we did look at some companies, we dropped them at the last minute because some reason we were not

comfortable with that. So, companies are available, valuations are fair. Right now, as the market's coming down, we are getting better value from an acquisition point of view. And we will make sure that we acquire a good company, for sure.

Harshit Toshniwal: The type would be more IT, the service implementation ones?

Rahul Kanodia: Yes, these are the service implementation ones, you're right. And I expect that sometime in the this financial year, we should be able to close a deal or two.

Harshit Toshniwal: Understood, . I think that's all. Just hope that this kind of result keeps on continuing. But thanks a lot.

Rahul Kanodia: Thank you.

Moderator: Thank you. We have a follow-up question from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.

Pallavi Deshpande: We just wanted to understand the product side of the business. So which geographies would we

be targeting? And you also mentioned it's showing good traction. So currently, where are they showing the traction? Which market?

Rahul Kanodia: So, the primary geography is the United States. That's by far the dominant market. There is some element in Europe as well. Since we are based in India, we have a footprint in India as well. Although our focus is more in the US and India. So, if you look at the largest patch, it would be America and India. America would be number one, then followed by India.

Pallavi Deshpande: Right. That's it from us.

Rahul Kanodia: Thank you.

Moderator: Thank you. Ladies and gentlemen, that would be our last question for today. I now hand the conference over to the management for the closing comments. Thank you, and over to you.

Rahul Kanodia: Thank you, everyone, for participating on this call, and thank you for your confidence in Datamatics. We hope that next year remains robust, and I'm sure together we will enjoy the fruits of it. Thank you again for being on the call and look forward to talking to you next quarter.

Thank you very much. Thank you.

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Moderator: Thank you. Ladies and gentlemen, on behalf of Datamatics Global Services Limited, that concludes this conference. Thank you all for joining us and you may now disconnect your lines. Thank you.

Call: Aug 2023

DATAMATICS GLOBAL SERVICES LTD.

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To,
Corporate Communication Department
BSE Limited
Phiroze Jeejeeboy Towers,
Dalal street, Mumbai - 400 001. Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051.
BSE Scrip Code : 532528 Symbol : DATAMATICS

Sub.: Transcript for Q1FY24 Earnings Call

Dear Sir/Madam,

Pursuant to Regulation 30 and Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, we would like to inform you that the Company has held a conference call with the Analysts / Investors on Thurs day, August 10, 2023 at 05:30 p.m. IST for management discussion on unaudited Financial Results for the quarter ended June 30, 2023 .

Please find attached transcript of the call on unaudited Financial Results for the quarter ended June 30, 2023 . The same can be accessed on the below mentioned link:

<https://www.datamatics.com/about-us/investor-relations/earnings-call>

Kindly take the above on your record.

Thanking you,

For Datamatic s Global Services Limited

Divya Kumat
EVP, Chief Legal Officer and Company Secretary
(FCS: 4611)
Encl.: As above

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"Datamatics G lobal Services Limited
Q1 FY '24 Earnings Conference Call"

August 10, 2023

MANAGEMENT : MR. RAHUL KANODIA – VICE CHAIRMAN AND CHIEF
EXECUTIVE OFFICER – DATAMATICS GLOBAL
SERVICES LIMITED
MR. SANDEEP MANTRI – EXECUTIVE VICE PRESIDENT
AND CHIEF FINANCIAL OFFICER – DATAMATICS
GLOBAL SERVICES LIMITED
MR. MITUL MEHTA – EXECUTIVE VICE PRESIDENT
AND CHIEF MARKETING OFFICER – DATAMATICS
GLOBAL SERVICES LIMITED

MODERATOR : MR. PRATIK JAGTAP – E&Y INVESTOR RELATIONS

Datamatics Global Services Limited
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Moderator : Ladies and gentlemen good day and welcome to Datamatics Global Services Limited Q1 FY '24 Earnings Conference Call . As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Pratik Jagtap from E&Y IR . Thank you and over to you Pratik .

Pratik Jagtap: Thank you Carol . Good evening to all participants in the call today. Welcome to the Q 1 FY'24 Earnings Call of Datamatics Global Services Limited. The "Results and Presentation " have been already mailed to you and it is also available on the website of the Datamatics. In case anyone has not received a copy of press release and presentation, please do write to us and we will be happy to send you all .

To take us through the results today and to answer your questions , we have with us top management of the company , represented by Rahul Kanodia – Vice Chairman and CEO, Sandeep Man tri – EVP and Chief Financial Officer and Mitul Mehta – EVP and Chief Marketing Officer . Rahul will start the call with brief overview of the quarter on business which will be then followed by Sandeep talking on financials. We will then open the floor for question -and- answer session.

I would like to remind you that anything that said on this call which gives any outlook for the future of which can be construed as forward -looking statement must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included but not limited to what we have mentioned in the prospectus filed with SEBI and subsequent annual reports which you can find on our website.

With that said, I now hand over the call to Ra hul sir. Over to you, sir.

Rahul Kanodia : Thank you Pra tik and a very warm welcome and thank you everyone for joining our Quarter 1 FY'24 earnings call. I will briefly discuss some of the quart erly performance highlights while Sandeep will provide an update on the financials.

I'm happy with the overall performance of the business. We have started the year on a strong note with respect to both revenue and profitability. Our revenue stood at INR 391.1 crore which is a growth of 19.6% on a YoY basis . Our EBIT stood at INR 58.6 crore compared to INR 39.3 crore in the same period last year. This translates to a growth of 49.2% in our EBIT which is a very healthy growth . Although our revenues declined by 6.1% and margins by 3.1% on a sequential quarter basis, this is not a concern because Quarter 4 always tends to be a strong quarter for us due to the cyclical nature of some of our projects and Quarter 1 the salary hike s kick in.

In Q1 of FY'24 we added 14 customers , most of them are in the US and European markets. On a Y-o-Y, our active pipeline has increased by 58% and 35% on a Q-o-Q basis. Additionally, we are also working on a few AFC opportunities which we believe we are in a good position to win.

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Our strategy of focusing on hyperscalers is progressing well. We have deepened our relationship with Microsoft , Salesforce and AWS and assigned a new relationship with Crowd bots, a Company focused on low -code and no-code development. These have started generating good opportunities for us.

Artificial intelligence is transforming how we live and conduct our business. We have been investing in our AI capabilities, and Generative AI has only redoubled those efforts. We are

constantly incorporating AI in to our Technologies, Operations and Experiences business and as well as the product business. We are investing in est

ablishing a robust AI center of excellence.

The Co E aims to enable enterprises to build and implement their professional enterprise -wide AI roadmap. The Co E has built multiple AI accelerators in automation, software coding, customer experience and employee experience to speed up AI implementation. We're also incorporating artificial intelligence in our operations across all three lines of business. In Digital Technologies, the team is implementing AI enabled copilot development to improve productivity across all stages of software development lifecycle. We have also enhanced our product TruBot and TruCap with generative AI. This will deliver enhanced benefits of automation and productivity too for our customers .

In Digital Operations , Datamatics has implemented AI in the enterprise document management domain. Today, Datamatics is processing 15 million annual report pages for global credit rating agencies and analysis firms using AI powered document processing . We see the opportunities increase productivity across Digital Operations business. In the Digital Experience sales area, the team has built an AI enabled customer service chatbot for L 1 and L 2 support , delivering a high level of omnichannel customer experience. These initiatives reinforce a commitment to the customers to go deep in digital in this transformation journey.

In conclusion, all the three segments are on a strong path and will continue to perform in the coming quarters. Due to the macroeconomic factors, we see some slowness in decision making on the customer side and we had factored it in when we had given a guidance of about 14% to 15% growth for this current financial year. Given the strong pipeline that we have, we are confident that as the year progresses, we will maintain our growth momentum and the margins would be stable. With that, I will now hand over our call to our CFO, Sandeep Mantri. Sandeep, over to you.

Sandeep Mantri: Thank you, Rahul. Welcome everyone and thank you for joining us in Q1 FY'24 earning call.

Our Quarter 1 FY'24 revenue, as explained by Rahul, stood at INR 391.1 crore, which is a growth of 19.6% on a Y -o-Y basis and a decline by 6.1% on a sequential basis. Our consolidated EBITDA for this quarter was at INR 67.8 crore, which is up 41.8% on a Y -o-Y basis. Our EBITDA margin for the quarter is at 17.3% as compared to 14.6% in the last year same quarter . On a sequential basis however, there was a slight decline from 20.2 % to 17.3 %. Please note that full year EBITDA for FY'23 was 16.6% and in Q1 FY'24 we are at 17.3% . So, we are in line with our expectation. Our consolidated EBIT for the quarter was at INR 58.6 crore, which is up 49.2% on a Y -o-Y basis. EBIT margin was at 15% as compared to 12% in the last year same Datamatics Global Services Limited
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quarter. On a sequential basis, EBIT margin dropped from 18.1% to 15% primarily due to salary increments and investment in products and development.

Our other income on a consolidated basis stood at INR 9.1 crore, which is primarily grown because of exchange gain in loss. Our quarterly PAT after NCI was at INR 55.1 crore, which is a decline of 7.8% on a sequential basis and a growth of 26.9% on a Y -o-Y basis. Our tax rate for this quarter was in line with our expectation at 18.7%. If we talk about EPS, our EPS for the quarter was at INR 9.34 per share, which is higher than last year's same period which was at INR 7.36 per share.

Talking about segment wise revenue performance :

Our Digital Operations revenue was at INR 167 crore, which is a growth of 13.2% on a Y -o-Y basis. Digital Operations EBIT margin was at 20.1% and its contribution to total revenue was 43%. Digital Experience revenue was at INR 66.2 crore, a growth of 43% on Y -o-Y basis, EBIT margin was at 23% and contribution to total revenue was 17%. Digital Technologies revenue was at INR 157.9 crore, a growth

of 18.6% on a Y -o-Y basis. Digital Technologies EBIT margin was at 6.2% . Last year in the same period if you remember, we were at negative 4.3%. So , we have a marked improvement in the performance of Digital Technologies business. The contribution of Technologies business to total revenue was 40%. We continue to maintain a healthy balance sheet. As of June 30th, 2023, our total cash and investments stood at INR 555 crore compared to INR 498 crore in the last quarter. So , we have measured almost like INR 57 crore in our cash and investment. Our DSO was at 60 days as of June '23 as compared to 67 days in the last quarter, which is March '23.

In terms of geographical footprint :

US remains our largest geography with 55% contribution coming from US followed by India at 24%. The rest of the world including UK and Europe was at 21%. In terms of industry footprint, BFSI continued to remain the largest segment for us, which include 25% of our revenue followed by education, publishing, & technology, and consulting both segments stood at 20%. Then

manufacturing, in fra and logistics was at 12%. Nonprofit or non-government organization was at 10%. Retail contributed 9% of our business and other segments are 4% of our total revenue. If we talk about client concentration ; it is very healthy , with top 5 -10 and 20 client s contributing to 25 %, 38% and 52% respectively. So , these are the financi al updates. With this I will now pass on the call to operator to open the floor for questions . Thank you for your patience and continued interest in Datamatics . Thank you very much.

Moderator: Thank you very much. Ladies and gentlemen. We will now begin t he question answer session. The first question is from the line of MK Reddy from M R Investment s.

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MK Reddy : My first question is regarding this product business. When I look at the global companies , they spend R &D around 15% to 20% and sales and marketing up to 40%. But we are conservative in spending of product development business as we guided in the previous call , its INR 40 to 50 crore. Just want to understand whether we are spending less when compared to global peers or is there any cost advantage we are getting because we are based in India? That's my first question .

Rahul Kanodia: No, we are not spending less. It was very important to get a core set of initial clients and that's what we were doing. We have enhanced our product substantially. Now we've incorporated Generative AI into the product as well. This year we're very confident t hat we will have a good run because we've signed up some very marquee logos. If you may recollect our previous IR calls, we did say that additional revenues that flow in will be invested in sales and marketing. So, we will increase the sales and marketing spend as the revenues grow and sort of be more in line with the other competitors in the industry.

MK Reddy: How much of our projects are fixed price and how many of our contracts are time and material contracts that's my question?

Sandeep Mantri: We do n't keep that data . Right now we have not started keeping that data for investor call for obvious reason. So , we will continue with the same position. We will not disclose this data of time and material and fixed price. But we will see later on.

Rahul Kan odia: I don't have an exact number to give you but I imagine it's a decent balance between the two but I don't have the number handy.

MK Reddy: My last question is regarding this , many of the global peers are moving from product business , moving from lice nse based to SaaS based models. For example, if I look at Temenos, 100% of their offerings are no w SaaS based. So , they are not selling any more license -based licenses. Just want to know what is our contribution in product business which is 40% of our revenue ? How muc

h is regarding this license and how much we are receiving from this subscription -based revenue ?

Rahul Kanodia: So, our product business is not 40% of our revenue. That's not correct. We by and large don't discl ose the specific revenue stream from products. Having said that, we do not do licenses. All our things are on what it is called subscription basis. So , it's an annual subscription. And today all our products are on SaaS model. So , they are hosted and custo mers use it as a hosted service. So, the entire platform is SaaS and it is annual subscription, not a one-time license.

MK Reddy: In our product business, regardless of our typical deal sizes and sales cycles, what is the implementation cycles? How much time it takes from product being licensed till the product to go-live?

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Rahul Kanodia: The product to go live from the time of deal closure is about like two weeks. So, that's not very long. Very often these are 3-year deals , so it gives you a steady revenue, at least for the possible 2 to 3 years. The deal sizes have started increasing , earlier in the initial period, they used to be in the range of about \$50,000 -60,000. Then it went up to about \$100,000 to 200,000. Now we're getting deals at about half a million . One off cases , we also get a million dollar, million and a half dollar deals. So , we are steadily seeing the deal sizes increasing, which is a very healthy sign. Some of the logos that we've signed are absolutely marquee logos , global fortune companies and those companies have deep pockets. I'm sure that once we engage with them, those deal sizes will increase.

Moderator: The next question is from the line of Deepak from Wizworth investment.

Deepak: Would like to understand when you say , this year we will have good growth compared to industry. What give s us confidence that this year we will have growth ? Second question is the March was an aberration in terms of performance or going forward we will have sort of simi lar

margin, et c.?

Rahul Kanodia: So, let me answer the second question first. So, every year our Quarter 4 tends to be higher because we have some elements of seasonal business. So, because the seasonal business kicks in Quarter 4, for us Q4 is always higher than Q3 or Q1. There's always a slight dip in Q1 compared to Q 4 usually. Last March was a little higher than normal, but nevertheless it was healthy. And therefore, you see Q1 a little subdued compared to a little muted compared to Q 4. However, if you compared to Y-o-Y, we've had a 19.6% growth on revenue and a 49.2% growth on EBIT. Now to your first question on what gives us confidence, our pipeline of deals has grown 60%, almost from Q1 of last year and if you see on Q 4 of last year, it's grown 35%. So, the pipeline has grown extremely well. And that gives us confidence that we will certainly hit our numbers, if not even surpass that. In Q1 so far, we've grown 19.6%, which is quite healthy given that we were looking at a 15% growth for the whole year.

Sandeep Mantri: And even our Q1 EBIT margins are higher than the last year full year average, it is almost approximately 1% higher than last year average.

Deepak: And within segments, which segment we think will have a higher growth and which segment will have lower growth and whether the last year average margin is maintainable this year or we will have some upside because of the scale.

Sandeep Mantri: I think as the year progresses, all the three segments will have more or less similar growth. The margin which was there last year, we will maintain or improve slightly on the margin thing for this year for FY23-24.

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Rahul Kanodia: If you see the investor deck which you may or may not have right now, our Digital Experiences have the highest

growth in 43% in percentage terms, followed by Digital Technologies and then followed by Digital Operations. I do believe that our Digital Technologies will be very healthy for the year. In terms of margins as Sandeep Mantri mentioned, we should see stable margin in fact, slightly better. So, we should improve over last year for sure.

Deepak: One last question, if I may ask. On the Digital Technologies side, we are growing good and we are focusing a lot. So, any new product by which we can have a good revenue bump up.

Rahul Kanodia: So, not product, because we are still largely a services company. As I mentioned in my address, we are focusing on the hyperscalers, which is Microsoft, Salesforce and AWS and we've seen a very good pipeline coming from that area. So, we expect that to drive the growth for this year.

On a long-term basis, we will also see AI kicking in but this is too early because AI is still being explored in the world. The whole world is sort of figuring out what to do with it.

Moderator: The next question is from the line of Ramesh Bajaj, an individual investor.

Ramesh Bajaj: I have two questions. One is related to the AFC business. Can you all throw some light on the AFC business?

Rahul Kanodia: The AFC business we have gone live with line 2A and line 7. We just started working on line 2B. These are deals that we had won recently. In terms of the pipeline, we have two or three large RFPs coming in. We will be bidding for them, and we are very confident that we'll win some of them for sure. We can't predict right now because it's too early. But I know we are participating, and we will certainly close some deals. So, that is also looking very promising.

Ramesh Bajaj: The second question is related to acquisition. So, any plans of acquisition in the coming months?

Rahul Kanodia: We are in dialogue with some prospects and target companies. None of them have matured to the level or stage where we need to make any announcements. But yes, we are in dialogue with a few companies for application.

Moderator: The next question is from the line of MK Reddy from M R Investments.

MK Reddy: How many of the products are in development stage? We have six products you had mentioned in the presentation, have their development and testing phases been completed? Now we need to ramp up our in-house sales and marketing team. Just want to know within the products, how many products need investment and how many products have completed development and need a ramp-up in sales and marketing efforts?

Rahul Kanodia: All the products are already developed. We are TruCap+, TruBot, iPM, TruBI and TruFare. So, now the investment in them is going on two counts. One is incremental enhancement with newer technologies. So, there's always new technologies. We are right now talking about artificial intelligence. So, that keeps getting incorporated into these products. So, that's one area of

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investment. The others of course, as you rightly pointed out, are sales and marketing. So, this

year will be a lot more focused on sales and marketing. Because that's really what will drive revenue. The products are ready. The coverage we have received from analyst firms like Gartner, Everest, Forrester, these kinds of companies, have been excellent. They've given us some very good ratings. Our customer feedback from these products also has been excellent. On the basis of which we've won several marquee logos as I mentioned. I'm very positive that it will see a good revenue stream in the years going forward. To answer your question in a nutshell, a lot of investment is done, incremental improvement will keep happening and the focus will be on sales and marketing.

MK Reddy: Again, this appreciate for the reducing this DSO which is 60 days in Q1 FY'24. My question is regarding this

AFC, automatic fare collection platform which last year contributed 6% to our revenue. How do you see the margins and working capital involved in this product in this platform when you sell it in India and now, we are aggressive trying to sell in international markets also. Just want to know in terms of AFC, in terms of margins and working capital.

Rahul Kanodia: The margins as I mentioned in one of my earlier calls, we chose to go very aggressive with our pricing because we wanted to capture a significant market share. That strategy was well executed. Today I must say that Datamatics is in a pole position and we are a dominant player in AFC in India. So, our objective and strategy worked well. Now we are looking at a more correct pricing. Of course, we still need to be competitive but our margins will improve because we are now correcting the pricing versus going aggressive, point one. Point two is that we have started focusing a lot more in the international market and we've got a good pipeline coming in there as well. The international margins tend to be much better and therefore and of course you have the natural advantage of a dollar revenue versus a rupee revenue. So, that gives you a benefit. In terms of working capital it does consume a fair amount of working capital because these are semi-public sector kind of projects and they're milestone-based billing.

Sandeep Mantri: Only working capital is consumed as sometimes we are not able to bill because of this milestone. Once we bill, then normally these fare collection companies pay well within times. We have not experienced any delays in collections. The only issue with these large contracts is basically milestone billing which will remain at least for India part.

MK Reddy: My last question is regarding this Digital Technologies. For this quarter we reported around 6.2% EBIT margin. When I looked at some of the product companies, they are having almost 25% to 30% of margin and matured companies like Oracle which is listed in India, they're having more than 40%. Just want to know when our investments will be fructified and when will we reach at least 25% margin from current 6.2%?

Sandeep Mantri: As Rahul explained earlier, this is not a completely product company. When we talk about Digital Technologies, it is a product plus services and services are substantial portion of the revenue. So, we really can't compare with product Company as of now because our product revenue contribution in the whole Digital Technologies is not so large and therefore, we need to

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see services company. Second is that we are investing money in these R & D and sales and marketing of product which is also to some extent compromising these margins and that's why the margins are low.

Rahul Kanodia: On the products that we talked about, which is TruCap, TruBot, iPM and things like that. We talked about an investment of INR 40 to 50 crore and that is what we are "bleeding". They'll be losing money. So, whatever new money comes in from revenues we would spend on sales and marketing, and we'll maintain that INR 40 to 50 crore figure for the next 2 to 3 years.

Moderator: The next question is from the line of Saurabh Shah from AUM Fund Advisors.

Saurabh Shah: Question was regarding the new business from the hyperscalers. Rahul just wanted to understand the product proposition from Datamatics standpoint for these hyperscalers and if you could give us a sense of given the product and the future, how do you expect to see this wallet share or this market for you? So, you get a sense of what's the growth kind of possibilities over here given that's one of the large spaces you're targeting?

Rahul Kanodia: I follow the first question, I'm not sure I followed the second. Let me answer it anyway. Then you can ask your question

gain perhaps. On the hyperscalers which is focusing on Microsoft, PowerApps, Salesforce, AWS, low-code and no-code. These are hyperscalers because it has rapid growth. These pockets tend to grow at a substantially higher rate than the traditional IT services. If you look at traditional IT services, you're talking about 2%-3%-4% growth, even maybe 6%-7% on the higher side. These hyperscalers are growing at about 30%-40% a year. So, therefore, in some very small pockets they might even hit 50%-60% growth. So, our strategy was to focus on these high growth areas because that is for the rest of the Company. The traditional legacy IT services is not the most exciting from a growth perspective. So, right now,

the focus on hyperscalers is still a small footprint. Our current footprint is not very large and therefore you don't see the total impact on our growth. Although we are still growing in IT space or Digital Technologies at 18.6% for this quarter which is still a healthy growth. But with the hyperscalers kicking in I expect that that growth figure will be higher. As far as the second question is concerned, as I mentioned I didn't really follow it. So, if you could sort of ask that again I would be happy to answer.

Saurabh Shah: So, the question was here, I think a follow up to what you just mentioned in terms of what's the current size with these hyperscalers and you mentioned that you just now have a small footprint. So, should we expect, for example, Datamatics' own revenue to grow in this 35% to 40% growth that these hyperscalers are currently experiencing. And what does that do to you? In the sense, are you looking to get more market share? If you could give us some sense of the competition that you face while accessing this opportunity?

Rahul Kanodia: So, Datamatics, of course, all of Datamatics is not in this hyperscalers space, so therefore the overall impact will not be at a 30% growth. Having said that, these pockets are growing very rapidly. So, Digital Technologies is one area, and within Digital Technologies, we have the focus on hyperscalers, we have AFC, we have robotics and intelligent document processing, and then Datamatics Global Services Limited

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we've got some of the cloud and digital transformation services also, digital business operations and things like that. So, these are all pockets within the Digital Technologies. Some of these pockets are growing very rapidly, and that's where we want to focus on.

In terms of Datamatics, I think you'll see in about a year, year and a half, of course, assuming we don't have any macroeconomic challenges, I think we'll see a fairly healthy growth coming in. As I mentioned, we are getting some good marquee logos. Now in terms of competition in this space, we are seeing competition, of course, with all the big guys, they're all there, but because this space is growing fast, the demand is high and therefore we are able to capture a few good opportunities. Our initial pipeline was extremely promising, and we did come across some very good size deals, sizes in the range of even \$2-3 million. But of course, there's still a pipeline. So, we are seeing good sized deals and we're seeing not as aggressive competition, just because there's a latent market that's just absorbing every opportunity that you can.

Saurabh Shah: And maybe the last follow up within Digital Technologies, how much would the hyperscalers be as a percentage within that segment?

Rahul Kanodia: I don't have that figure handy. I know it's a small footprint, but I don't have a number handy with me right now.

Moderator: The next question is from the line of Shreya, an individual investor.

Shreya: My question is about the customers. So, we have heard that you have lost some major customers in this quarter. So, can you just give some clarity?

Rahul Kanodia: So, there was some

kind of a false rumor and a false alarm that I don't know how it got triggered.

We did on that give a clarification to the stock exchange. And I was on ET Now as well, so we've not lost any major customer. Everything is business as usual. It was some kind of a false rumor that was there for some reason.

Shreya: And one more question I have is about the AI market. So, how do you see the AI market and what are the opportunities?

Rahul Kanodia: The AI market is very vibrant. It's growing globally at about 40% CAGR right now. The world is investing very heavily in AI, but at the same time, there's a lot of fuzziness and confusion in terms of the direction because there are no very clear solutions that have come out yet. So, these are all initial early days where there's a lot of exciting technology that's coming out, but people are still grappling with how to deploy it in the enterprise. In the consumer market, it's a little easier because it's not very critical to be absolutely accurate. But in the enterprise you've got to have very high precision and that's where there's some degree of lack of clarity in the global market in terms of the solutions. Having said that, Datamatics has developed several accelerators. We have successfully piloted them. We are now taking them to our customers. And once we take them to our customers, we see what traction we are getting. But it looks promising. I think if you're looking at a three-to-five-year horizon, AI will make a huge difference in this

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world of technology. Right now, it's not going to give you a result on a quarter-on-quarter basis, but a three-to-five-year horizon will be important to look at. So, I think we are well entrenched, and we've got a good team that's working in several areas in the world of AI.

Moderator: As there are no further questions from the participants, I would now like to hand the conference back to the management for their closing comments. Thank you and over to you all.

Rahul Kanodia: Thank you everyone for participating in this quarterly call. I really appreciate the questions and answers and the interaction we've had. I do look forward to meeting you again next quarter, and if you have any other questions, please feel free to reach out to any of us and we'll be happy to give you more insights. Once again, thank you very much and look forward to engaging with you again.

Moderator: Thank you very much. On behalf of Datamatics Global Services Limited, we conclude today's conference. Thank you all for joining. You may now disconnect your lines.

Call: Nov 2023

DATAMATICS GLOBAL SERVICES LTD.

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To,
Corporate Communication Department
BSE Limited
Phiroze Jeejeeboy Towers,
Dalal street, Mumbai - 400 001. Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051.
BSE Scrip Code : 532528 Symbol : DATAMATICS

Sub.: Transcript for Q2FY24 Earnings Call

Dear Sir/Madam,

Pursuant to Regulation 30 and Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, we would like to inform you that the Company has held a conference call with the Analysts / Investors on Thursday, November 02, 2023 at 05:00 p.m. IST for management discussion on Unaudited Financial Results for the quarter and half year ended September 30, 2023.

Please find attached transcript of the call on Unaudited Financial Results for the quarter and half year ended September 30, 2023. The same can be accessed on the below mentioned link:

<https://www.datamatics.com/about-us/investor-relations/earnings-call>

Kindly take the above on your record.

Thanking you,

For Datamatics Global Services Limited

Divya Kumat
EVP, Chief Legal Officer and Company Secretary
(FCS: 4611)
Encl.: As above

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"Datamatics Global Services Limited
Q2 FY'24 Earnings Conference Call"

November 02, 2023

MANAGEMENT : MR. RAHUL KANODIA – VICE CHAIRMAN AND CHIEF
EXECUTIVE OFFICER – DATAMATICS GLOBAL
SERVICES LIMITED

MR. SANDEEP MANTRI – EXECUTIVE VICE PRESIDENT
AND CHIEF FINANCIAL OFFICER – DATAMATICS
GLOBAL SERVICES LIMITED

MR. MITUL MEHTA – EXECUTIVE VICE PRESIDENT
AND CHIEF MARKETING OFFICER – DATAMATICS
GLOBAL SERVICES LIMITED

MODERATOR : MR. PRATIK JAGTAP – E&Y INVESTOR RELATIONS

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Page 2 of 16 Moderator : Ladies and gentlemen, good day and welcome to Datamatics Global Services Limited's Q2 FY'24 earnings conference call. As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Pratik Jagtap from E&Y IR. Thank you and over to you Sir!

Pratik Jagtap : Thank you Lizaan. Good evening to all the participants in the call today. Welcome to Q2 FY'24 earnings call of Datamatics Global Services Limited. The result and presentation have been already mailed to you and it is also available on the website of Datamatics. In case anyone has not received the copy of press release or presentation please do write to us and we will be happy to send you all.

To take us through the results today and to answer your questions we have with us top management of the company represented by Mr. Rahul Kanodia, Vice Chairman & CEO, Mr. Sandeep Mantri, EVP & Chief Financial Officer, Mr. Mitul Mehta, EVP & Chief Marketing Officer. Rahul will start the call with brief overview of the quarter on business which will be then followed by Sandeep talking on financials. We will then open the floor for question-and-answer session.

I would like to remind you that anything that is said on this call which gives any outlook for the future, or which can be construed as forward-looking statement must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included but not limited to what we have mentioned in the prospectus filed with SEBI and sub

sequent annual reports which you can find on our website. With that said note I will now hand over the call to Mr. Rahul. Over to you Rahul!

Rahul Kanodia : Thanks Pratik. A very warm welcome and thank you everyone for joining our call for Q2 FY'24 this evening. We are glad to have you all on the call today. I will briefly discuss some of the quarterly performance highlights while Sandeep Mantri, our CFO will provide an update on the financials after which we will open the floor for question and answers. Our quarterly performance for Q2 FY'24 declined by 3.7% on a sequential basis. The decline in topline was primarily due to the premature closure of a large project with a customer in our digital experiences business. This also impacted the margins of that business. However, we continue to work with that customer on multiple ongoing projects and new projects. On a Y-o-Y basis for the quarter our revenue grew by 9.7%. In H1 FY'24 we had a robust revenue growth of about 14.6% and a notable improvement in our EBIT margins which has risen to 14.1% from the previous year at 12.3%. Our deal pipeline
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Page 3 of 16 increased by 99% on a year-on-year basis and 28% on a quarter-on-quarter basis. In particular our US pipeline increased by 300% over the last year. We can see that our efforts to focus on the US markets are bearing results. We are well placed in several of these deals but are witnessing slowness in decision making which makes it difficult for us to estimate the percentage of revenue growth in the coming quarters. Therefore, it looks unlikely that we would meet our revenue growth estimates of 14% to 15% for FY'24. We added 15 new customers during Q2 FY'24 with many of them being in the US. As a part of our AI-First

strategy we are committed to strengthening our AI capabilities and continuously infusing AI across technologies, operations and experiences and the product businesses. We have integrated GenAI capabilities into our intelligent automation products consisting of TruBot, TruCap+ and TruBI. We have launched a range of GenAI powered solutions such as enterprise content mining, virtual assistance, financial data analytics and revenue operations and we are showcasing them at some of the world's leading IT shows across US and Europe. Our TruCap+ product has been significantly enhanced and provides cognitive mining for enterprise content using GenAI. This makes the product very potent for large organizations that process high volumes of documents and a variety of unstructured enterprise content. TruCap+ is now available on the Microsoft Azure Marketplace. This will broaden our reach to all Microsoft Azure customers worldwide. In Q2 we also introduced FINATO to drive finance transformation in global enterprises. It is powered by AI for contract management and will help CFOs better fulfill their KPIs. Lastly, I am happy to share that Datamatics implemented Automatic Fare Collection and Mobile Ticketing Systems for India's first Namoo Bharat RapidX train for Delhi-Meerut RRTS Corridor by NCRTC. It was recently flagged off by our Honorable Prime Minister Shri Narendra Modi and it was a proud moment for all of us at Datamatics.

With that I wish you all a very Happy Diwali in advance. May the Diwali bring happiness, joy and prosperity to all of you and your families. With that I will now hand over our call to our CFO, Mr. Sandeep Mantri. Sandeep over you!

Sandeep Mantri: Thank you Rahul. Welcome everyone and thank you for joining us for Q2 and H1 FY'24 earning call. Let me start with financial performance of Q2 FY'24 and then I will take you through the H1 FY'24 numbers as well. Our Q2 FY'24 revenue stood at INR 376.8 crore which is a growth of 9.7% on a yearly basis and a decline by 3.7% on a sequential basis. As Rahul highlighted, the decline in topline is primarily due to premature closure of a large project; however, we

continue to engage with the customer on multiple ongoing and new projects. Our consolidated EBITDA for the quarter was at INR 58.9 crore which is up 14.1% on a Y-o-Y basis. Our EBITDA margin for the quarter is at 15.6% as compared to 15% in the last year same quarter. Our consolidated EBIT for the quarter was at INR 49.6 crore which is up 15.7% on a year-on-year basis. EBIT margin was at 13.2% as compared to 12.5% in the last year same quarter. Our quarterly PAT after NCI was at INR 49.3 crore
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Page 4 of 16 which is up 23.3% on a year-on-year basis. The tax rate for the quarter was at 16.4%. The primary reason for the decrease in tax rate compared to last year quarter is a change in the profit mix of various geographical entities. Our EPS for the quarter was at INR 8.36 per share which is higher than the last year same period which was at INR 6.78 per share; however, lower than sequentially Q1 FY'24 which was at INR 9.34 per share. Talking about segment wise revenue performance, our Digital Operations revenue was at INR 164.6 crore which is a growth of 15% on a Y-o-Y basis. Digital Operations EBIT margin was at 18.6% and its contribution to total revenue was 44%. Digital Experiences revenue was at INR 58.5 crore for the quarter which is a growth of 11.6% on a Y-o-Y basis. EBIT margin for the Digital Experiences business was at 17.4% and contribution to total revenue was 15%. Digital Technologies revenue was at INR 153.7 crore for the quarter a growth of 4% on a Y-o-Y basis. Digital Technologies EBIT margin remains at 5.7% and contribution to total revenue was 41%. We continue to maintain a healthy balance sheet as of September 30, 2023, our cash and investment stood at INR 581 crore compared to INR 555 crore in the last quarter. Our DSO was at 63 days as of September 2023 as compared to 60 days in the last quarter. In terms of geographical footprint US remains our largest geography with 54% coming from US followed by India at 24%, the rest of the world including UK and Europe was at 22%. In terms of industry BFSI continues to remain the largest segment for us, contributing to 25% of our revenue followed by education, publishing & technology, and consulting, both segments stood at 20%; manufacturing, infra and logistics at 13%; and non-profit or non-government organization remain at 10% to total revenue. Retail contributed 9% of our business and the other remaining segments are 3% of our total revenue. If we talk about client concentration, it is very healthy with top 5, 10 and 20 clients contributing to 24%, 36% and 51% respectively.

Coming to H1 FY'24 financials, our half year revenue was at INR 767.9 crore which is a growth of 14.6% on Y-o-Y basis. Our EBITDA was at INR 126.7 crore which is up 27.4% as compared to last year. EBITDA margin for H1 FY'24 stood at 16.5%. Our EBIT was at INR 108.2 crore a growth of 31.6% on Y-o-Y basis and EBIT margin stood at 14.1%. The tax rate for the year was at 17.6% compared to 20.5% last year and finally our EPS for the H1 was at 17.7% per share as compared to 14.1% per share in the last year same period which is a growth of 25.2% on a Y-o-Y basis.

These were the financial updates. With this I will now pass on the call to the operator to open the floor for questions. Wishing you and your family a very happy and prosperous Diwali. Thank you for your patience and continued interest in Datamatics.

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Page 5 of 16 Moderator : Thank you. Ladies and gentlemen, we will now begin with the question-and-answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Harshil Shethia from AUM Fund Advisors LLP. Please go ahead.

Harshil Shethia: What happened exactly with the client that moved out prematurely?

Rahul Kanodia : No, the client has not moved out prematurely. A project got over prematurely. With the client

we continue to work, in fact we are working on several new projects with the client, so it was premature closure of one single project. That impacted both the revenue and the margins for the Digital Experiences business.

Harshil Shethia: Sir you said that we might not be able to meet the revenue guidance of 14% to 15%?

Rahul Kanodia : Yes.

Harshil Shethia: What was the quantum of revenues that the client contributed and in the coming quarters can manpower be replaced for another project?

Rahul Kanodia : There are other projects that are ramping up as we speak, and we should have some bounce back for sure. The client is still very much there and we are talking about new projects and we should ramp up hopefully towards the later part of this quarter.

Harshil Shethia: Sir how much growth can be expected in terms of revenue?

Rahul Kanodia : We will probably not hit that 14% to 15% revenue growth that we talked about but because the decision making has become a little slower, we are not able to exactly predict what will happen. Having said that as I mentioned our pipeline has grown by about 100% over the last 12 months on a Y-o-Y basis and 28% on sequential quarter basis, the pipeline is extremely robust and therefore I am still confident that we will have a good year, but I am not able to put a number on the revenue growth in terms of percentage.

Harshil Shethia: Can you just quantify the pipeline that we currently have?

Rahul Kanodia : I expect it is in the vicinity of about \$290 million.

Harshil Shethia: Thank you.

Moderator : Thank you. The next question is from the line of Aditya Jhavar from AJ Capital. Please go ahead.

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Page 6 of 16 Aditya Jhavar: My question is specific to this deal withdrawn, so in the Digital Experiences we are hitting a revenue of suppose currently we are doing a INR 60 odd crore of revenue in a quarter so what was the deal amount and as with that one deal you are saying that we are withdrawing guidance of 15% that is the first question and the second question is regarding the Digital Operations and the Digital Technologies. In the Digital Operations what are the steady state margins we can attain because I see every time it is fluctuating. Is it because of the currency that we are seeing that margin improvement whatever has happened 23% to currently 18% in the Digital Operations and in the Digital Tech currently we are hitting a revenue of INR 150 odd crore is it the plateau or the pipeline is more inclined to Digital Tech and where you see, not this year in the next one to three years how do you see this shaping up the revenue margins, could you throw some light?

Rahul Kanodia : Let me talk about Digital Operations first so on the Digital Operations we had a very healthy Q4 of last year and that is because we always have a Q4 spike because we do a lot of tax processing and in Q3 we start ramping up so I am not concerned on the margins of the Digital Operations although it may look a little suppressed but it is still very robust and I think Q3 and Q4 will be healthy so I am not too concerned on Digital Operations from a margin point of view. To your second question on the projections of missing the 15% target that is not because of this one project that is just because there is a softening of the decision-making process and we are seeing that across the board, so it is really a combination of all those things versus a single project driving that. So, on the Digital Experiences front we talked about that one project but as the customers already engaged and we are already talking about additional projects.

Aditya Jhavar: What is the order backlog in that project?

Rahul Kanodia : That would be client sensitive information so I do not want to disclose that it would not be very appropriate.

Aditya Jhavar: Roughly it was some INR 30 Crores to

INR 40 odd Crores?

Sandeep Mantri : We cannot give those numbers because this is client sensitive information

Rahul Kanodia: I must say that the client is still there, and we are talking about additional business, in fact we will ramp up in this quarter. It was just that one project so there is no cause for concern on that front. On the Digital Technologies as well the pipeline in the US has grown about 300% so it is looking very, promising. Having said that because the decision making is slow, we are sort of not able to get a very clear picture as to what the next Q3 and Q4 will look like.

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Page 7 of 16 Aditya Jhavar: Not for this year I am just talking about can you just outlay which segment you are quite bullish on from the next one to three years perspective where you can see the scale up can happen rapidly?

Rahul Kanodia : Actually, all the three segments are looking very optimistic to us very specifically because we will be implementing a lot of AI across the board we will see that happening, so there is no one of these segments that is looking weak or anything of that kind.

Aditya Jhavar: Just on the order withdrawn when did this happen in October or which month exactly?

Rahul Kanodia : It was this quarter therefore you see the results in this quarter.

Aditya Jhavar: Yes, in this quarter month actually I am asking about it?

Rahul Kanodia : These ramp downs happen steadily it is not like tomorrow morning we talk so it does squeeze down because there are several dynamics in any ramp down particularly sensitive to employees and there are implications on employees so when we transact with customers, we have got to keep that in mind, so it is through the quarter, but it is a steady phase through the quarter.

Aditya Jhavar: Because it came as a shocker because it was not intimated that is why it was a surprise but, nevertheless.

Rahul Kanodia : The premature closure does not come with a forewarning.

Aditya Jhavar: Thank you. All the best.

Moderator : Thank you. The next question is from the line of Grishma Shah from Envision Capital.

Please go ahead.

Grishma Shah: I want to know the margin for the Digital Technologies piece where would they settle down for the year?

Rahul Kanodia : I expect the Digital Technologies piece margin to actually improve over Q3 and Q4, so you have got right now 5.7% as against 6.2% in the last quarter. The margin will still be in single digit for the year but it will move up. I think probably 7% to 8% range is a good range.

Grishma Shah: Based on what initiative?

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Page 8 of 16 Rahul Kanodia : Based on the pipeline of deals that we are closing but as I said because there is softness in the decision-making process, I am not able to gauge it but the pipeline is extremely strong.

Grishma Shah: But this also has the metro business, right?

Rahul Kanodia : That is correct.

Grishma Shah: I am assuming there is a metro line which is going to go live?

Rahul Kanodia : The NCRTC in Delhi-Meerut went live already, Kolkata will go live shortly, Mumbai is continuing yes. When it says gone live it does not mean it is closed one phase of it has gone live, we are continuing.

Grishma Shah: I get that Sir but what I am trying to understand is that now would the pricing be better compared to what we had bid initially and therefore the margins will be better?

Rahul Kanodia : That is correct.

Grishma Shah: What would be our year end closing tax rate?

Sandeep Mantri : Our year end closing tax rate will be between 20% and 21% approximately.

Grishma Shah: The product business can you highlight what is the progress?

Rahul Kanodia : Yes, so progress has been actually quite good in terms of a pipeline increase and some of the large logos that are potentially scaling. Earlier quarters we mentioned that we had closed some good logos now we see them s

caling so that is very promising for us and some of them will scale quite significantly so that is looking good, but again right now the whole Western world is plagued by a little bit of slowness in decision making because of the global uncertainties. You have got this Israel-Gaza conflict; you have got the Ukraine-Russian conflict, so a lot of that is still sort of playing out in those pockets. Outside of the decision making we do not see slowness in the pipeline flow; the deal flow is just as robust, in fact it is probably better.

Grishma Shah: What is then holding back for closure if the deal flow is so strong?

Rahul Kanodia : In these markets there is some degree of uncertainty with a slowing down of their economy

and therefore those customers are becoming a little conservative in their decision making because they think the economy will slow down and things like that but other than that from a business point of view there is nothing.

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Page 9 of 16 Grishma Shah: If you could possibly enlighten what was the reason why did the customer prematurely close?

Rahul Kanodia : I do not know the details it was their business situation and their business challenges so I am not very privy to their business challenges but there is something to do with their business.

Grishma Shah: It was the top five or a top 10 client?

Rahul Kanodia : Yes top 10 client.

Grishma Shah: Thank you so much.

Moderator : Thank you. The next question is from the line of Sanjyot an Individual Investor. Please go ahead.

Sanjyot: Good evening. Sir my question is about Q4 is the biggest quarter and generally Q1 this year is the smallest quarter and then sequentially then the revenue goes on so now Q2 it is lower because of the pre-closure how your Q3 looks like and Q3 and Q4 are there going to be better than Q2 that is my first question?

Rahul Kanodia : I do expect that. Q3 typically is a little bit soft across the industry because of the vacation period in in the Western world. You have in the US Thanksgiving and Christmas and because of that many people are on leave and therefore your billing does come down because of the quantum of amount you deliver so Q3 does tend to be a little soft, but I do not expect that to be worse than Q2 for sure and Q4 should again spike up because we do have some cyclicity in our business on Q4.

Sanjyot: Correct and the second question is about the employee headcount, in Q2 what is the net headcount addition or you added or number of employees reduced in Q2?

Rahul Kanodia : I do not have that number to the extent that the revenue declines employees are a little sticky business because you have got three-month notice period so even though revenue may decline you cannot let go off employees and therefore the headcount remains steady. In fact right now as we speak and we talked about ramping up some projects we are in the phase of ramping up employees on some projects so right now actually we are in the growth phase. So, net-net I would say that it would be flat. Our attrition was about 8.5% which is reasonably healthy, annualized it becomes almost 17% which is not too bad, and we have not had a net headcount reduction.

Sanjyot: Thank you for that and all the best for future quarters.

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Page 10 of 16 Moderator : Thank you. The next question is from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.

Pallavi Deshpande: Sir just wanted to understand the loss of customer was from which vertical BFSI?

Rahul Kanodia : As I said it was not a loss of a customer it was a project where we are still growing with the customer, it was in the Digital Experiences space.

Pallavi Deshpande: I understand Digital Experiences but in terms of industry BFSI or technology?

Rahul Kanodia : It was in the consumer retail.

Pallavi Deshpande: In terms of the industry the

BFSI space how do you see that going ahead given the issues with the banks in the US?

Rahul Kanodia : We have not seen issues in any projects with the BFSI segment apart from the decision making which is generally slow across the board outside of that we have not seen any issues.

Pallavi Deshpande: Right and Sir lastly coming to this on the Digital Technologies space I understand you mentioned on the hyperscalers business if you could just throw some light how is that growing?

Rahul Kanodia : Our relationship with Microsoft has increased quite a bit. In fact, we are now also featuring in the Azure Marketplace for Intelligent Automation products. We are engaging with them very actively so that is going well. Our opportunities pipeline in the Salesforce area is also going well. Our low-code no-code business particularly with some cloud projects that is going extremely well and we are getting a very good inflow of deals, so the hyperscalers business is kicking in well although because it was a relatively new initiative it was small and therefore it does not impact the numbers the way we would expect but yes we are getting very good traction on that front.

Pallavi Deshpande: The burn in the product business would that be continuing at the same INR 50 Crores quarter?

Rahul Kanodia : Yes. Not for quarter it is per annum. Of course, we have got to adjust it a little bit for inflation but yes, it is about at the same rate.

Pallavi Deshpande: Right Sir. Thank you so much Sir.

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Page 11 of 16 Moderator : Thank you. The next question is from the line of Hiten Boricha from Sequent Investments. Please go ahead.

Hiten Boricha: Sir my question is the decline in the margin in the digital experience is largely led to the premature deal closure but what led to the decline in the margin in other two segments?

Rahul Kanodia : In the Digital Technologies there is not too much of a decline, there we just continue to invest a lot in the AI space and in the product space. As I mentioned in my address, we have invested in enhancing TruCap+ significantly and incorporate a lot of cognitive mining into that so Digital Technologies are fine. In Digital Operations we have actually increased our spend on the platform and my note does talk about us launching a platform called FINATO so we launched FINATO and of course that consumed some spend and therefore you see the margins a little lower.

Hiten Boricha: Can we assume this 17% blended margin is kind of better edge to do in terms of margin around 20%?

Rahul Kanodia : Yes, you will see an improved margin. Also the other thing that has happened is that we have increased our spend by design for marketing and we have actively participated in several events in the US and in Europe and therefore our marketing spend has gone up and therefore you see the margins being a little more squeezed because we have substantially increased it but that increase in marketing has resulted in better pipeline so it is showing results but there is a lag between your marketing spend and the deal closure so the marketing activities that we are investing in is showing some good results because the pipeline has really grown significantly.

Hiten Boricha: Sir, when you say we are going see better margins in the second half so I am assuming that it will be in all the three segments right around 20%?

Rahul Kanodia : That is correct.

Hiten Boricha: Sir, my second question is on your comment on we have seen the slowdown in decision making so this is related only to the US market or the Indian as well as the other market as well?

Rahul Kanodia : For largely US and Europe.

Hiten Boricha: Are they seeing any kind of improvement here now or is it like?

Rahul Kanodia : It is still soft the jury is still out. What does give me confidence is that because the pipeline is so strong, I am sure some will materialize for sure but yes, it

is going slow.

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Page 12 of 16 Hiten Boricha: This slowdown is seen mainly in top 20 clients, right?

Rahul Kanodia : No, it is the industry and therefore across the board we see slow decision making both for new logos and even ramp up of projects.

Hiten Boricha: Understood. Thank you, Sir.

Moderator : Thank you. The next question is from the line of Harshil Shethia from AUM Fund Advisors LLP. Please go ahead.

Harshil Shethia: Just a clarification from the earlier question for the second half do we expect EBITDA margin across the company to be in the region of 20%?

Rahul Kanodia : That was the previous speaker mentioned so that is not correct. They will be healthier but certainly not 20%.

Harshil Shethia: The second was just a question again to go back to the client which as you said slow down on one aspect of the business so if you just kind of negates that assuming that the ramp up for the client had not changed then what of numbers I am just trying to estimate for the one-time impact is so what would have been our numbers for the quarter, would we have seen some growth or how would it have looked at?

Rahul Kanodia : Yes, that is a tough one. You are asking the same question that one of the earlier people had asked in terms of what the revenue lost but I do not think we are going to talk about that but yes it has certainly been better than what it is. We are also not happy with the kind of situation.

Harshil Shethia: But would it have been kind of more in the vision of growing in the same basis or was that even without specific client issue where there was a slow down across other clients as well?

Rahul Kanodia : So, you see a slight slowdown if you see across all the segments it is not that one project that has impacted everything, if you look at our investor deck every segment has a marginal slowdown. The maximum you see is in Digital Experiences, but the others also have had very marginal slowdowns.

Harshil Shethia: For the next six months you see any such significant slowdown and any conversation maybe not for your business but for your competitors or other people on the same lines?

Rahul Kanodia : No, I cannot comment on the competitors because I really do not know what is going on in their business, but we do not see any such issue coming up in the next six months.

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Page 13 of 16 Harshil Shethia: Thank you.

Moderator : Thank you. The next question is from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.

Pallavi Deshpande: You mentioned about this increased marketing spend would it be possible to quantify that?

Rahul Kanodia : I do not have the numbers in my fingertips right now but yes approximately double.

Sandeep Mantri: Almost double from last year.

Pallavi Deshpande: Sir in terms of the hiring plan any numbers?

Rahul Kanodia : Nothing right now but I do know that we are ramping up for some projects so you will see an increase in hiring anyway but I do not have numbers with me because we are being cautious given that decision making is a little slow even though some customers have said that they would like to start ramping up till it does not happen we are not onboarding people so we are in the ramp up phase but I do not have a number for you on that.

Pallavi Deshpande: Just in terms of your three segments would it be fair to say that the Digital Experiences side would continue to remain soft?

Rahul Kanodia : No, in fact we are ramping up there as well. I do not see softness there.

Pallavi Deshpande: I just thought that is more discretionary and so from that angle.

Rahul Kanodia : Yes, but given that we are in the ramp up phase I do not see the softness.

Pallavi Deshpande: Right thank you so much.

Moderator : Thank you. The next question is from the line of Aditya Jhawar from AJ Capital. Please go ahead.

Aditya Jhawar:

Thanks again. Sir I wanted to understand on the platform you have mentioned FINATO on the digital side so currently we have good revenues there but our margins are roughly 7%, in next suppose one or two years where do we see that margins trending towards?

Sandeep Mantri: You are talking about FINATO?

Aditya Jhawar: Yes.

Sandeep Mantri: FINATO is part of Digital Operations.

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Page 14 of 16 Aditya Jhawar: I am talking about Digital Tech there I think we have invested on auto fare right it comes into that part?

Sandeep Mantri: That is fare collection TruFare.

Aditya Jhawar: Yes so there I suppose if we get more sales because we are doing INR 160 odd Crores for a quarter right?

Sandeep Mantri: That is not only fare collection there are many other things.

Aditya Jhawar: Many other products yes but we have clubbed under Digital Tech, so currently there the margins are like 5% to 7% but where can we see that margins trending towards of course?

Rahul Kanodia : Over the next six months of this financial year, we should see that margin improve. We talked about 7% to 8% in this year.

Sandeep Mantri: You are talking about one or two years right?

Aditya Jhawar : One or two years not this year.

Rahul Kanodia : That should improve. Over the next two years that will improve quite a bit.

Aditya Jhawar : What targets we have in mind like 14% to 15% we have?

Rahul Kanodia : One of the reasons why that will change is that we are focusing more on the US market and the US market has better margins than the Indian market, so as business grows there I think if you are looking at two years, we should be in the range of 12%, 13% and 14%.

Aditya Jhawar : The next question for this year what I can gauge is there is slowness but what are the positive sides for this year for the company?

Rahul Kanodia : The positive sides are that our pipeline has grown substantially as I said on a quarter-on-quarter basis we have grown 100%.

Aditya Jhawar : When do you say pipeline it is the order book, or it is just in the finalizing stage?

Rahul Kanodia : It is the final stage where we submitted a proposal, and the customers have to decide but when you submitted proposals which are almost 100% more than what we did last year that shows that you will probably close more deals this year. The other element that is very positive is the whole push towards AI-First. AI-First strategy I think will start showing some results. Our hyperscalers have already started showing some results so that is looking very good and AI and the launch of the FINATO product also I am very confident that will

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Page 15 of 16 give us some. We also have I do not know if you have tracked it but in the technologies business we have brought in senior leadership and we are doing some organization restructuring and that will help. I am sure it will show results very soon.

Aditya Jhawar : Based on your order pipeline since it is robust how much percentage you have the hit ratio here?

Rahul Kanodia : So, it varies, it varies by segments, it varies by existing customers and new logos by geography, but it is very healthy, so it is not a straight answer, but it varies anywhere from 30% to 40% to as high as 80%.

Aditya Jhawar : Since we have traveled to like you have said that you personally traveled to USA or some other countries for marketing events in which space do you find as our products right, we have lot of things to offer, in which place they are mostly interested in the customers?

Mitul Mehta : We participate across multiple lines of businesses across technologies, operations and experiences and across all the three we have seen opportunities. Technologies right now with AI there are a lot of inquisitiveness among enterprises to see how they can use AI for better productivity and for better customer experience, so AI right now the

re is a lot of

interest in AI and what AI can do for the overall business.

Rahul Kanodia: However, I must say that right now the interest in AI there is a lot of curiosity because people are still trying to figure out what this new animal is, and they do not know much about it so there is very high degree of curiosity and therefore the interest so one has to take that with a pinch of salt in terms of deal closures.

Aditya Jhawar : Then with the pipeline it is majority which segment we have got the traction there?

Rahul Kanodia : The highest traction is in the digital technologies space but it is quite good also in the operation.

Mitul Mehta : Digital Technologies and Digital Operations both are fairly good.

Aditya Jhawar : All the best. Thanks for answering my question.

Moderator : Thank you. The next question is from the line of Sanjyot an Individual Investor. Please go ahead.

Sanjyot: Thank you. Just a follow-up question. Generally, you announce number of deals won in the quarter in the PR. I missed that so how many deals won in this quarter and was there any multi-million dollar win in the quarter?

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Page 16 of 16 Rahul Kanodia : Yes so we announce a number of new logos in this quarter, we had 15 new logos so that run rate remains roughly steady.

Mitul Mehta : Most of them were in the US and the European markets so which is also a very healthy sign.

Sanjyot: Alright yes. Thank you.

Moderator : Thank you. As there are no further questions, I now hand the conference over to the management for their closing comments.

Rahul Kanodia : Thank you all for being on the call today. I know we have not had the best quarter but I am still very hopeful that going forward we will have a good run this year because the business is there and we have got a very good customer equation, so thank you very much for being on the call and I look forward to speaking to you next quarter. Wishing you all a very Happy Diwali in advance and hope you have a good festive season. Thank you all.

Moderator : Thank you members of the management team. Ladies and gentlemen on behalf of Datamatics Global Services Limited that concludes this conference call. We thank you for joining us. You may now disconnect your lines.

Call: Feb 2024

DATAMATICS GLOBAL SERVICES LTD.

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To,
Corporate Communication Department
BSE Limited
Phiroze Jeejeeboy Towers,
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National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051.
BSE Scrip Code : 532528 Symbol : DATAMATICS

Sub.: Transcript for Q3FY24 Earnings Call

Dear Sir/Madam,

Pursuant to Regulation 30 and Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, we would like to inform you that the Company has held a conference call with the Analysts / Investors on Friday , February 09 , 2024 at 05:30 p.m. IST for management discussion on Unaudited Financial Results for the quarter ended December 31 , 2023 .

Please find attached transcript of the call on Unaudited Financial Results for the quarter and half year ended December 31, 2023 . The same can be accessed on the below mentioned link:

<https://www.datamatics.com/about-us/investor-relations/earnings-call>

Kindly take the above on your record.

Thankin g you,

For Datamatics Global Services Limited

Divya Kumat
EVP, Chief Legal Officer and Company Secretary
(FCS: 4611)
Encl.: As above

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"Datamatics Global Services Limited
Q3 FY24 Earnings Conference Call "

February 09 , 202 4

MANAGEMENT : MR. RAHUL KANODIA - VICE CHAIRMAN AND CHIEF
EXECUTIVE OFFICER
MR. SANDEEP MANTRI - EVP AND CHIEF FINANCIAL
OFFICER

MR. MITUL MEHTA - EVP AND CHIEF MARKETING
OFFICER

MODERATOR : MS. ASHA GUPTA , E&Y LLP - INVESTOR RELATIONS

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Moderator: Ladies and gentlemen, good day and welcome to Data matics Global Services Limited Q3 FY24 Earnings Conference Call . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*” then “0” on your touch -tone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Asha Gupta from E &Y Investor Relations. Thank you, and over to you, ma'am.

Asha Gupta: Thank you, Nirav. Good evening to all participants in the call today. Welcome to Q3 FY24 earnings call of Data matics Global Services Limited. The results and presentation have already been mailed to you and you can also view it on Data matics website. In case anyone has not received the copy of press release or presentation , please do write to us and we will be happy to send you the same.

To take us through the results today and to answer your questions, we have with us the top management of the company represented by Mr. Rahul Kanodia – Vice Chairman and CEO, Mr. Sandeep Mantri – EVP and Chief Financial Officer , Mr. Mitul Mehta - EVP and Chief Marketing Officer. Rahul will start the call with the b rief overview of the quarter on the business , which will be then followed by Sandeep, who will take us through the financials . We will then open the floor for Q&A session.

As usual, I would like to remind you that anything that is said on this call which gives any outlook for the future or which can be construed as forward -looking statement, must be viewed in conjunction with the risk and uncertainties that we face. These risks and uncertainties are included but not limited to what we have mentioned in the prospectus file d with the SEBI and subsequent annual report which you can find on our website.

With that said, I will now hand over the call to Mr. Rahul. Over to you, Rahul.

Rahul Kanodia: Thank you very much and a very warm welcome to all of you on the Call. Thanks for joining our Q3 FY24 Earnings Call today. We wish everyone a Happy New Year and we are glad to have you on the call today.

I will briefly discuss some of the key quarterly performance highlights while Sandeep will provide an update on the financials , after which, of course, we will open the floor for questions and answers.

We have completed the nine months of FY24 and witnessed a revenue growth of 9% and an EBIT growth of 14.8% on a year -on-year basis. The performance has been even across all the three segments.

Regarding quarterly performance, our revenue declined 0.9% on a year -on-year basis and 2% on a sequential basis. Q3 is generally a weaker quarter in the industry, and we are no exception to this trend. The decrease in revenue during Q3 is attributed to a delay in the commencement
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of new projects, while the ramp -up of operations has already kicked off. We have noticed slowness in decision making of large deals in the Western markets. Nevertheless, we continue to add new customers at a steady rate. We added 12 new customers during Q3 of 2024 and our new deal pipeline continues to remain healthy.

We are happy to be in the Forbes Asia 200 best under a billion -dollar company. The list comprises of the top 1% of 20,000 listed companies in Asia. It is a recognition of our outstanding corporate performance over the years by enabling enterprises to go deep in digital to create operational efficiency, superior customer experience, and sustainable competitive advantage. I take this opportunity to thank all our stakeholders, including employees, customers, and shareholders for being an integral part of our j ourney.

With that, I

will now hand over the call to our CFO, Mr. Sandeep Mantri. Sandeep, over to you.

Sandeep Mantri: Thank you, Rahul. Welcome everyone and thank you for joining us in Q3 FY24 Earning Call. Let me start with the financial performance of Q3 FY24 and then I will take you through the 9 - months numbers as well :

Our Q3 FY24 revenue stood at INR 369.3 crores which is a slight decline of 0.9% on a Y-o-Y basis and 2% on a sequential basis. Our consolidated EBITDA for this quarter was at INR 52.6

crores which is decline by 10.7% on a Y-o-Y basis and sequential basis as well. Our EBITDA margin for the quarter is at 14.3% as compared to 15.8% in the last year same quarter and 15.6% on a sequential basis.

Our consolidated EBIT for the quarter was at INR 43.7 crores , which is down 12.9% on a Y-o-Y basis. EBIT margin for the quarter was at 11.8% as compared to 13.5% in the last year same quarter. Our quarterly PAT after NCI was at INR 41.3 crores which is 10% decline on a Y-o-Y basis. PAT margin for this quarter was at 10.9%. Our tax rate for this quarter was at 23% compared to 25.3% on a Y-o-Y basis. The primary reason for the decrease in tax rate is normally change in the profit mix of various legal entities. EPS for the quarter was at INR 7.01 per share, which was lower than last year same period which was at INR 7.78 per share.

Talking about segment wise revenue performance , our digital operation revenue for the quarter was at INR 160.4 crores which is a growth of 4.9% on a Y-o-Y basis. Digital operation EBIT margin was at 16.5% and its contribution to total revenue was 43%. Digital experience revenue was at INR 57.5 crores , a decline of 6% on a Y -o-Y basis. EBIT margin for digital experience was at 15.4% and contribution to total revenue was 16%. Digital technology revenue was at INR 151.4 crores which is a contribution to total revenue of 41%. Revenue declined by 4.6% on a Y-o-Y basis. The margin in this segment was at 5.5%. We continue to maintain a healthy balance sheet as of December 31st.

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Our total cash and investment stood at INR 595 crores compared to INR 581 crores in the last quarter. So, there is a slight increase in the cash balance. Our DSO was at 60 days as of December 2023 as compared to 63 days in the last quarter.

In terms of geographical footprint, US remains our largest geography with 54% coming from US followed by India at 24%. The rest of the world including the UK and Europe was at 22%.

In terms of industry footprint, BFS I continued to remain the largest segment for us, which includes 26% of our total revenue, followed by Technology and Consulting which stood at 24% and post that Education and Publishing stood at 13%, Manufacturing, Infra and Logistics at 12% , Non-profit or non -governmental organization was at 1 1%, Retail contributed 10% of our total business, and other segments are 4% of our total revenue. If we talk about client concentration, it is very healthy with the top 5, 10 and 20 clients contributing to 23%, 35% and 49% respectively.

Now coming to 9 months financials , our 9 months revenue was at INR 1,137.2 crores which is a growth of 9% on a Y-o-Y basis. Our EBITDA was at INR 179.3 crores, which is a growth of 13.2% and EBITDA margin stood at 15.8%. Our EBIT was at INR 151.9 crores and EBIT margin stood at 13.4%. The tax rate for nine month was at 19.2% compared to 22.3% last year in same period. Our PAT after NCI was at INR 145.6 crores compared to INR 129.2 crores, which is a growth of 12.7% on a Y-o-Y basis. EPS for the full nine month was at INR 24.71 per share as compared to INR 21.92 per share. So, there is a growth of 12.7% in terms of EPS for 9 months.

If we see segment -wise results for the 9 months of FY24, Digital operation revenue was at INR 491.9 crores , which is up 10.9% on a Y -o-Y basis. Digital operation EB

IT margin was at 18.4%.

Digital experience revenue was at INR 182.2 crores , which is again up 14% on a Y-o-Y basis. Digital experience EBIT margin was at 18.8%. Digital technology revenue, we were at INR 463 crores , which is up 5.3%. The EBIT margin was at 5.8% for this segment.

With this, I will now pass on the call to operator to open the floor for questions. Thank you for your patience and continued interest in Datamatics . Thank you.

Moderator: Thank you very much. We'll now begin the question -and-answer session. First question is from the line of Shubhankar Oja from SKS Capital Research. Please go ahead.

Subhankar Oja: I have listened to the initial remarks . So, I was asking about you commented on the delay in some projects which is why the revenue declined by 1%. Can you give some detail on that? And where is it now with respect to the commencement of the project?

Rahul Kanodia: The projects have taken off more slowly than expected. So, they are not going at full steam. They are but softer than we had expected. So, two-three things are happening in the decline. One is the projects are taking off slowly. Some of the decision making is slower. In any case Q3 tends to be a little weaker quarter for us, particularly because we are ramping up for Q4. So, some of

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these things are really outside of our control in terms of the slowness in the decision making.

That's the primary reason.

Subhankar Oja: So, now with 9% growth for 9 -months , what is your expectations now with respect to FY24 all

growth guidance?

Rahul Kanodia: Q4 of this year, which is Jan -Feb-March, we expect that we will grow in the vicinity of about 11% to 12% on a sequential quarter basis. And therefore, that means for the year, we should end up somewhere between 4.5% -5% roughly in top line basis for the full year.

Subhankar Oja: I missed that. Did you say 12% on a sequential basis for Q4?

Rahul Kanodia: Yes, sequential basis we are looking at somewhere around 11 %-12% sequential quarter growth and therefore the year should end up at about 4 %-5% for the full year. Because Q4 of last year also we grew at about 11%. Yes, so the base is high basically for quarter, for last year .

Subhankar Oja: And with respect to the use of cash, is there anything that you want to update us with respect to the inorganic growth?

Rahul Kanodia: Yes, so as we mentioned earlier, we have been in dialogue with some companies. We have looked at as to date over 200 companies. Right now , we are in active dialogue with a few of them. But obviously it's too early to say anything, but we are in active dialogue with some companies. And hopefully if that goes well and it matures, we should have some transaction, but it's a little early for me to say that. The good news is that there's an active dialogue , we have been in touch with them for some time.

Moderator: Thank you. Next question is from the line of Grishma Shah from Envision Capital . Please go ahead.

Grishma Shah: Sir, I wanted to know what's the outlook going ahead across various segments. And we see margins stabilizing in the segment where we were finding this is tough compared to year on year. If you could tell us how each of these segments are looking while you laid down the outlook for the entire year ?

Rahul Kanodia: So, each of the segments has had an even performance. We are seeing this behavior of slowdown across all the segments, so there's no particular segment standing out. In the customer experiences as you know two quarters back one project came to an abrupt end. So, that has continued the impact on digital experiences. As far as the margins are concerned, we have stabilized the margins. In fact, next year I expect an improvement because we have done some degree of automation. So, I'm speaking a little out of turn, but next year we should see healthier

margins because of the automation but in terms of the revenue performance so far for the year, all three segments of ours have been approximately evenly impacted.

Grishma Shah: But the digital technology segment has seen some margin stabilization, right?

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Rahul Kanodia: That should improve.

Grishma Shah: If you could tell us what's happening in that segment, and how do you see margins for that segment, say maybe next year or directionally over medium term?

Rahul Kanodia: Yes, so for that segment, we are using AI to automate and we expect that should improve productivity . So, we are tightening our belt in terms of productivity, and I do expect the margins on digital technologies to improve in the next financial year.

Grishma Shah: And we did win some contracts between Q2 and Q3. So, anything major that you could share for the outlook going ahead?

Rahul Kanodia: So, in the contracts we won, we did announce one large deal. But that is, as I said, going a little slower than we had anticipated. And therefore, it's not showing up in the revenues as actively or as aggressively as we thought it would. Having said that from a pipeline point of view, last time we had talked about \$290 million pipeline. That pipeline is fairly healthy, and we are at about \$245 million right now. So, that remains roughly at a healthy rate. This year, this quarter, we've closed 12 new customers. So, the closure of customers is at the same pace that we had earlier as well. It is just that they're slower in deciding and they're slower in ticking off. But we've closed 12 new customers. The run rate has been roughly in the same range in the previous quarter as well.

Grishma Shah: And what's the feedback on the product side? How is that segment picking up?

Rahul Kanodia: That segment is picking up well. We're getting a lot of interest. We've been in active dialogue with companies like Microsoft. Even though they've given very strong feedback on the products. So, we've closed a few deals as well. So, that is looking quite good.

Mitul Mehta: Yes, also last quarter we went live on Microsoft Marketplace, which is transactable, so that's also a channel which will help us reach out to a larger Microsoft customer base.

Grishma Shah: And what about the bidding for the metro projects in India? What's the progress on that?

Rahul Kanodia: So, the metro projects are all going well. We are right now in dialogue with three prospects in India and two in the US. So, we are trying to put more efforts in the US market , and we should be quoting for some of them. These are long gestation projects, so it's not that every quarter something happens, but we are well -placed for some of these projects that we're doing. As you know, we've almost completed Kolkata Metro , we made good progress in Delhi -Meerut RRTS corridor by NCRTC. . Mumbai Metro of course line 2A and 7 have gone live, line 2B is just

about to start. So, I think we are well placed with that.

Grishma Shah: And in general, price increases for next year would be difficult to come by?

Rahul Kanodia: Yes, I would imagine so. I don't think the markets will respond to a price increase. I think the key focus next year will be for improving margins, the productivity more than the price increase.

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February 09 , 2024

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Moderator: Thank you. The next question is from the line of Parvati Rai from Equentis Wealth . Please go ahead.

Parvati Rai: I just heard you speaking on the margins that next year it should be an improvement, given the automation and the other work, so I would like your thoughts on what would be the exit margin for this year that you're looking at on EBITDA?

Rahul Kanodia: This year we are at about 14% something. So, I think it should be a little better. But we are right now, as I said, in the pl

anning phase. We will spend this quarter , planning our numbers for next year. So, maybe in the next call we could probably give more insight into that space. But it should certainly be better than this year.

Parvati Rai: And the other point that you made on margin is that especially with respect to digital technologies, where you did mention that it's kind of stabilizing. In the previous quarter, you did highlight while it will be low single digit for now, you're also looking at a 7 % to 8% range. So, does that still stand and by when are you looking at that range achievable?

Rahul Kanodia: Certainly , next year we should be in that range.

Parvati Rai: Some more outlook from the deal perspective or the macro -outlook because since you mentioned that decision making is slow and delay in large deals and given the revenue growth has been far timid from last quarter we did pull back on the guidance. So, for the next couple of quarters, how are we kind of expecting the market outlook, macro situation?

Rahul Kanodia: So, we still have to see in terms of the macroeconomic scenario as to what happens with the US, with the war in Israel, and the Ukraine -Russia war. So, all of that is still sort of a little unknown.

Having said that, as I mentioned, we are right now doing our detailed planning for next year. So, probably in the next two months I should have a handle on that.

Moderator: Thank you. As there are no further questions, I will now hand the conference to the management for closing comments.

Rahul Kanodia: Thank you very much and thank you all for participating in today's quarterly call. I look forward to engaging with you once again in the next quarter and I'm sure we'll look forward to a good next year. So, thank you very much for being on the call.

Moderator: Thank you very much. On behalf of Datamatic s Global Services Limited that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Apr 2024

DATAMATICS GLOBAL SERVICES LTD.

Knowledge Centre, Plot 58, Street No. 17, MIDC, Andheri (East), Mumbai - 400 093. INDIA | Tel: +91 (22) 6102 0000/1/2
| Fax : +91 (22) 2834 3669 | CIN: L72200MH1987PLC045205 | business@datamatics.com | www.datamatics.com April 05, 2024

To,
Corporate Communication Department
BSE Limited
Phiroze Jeejeeboy Towers,
Dalal street, Mumbai - 400 001. Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051.
BSE Scrip Code : 532528 Symbol : DATAMATICS

Sub.: Transcript of conference call with Analyst

Dear Sir/Madam,

Pursuant to Regulation 30 and Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, we would like to inform you that the Company has held a conference call with the Analysts on call on Tuesday, April 02, 2024 at 04:00 pm IST for the Acquisition of Dextara Digital Private Limited .

Please find at tached transcript of the call for Acquisition of Dextara Digital Private Limited .
The same can be accessed on the below mentioned link:

<https://www.datamatics.com/about-us/investor-relations/earnings-call>

Kindly take the above on your record.

Thanking you,

For Datamatics Global Services Limited

Divya Kumat
EVP, Chief Legal Officer and Company Secretary
(FCS: 4611)
Encl.: As above

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"Datamatics Global Services L imited
Dextara Digital Private Limited Acquisition
Conference Call"
April 02, 202 4

MANAGEMENT : MR. RAHUL KANODIA - VICE CHAIRMAN AND CHIEF
EXECUTIVE OFFICER
MR. SANDEEP MANTRI - EVP AND CHIEF FINANCIAL
OFFICER
MR. MITUL MEHTA - EVP AND CHIEF MARKETING
OFFICER

MODERATOR : MR. PRATIK JAGTAP , E&Y LLP - INVESTOR
RELATIONS

Datamatics Global Services L imited
April 02, 2024

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Moderator: Ladies and gentlemen, good day, and welcome to the Datamatics Global Services Limited's discussion on acquisition of Dextara Digital Private Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pratik Jagtap from E&Y LLP. Thank you, and over to you, Pratik, sir.

Pratik Jagtap : Thank you, Sagar. Good afternoon, all participants, and thank you for joining us in this call. This call is to discuss Datamatics' acquisition of Dextara Digital Private Limited. The press release have already been mailed to you and you all can also view it on website, www.datamatics.com. It is also uploaded on stock exchanges. We would recommend sticking to the questions only related to the acquisition, that is a request, and this is a 30-minute call, so hence, request all the participants to restrict your questions to one per person, so that the management can address most of the questions.

To take us through the conference today and to answer your questions, we have with us the top management of the company represented by Mr. Rahul Kanodia, Vice Chairman and CEO; Mr. Sandeep Mantri, EVP and Chief Financial Officer; Mr. Mitul Mehta, EVP and Chief Marketing Officer. Rahul start the call with a brief update on transaction, which will be then followed by Sandeep, who will share the financial details. We will then open the floor for Q&A session. As usual, I would like to remind you that anything that is said on this call, which gives any outlook for the future, or which can be construed as a forward-looking statement must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included, but not limited to what we have mentioned in the prospectus filed with the SEBI and subsequent annual reports, which you can find on our website.

With that said, I'll now hand over the call to Mr. Rahul. Over to you, Rahul, sir.

Rahul Kanodia : Thank you very much, Pratik, and good afternoon to all of you attending this call this afternoon. The agenda of this call is essentially to discuss the acquisition we made of Dextara Digital. So obviously, since we are in the silent period post the quarter ending, we will restrict our discussions only to this acquisition.

The Dextara acquisition aligns with our growth strategy of focusing on hyperscalers and the U.S. market. Salesforce, as many of you may know, is one of the largest enterprise product companies in the world and 95% of the Fortune 100 companies use their platform. Dextara has been growing very rapidly and in the short span of 4 years, they have achieved the highest level of Summit partnership with Salesforce.

Along with the deep Salesforce expertise and products, Dextara brings with it an extremely capable management team that has managed global operations of \$1.2 billion with 20,000 people. They have a broad client base, as well as a good portfolio of industries that have specific interest to Datamatics.

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The company has developed products such as Dextara CPQ, DXHealth + and DXTemplates and these align with Datamatics strategy of continued differentiation and growing in a more linear fashion. This acquisition will enhance our ability to cross-sell Salesforce services into our existing customer base. The credentials and our scale will allow us to open up many more opportunities and improve our visibility and relationship with Salesforce.

With that said, I will now hand over to Sandeep Mantri, who will

discuss the financials.

Sandeep Mantri : Thank you, Rahul. As Rahul mentioned, this is a strategic acquisition for us in line with our strategy to grow in hyperscalers. Dextara was founded in 2019 and within a span of four years, they have grown to a revenue of \$7.2 million, with healthy EBIT margin of almost at 16.5%.

This margin will be EBIT accretive to Datamatics. With this acquisition, our EBIT in digital technologies sales should grow by about 90 basis points, which is 0.9% of the EBIT with technologies business currently. In terms of revenue, this acquisition will help getting another 10% revenue growth in the coming year, so that's about the revenue and the margin.

On the revenue customer profile, approximately 85% of their revenue is coming from Western markets, within U.S. and U.K., and 15% will be from Asian market, primarily India. They are a pure-play Salesforce company. Salesforce business is growing business and growing 20%, 25% worldwide in the last three years, market is huge. So, it is estimated to be 50 billion by 2026. So, we have a lot of opportunity in this market. We will pay a total of \$17.3 million, out of which \$14.3 will be upfront and \$3 million will be over a period of two years. In addition to this, we will pay up to \$3.7 million on achievement of certain business targets in the next two years. All these things will be from internal accruals and internal resources. This is all about financials and consideration. And with this, I would like to hand over to moderator for Q&A. Thank you.

Moderator: The first question is from the line of Grishma Shah from Envision Capital. Please go ahead.

Grishma Shah : Congrats on the acquisition. And I just missed the EBIT margin numbers, Sandeep. Can you please repeat that?

Sandeep Mantri : EBIT margin is about 16.5%.

Grishma Shah : 16?

Rahul Kanodia : Yes, EBIT is 16.5% and EBITDA is about 19 %.

Grishma Shah : Okay.

Moderator: The next question is from the line of Mihir Manohar from Cernelian Asset Management. Please go ahead.

Mihir Manohar : Congratulations on this acquisition. This is a very interesting differentiated capability that we are trying to develop in this company. That's really good. Sir, I had questions on the synergy side. Likely wanted to understand how are we exactly going to drive the synergies? Will it be like Salesforce capability getting sold to our existing customers? Or the other way? If you have to throw some more light as to what kind of synergies could be there on revenue and margins?

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And what will drive that? And how to understand 1 plus 1 in this structure? That was my first question.

Second question was on the retaining. I mean, are the promoter group and management going to be retained for a certain period of time? I just wanted to understand that.

Rahul Kanodia : So yes, we will retain the entire management team. When we buy services company, what we really have is a core team of people, and people are very critical. So yes, the agenda is to retain them. They do not have an exit agenda.

In terms of the synergy that we foresee, there are three elements that we expect: one is to cross-sell into our customer base. Datamatics has a large customer base of over 300 customers, and this will allow us to take Salesforce competence into the customer base and therefore, do a lot more business. So that's one.

Second is that this company has a few large accounts as well, and we will cross sell other services into those accounts. So that allows Datamatics to grow some of the other businesses. And the third is that with the scale that Datamatics brings to the table and the competence that they have, we will be able to target much larger deals. Until now, Dextara could not target very large deals. But with the Datamatics platform, they would be able to target much larger deals. So all o

f these

three together will give us the benefits that we are planning to achieve through this acquisition.

Also, the management team has, in the past, run very large operations of over \$1.2 billion or 20,000 people. So the management team has a very deep intrinsic capability of running large and complex deals, which I think they will be able to leverage to the benefit of Datamatics.

Mihir Manohar : Sure. Sir, the 300 customers that you mentioned, I mean, how many customers have just accounted on limited Salesforce capability?

Rahul Kanodia : How many of our 300 customers have Salesforce? Approximately about 25% to 30% of them have Salesforce with them.

Mihir Manohar : Okay. So over there, you will need to discuss the existing vendors?

Rahul Kanodia : Yes, we have to cross-sell there.

Mihir Manohar : Ok sure. Yes that's it from my side

Moderator: Thank you. The next question is from the line of NGN Puranik from Enam Asset Management.

NGN Puranik : Rahul, congrats on this acquisition. Looks interesting.

Rahul Kanodia: Thank you very much, sir.

NGN Puranik : I want to understand what's the background of the founders of this company or where has been around?

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Rahul Kanodia: So the founders have spent a large part of the career with Virtusa. They've lived in the U.S. as well as India. And they've grown the operation significantly. The main founder, Sreekanth has run an operation of 2 0,000 people under the \$1.2 billion operation, and he scaled it from a very small company to a large company, where he was Executive VP there.

There are one or two other senior people in the company. They come with the vast experience and background.

NGN Puranik : They have 150 clients and 600 projects. So the average revenue per client works out to be small.

When they come into your fold, how will you get them to a meaningful size? So that will happen at the every deal level? So if your average transaction size is I NR30 lakhs, INR40 lakhs, how do you take it to \$100,000, \$0.5 million? So a lot of enterprise cross -sell need to happen. So what solutions you have to bundle with?

Rahul Kanodia: Correct. So when we look at the profile of their Salesforce deals, which is what you're alluding to, and you look at our Salesforce deals. Because of their size, they started only 4 years ago. So they were very small. So for them to get larger deals is difficult and therefore, they have to take many small, small deals. As you likely pointed out, it's \$30,000, \$40,000, around \$50,000, maybe \$100,000. At Datamatics, these are in the range of about \$0.5 million. And sometimes, even \$1 million or \$2 million or \$3 million. So one is that by joining Datamatics, they can bid for larger deals, which they could not earlier because sense of the balance sheet that Datamatics brings to the table.

Second is that Datamatics itself is generating a pipeline of many large deals, which they could not do themselves because of the small size. So they can now plug into that and convert those deals. So we expect the deal conversion to go up and the deal value to go up as well significantly. What we have really bought is a very strong capability and competence. Because of the Summit level partnership, the technical architecture they have in the organization, these things make a big difference and the ability to convert these large deals.

NGN Puranik : So you will be getting a number of market -facing guys in the team and plus the leadership level, you get have a couple of guys in this acquisition?

Rahul Kanodia: Absolutely. We will get that, and we also get a very good U.S. presence. They have about 20 - odd people physically in the U.S., which are very good people, and that's really helps in engaging with the American customers . So we have local expertise in America as well as in India.

NGN Puranik : Right . How do you construct

a \$0.5 million deal, so which include Salesforce and which includes your own stand -alone solutions?

Rahul Kanodia: So, I'm talking about \$0.5 million deals are around Salesforce itself. Now the moment you bundled Datamatics and services along that, those deals will become much larger. And these people have run large operations globally. So they are very comfortable wit h multi -competence or multiservice line transactions with customers.

NGN Puranik : And we will expect about 10 accounts at least to the \$1 million plus annual revenue?

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Rahul Kanodia: We have just started. We just engaged with them. Now we will go into a deep dive with each account that we have. Make a business plan with them. All that like what will happen now.

NGN Puranik : So what exactly they do when they say Salesforce implementation? Is there any standard tools and methodologies which they use to implement Salesforce in an enterprise? How do they do?

Rahul Kanodia: Correct. So they have a couple of products that they have, which is Dextara CPQ, DXHealth + and DXTemplates. These are 3 platform products that they've built, which help s them to sell.

Outside of that, they have a deep expertise in Health cloud, Service cloud, Sales cloud. So a lot of these areas is where the customers really are spending today.

NGN Puranik: Excellent. So we can build an enterprise health care practice potentially?

Rahul Kanodia: Absolutely .

NGN Puranik: Wonderful. We are on target , congratulations.

Rahul Kanodia: Yes.

Moderator: Thank you. The next follow -up question is from the line of Grishma Shah from Envision Capital. Please go ahead.

Grishma Shah: I also wanted to understand, they do implementation , and they have these products. What is their revenue breakup in terms of platform products and implementa tion services? That's question

one.

Rahul Kanodia: Yes. We don't have that breakup. They sell the platform in certain cases, and then they build on top of that, plus they provide services anyway. So they are not a hardcore product company. They're mostly a services company. The platform gives them an edge and it's a differentiator when they are selling it to the customer because they've got some very nice features and functionality in the product. But predominantly, it's a service itself. We will be able to take these products into our customer base.

Grishma Shah: Okay. What Dextara has done in, Feb '23, was they acquired Revolution Group's Salesforce Services Division, right?

Rahul Kanodia: Yes.

Grishma Shah: So, what expertise that Revolution bought into it? And did that help to grow them faster in FY '24. Is that the key reason for strong growth? Or what's the reason?

Rahul Kanodia: So obviously, whenever you do an acquisition, it does boost your growth. So yes, it did contribute to the growth, but they were growing organically anyway at a very rapid pace. The credentials of the certifications are all there. It's not that the acquisition of those credentials. As far as the acquisition is concerned, the key thing it gave them is good U.S. presence with strong technical expertise on the ground in the U.S.

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So as you engage your customers there and you have strong technical architects and designers over there, that makes a big difference in the customer engagement and therefore, scaling those opportunities. That is a good move, I think, on their part to acquire this company so that they could get a U.S. presence, physical presence with strong technical capabilities.

Grishma Shah: So the entire team, top management team would stay with you? Or the delivery team will also be with us?

Rahul Kanodia: The entire team will stay with us.

Grishma Shah: Okay. And the operations will be managed out of Hyderabad?

Rahul Kanodia: It's global. Actual

ly, we have operations in Mumbai and Bangalore as well as in the U.S. So their operations are largely in the U.S. and Hyderabad. This team will manage the entire Salesforce practice for Datamatics as well as Dextara, we'll just merge it all into one.

Grishma Shah: Okay. So what are we offering in Salesforce? So I know that they offer a lot of the CPQ solutions as they mentioned on their website. So what are we doing in Salesforce?

Rahul Kanodia: We have a much smaller footprint. But mostly, we are doing service cloud and our Salesforce generic practices. We've been able to implement some AI into our Salesforce practice, which we'll also put into their with the Gen AI and all of that sort of stuff. So we will incorporate those, and that will enhance their value proposition also.

Grishma Shah: So our expertise is different than what they do?

Rahul Kanodia: Yes, slightly different. There's some degree of overlap. We have a little more expertise on the AI front, but their expertise is much deeper and much broader, us is relatively smaller.

Grishma Shah: So basically, the team from Dextara would lead the entire Salesforce practice for us?

Rahul Kanodia: That is correct. Yes.

Grishma Shah: Okay. And one bookkeeping question. We're paying upfront \$14.5 million upfront. And what is it that we are paying later?

Sandeep Mantri: The \$14.3 million we are paying upfront, then \$3 million is fixed consideration, which will be paid over the next 2 years. And then we have additionally \$3.7 million various business parameters-based consolidation. So if they achieve those business parameters, we will pay. Otherwise, we will not.

Grishma Shah: Okay. Thank you so much and good luck.

Rahul Kanodia: Thank you.

Moderator: Thank you. The next question is from the line of Mihir Manohar from Carnelian Asset Management. Please go ahead.

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Mihir Manohar: Hi. Thanks for taking the follow-up. So, I just wanted to understand that this company has achieved the summit level partnership, I mean, in a few years itself. So, I just wanted to understand how important is or how difficult or how easy is it to get that level of partnership? And in your sense, what is the USP of this company, again, the fact that in a four-year time period, it has become a INR 60 crores revenue and also obtained the summit level partnership, which is there?

Second question was just on the vertical side, I mean, which are the key verticals, you mentioned healthcare. If you can provide the number bifurcation as to which are the verticals which are there? Or what percentage of revenue is coming from which verticals? And even the geography side? That will be useful.

Rahul Kanodia: So, geography side is mostly the U.S., which is our focus. As Sandeep Mantri mentioned that 85% is U.S. So, that's where it is. In terms of summit level partnership, it's not easy to achieve that in such a short period. I mean can you achieve that? The answer is yes. But a four-year period is a very short period. And therefore, I think they've really done a fantastic job and feels very well.

You need to have deep technical expertise and certifications approved by Salesforce to achieve that. So you've got to have a very successful track record, very good client references and deep technical depth. So, that makes a difference. Now this will also help us because the moment we engage, our engagement with Salesforce will go up several notches because we will be at that level of partnership. And then the scale that Datamatics brings to the table, roughly, our revenue is about \$200 million. So, that brings us into the radar of Salesforce and will be far more visible. And therefore, our relationship with Salesforce will improve, which, of course, will result in a better business.

Mihir Manohar: Sure, sure. And among verticals is it like healthcare is 70%, 75%

of the business? How is it?

Rahul Kanodia: Manufacturing, healthcare and retail, these are three verticals.

Mihir Manohar: I just wanted to understand the pay-out that we are doing is all-cash consideration. I mean, given the fact that the management team is so good and plus the Salesforce implementation capability.

Just so you're also looking to retain the talent. So, why not the share swap transaction and why all-cash transaction? I just wanted to have understanding on that.

Rahul Kanodia: So, we still believe that Datamatics is not fairly valued in the market. So, if we did a swap, we believe we'll be selling cheap. I think Datamatics needs to have a more realistic value on the stock market, and therefore, we didn't do a swap.

Mihir Manohar: Sure. So are we going to have any ESOP policy, for the talent that we're acquiring?

Rahul Kanodia: I can't talk about the ESOP policy. Right now, there's nothing. At some point, if the Board decides, we may offer, that's a different discussion. But right now, there's nothing.

Mihir Manohar: Sure sir. Thank you very much.

Datamatics Global Services Limited

April 02, 2024

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Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to the management for closing comments.

Rahul Kanodia: Thank you, everyone, for being on this call. It's been a pleasure talking to you, and we are very bullish about this acquisition. We hope that it will give us the upside that we're looking for. And the focus on the hyperscalers will just give us the push that we are strategizing to achieve. So, thank you very much for being on the call, and hopefully, we'll meet you again at our earnings call at the end of the quarter. Thank you, very much.

Moderator: Thank you. On behalf of Datamatics Global Services Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2024

DATAMATICS GLOBAL SERVICES LTD.

Knowledge Centre, Plot 58, Street No. 17, MIDC, Andheri (East), Mumbai - 400 093. INDIA | Tel: +91 (22) 6102 0000/1/2
| Fax : +91 (22) 2834 3669 | CIN: L72200MH1987PLC045205 | investors @datamatics.com | www.datamatics.com May 14, 2024

To,
Corporate Communication Department
BSE Limited
Phiroze Jeejeeboy Towers,
Dalal street, Mumbai - 400 001. Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051.
BSE Security Code : 532528 NSE Symbol : DATAMATICS

Sub.: Transcript for Q4FY24 Earnings Conference Call

Dear Sir/Madam,

Pursuant to Regulation 30 and Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, we would like to inform you that the Company has held a conference call with the Analysts / Investors on Thursday, May 09, 2024 at 04:00 p.m. IST for management discussion on Audited Standalone and Consolidated Financial Results for the quarter and year ended March 31, 2024.

Please find attached transcript of the call on Audited Standalone and Consolidated Financial Results for the quarter and year ended March 31, 2024. The same can be accessed on the below mentioned link:

<https://www.datamatics.com/about-us/investor-relations/earnings-call>

Kindly take the above on your record.

Thanking you,

For Datamatics Global Services Limited

Divya Kumari
EVP, Chief Legal Officer and Company Secretary
(FCS: 4611)
Encl.: As above

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"Datamatics Global Services Limited
Q4 FY'24 Earnings Conference Call"
May 09, 2024

MANAGEMENT : MR. RAHUL KANODIA – VICE CHAIRMAN AND CHIEF

EXECUTIVE OFFICER
MR. SANDEEP MANTRI – EXECUTIVE VICE PRESIDENT
AND CHIEF FINANCIAL OFFICER
MR. MITUL MEHTA – EXECUTIVE VICE PRESIDENT
AND CHIEF MARKETING OFFICER

MODERATOR : MR. PRATIK JAGTAP – E&Y INVESTOR RELATIONS

Datamatics Global Services Limited
May 09, 2024

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Moderator: Ladies and gentlemen, good day, and welcome to Q4 FY'24 Earnings Conference Call of Datamatics Global Services Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Pratik Jagtap from E&Y Investor Relations. Thank you, and over to you.

Pratik Jagtap: Thank you, Yasha shri. Good afternoon to all participants in the call today. Welcome to the Q4 and full year FY'24 Earnings Call of Datamatics Global Services Limited. The results and presentation have been already mailed to you, and it is also available on the website of Datamatics. In case anyone has not received a copy of this release and presentation, please do write to us, and we will be happy to send you all.

To take us through the results today and to answer your questions, we have with us the top management of the company represented by Rahul Kanodia, Vice Chairman and CEO; Sandeep Mantri, EVP and Chief Financial Officer; and Mitul Mehta, EVP and Chief Marketing Officer. Rahul will start the call with a brief overview of the quarter on business, which will be then followed by Sandeep talking on financials and then we will open the floor for Q&A session. I would like to remind you that anything that said on this call, which gives any outlook for the future or which can be construed as forward-looking statements must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included, but not limited to what we have mentioned in the prospectus filed with the SEBI and subsequent annual reports, which you can find on our website.

With that said, I now hand over the call to Rahul sir. Over to you, sir.

Rahul Kanodia: Thank you, Pratik. A very warm welcome, and thank you, everyone, for joining our quarterly Q4 FY'24 call today. We are glad to have you all on this call with us. I will briefly discuss some of the key quarterly and full year highlights, while Sandeep will provide an update on the financials, after which we will open the floor for Q&A.

We are happy to end the Q4 FY'24 on a healthy note. Our revenue increased by 11.8% and EBIT increased by 27.8% on a quarter-on-quarter basis. For the FY'24, we witnessed a revenue growth of 6.2% over FY'23, and we're able to maintain double-digit EBITDA margins at 15.7%. We added 10 new customers during the Q4FY'24. Our Digital Experiences margin has taken a hit during the year. However, we have eliminated the loss-making projects. Therefore, we will see an improvement in margins through the course of the next financial year. Our Digital Technologies margin should also improve for multiple reasons. One, we have installed a new leadership team and implemented several cost control measures. Two, we are putting a greater focus on hyperscalers. And three, we are foreseeing a growth in revenues from our intelligent automation products.

Last quarter, I had updated to you that Datamatics featured in the Forbes Asia's 200 Best Under a Billion Company. I am happy to share that we are now part of Dun & Bradstreet list of top 500 Datamatics Global Services Limited
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value creators. It is a recognition for the value we have created for all our stakeholders as well as our outstanding corporate performance over the years. I'm happy to share that we have recommended a total dividend of INR 5 per share, that is 100% of the face value of INR 5 each for the year ended March 2024.

As we step into FY'25, we will continue to focus on the Western markets, strengthen c

capabilities

along hyperscalers and penetrate deeper into existing accounts. In line with this, we recently acquired Dextara Digital, a platinum-level provider of Salesforce services. Dextara acquisition

aligns with our growth strategy of focusing on hyperscalers and the US market. Dextara brings an extremely capable management team and a broad clientele across industries that is of specific interest to us. 25% of Datamatics customers use Salesforce as a platform. And with Dextara's strong credentials, we will be able to service our customers better and look forward to helping them go deep in Salesforce.

For FY'25, we remain bullish on the opportunities that artificial intelligence presents to us. We have stepped up our investments in AI and are working closely with Microsoft and Google. We have built our own customizable, small language model and copilot and we will be showcasing these capabilities at various industry events in the coming year. We have also built an AI framework for our digital experiences business. Through the financial year, we have executed 10 projects in AI. Furthermore, we have incorporated Gen AI in our intelligent automation suite of products and have rolled it out to over 30 customers. On a separate note, we have strengthened our management team and inducted several senior members into the organization. We will continue to augment the team through the course of the next year. We see the Western world slowing down on their technology and outsourcing spends due to the uncertain macroeconomic environment. However, we expect a growth of 7% to 8%, while maintaining the current margins for the next financial year.

I take this opportunity to thank all our stakeholders, including employees, customers, and shareholders for being an integral part of our journey. With that, I will now hand over the call to our CFO, Mr. Sandeep Mantri. Sandeep, over to you.

Sandeep Mantri: Thank you, Rahul. Welcome, everyone, and thank you for joining us in Q4 FY'24 earnings call. Let me start with the financial performance for the Q4 FY'24 and then I'll take you through the full year 2024 numbers as well.

Our Q4 FY'24 revenue stood at INR 412.7 crores, which is a growth of 11.8% on a sequential basis and a marginal drop of 0.9% on a Y-o-Y basis. Our EBITDA for this quarter was at INR 64.7 crores, which is up by 22.8% on a sequential basis. Our EBITDA margin for the quarter was up at 15.7% as compared to 14.3% in the last quarter. Our EBIT for the quarter was at INR 55.9 crores, which is up 27.8% on a sequential basis. EBIT margin was at 13% as compared to 11.8% last quarter. Other income stood at INR 15.9 crores, grew by 49.7% sequentially, primarily due to investment income and sale of Nashik property. PAT after NCI was at INR 52.5 crores, which is up by 27.2% on a sequential basis and down by 12% on a Y-o-Y basis. Our EPS for the quarter was at INR 8.9 per share, which was higher than last quarter, which was at INR 7.01, but lower than last year same quarter, it was at INR 10.13 per share.

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Talking about segment-wise revenue performance. Our Digital Operations revenue was at INR 202.4 crores, which is a growth of 26.2% on a sequential basis and 8.1% on a Y-o-Y basis. Digital Operations EBIT margin was at 23.5%, and its contribution to total revenue was 49%. Our Digital Experience revenue was at INR 61.8 crores, which is a growth of 7.4% on a sequential basis and 3.8% on a Y-o-Y basis. Its contribution to total revenue was 15%. EBIT margin for Digital Experience was 11.8%. Our Digital Technologies revenue was at INR 148.5 crores, declined 1.9% on a sequential basis and 12.4% on a Y-o-Y basis. EBIT margin is 0.7%. The contribution of Digital Technologies to total revenue was 36%.

Talking about FY'24 financials, our revenue was at INR 1,549.9 crores, which is a growth of 6.2% on

a Y-o-Y basis. EBITDA was at INR 244 crores, and EBITDA margin was at 15.7%.

Our EBIT was at INR 207.7 crores and margin was at 13.4%. Our other income was at INR 45.1 crores as compared to INR 38.7 crores last year. Tax rate for FY'24 was 21.4% compared to 23.9% in previous year. So there is an improvement in that rate. Our PBT was at INR 250.8 crores as compared to INR 243.4 crores in last year. PAT after NCI was at INR 198.2 crores compared to INR 188.9 crores in last year.

For the full financial full year, if we see segment, our Digital Operations revenue was INR 694.4 crores, which is 10.1% up from previous year. Digital Operations EBIT margin remains healthy at 19.9%. Our Digital Experience revenue was at INR 244 crores, which is 11.2% growth over previous year. And Digital Experience EBIT margin remains at 17.1% on a full year basis. Our Digital Technologies revenue was at INR 611.5 crores, which is slight up 0.4%. EBIT margin for Technology business was at 4.6%.

We continue to maintain a healthy balance sheet. As of March 31, 2024, our total cash and investment, we have zero debt, it stood at INR 653 crores. Post this, we have paid approximately INR 110 crores towards Dextara acquisition. Our DSO was at 67 days as of March '24, which is same as in March '23. In terms of geographical footprint, US remains our largest geo, with 54% of our business coming from US market, followed by U.K. and Europe at 13% and the rest of the world, including India at 33%.

In terms of industry footprint, technology and consulting was the largest segment for us, which constituted 27% of our revenue, followed by BFSI, which stood at 25% , then education and publishing, which is 12% and then manufacturing, infra and logistic, which is at 12% , non-profit or non -government organization were at 11%, retail at 9% of our business , other segment contributed about 4% of our total revenue. In terms of client concentration, it remains very healthy with top 5, 10 and 20 clients contributing 23%, 35% and 51%, respectively. With this, I will now pass on the call to operator to open the floor for questions. Thank you for your patience and continued interest in Datamatics.

Moderator: Thank you very much. We will now begin with the question -and-answer session. We'll take a first question from the line of Grishma Shah from Envision Capital.

Grishma Shah: Sir, curious to know why in quarter 4 the Digital Technologies divisions have seen such as sharp drop in margins?

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Rahul Kanodia: Yes. So primarily, as I mentioned in my address that we have invested very heavily in the AI space. So that is an important element. We've built our own small language models. We built our copilots. We've built frameworks for our Digital Experiences. So that requires investment . And therefore, you see the margin drop. As you know, we don't capitalize any of the IP development that we are doing. So that's the primary reason.

Grishma Shah: And you also mentioned that some of the low -margin clients you have done away with.

Rahul Kanodia: That is in the Digital Experiences space.

Grishma Shah: That is in the Digital Experiences space. Okay. Is that the reason that our collections have improved this year compared to last year?

Rahul Kanodia: Our current collections are steady at 67 days last year as well as this year. So it remains steady. Of course, quarter -by-quarter, there's some degree of fluctuation, but by and large, it is steady.

Grishma Shah: Dextara will be incorporated or included in our numbers from quarter 1?

Rahul Kanodia: That is correct, yes.

Grishma Shah: How much more money will there be there in the payout, INR 110 crores already given?

Rahul Kanodia: Yes. The balance payout is based on certain performance parameters. It depends on them hitting certain targets, but it could range somewhere around INR 60 cror

es, INR 70 crores depending
on performance.

Grishma Shah: We also have done some small acquisition of 23% remaining in a JV. What is that?

Rahul Kanodia: We had a small joint venture, which was focused on Salesforce. But after we acquired Dextara, we felt we did not need another entity also focusing on Salesforce. We acquired that, and we will roll this piece of business into the Dextara business.

Grishma Shah: So was that like a very big ?

Rahul Kanodia: No, it was a very small joint venture because we wanted to start the Salesforce business. We formed the JV and that started doing business. But since we acquired Dextara, we do not want to have 2 different entities doing the same Salesforce business. We acquired that 23%. It's now 100% subsidiary of Datamatics. And we'll merge the business with Dextara.

Grishma Shah: 7% growth guidance is with Dextara or without Dextara?

Rahul Kanodia: It is inclusive of Dextara. So organic growth, I would expect approximately 3% and about 4% will come from Dextara.

Grishma Shah: What is it that you are picking up from the environment because we have been growing 3%, 4% organic.

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Rahul Kanodia: Yes. So right now, we do see a slowdown in the world in terms of outsourcing and in terms of technology spend. And if you see many of the companies, they are looking at a very slow, single -digit kind of growth numbers. We are seeing that slowdown. And we expect that we will grow organic about 4%, and Dextara will contribute about 4%, which is inorganic, totalling to about 8% top line growth.

Grishma Shah: But Dextara will also continue to grow because it's on a smaller base and is a faster growing company.

Rahul Kanodia: That is correct. But we've just acquired them. They presented the plan. If they hit the plan, we should exceed it, but that needs to be seen because it's only been 1.5 months since we acquired them.

Grishma Shah: Okay. And next year, tax rate would be?

Sandeep Mantri: Tax rate would be more or less same, Grishma, which will be between 20% to 22% like last

year.

Moderator: We'll take our next question from the line of Nikhil Poptani from SMC Family Office .

Nikhil Poptani: So my first question is on the pipeline. Like in the quarter 3 con call, you said that we had a pipeline of INR 245 million. Where is the pipeline right now?

Rahul Kanodia: The pipeline is slowing down. And right now, it stands at about INR 200 million, and we can see that slowdown happening. And that's why we've been also a little soft on our projections for growth next year.

Nikhil Poptani: But we have increased our spending on marketing and sales, right? So how is that playing out ?

Rahul Kanodia: We are increasing our spend on sales, not so much on marketing. We are seeing an uptake in the product business; we are seeing an uptake in the AI space. We see a very strong pipeline also in the Digital Experiences space. However, in the Technologies space, the pipeline is a little soft.

Nikhil Poptani: And my question is on the AFC front. Like there is a lot of rebuilding happening in the United States the infrastructures. How are we targeting that? Are we eligible for those big orders or something like that? Do we have some kind of criteria?

Rahul Kanodia: Yes. There are 3 segments in the US. One is the road transport, one is a train transport and the third is metro. We're not targeting the train. We're targeting the metro and the roads. And road means buses and things like that.

And in the metros, there are multiple segments. The top ones like you have Chicago or New York City, these are very large, they are \$500 million -plus deals. We will not qualify for those deals. Then the multitude of these that are between \$10 million to \$40 million. Datamatics qualifies for those deals very well. And there's a third segment, which is sub-\$10 million. So we will q

ualify for that anyway.

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But we are looking at those \$10 million to \$30 million - \$40 million deals, that's the segment that we are targeting. We've got a decent pipeline there. And as far as India is concerned, we have bid for Pune Metro, and we are currently evaluating Mumbai Metro Line 4, 5, 6 and 9. For the others, we are sort of evaluating. So as we be bid for this, the pipeline will certainly become much stronger.

Nikhil Poptani: And sir, my question is now on Digital Technologies. The margins are shrinking. And so you said that you've changed a little senior management in the digital space side. Sir, can you elaborate more on that? And can you elaborate more on this AI development s that you have done, like co-piloting , small LLM models, sir, can you elaborate more on that?

Rahul Kanodia: Yes. On the management front, we've hired Bala Gopalakrishnan, who is now the President of the Digital Technologies business and under him, we've hired 2 or 3 more senior people. And we've also churned some of the other erstwhile management team members of Datamatics. There's been some churn in the leadership in that space.

We've also hired global sales head in the U S, Dinesh Kumar, and he's on board, so we should see that. And then, of course, finally, as through the acquisition of Dextara, we have with us now Sreekanth Lapala, who have very strong background where he has managed over 25,000 people on a global base with Virtusa. He has handled very large projects and strong capabilities. We have him as part of the management team as well. So that's as far as the churn in management is concerned. What was the other question?

Nikhil Poptani: So just about AI.

Rahul Kanodia: The artificial intelligence investment, yes. We've built the small language models. The small language models have been built on top of large language models because that gives you a much more precise and accurate answer and response to what's been happening. We've also been able to integrate Microsoft, OpenAI and Google Gemini. And then underlying this, we built out BERT models, we as with others. So, the BERT models have been built. The small language models have been built and we've integrated with OpenAI as well as Gemini. Then we've built a lot of copilots. Copilots of 2 types. One is the Microsoft Copilot, which we have incorporated that into the legacy systems. Plus, we built our own copilot s because not everybody has Microsoft Teams or Microsoft as a platform. So, we built our own copilot that could interact with legacy applications and help our customers. We've spent a fair amount of time and effort in building these solutions. This year, we will be taking them to the market, showing them to our customers and showcasing them in the events that we participate as well.

Nikhil Poptani: So right now, you said that you have access to 30 customers. So how was the response there?

Rahul Kanodia: The response has been decent . They are still dirtying their hands, so they started using it. We piloted it, so we rolled out this is part of our TruBot and TruCap + products. And we've incorporated it, rolled it out to these 30 customers. We are right now collecting feedback. So far, the feedback has been very positive. They're very happy with the way it's working. But once they get into full -fledged production, that's when we know what happens. But right now, the

feedback has been very good, and they've been very happy with the way it's performing.
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Nikhil Poptani: I also have a few questions on KPIs. Like what is the head count in each of the segments, like in Digital Operations, Experience and Technologies? And sir, what is the onshore, offshore mix?
And what is the effort mix over there?

Rahul Kanodia: I don't have that breakup of head count by each of these handy right now. We'll just send it to you separately.

Nikhil Poptani: And sir, like what will be our blended utilization, like on-site utilization, offshore utilization and blended?

Rahul Kanodia: I would imagine that our utilization is in the range of 90% to 95%. We don't carry a very heavy bench. But as you know, we are investing in building some of these IPs and products. So that's where the utilization rate does not fully fit because you're investing in building IP. And that does not go on the utilization rate. But yes, you can roughly take between 90% and 95%, depending on the business unit that you look at.

Nikhil Poptani: So that's, sir, blended or is it onsite?

Rahul Kanodia: No, blended across. On-site is almost 100%, 99%, 98%. So onsite, we don't keep much of a bench. The bench pretty much remains offshore.

Nikhil Poptani: And then I have a few questions on what is the book-to-bill ratio? What is our billing rate?

Rahul Kanodia: Yes. The billing rate is difficult to give you an overall number because it varies by each business and the commercial model that we have with the customers. Some of them are unit-based pricing.

Some of them are time and materials, some of them are fixed price and milestone based. So, it varies. And therefore, one can't really have an overall company level billing rate. For example, when you do the AFC business, these are large milestones that happen once in 5 months, 6 months. If you do T&M, then it's monthly, some of them are volume based, so depending on number of documents we process, whether it's invoices or bill of lading or what have you, it varies on that, so.

Nikhil Poptani: Our book-to-bill ratio? You might have that, book-to-bill ratio.

Sandeep Mantri: Book-to-bill ratio. Basically, what do you mean by that?

Nikhil Poptani: So like our orders to our invoices ratio or something like that?

Sandeep Mantri: You are saying order book. We don't disclose order book as of now. In every business unit, there will be different type of contracts. Like in volume rate, it is always MSA based billing. So you'll not have a clear order book, but you have MSA on which volumes are driven and every year we've been like. Then you have Experience where it is more T&M or output driven pricing, then you have Digital Technologies where you have T&M plus fixed price. In technologies, you have projects which are running for 3 to 5 years as well.

Nikhil Poptani: Sir, I just wanted to know like in Digital Technologies, like our margins are low this time around. What are the levers that are play a role in expansion? And sir what is the going ahead strategy in the Digital Technologies space?

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Rahul Kanodia: I think there are a couple of things. One is in the AFC business, as we mentioned earlier, that we will pivot to the Western world. And as we focus on those markets, the margins will improve.

India is a very price sensitive market, as we are all aware of. So that's one piece of it. The other piece of it is really going for the larger deals in existing customers and the hyperscalers, because the hyperscalers command a better premium. So that's the other area that we are focusing on, and the margin should improve. Having said that, I did mention it in my address that we have taken some cost control measures, and we have tightened our belt. So that also helped impacting the margins as we tighten the belt in some of the Digital Technology areas. The product revenues once we see a good pickup in the product revenues, so once that happens, also, you see that impact on the margins as well.

Sandeep Mantri: And you should start seeing that impact effective this year, FY'24-'25.

Nikhil Poptani: What is our strategy to improve the wallet share?

Rahul Kanodia: Yes. So that's really talking about mining and having a deeper engagement with customers. We

are in the process of changing a lot of the sales focus to mine existing customers versus hunt new logos. And based on that we've changed certain policies within the organization, et cetera. So we should start seeing an impact of that, hopefully, in this financial year.

Nikhil Poptani: Can you just discuss how many Fortune 500 companies are we doing businesses with?

Sandeep Mantri: Fortune 1000, will be above 80 to 100 such companies will be part of our Fortune 2000 companies.

Nikhil Poptani: And sir, can you just give me a number how many of those like \$10 million plus account, 1 \$10 million plus account?

Sandeep Mantri: We don't disclose those numbers. We are disclosing the customer concentration wherein you see that top 5 customers are about 23% of total revenue. Top 10 customers are about 35% of revenue and top 20 customers are about 51% of revenue. So, beyond that, we don't share any information right now.

Nikhil Poptani: If I have further questions, where can I reach you?

Sandeep Mantri: You can reach to E&Y, Pratik of E&Y, they will connect to us.

Moderator: We'll take the next question from the line of NGN Puranik from Enam.

NGN Puranik: If you can elaborate on the Dextara. The founder of Dextara has a large experience in building sales organization and delivery organization. So how do you use that experience and their own ability in building SFO partnership into Datamatics, reorganizing the Datamatics sales organization. And focusing on large deals in your organization. So if you can give more colour to that because that's what's important from a long-term perspective, how do you use their ability to construct more tangible Salesforce practice within your company?

Rahul Kanodia: There are two or three things happening with Dextara. So one is that they were a relatively small company when we acquired them. Total revenue was about \$7 million top line. But the people Datamatics Global Services Limited

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who come from there, they have experience of working with large customers and large projects.

So, the management team has very strong capabilities. It's just that because they were small, they were doing smaller projects. So, a couple of things happen. One is that with Datamatics they can themselves bid for larger projects because now they will be eligible for larger projects, point number one. Point number two, Datamatics itself has a very good pipeline in Salesforce. With this thing coming in, we would be in a position to convert a lot of that pipeline. Last year and year before, we could not convert many because we didn't have the credentials. But Dextara has the credentials, and they have the team who has done these large deals. So therefore, they will be able to close several larger deals that we bring to the table. The third is that we have a team that's focused on the relationship with Salesforce. And as we were focusing on the hyperscalers, there is a team in Datamatics that focuses with Microsoft, with Crowdbotics, with OutSystems, with Salesforce. So Dextara and our team will work together because we are engaging with Salesforce directly.

So, the third is that as we build for some large deals, we will use the expertise and experiences of the Dextara team to -- be party to that whole program and go along with us in building it. The last element is that we are now conducting our sales enablement program in the US. This entire team will be flying down to the US as well. I'm working with our sales team on how we target these large deals, how do we leverage existing relationships to get to \$5 million, \$10 million, \$20 million deals.

NGN Puranik: And their experiences in what vertical, in the sales?

Rahul Kanodia: So right now, at Dextara, they have a deep expertise in Salesforce, but the team comes with a lot more expertise -- in BFSI, manufacturing, healthcare. The

you've done a lot of work there.

NGN Puranik: So have you worked on the probable features that you can work with them because these guys will have a larger, experience in fortune 500 companies, working with them.

Rahul Kanodia: Yes. As I mentioned, we are having a meeting in the first of this month, the 24th of this month in the US, where we will have all the discussions. So first, since we acquired them on here first of April, the first 1 or 2 months was more settling down, getting the administrative things in place, HR connect and all that. But now we will get it plugged into the sales.

NGN Puranik: How many from original Virtusa sales you're getting here?

Rahul Kanodia: Their sales team is thin; their sales team is about 3-odd people in the US. They were only 7 people, but it's not the sales team, as much as the management team. The management team is a very strong team.

NGN Puranik: Sreekanth and company.

Rahul Kanodia: Yes. Sreekanth and 1 or 2 people under him.

NGN Puranik: And the other thing is about you talked about the small LM you have built on that. So can you elaborate on how this was built and how you're going to use it? For every customer, you're going Datamatics Global Services Limited

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to customize it, and do it and you use it as a productivity tool or you are going to license it for someone to use it and do you do managed services, how will you do this?

Rahul Kanodia: Fundamentally, in a layman's language, large language models are trained on billions of parameters, 500 billion, 1.7 trillion parameters, things like that. So, they are general purpose models. They can pretty much do everything. Then we have the small language models where they function like experts in a particular area. Where they're expert in one area, then you go deep into that area. You don't have to be trained on every function and every facet. So, the small language models are much lighter. The small language models work as experts, and they're trained on particular data sets for the customer. They'll have to be customized for customers and that's where we will build the services revenue of building small language models for our customers. And they tend to be much lighter and lightweight, so therefore, the cost is much lower. And the accuracy levels are much higher as well as the turnaround time in particular. The infrastructure they use is also much lower. So, the cost comes down, the accuracy goes up and they are customized for each customer. So therefore, they tend to work much better. And these can be independent, or they can sit on top of the large language model. You could even have a combination with sitting on top of a large language model and further improving the output of the LLM.

NGN Puranik: What chip they will run on?

Rahul Kanodia: The chip doesn't matter to us because the hardware is not what we are concerned with. We are concerned with the software part of it. So ultimately, at the end, they will use an Intel or Nvidia or whatever, but that's not for us to worry about because that's the hardware configuration.

NGN Puranik: So the scope for you, the services, what are services revenue you are expecting to a single client on this?

Rahul Kanodia: A single client can give you anywhere from \$0.5 million, a couple of million dollars just to build these things, depending on what they're looking at. It's not only about the language model. It's about the entire system that we build around that because ultimately, it's the biggest output. The language model is only algorithm. Beyond the algorithm, you need a whole solution.

NGN Puranik: Analytics layer also you will be building for it?

Rahul Kanodia: Yes, yes, absolutely.

NGN Puranik: So you're building a data lake and the analytics layer also.

Rahul Kanodia: Yes, you have to.

NGN Puranik: Good. So when will the launch happen? You have started anchoring

some customers?

Rahul Kanodia: As I said, we are having a meeting in the U S end of this month, 21st, 24th of this month. Then we will have our whole sales team in sync with this, and then we will launch it.

NGN Puranik: I think your DNA in automation and all that will also help you in this process. So isn't it?

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Rahul Kanodia: Most certainly.

Moderator: We'll take the next question from the line of Parvati Rai from Equintis Wealth.

Parvati Rai: So while you did give explanations around the Digital Technologies, so I mean slightly more, yes, I wanted to understand. So last quarter, when we spoke, right, we did mention that the margins were stabilizing. So now we have a subpar of 1% and then we also kind of alluded at a 7% to 8% that could be there next year as a guidance, given the automation and the other activities that were undertaken.

I mean the number is coming at 0.7%. So we would have been aware of the investments that we're already making, right, into GenAI, people. So just wanted some clarity around what are we looking at for next year because see, I mean I have 0.7% when we already say that it was stabilizing. So while these investments might have been ongoing, wouldn't have been only 1 quarter, some clarity around that?

Rahul Kanodia: Yes. The investments were ongoing, but we stepped up, we fast tracked a lot of the investments because the space of AI is moving very, very fast. And we needed to make sure that we are in sync with the market. So we did build a lot of these models much faster than we had originally anticipated. So the expense actually increased. So fundamentally, that's what's driving it.

Parvati Rai: From the next year's perspective, when we guided last quarter when we spoke, you did mention that a 7% to 8% EBIT margin from this vertical. So now we have stepped up the investments and for the full year, it's come slightly low. So what is the kind of range or outlook that we are kind of anticipating?

Sandeep Mantri: Yes. So Parvati for next year, as Rahul suggested that we have a new leadership team, then we are seeing a lot of growth in product and automation, plus we are focusing a lot more on hyperscaler. So I think for next year, the margin should be certainly better than the annual margin of this year, which is about 4.6% I believe, right? So it will definitely be far better than what we

have today

Rahul Kanodia: I think we should get into the higher single digits for sure. The other thing that has impacted the margins as we mentioned that we did introduce new leadership team. So by the time the new leadership team came and we had a churn in the erstwhile team, there's an overlap. So we had some degree of extra cost for certain periods of time because of the overlap.

Parvati Rai: And with respect to the Digital Operations, there the margins have come in considerably higher to the last couple of quarters that we were seeing around 16%, 18%, to 23%. What was that kind of drove this expansion? And what are we looking at for next year around?

Rahul Kanodia: So what does happen in Datamatics, in particular, is the Digital Operations piece tends to have a spike in quarter 4. And some of the expenses of that come in quarter 3. So for Q3 tends to be a little softer. Q4 always tends to spike. And that is a cyclical business we do have within the operations piece. Also this year, we are now implementing more and more automation into that space. So I think next year, at the worst case, we'll sustain it, but it will probably improve because as we automate some of our processes, it will give us better margins.

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Parvati Rai: With respect to sustaining at the control level of margins that you've guided for, so kind of building in the acquisition, Dextara, which is at a 16.5% EBIT margin. So I'm

just trying to

understand, will it be dilutive? Will Dextara going further go down when we have the synergies in the first year? Or how would that be? Because some of the other investments that we are making.

Sandeep Mantri: Dextara will be margin accretive because we are at 16%, 16.5%. But because the size is very small, so it will not impact that much. It will be like 30, 40 basis points. That kind of impact we'll have on margin. But at the same time, we have other businesses also, and we have invested in AI. So to some extent, those will be offset. What we are trying to say is basically, we will maintain same kind of margin for next year as well, which is about 15.7% or 16% on EBITDA and 13.5% to 14% on EBIT.

Parvati Rai: So kind of sustained.

Sandeep Mantri: Growing a little bit.

Parvati Rai: And the other question would be when we did give the outlook for the top line which, almost a 4% organic growth and the rest coming from the acquisition. So how do we see this between the first half, so Q1 and Q2 to Q3 and Q4, so would Q1 and Q2 be relatively weak given the current macro headwinds and most of this growth would also be on the second half? Primarily from your organic perspective is what I'm asking.

Sandeep Mantri: Yes. So Q1 may be a little bit steady type of growth. But Q2 onwards, Q2, Q3, Q4 should be seen as good growth. On an annual basis, we should achieve about 7% to 8%, but quarter-on-quarter, one quarter may be soft, another quarter may be strong.

Rahul Kanodia: Q1 particularly, I don't think there'll be a huge uptake, because we are already into May.

Parvati Rai: Rahul, when you were mentioning that now with the acquisition, that overall otherwise what you all are pitching in for the large deal size, which makes us eligible. So could you help me understand the size of these large deals given the sales that you're operating in? So I mean, each company has its own definition when we term it as large deal. So what is the range of the sweet spot that we are kind of understanding?

Rahul Kanodia: For Datamatics, I think between \$5 million to \$30 million. I'm not including AFC particularly because those fundamentally are larger deal, but \$5 million to \$30 million deal would be large deals.

Parvati Rai: Some colour on the key verticals on how you're expecting them, at least in the first half of midyear, BFSI and technology and consulting, given these are the major vertical. I mean from a growth perspective or will the environment remain muted?

Rahul Kanodia: I think it will remain muted. I don't see any particular vertical picking up right now.

Moderator: We'll take the next question from the line of Nikhil Poptani from SMC Family Office

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Nikhil Poptani: My question is on Dextara acquisition. Sir, what will be our first focus while integrating the Dextara? Would it be cost optimization, or we are going to jump to sales?

Rahul Kanodia: No, sales is the number one.

Sandeep Mantri: Growth is the number one priority. I think anyway, they are at 16%, 17% margin. So cost is not really a concern. The primary objective of this is how do we grow from here; how do you multiply this.

Nikhil Poptani: So sir, the next question is like our revenue move by industry. Technology and consulting revenue increased to 26%. And BFSI 20% to 25%. So what are you seeing demand in technology and consulting side or BFSI mix trend?

Sandeep Mantri: It is more or less same as BFSI last year was also at 25%, 26% only. I think the mix will continue 1% or 2% here or there in these industries. So otherwise, it will not change drastically. BFSI may become 25% to 26% or consulting and technology, maybe become 27% or 25% something like that. But overall, mix will remain like this only.

Moderator: We'll take our next question from the line of Shreya Pawar, an individual investor.
Shreya Pawar:

So while talking, you spoke about the AI project. So I would like to know what kind of work you are doing in the AI, please?

Rahul Kanodia: We are doing a couple of things as I mentioned. One is we've built copilots. Our copilots are kind of front-end tools that interact with the legacy systems in an organization, and they can impact with multiple legacy systems simultaneously. Just to give you an example, if you are a bank and you have got your own core banking and your other applications. And somebody says I want to know what the history of this person in terms of his loan is that he has drawn. So it can query all the legacy systems, look at his account balance, look at his loans he's taken, look at this payment schedule and give you the answers in simple English. So you are interacting via simple English, and the LLM and the GenAI is working behind to mine all this information and give you the answers you're looking for. So that's one area. The other one is we are doing application mining, where we are using GenAI to extract business rules from legacy applications. Extract business rules, document them, create test cases and things like that. So that's all on application mining.

The other area is, as I said, talking about the small language models and large language models. So we are processing documents for customers. When you come to travel and logistics, you're talking about bill of lading. And you're talking about financial documents, it's like invoices or you've got your insurance claims documents, all of these and particularly, when you get handwritten notes, for example, if you see a handwritten note from a doctor, very few people can read it because the handwritten notes are so bad. So that's why we are using GenAI to accurately pull that information. And that is a huge opportunity because that's right now done manually, and that's very painful. So if you can use GenAI to extract that kind of information, a lot of industries can deploy these solutions. So that's what we've been doing.

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And then, of course, our whole customer management where we prompt our engineers or our customer service representatives, with the right kinds of questions when you're talking to a customer. So while you're talking live to a customer, he's transcribing, it's extracting information, it's prompting him as to what to say, what not to say or how to cross-sell, while the conversation is going on. So that makes them far more productive than what he has been doing. So this is when you're deploying it for customers where they're doing conversion of sales, you're selling a travel package or you're selling something of that kind. It has improved your performance and productivity. So several sort of fronts, but we've dabbled in all of these areas that I mentioned, and then there are a few more as well.

Moderator: We'll take the next question from the line of Devam from Ardeko.

Devam: Yes, just wanted to check on what are the annual hikes that have been given for FY '25?

Rahul Kanodia: The average is around about 9%. Having said that, it varies depending on performance of the people.

Devam: And typically, what you mentioned the price hikes at the customer end will be through the year.

So this will sort of be less absorbed in the first quarter and then gradually get more absorbed through the year, right?

Rahul Kanodia: Yes. Q1, obviously, your margin will shrink because your increments have happened, and the customer does that. But then finally, there are some churns in people, there's productivity improvements, things like that, which then sort of normalize the margins.

Moderator: As there are no further questions, I would now like to hand the conference over to the management for closing comments. Over to you.

Rahul Kanodia: Yes. Thank you all for being on the call today. I really appreciate the

Q&A that we had, and I

look forward to meeting you in the end of next quarter. So thank you once again, and we'll meet again.

Moderator: On behalf of Datamatics Global Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings

Call: Aug 2024

DATAMATICS GLOBAL SERVICES LTD.

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, 2024

To,
Corporate Communication Department
BSE Limited
Phiroze Jeejeeboy Towers,
Dalal street, Mumbai - 400 001. Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051.
BSE S ecurity Code : 532528 NSE Symbol : DATAMATICS

Sub.: Transcript for Q1FY25 Earnings Conference Call

Dear Sir/Madam,

Pursuant to Regulation 30 and Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, we would like to inform you that the Company has held a conference call with the Analysts / Investors on Thurs day, August 01 , 2024 at 06:00 P.M. IST for management discussion for its first quarter FY25 Results .

Please find attached transcript of the call on management discussion for the first quarter FY25 Results . The same can be accessed on the below mentioned link:

<https://www.datamatics.com/about-us/investor-relations/earnings-call>

Kindly take the above on your record.

Thanking you,

For Datamatics Global Services Limited

Divya Kumat
EVP, Chief Legal Officer and Company Secretary
(FCS: 4611)
Encl.: As above

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"Datamatics Global Services L imited
Q1 FY '25 Earnings Conference Call "
August 01, 202 4

MANAGEMENT : MR. RAHUL KANODIA – VICE CHAIRMAN AND CHIEF
EXECUTIVE OFFICER
MR. SANDEEP MANTRI – EXECUTIVE VICE PRESIDENT
AND CHIEF FINANCIAL OFFICER
MR. MITUL MEHTA – EXECUTIVE VICE PRESIDENT
AND CHIEF MARKETING OFFICER

MODERATOR : MR. PRATIK JAGTAP – E&Y INVESTOR RELATIONS

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Moderator: Ladies and gentlemen, good day, and welcome to Datamatics Global Services Limited Q1 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Pratik Jagtap from E&Y Investor Relations. Thank you, and over to you, sir.

Pratik Jagtap : Thank you, Steve. Good evening to all the participants in the call today. Welcome to the Q1 FY '25 Earnings Call of Datamatics Global Services Limited. The results and presentation have been already mailed to you, and it is also available on the website of Datamatics. In case anyone has not received a copy of this release and presentation please do write us and we will be happy to send you all.

To take us through the results today and to answer your questions, we have with us the top management of company represented by Rahul Kanodia, Vice Chairman and CEO; Sandeep Mantri, EVP and Chief Financial Officer; and Mitul Mehta, EVP and Chief Marketing Officer. Rahul will start the call with brief overview of the quarter on business, which will be then followed by Sandeep talking on financials, and then we will open the floor for Q&A session. I would like to remind you that anything that is said on this call, which gives any outlook for the future or which can be construed as forward-looking statements, must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included, but not limited to what we have mentioned in the prospectus filed with SEBI and subsequent Annual Reports, which you can find on our website.

With that said, I now hand over the call to Rahul sir. Over to you, sir.

Rahul Kanodia: Thanks, Pratik, and a very warm welcome, and thank you, everyone, for joining our earnings call for Q1 FY '25 today. I will briefly discuss some of the key quarterly highlights, while Sandeep, will provide an update on the financials. After that, we will open the floor for Q&A sessions.

Our total revenue for Q1 stood at INR 394 crores and an EBIT of INR 42.6 crores, including revenues from Dextara. Our revenue grew at 0.7% in Q1. Dextara contributed to 3.1%, hence, our organic growth was the negative 2.4% on a year-on-year basis. The degrowth was mainly due to the slowness in the U.S. and European market and a flat growth in our existing business. Consequently, our EBIT margin reduced to 10.8%, which included the increments that we gave out for the year 2024-25 rolled out in Q1, and our ongoing investments in building AI solutions. On sequential quarter basis, we see an improvement in EBIT for Digital Experiences, which grew from 11.8% in Q4 to 14.2% in Q1, an improvement in EBIT for Digital Technologies, which from 0.7% in Q4 to 4.6% in Q1. However, there was a shrinkage in EBIT for Digital Operations from 23.5% in Q4 to 15.5% in Q1. This is not comparable on a sequential basis due to the cyclical nature of this business. Although, our financial performance has been somewhat

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softer than expected our confidence in the overall business strategy is steadfast, we remain fully committed to this path.

Our business continues to progress according to plan. Datamatics is expanding its delivery centers in Philippines. We recently opened a delivery center in Dumaguete and we are opening another delivery center in Cebu in Q2.

In our products business, we integrated Generative AI technologies in TruBot, TruCap + and TruBI and have rolled these features out to all existing customers. Furthermore, these products

were listed on the Microsoft Marketplace in Q3, and we have sold over \$1 million of licenses

on this platform.

Regarding our recent acquisition of Dextara, a Summit level partner for implementing Salesforce, I would like to inform you that the integration is progressing well, and the teams are collaborating actively on new opportunities. We have submitted 10 new proposals in Q1. This quarter, we expanded our client portfolio by adding 9 new customers, including a Fortune 500 company. Transport & Logistics is a focused vertical for Datamatics across all our lines of businesses. We have 15-plus customers in this segment. In Q1, we added another US Logistics customer to this list. We have aligned our organization structure and processes for higher growth going forward.

As I mentioned on the last call, we are excited about the opportunities that artificial intelligence presents. Recently, we became one of the first digital technology companies worldwide to receive an ISO 42001:2023 Certification for AI Management Systems. This achievement will help our customers manage the risks and opportunities associated with AI, balancing innovation with governance. We have recently received a patent for AI in TruCap+. This further solidifies its position as a leading intelligent document processing solution. Microsoft, along with OpenAI, is leading the charter in the AI in the enterprises today. Along with Microsoft, we are co-creating and reimagining applications using the power of AI. One notable development is a partner onboarding Copilot developed at Datamatics, which is amongst the top three Copilots featured at Microsoft Build Annual Developer Conference in Seattle, Washington. Additionally, Microsoft recognized Datamatics as 'AI First Mover' in the recent publication highlighting the recognition of our AI solutions are receiving from the industry.

I am excited to announce the groundbreaking AI initiative that our team has successfully secured with a leading American supermarket chain. This project entails the implementation of advanced AI-driven video monitoring and analytics technology across 250 locations, aimed at enhancing customer experience while simultaneously mitigating instances of fraud. To date, Datamatics has delivered over 40 AI projects across various verticals.

Looking ahead, we are positive about regaining our momentum with anticipated improvements in both revenue growth and profit margins. Regarding our EBIT margins, through diligent cost management and operational efficiencies, we project an EBIT improvement of 150 to 200 basis points in Q2.

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Before handing over the call to our CFO, Sandeep Mantri, I would like to express my heartfelt gratitude to Sandeep Mantri, on his last earnings call with us. His dedication, leadership and financial acumen have been instrumental in guiding our company in achieving significant milestones. Sandeep your contributions have laid a solid foundation for our future success, and we are deeply grateful for your commitment and hard work. On behalf of the entire Datamatics team, I wish you all the best in your future endeavours and look forward to your continued success. Thank you for everything. Sandeep, over to you.

Sandeep Mantri: Thank you, Rahul, for the kind word. Welcome, everyone, and thank you for joining us in Q1 FY '25 earnings call. Let me start with the financial performance for the Q1 FY '25. Our revenue for this quarter stood at INR 394 crores, which is a drop of 4.5% on a sequential basis and a marginal of 0.7% on a Y-o-Y basis. Our EBITDA for this quarter was at 13%, compared to 17.3% in Q1 of last year. So there is a significant drop in EBITDA. Our EBIT for this quarter was at 10.8%, compared to 15% in Q1 of last year. As explained by Rahul, the reason for drop in oper

ational profit is primarily due to slow revenue growth, increment for 24-25 effected in Q1 and our continued investment in AI project. Our tax rate for the quarter is 17.2%, compared to 18.7% in Q1 of last year. Our EPS for the quarter was INR 7.37 per share, compared to 8.90 in Q4 and 9.35 in last year Q1.

When we see segment-wise revenue performance, our Digital Operation revenue was at INR 164.8 crores, which is a drop of 1.3% on a Y-o-Y basis. Digital Operation EBIT margin was at 15.5%, total contribution in revenue was 42%. Our Digital Experience revenue was at INR 67.9 crores, which is a growth of 2.4% on Y-o-Y basis. The EBIT margin was at 14.2%, and its contribution to total revenue was 17%. Our Digital Technologies revenue was at INR 161.3 crores, which is a growth of 2.2% on Y-o-Y basis. EBIT margin for Digital Technologies stood at 4.6% and the contribution of Digital Technologies to total revenue was 41%.

We continue to maintain a healthy balance sheet. As on June 30, 2024, our total cash and investments stood at INR 589 crores, and our DSO as of the end of this quarter was at 61 days. In terms of geographical footprint, U.S. remains our largest geography with 54% of our business coming from U.S., followed by U.K. and Europe at 13% and the Rest of World, including India, is at 33%.

In terms of industry footprint, technology and consulting remains the largest segment for us,

which constitutes 27% of our revenue, followed by BFSI, which stood at 25%, then education and publishing and manufacturing, infra and logistics, each at 12%, the non-profit or non-government organization at 10%, retail at 9% of our business, other and retail is 5% of our total revenue. Our client concentration remains very healthy with top 5, 10 and 20 clients contributing to 23%, 37% and 50%, respectively.

As this is my last earnings call with Datamatics, I want to take a moment to express my gratitude. It has been an honor to serve you as your CFO and to work alongside such a talented and dedicated team. I want to thank our employees for their unwavering commitment, our investors for their trust and support and the entire leadership team for their collaboration and guidance. Together, we have achieved many significant milestones.

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I am confident that Datamatics is well positioned for continued success, and I look forward to seeing the company's future accomplishment. Special thanks to Rahul for always believing in me and trusting me, and thank you all for the incredible journey.

With this, I will now pass on the call to operator to open the floor for questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Grishma Shah from Envision Capital. Please go ahead.

Grishma Shah: Good evening to the management team and I just wanted to understand the softness in growth a little better. I mean, as evident, you can see some pain in the top 5 and the top 10 accounts. So, if you could tell us how the trajectory is going to be for the rest of the year with the key accounts? And where is the growth going to come from and what's the guidance for the entire year?

Rahul Kanodia: Sure. So on the Digital Operations side, there was some delay and shrinkage in the volume. We expect some of the volume to come back in Q2 and Q3 of this year. On the technology side, certain projects got a little bit pushed out. And again, we expect that to happen in Q3. So overall, from a growth point of view, in the last earnings call, we talked about 4% organic growth and another 3% to 4% from inorganic. And we, at this point, maintain that projection. So I think we should be in that range once we grow back some of the volumes and some of the default projects kick in.

Grishma Shah: Okay. Yes. I get that. How has Dextara grown for this

quarter year-on-year basis? And what's the outlook for Dextara?

Rahul Kanodia: Dextara is flat. Dextara this quarter has not grown. But that does not concern me because we had a call for Dextara specifically when we acquired them. So they, as a company, were bidding for smaller deals, ranging between \$50,000 to \$100,000, and the deals that Datamatics was getting in the range between \$0.5 million to up to \$3 million per deal. So, our strategy behind that was with their competence and expertise, we will convert a few of the larger deals that we are getting, and that will give the upside in terms of growth. Now in quarter one, it's very difficult to close it so fast, I mean that's too short a period. So they have been working very closely with our team. And as I mentioned, we've submitted 10 proposals in Q1 of this year. So I'm actually very positive about their ability to close a few one or two large deals, and that will get the growth going for Dextara.

Grishma Shah: You called the small deal growth with Dextara was traditionally doing.

Rahul Kanodia: No. We've not paused it. But yes, quarter one is a little soft. So they have been working on several deals. So we've not paused these small deals, but the upstream will come inside one of the large deals, and we have that pipeline from Datamatics.

Grishma Shah: Okay. And have you disclosed the total pipeline this quarter? What does it stand at?

Rahul Kanodia: Our pipeline last quarter was about \$200 million. We've seen the softness. So that's come down to about \$170-ish million.

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Grishma Shah: Okay. And how much of the increment that we've rolled out in quarter one will continue in quarter two and ongoing investments? Can you give me some margin outlook for the entire year?

Rahul Kanodia: Yes. The increments that we gave on an average was roughly about 9% -9.5%. And obviously, when you give that increment, it stays through the whole year, it goes up and down a little bit depending on churn. Some people leave, some new people come, but roughly 9.5% will stay through the whole year. But all IT services companies go through those motions when they tighten the belt, they join some staff and then it is sort of cut back to normal.

Grishma Shah: Sure. Yes. And overall, I mean, if Q2 is going to see the margin recovery, do you see the trend

of recovery continuing to the subsequent quarters? Or what's the sense?

Rahul Kanodia: Yes. The subsequent quarter should see the trend continuing. The reason is that, as I mentioned, some of the volume that came down in Digital Operations will kick in, in Q2 and Q3, and also some of the projects in the IT, which we have pushed out because of it. So they will kick in. And the moment you get the revenue is coming in, the margin by default improve because the cost structure has not moved. Q4 for us always tends to spike a little bit. So Q4 will always be healthier than the other three quarters. So quarter two, three and four should be better than quarter one.

Grishma Shah: Okay. And there is an exceptional item of INR 3 crores in the P&L.

Rahul Kanodia: Yes, it's correct.

Sandeep Mantri: So that is the amount we paid towards acquisition of Dextara to the adviser who helped us in getting this deal.

Grishma Shah: Okay. So that is the exception and not sitting in the operational costs.

Sandeep Mantri: That is not operational.

Rahul Kanodia: Yes. That is a one-time cost.

Grishma Shah: Okay. Fine. Thank you and good luck.

Sandeep Mantri: Thank you.

Rahul Kanodia: Thank you.

Moderator: Thank you. The next question is from the line of Nikhil from Kizuna Capital. Please go ahead.

Nikhil: Yes, sir. Thank you for giving me the opportunity. I just wanted to ask, the organic degrowth that we had, can you quantify them in terms of softness in demand, incremental -- increments and investment in AI?

Sandeep Mantri: Increment will be having about 9%, 9.5%, which means about 4%, 4.5%, increment is one of the major reasons. And coupled with the sluggish revenue growth, both have actually brought down the EBITDA or EBIT.

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Sandeep Mantri: Even with 6%, 7% revenue growth, we would have better in terms of EBIT or EBITDA.

Nikhil: Okay, sir. And sir, any earnouts figure during this Dextara acquisition, there was a performance-based payout that was going to be triggered.

Sandeep Mantri: That will happen at the end of the year. First payment will be at the end of the year and second payment will be after 31st March '26. So this is a 2-year deal post acquisition.

Nikhil: Okay, sir. And then in terms of pipeline of \$170 million. So sir, can you bifurcate them into the verticals, like how much in the ASP, how much in the product side? And in which vertical like BFSI manufacturing?

Sandeep Mantri: We don't give segment-wise bifurcation of pipeline. In fact, we started giving pipeline last to last quarter only. Right now, we are not giving segment wise -- that is because many of the deals are combined deals. So it is very difficult to figure out particular segments in hybrid deals. We are seeing more and more hybrid deals.

Nikhil: Okay, sir. That's from my side. Thank you, sir.

Moderator: Thank you. The next question is from the line of Ankur, an Individual Investor. Please go ahead.

Ankur: So my question is that the personnel cost phenomena is not a new phenomena. It will be there in every quarter. It would be there. So if we are targeting the revenue growth, what are the new verticals and markets we are scouting for?

And the second question which I just want to understand is, the AI and technology is quite a thing which is dependent upon R&D. And there has been huge inflow in different R&D organization across the world. So how we are keeping pace to be ahead of all the technological advancements? So these are the three questions that I have right now.

Rahul Kanodia: So to your first question. Yes, that is not a new phenomena. However, the growth particularly was sluggish. And when you have growth, it absorbs the increase in costs very easily.

Unfortunately, because we didn't have the growth in Q1 of this year, the cost absorption was not at the same level. I am confident that as we go through the quarters, the growth will come in, and we should be able to absorb the cost. Having said that, we've already tightened our belt, and we are already seeing results of that tightening of the belt in the first month of Q2, which is July.

To your point about AI and how we are keeping abreast. We are very plugged in with the R&D team that we have. We have a whole team on the data labs that does a lot of R&D in the space. We are working very closely with Microsoft and with Google, and we are actually building cutting-edge technology, basis which, Microsoft has covered us in their coffee table book as an early adopter of AI. Also, it showcased Datamatics in their head office in Seattle, Washington, as one of the three companies globally from an AI point of view. We also got the ISO certification for AI.

So all of these things that we are doing, and also I talked about a very interesting project around

video analytics that we got, which is a project that we signed up and we will roll it out to about
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250 locations. So this is all, I think, testimony to the kind of work we've done on AI. And the R&D team, I must say has done some very cutting -edge stuff. So we will start seeing the benefits of all of this that we've done in the coming quarters.

Ankur: Thank you, Rahul, for this. And I extend my warm wishes to Sandeep also for his new entry where we have seen the company from life

. I've been tracking it from last one and a half year
and yeah, it's been phenomenal to see good leaders in the industry. Than k you, thank you both.
Rahul Kanodia: Thank you.

Moderator: Thank you. The next question is from the line of Nikhil from Kizuna Capital . Please go ahead.

Nikhil: Sir, I just wanted to ask you about the AFC pipeline, like how are you approaching the AFC deals? Like those are the large deals that we dealt with last time.

Rahul Kanodia: Yes. So on AFC , we have just kicked off Mumbai Metro Line 2B. It was delayed for a variety of reasons with COVID and all that type of stuff, but that we just kicked it off. We are currently in a bid for another large Metro in India , and we are awaiting the results for it . I am confident that within the next one month, we will get the results for sure.

We are looking at some other lines that are coming in, Mumbai -Line 4, 5, 6, and 9 . So as we go through the motions, we will give an update on that as well. Plus in addition to that, we are pivoting a little bit more into the U.S. So our sales team has now started focusing very actively on the U.S. market in this space.

Nikhil: Thank you, sir.

Rahul Kanodia: Thank you.

Moderator: Thank you. The next question is from the line of Pallavi Deshpande from Sameeksha. Please go ahead.

Pallavi Deshpande: You mentioned about Mumbai Line 9, 4, 5 and 6, when does that come up? And in terms of the U.S. that you're positing into it's just the first time we will be looking for contracts on this end?

Rahul Kanodia: In the U.S., we have done Memphis as a project. We have done a small project with San Diego. But now we've got a sales team in the U.S. that is looking at many other opportunities in the U.S. So we've done U.S. projects before, and I'm very confident we'll be able to deliver on those.

As far as Line 9, 4, 5 and 6 are concerned , the tenders have been processed. We will now be working on the tenders, and we will probably submit some of them in the next couple of quarter s. So really, you're talking about Q3 where we start seeing some results which was materialized.

Pallavi Deshpande: And the profitability for this India versus the U.S. How will they be different?

Rahul Kanodia: Yes. So that is a concern. India is a far more of price -sensitive market and profitability is lower. And that's the reason why we are focusing more in the U.S. We've also hired a global head of sales in the U.S. We're looking at the AFC business in the U.S. as well. So increasingly, we are
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focusing more on the Western market. Europe is right now a little sluggish, because because of the Ukraine war, the inflation and things like that, there is a problem in Europe, but the U.S. is still looking good.

In the U.S, current ly there is some degree of uncertainty because of the elections coming up. We don't know which way it's going to go. But outside of that, the economy seems to be quite alright . There is slowness, which we see more in terms of decisions being deferred and projects getting delayed . But on a little longer -term six months to one year, 1.5 years, I don't see too much of a trouble with the U.S. market.

Pallavi Deshpande: And sir, lastly, any other plans on the acquisition on the board on acquisition side?

Rahul Kanodia: So we are in dialogue with some companies, nothing that is at the serious level that I would like to announce right now. But as those mature, we will certainly go through the motions of having a board approval, informing SEBI and things like that. So yeah, we are in dialogue with some companies, but nothing right now that needs to be announced.

Pallavi Deshpande: Right sir. Thank you so much.

Rahul Kanodia: Thank you.

Moderator: Thank you. The next question is from the line of Nikhil from Kizuna Capital . Please go ahead.

Nikhil: Sir our next margin

leve r that is going to grow the bottom -line, is going to be the revenue growth, right, sir?

Sandeep Mantri : Not only revenue growth, we are tightening our belt also. So that also will give some sort of margin improvement.

Rahul Kanodia: Some cost control and revenue, it's a combination of both.

Sandeep Mantri : It's a combination.

Nikhil: So sir, if you want to guide, what will be the exit margin for FY 2025?

Sandeep Mantri : For the full year?

Nikhil: Yes, sir.

Sandeep Mantri : Right now, we are guiding only Q2 for margin, which will be about 150 to 200 basis points .

Rahul Kanodia: So, if you look at the current one, we have talked about 10.8% at an EBIT level. We improved 200 basis points you're talking about 12.5% to 12.8%. So, I think we'll maintain a 12% to 13% range for the full year .

Nikhil: Thank you, sir.

Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to the management, for their closing comments.

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Rahul Kanodia : Thank you, everyone, for being on the call today. It is a pleasure talking to you. And I look forward to speaking to you again at the end of Q2. I'm sure we should be back with the growth momentum. Thank you once again for being on the call.

Moderator: On behalf of Datamatics Global Services Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines. Thank you.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings

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"Datamatics Global Services Limited
Q2 FY '25 Earnings Conference Call"
November 05, 2024

MANAGEMENT : MR. RAHUL KANODIA – VICE CHAIRMAN AND CHIEF
EXECUTIVE OFFICER
M R. MITUL MEHTA – EXECUTIVE VICE PRESIDENT
AND CHIEF MARKETING OFFICER

MODERATOR : MR. PRATIK JAGTAP – E&Y INVESTOR RELATIONS

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Moderator: Ladies and gentlemen, good day, and welcome to Datamatics Global Services Limited Q2 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Pratik Jagtap from E&Y Investor Relations. Thank you, and over to you, sir.

Pratik Jagtap: Thank you, Tanmaya. Good evening to all the participants in the call today. Welcome to the Q2 FY '25 Earnings Call of Datamatics Global Services Limited. The results and presentation have been already mailed to you, and it is also available on the website of Datamatics. In case anyone has not received a copy of press release and presentation, please do write us and we will be happy to send you all.

To take us through the results today and to answer your questions, we have with us the top management of company represented by Rahul Kanodia, Vice Chairman and CEO, Mitul Mehta, EVP, and Chief Marketing Officer. Rahul will start the call with brief overview of the quarter on business, then talking on financials, and then we will open the floor for Q&A session.

I would like to remind you that anything that is said on this call, which gives any outlook for the future, or which can be construed as forward-looking statements, must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included, but not limited to what we have mentioned in the prospectus filed with SEBI and subsequent annual reports, which you can find on our website.

With that said, I now hand over the call to Rahul sir. Over to you, sir.

Rahul Kanodia: Thanks, Pratik, and a very warm welcome, and wishing everyone a very happy Diwali. Thank you all for joining our Q2 FY '25 earnings call. I will briefly discuss some of the key quarterly and half-yearly highlights followed by updates on the financials. After which, we will open the floor for Q&A discussions.

Our total revenues for Q2 stood at INR 406.8 crores, giving us a revenue growth of 8% on a year-on-year basis. Our EBIT for Q2 stood at INR 39.3 crores and our EBIT margin was 9.7%. Our total revenues for H1 stood at INR 800.7 crores, giving us a revenue growth of 4.3% on a year-on-year basis. Our EBIT for H1 stood at INR 81.9 crores, and our EBIT margin was 10.2%. Our revenue growth has been primarily driven by new client acquisition across all 3 business verticals, which is Digital Technologies, Digital Operations and Digital Experiences. However, we faced margin compression during the quarter due to lower volumes of tax processing

business.

This quarter, we continued our investments in FINATO and AI solutions. Google has recognized us as a strategic partner for back office of the future. We have also partnered with Microsoft and developed our own copilot solutions focusing on process automation to accelerate business transformation for organizations. We continue to augment our sales and marketing efforts by hiring in USA and Europe and participating in industry events and conferences.

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Our business continues to progress according to plan. This quarter, we expanded a client portfolio by adding 12 new customers. And regarding our recent acquisition of Dextara, I would like to inform you that the integration is in progress and is progressing well, and the teams are collaborating actively on new opportunities. We have already seen 2 wins for Salesforce-related services in Q2.

The transport and logistics businesses continue to be a key focus for Datamatics across all our lines of businesses. We have 15 customers in this segment. In Q2, we added a global logistics leader handling cargo movement in across 180 countries as a customer. For this customer, we will implement FINATO for finance transformation in over 50 countries.

We have been strengthening our leadership team by bringing in senior management talent and have augmented our Board with the introduction of Dr. Avnish Kshatriya, Kanika Mittal, and Himanshu Verma. We extend a very warm welcome to them as part of the Datamatics family and are confident that their extensive industry expertise will contribute significantly to our continued success. As you may know, our former CFO, Sandeep Mantri, left the organization last quarter. I'm pleased to introduce our new CFO, Ankush Akar. We warmly welcome Ankush to Datamatics and to our investor calls. Ankush, would you like to say something?

Ankush Akar: Hello, everyone. I'm excited about this new opportunity and looking forward to talking to you next quarter.

Rahul Kanodia: Thanks, Ankush. Since Ankush has recently joined, I will be presenting our financial performance for this quarter, and Ankush will address you starting next quarter. Let me start with the financial performance for Q2 FY '25. Our Q 2 FY '25 revenue stood at INR 406.8 crores, up by 3.2% on a quarter-on-quarter basis and 8% on a year-on-year basis. Our EBITDA for the quarter was at INR 48.8 crores, which is down by 5.1% on a quarter-on-quarter basis, and our EBITDA margin for the quarter was at 12%. Our EBIT for the quarter was at INR 39.3 crores, which is down by 7.7% on a quarter-on-quarter basis, and our EBIT margin stood at 9.7%. Our quarterly PAT after NCI was at INR 42.4 crores, which is down by 2.6% on a quarter-on-quarter basis. The PAT margin stood at 10.1%. Our tax rate for the quarter was at 19.9% compared to 16.4% in the last year same quarter. The primary reason for the increase in the profit mix of the various geographical entities that we have. Our EPS for the quarter was at INR 7.18 per share as compared to INR 7.37 per share in the last quarter.

When we see segment-wise revenue performance, our Digital Technologies revenue was at INR 162.2 crores, a growth of 0.5% on a quarter-on-quarter basis and 5.5% on a year-on-year basis. Its EBIT margin was at 4.2%, and its contribution to the total revenue was 40%. Our Digital Operations revenue was at INR 176.6 crores, a growth of 7.1% on a quarter-on-quarter basis and 7.3% on a year-on-year basis. The Digital Operations EBIT margin stood at 12.5%. It contributes to a total revenue of 43%. Our Digital Experiences revenue was at INR 68 crores, a growth of 0.2% on a quarter-on-quarter basis and 16.2% on a year-on-year basis. The EBIT margin stood at 15.2%. Its contribution to the total revenue was 17%.

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We continue to maintain a healthy balance sheet. As on September 30, 2024, our net cash and investments stood at INR 615 crores. Our DSO was at 58 days as of September '24 as compared to 61 days as of June 2024. In terms of geographical footprint, the U.S. remains our largest geography with 56% of our business coming from here, followed by India at 22% and rest of the world, including U.K. and Europe at 22%.

In terms of industry footprint: Technology & Consulting was the largest segment for us, which constitutes 27% of our revenues; followed by BFSI, which stood at 23%; followed by Education & Publishing, which was at 15%; Manufacturing, Infrastructure, & Logistics, collectively all stood at 13%; and nonprofit or government organizations at 10%; Retail at 8% of our business. And the rest of all the other segments were 4%. Our client concentration remains very healthy with the top 5, top 10 and top 20 contributing 21%, 36% and 51%, respectively.

With this, I will now pass on the call to the operator to open the floor for questions. Thank you all f

or your patience and continued interest in Datamatics.

Moderator: The first question is from the line of Grishma Shah from Envision Capital.

Grishma Shah: Happy New Year to the management team. I am keen to understand 2 things: One, what is the outlook going ahead now that we've crossed the first half? How is the integration with the last acquisition that we did in quarter 4 how is that acquisition panning out? And why is the Digital Technologies EBIT margins at 4.2%? I mean that seems to be quite too low. And even in Digital Operations, we've not seen these kind of EBIT margins before.

Rahul Kanodia: So to take your question Grishma. The integration with Dextara is going well. It is very smooth, as I mentioned in my address that we've already closed 2 deals. We are chasing a few more deals, which is a whole cross-sell initiative that we've taken. So, so far, so good. The sales cycle, as you know, in this business is about 9 months. So I didn't expect anything substantial happening in the first 2 quarters. But from an integration point of view, both the teams are working very well together.

To your question on Digital Technologies' margins, as we've mentioned in the past, we continue to invest in the AI space. That's one reason, and that is significant in terms of investments. The second is that we have a large portion, which is the India-centric business and India-centric business tends to be lower margin anyway. To address that we are pivoting to the U.S., and we've augmented the sales team in the U.S., particularly and also in Europe. And I think that should start showing some results hopefully in the next 2, 3 quarters.

In terms of Digital Operations, we had a volume shrinkage, which was rather unexpected because the customer themselves had a volume shrinkage in the U.S., and that caused the impact on the Digital Operations. Hopefully, the customer turns around and they come back to speed in the future quarters. Once that happens, we will also bounce back. The outlook for the next 2, 3 quarters, I think we will be able to claw back some of the erosion we had in this quarter, and I'm quite optimistic that it will remain stable.

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Grishma Shah: Okay. And now what's the outlook going ahead given that first half is already done?

Rahul Kanodia: As I mentioned, I think we'll have a stable next 2 quarters, and we will be able to claw back some of the margins that got eroded in the last quarter.

Grishma Shah: Okay. So we would grow only 4%, 5% this year. Is that the case?

Rahul Kanodia: That is correct. We are, in dialogue on some M&A, but they're dialogues. No deal happens until it's not happened. If we have any acquisition, then obviously, some of the outlook will change.

But as of now you're right, we will maintain a stable current level performance.

Moderator: The next question is from the line of Farhad Bamji, who is an individual investor.

Farhad Bamji: My question is as follows. In my experience, most Indian companies aspire to grow at 2x the GDP, and smaller companies aspire for slightly higher growth because the base is less. If I look at our investor presentation in the last 10 years, we've grown at approximately 7.8 CAGR. Now that is substantially lower than what most companies would aspire to be. So my question is, how are we looking at growth going forward? Are we aspiring a 15%, 20% growth going forward? Do we have any strategy to be a \$1 billion company, for example, in 4, 5 years? Is there any strategic thinking on those lines?

Rahul Kanodia: Yes. So we are, and our approach for achieving that kind of a growth is predicated on 3 or 4 key elements. One is our alliance with the hyperscalers. We've talked about that. We are investing very heavily in the whole AI space. Google has recognized Datamatics. Microsoft has recognized Datamatics. We're getting some good traction from whatever we've done w

ith them
in the market.

We have stepped up our activities in participating in events, both in Europe and the U.S., and they're giving us good traction when it comes to things like Copilot and AI. So that's one area. In that space, in particular, it's not the size that matters. It's really your ability to move fast, and we are moving as fast as we can. That should result in some growth, point number one. So one is the hyperscalers bolted on with the whole AI angle.

The second is the M&A. We have a very healthy cash balance, and we have done an acquisition in the last 2 years. You've seen we've done 2 or 3 acquisitions, the latest one being Dextara. We are in dialogue with a few more companies and as they materialize, obviously, that will give a boost to our growth. And then, of course, we leverage that from a cross-sell point of view and all of those things.

The third is that we have augmented our sales team in the U.S. and Europe, and we are also

stepping up the marketing. So I think a combination of pushing the sales team more, augmenting the team in the investments we are making in marketing, the alliances with strategic partners like Microsoft and Google and the acquisitions, all put together will give us some of that boost that we are looking at, in terms of the growth rates.

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Farhad Bamji: That was very helpful. And again, to just reiterate, given that last 10 years, we've grown at a CAGR of 7.8%. Would you all come up with some sort of a statement or strategy to say that we are changing gears and we're looking at more a 20% plus kind of CAGR or closer to higher teen CAGRs than single-digit CAGRs. Would you all come up with some sort of a thinking or strategy or statement around that?

Rahul Kanodia: Well, we are working on that, and you may have noticed we've also augmented our Board, and we've inducted several different people who are experts in the industry. So we are changing teams both at the Board level as well as the operating management team. And I'm confident that we will be able to come back with a more refined strategy for growth. Our business planning will start in January.

So I think in the next quarter, which is Jan, Feb, March, we should have our plans baked in for the growth that we're looking at. So maybe around the year ending quarter, we should have a little more insight into the strategy for achieving these growth numbers.

Farhad Bamji: That's really great. Much appreciated. Wish you a lot of good luck. And I would love to see our company be a \$1 billion company in the next 4, 5 years or so. I would really wish for that.

Rahul Kanodia: Thank you very much, and that is our ambition as well.

Moderator: The next question is from the line of Nikhil Poptani from Kizuna Wealth.

Nikhil Poptani: Can you just highlight some points on our top 5 client concentration? It has declined from 25% to 21%. Can you just highlight something about that?

Rahul Kanodia: So that decline is largely because of some volume reductions that we saw, and I kind of mentioned that in my address as well. So essentially, it's a volume reduction that's causing it, and that was partly because of the softness that we saw in the markets earlier. Although we do see markets picking up. And if you may recollect that we signed 12 new logos in the quarter. So in terms of new customer acquisition, it's healthy. It's just that a few of the larger clients had a volume shrinkage, which is what impacted. I am sure that they will bounce back soon. And with them, we will grow as well.

Nikhil Poptani: Okay, sir. And sir, my next question is around about the more of a macro environment. Like how do you look at the macro environment going forward in the spaces of like our BFSI over different verticals? And how the interest rates are going to impact? Can you just provide some of your views on that?

Rahul Kanodia: So these are my p

ersonal views. I think the U.S. Fed is reducing interest rates, and they will do that a little more because they do need to spur the U.S. economy. But however, having said that, there is, of course, this looming issue of a war in the Middle East. We look at Turkey revving up. You look at Iran making some moves. Israel, of course, is getting aggressive. So there's some degree of uncertainty there. At this point, as we speak, some uncertainty in the U.S. with the U.S. elections, but that should be settled very soon because I believe the elections will be announced today, U.S. timing. So that uncertainty hopefully should go away soon.

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But Europe remains a sort of in a little bit of a doldrums if I may. The economy is soft. And if you see North Korea getting involved with Russia in terms of the supporting Russia and the Ukraine war, that is some cause of concern. So overall, on a macroeconomic expectation, apart from the uncertainties of war in the Middle East and Europe, I think we should be all right once the U.S. elections are over. And that should be in another day or 2, we'll get the results. The U.S. with them reducing the Fed rates -- interest rates, I think the U.S. economy will bounce back, and things should look better.

Nikhil Poptani: Congratulations for good set of numbers.

Rahul Kanodia: Thank you very much.

Moderator: The next question is from the line of Sanjay, who is an individual investor.

Sanjay: So I had 2 questions. Sir, in last quarter call, you mentioned that the margins will get expanded by 150 basis points to 200 basis points in Q2. So we see I think instead of expanding, it contracted. So what are the reasons? And are we seeing now the margins get better in Q3? Or

we have to wait till Q4? That's the first question.

Rahul Kanodia: Yes. So to your question, as I mentioned, there was some unexpected volume degrowth from our customers because their volumes degrew. And that is really what impacted us. That was rather unexpected. Having said that, we have taken further steps on automating and tightening our belt. So I think we will, in the next 2 quarters, Q3 as well as Q4, claw back some of those margin erosions. That will happen for sure. We are now in Q3, so let's see how this quarter ends. But whatever steps we are taking shows that we will be able to claw back some of the margins.

Sanjay: Okay. And about the annual increments, is it given to all employees already or it is scheduled in this quarter?

Rahul Kanodia: No. The increments are given. The next increment cycle will be in Q1 of next financial year. So for this year, there's no further increment as such.

Sanjay: Okay. So generally, we have like H2 generally is better than H1 and Q4 is generally on higher side. So that trend will continue this year as well, right?

Rahul Kanodia: Yes. Q4 tends to spike, and we will see a spike in Q4 anyway because we have that very cyclical business in our financial F&A business.

Moderator: The next question is from the line of Amit Agecha from HG Hawa.

Amit Agecha: Congratulations for good set of numbers and greetings to all for the festive season. My question was with respect to like what are the initiatives being taken for artificial intelligence, like the investment being made and the impact on the revenue and how are the new products being taken up in the market?

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Rahul Kanodia: So we have taken a lot of steps, and we've invested significantly on the whole AI space. I think we are, in many ways, ahead of the curve, if I may, in terms of the kind of solutions that we've built. We've started taking them to the market, and we are getting some very good response from the market. Mitul is on the call as well. Maybe Mitul, since you are attending a lot of these events, maybe you want to say something on that. But just to co

nclude on that, we are getting

some good responses. And hopefully, in the next quarter or 2, we are able to close a few deals.

Mitul, do you want to add to that anything?

Mitul Mehta: Yes. So I've been traveling across U.S. and Europe over the last couple of months, and we see a huge opportunity especially on the Copilot and on that front, where a lot of enterprises have taken the first step to go ahead with copilots into their enterprises. Now they're looking at how that can be further leveraged into their enterprises. That's where the service providers like Datamatics come in where we can extend the usability of copilots into their organization. So those conversations have been very promising, and we're hoping that, that would be strong. Also, a lot of customers are looking at applications, which will natively have AI built into it. That is why we are upgrading FINATO, which is our CFO transformation platform and bringing in all the built-in features of automation, AI, and analytics into it, which makes a CFO back-office more modern and alive for the next about decade or so. So, I think that's in short, would be where we are seeing the AI opportunity.

Rahul Kanodia: And I think some of the investments that we made has been also recognized by Google and Microsoft, which is very good because when you have partners at that scale and those kinds of companies, they bring opportunities to you, and they present us very good avenues for growth.

Amit Agecha: Any color on the investments being made in that?

Rahul Kanodia: We are not tracking that very specifically for multiple reasons. So AI is permeating every part of the operations and every product and platform that we have. So we've got little, little things going across the board. So therefore, if you just look at an AI layer per se, it's difficult to identify exactly what is AI and what is not because a lot of the existing teams are also sort of pivoting into AI and then we've got a whole AI team also working on it. So I don't have a number at the tip of my fingers, but perhaps we can collate that number and track it for the investors going forward, but I need to do some homework on that.

Moderator: The next question is from the line of Jathin from Choice Broking.

Jathin: I just have one question. With recent acquisitions like Dextara Digital, what other areas or capabilities is Datamatics targeting for future acquisitions to enhance its product offering or geographical reach?

Rahul Kanodia: Yes. Dextara was focused on Salesforce. And with them, we have showcased in the Salesforce event that was there in Washington, in San Francisco recently. We brought in a lot of AI flavor to that, which was really appreciated by a lot of the customers. Our going-forward targets are around cloud, data, digital content. I think these would be and maybe customer experiences. We are talking to several companies in this spectrum. All of these areas, whether it's digital experiences, digital content, cloud, or data will augment our existing business. So we're not

acquiring to get into a new space. We're just going to use them as bolt-ons to our existing business to deepen the expertise and competence that we have. And of course, by default, when you acquire, you'll get a bunch of new customers as well, so it will add to customers. It will add to our capabilities and depth. We are not looking at a geographical expansion or a new area that we are not present in.

Moderator: The next question is from the line of Sanjay, who is an individual investor.

Sanjay: This is a follow-up on my previous question. So sir, you mentioned about the Google partnership, because Copilot is already, announced and it was probably in last quarter. So a recent partnership with Google, how is that going to help in getting the business?

Rahul Kanodia: Yes, it is a recent development. And Google is taking us

to their customers, and they are coming

along with us to our customers, so there's a much stronger collaboration where we're doing a joint go-to-market, or they are bringing opportunities to the table. And as those opportunities materialize, we should see an uptick in the business that we get around Google's AI, which is Gemini.

Sanjay: That's great. So was there any announcement? Or are you planning to do an announcement?

Rahul Kanodia: We will make an announcement soon. It is very recent. We are still working on some of the press releases and things like that.

Mitul Mehta: Some paperwork is going, but we will make an announcement.

Moderator: As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Rahul Kanodia: Thank you, everyone, for being on the call. I really appreciate the time you spent with us, and I wish you all a very happy Diwali once again and prosperous New Year. I look forward to speaking to you once again at the end of next quarter. Thank you again, and bye for now.

Moderator: Thank you so much, sir. On behalf of Datamatics Global Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Call: Jan 2025

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"Datamatics Global Services L imited
Q3 FY '25 Earnings Conference Call "
January 30 , 202 5

MANAGEMENT : MR. RAHUL KANODIA – VICE CHAIRMAN AND CHIEF
EXECUTIVE OFFICER
MR. ANKUSH AKAR – SENIOR VICE PRESIDENT AND
CHIEF FINANCIAL OFFICER
MR. MITUL MEHTA – EXECUTIVE VICE PRESIDENT
AND CHIEF MARKETING OFFICER

MODERATOR : MR. PRATIK JAGTAP – E&Y INVESTOR RELATIONS

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January 30 , 202 5

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Moderator: Ladies and gentlemen, good day, and welcome to Datamatics Global Services Limited Q3 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star , then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pratik Jagtap from E&Y Investor Relations. Thank you, and over to you, sir.

Pratik Jagtap: Thank you, Manav. Good afternoon to all the participants in the call today. Welcome to the Q3 FY '25 Earnings Call of Datamatics Global Services Limited. The results and presentation have been already mailed to you, and it is also available on the website of Datamatics. In case anyone has not received a copy of press release or presentation, please do write to us, and we will be happy to send you all.

To take us through the results today and to answer your questions, we have with us the top management of company represented by Rahul Kanodia, Vice Chairman and CEO; Ankush Akar, SVP and Chief Financial Officer; Mitul Mehta, EVP and Chief Marketing Officer . Rahul will start the call with a brief overview of the quarter on business, which will be then followed by Ankush, who will take us through the financials. We will then open the floor for Q&A session.

I would like to remind you that anything that is said on this call, which gives any outlook for the future or which can be construed as a forward -looking statement must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included but not limited to what we have mentioned in the prospectus filed with SEBI and subsequent annual reports, which you can find on our website.

With that said, I now hand over the call to Rahul sir. Over to you, Rahul sir.

Rahul Kanodia: Thanks, Pratik, and a very warm welcome and wishing everyone a very Happy New Year . Thank you all for joining our Q3 FY '25 earnings call. I will briefly discuss some of the key quarterly performance highlights, while Ankush will provide an update on the financials, after which we will open the floor for a Q&A session.

Our total revenues for quarter 3 stood at INR 425.5 crores, giving us a revenue growth of 15.2% on a year -on-year basis and a 4.6% on a quarter -on-quarter basis. Our revenue growth has been healthy across Digital Technologies, Operations and Experiences. Our EBIT for Q3 stood at INR 44.7 crores, and we improved our EBIT margin by 84 basis points to 10.5%, driven by a focus on cost optimization and disciplined execution.

Artificial intelligence continues to be a strategic priority for us. Agentic AI is gaining popularity. We have started building innovative and customized Agentic AI solutions for our customers and

have also incorporated this technology into our platforms, FINATO and TruBot. Last week, we were at Davos during the World Economic Forum Week and engaged with global industry leaders to share our AI vision. The sentiment across the industry is highly optimistic about the potential of AI with a strong focus on achieving impactful outcomes.

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Our business continues to progress according to plan. This quarter, we expanded our client portfolio by adding 12 new customers, including 1 AFC customer. We have expanded our operations in the Philippines with the inauguration of our fourth delivery center in Cebu City. Our integration of Dextara is going smoothly. We have successfully cross-sold Salesforce services into 5 of our customers. We acquired TNQTech on the 31st of December 2024. TNQTech manages digital content for

scientific journals. TNQTech brings along a modern technology platform and several patents in content enrichment, besides it increases our presence in the European market. With this acquisition, we will serve 9 of the 10 largest publishers in the world, solidifying our position as market leaders in the digital content space.

I take this opportunity to thank all our stakeholders, including employees, customers and shareholders for being an integral part of our journey.

With that, I will now hand over the call to our CFO, Mr. Ankush Akar. Ankush, over to you.

Ankush Akar: Thank you, Rahul. Welcome, everyone, and thank you for joining us in Q3 FY '25 earnings call.

Let me start with the financial performance for Q3 FY '25. Our Q3 FY '25 revenue stood at INR 425.5 crores, reflecting a growth of 4.6% on a quarter-on-quarter basis and 15.2% on a year-on-year basis. Our cost optimization efforts and disciplined execution helped us improve our EBITDA. Our EBITDA for the quarter stood at INR 54.6 crores, which grew by 11.9% on a quarter-on-quarter basis. Our EBITDA margin for the quarter stood at 12.8%. Our EBIT for the quarter stood at INR 44.7 crores, which grew by 13.7% on a quarter-on-quarter basis. Our EBIT margin for the quarter stood at 10.5%. Our PAT after NCI stood at INR 74.3 crores. Our PAT margin for the quarter was 17%. Our tax rate for the quarter was 15.3% compared to 19.9% in the last quarter. Our EPS for the quarter was at INR 12.58 per share compared to INR 7.18 per share in the last quarter.

Exceptional items during the quarter represent exchange gains arising from the buyback of equity share capital held by an overseas subsidiary and expenses incurred on the acquisition of TNQTech. We have acquired 80% shareholding of TNQTech on 31st of December 2024 and remaining 20% will be acquired by 31st of July 2026. Current quarter includes revenue and margin only for 1 day. Full impact of the acquisition on our consolidated revenue and margin will reflect from the next quarter.

In terms of segment, Digital Technologies contribution to total revenue was at 41%, Digital Operations contribution at 42% and Digital Experiences contribution at 17%. We continue to maintain a healthy balance sheet. As on 31st of December 2024, our cash and investments stood at INR 512 crores and debt stood at INR 186 crores, resulting in net cash and investments of INR 326 crores. This is after payment for the acquisition of TNQTech. Our billed DSO was at 58 days as on 31st of December 2024 as compared to 58 days as of September 2024.

In terms of geographical footprint, U.S.A. remains our largest geography with 53% of our business coming from here, followed by India at 23% and the rest of the world, including U.K. and Europe at 24%. Our client concentration remains healthy with top 5, 10 and 20 clients contributing to 22%, 36% and 50%, respectively.

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With this, I will now pass on the call to operator to open the floor for questions. Thank you for your patience and continued interest in Datamatics.

Moderator: Thank you very much, sir. We will now begin the question-and-answer session. The first question is from the line of Hemant Shah from Seven Islands PMS.

Hemant Shah: So just one question. What are the expenses with respect to the acquisition of TNQ for this quarter, which we have provided?

Rahul Kanodia: So we had an intermediary firm that helped us strike this deal and the fees paid to that firm are the expenses that you're referring to.

Hemant Shah: Okay. What would be the quantum, sir?

Ankush Akar: It's INR 5 crores.

Hemant Shah: Okay. So I'm just trying to assess the one-off expense. That is one. And second, with respect to this TNQ, now we have acquired through Lumina Datamatics, right?

Rahul Kanodia: That's correct.

Hemant Shah: So if you can just provide some, perspective

with respect to market reach, strategic positioning

with respect to the integration of these 2 companies going forward. And secondly, this is absolutely a mirror company like MPS what we see. Only the domain is different. I think you are more focusing more on the science publications. MPS, is into the almost every publication, right? If you can just throw some light with respect to the integration? And how do we differentiate ourselves with MPS?

Rahul Kanodia: Sure. So as far as the integration is concerned, we acquired this on the 31st of December. So that is not even 1 month. Today, we are on the 30th of January. So it's just about a month old. So far, we've had good engagements with the leadership team but the integration process is now beginning. So as such, there's not been too much integration in the last 30 days. But yes, it's beginning to do that, point number one. So far, it's going smooth.

In terms of the strategic advantage to us, one is by virtue of this acquisition, we now service as 9 out of the top 10 publishers worldwide. So that consolidates our position as a dominant player in this space. TNQ has a very good technology platform, which augments our platform as well. So it expands the reach and the coverage that our technology basically provides, and then we can take the same thing to our customers.

The third is that they have several patents with them, and that gives us an edge as we take this platform and the patents to our customer base. And finally, of course, being powered in Datamatics, there's a lot of technology that we have within Datamatics, and we will certainly bring all of that to the table in the customer base that TNQ has. So that will give TNQ a significant advantage as well.

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So that's in a nutshell where we are. Of course, finally, it gives us a larger presence in Europe.

Our presence in Europe was not as deep in this space. But with this acquisition, we have a much bigger footprint in the European market.

Hemant Shah: Okay. Okay. Wonderful. And how do we differentiate ourselves with MPS? Or we are in the absolutely similar line of business, right?

Rahul Kanodia: Well, it is similar but I think what does differentiate us is the technology that we bring to the table because Datamatics is a very strong technology house, and it's a technology that we bring to the table that makes a difference.

Hemant Shah: Okay. Okay. But that means going forward, we'll be having a better margins for this Lumina plus TNQ put together?

Rahul Kanodia: As I said, they've come with a strong technology platform already. So they have very healthy margins. I think going forward, what will happen is we'll be able to provide more value-added services. So it's more from a value-add point of view rather than squeezing margins because they're a very efficiently run company already.

Hemant Shah: Okay. Wonderful. Wonderful. And secondly, if I may ask, I think the total revenue combined entities, Lumina as well as plus TNQ, I think last year, it is almost INR 700 crores.

Rahul Kanodia: Approximately.

Hemant Shah: Yes. And the profitability is, I think, INR 127 crores, right?

Rahul Kanodia: I don't have that last year data. Last year, TNQ was not part of our operation. But they are very profitable. I think that segment is running at about yes, 24%, 25% EBITDA.

Hemant Shah: Okay. Correct. So I mean, where do we see, Rahul, Lumina plus TNQ going forward for the next 3 years? I mean this is where we expect definitely a good growth. And personally, we feel the cross synergies and cross-selling opportunities are really there to unlock true potential of the combined entity.

Rahul Kanodia: Yes. So I think we are on a good wicket given that we are consolidating our position as a dominant player in that space. And this is a very sticky business. So I think it will maintain stability

and stickiness with all the large customers. In fact, all the customers were very positive with this move. So it only reinforces our position with all of them. So I think we are well placed.

Moderator: The next question is from the line of Harsh Chaurasia from Vallum Capital.

Harsh Chaurasia: So basically, what I wanted to understand is basically in Q3 FY '23, we announced \$85 million TCV win, which accounted for \$70 million large deal, which was about to be executed in 3 to 5 years and the rest \$15 million was about to be executed in 1 to 2 years. And I think in FY '23 only, we also had Delhi-Meerut Metro Station deal, the deal tenure was for 3 to 5 years. So what I wanted to understand is since then, so it's almost around 6 to 7 quarters but the incremental revenue is INR 217 crores, if I annualize your FY '25 number. So I wanted to know like what is the update on that deal. Like is it turning late or what is happening on that side?

Rahul Kanodia: Yes. So I'm not specifically recollecting the numbers that you're sharing but nevertheless, there's one large deal that I remember we signed. And then at the very early stage, we had some challenges on payment terms with the customer. And we were the ones who actually terminated that contract. And that was, I think, in November '23, if I'm not mistaken, \$35 million, thereabouts. So there was a \$35 million deal, which we did sign and then we exited that deal consciously because of the payment issues that we were having. So that was one.

The Delhi -Meerut project is going smooth. We continue to service them, and it is very much on track and we're going quite well actually. And along with the Delhi Metro, we had also signed around the same time, Kolkata Metro, RVNL that is, and that is also going smooth.

Harsh Chaurasia: One more question to understand Datamatics more better. So if you can just give me a broad bifurcation between of your total revenue mix, how much would be the discretionary and how much would be the legacy?

Rahul Kanodia: Discretionary -- I don't.

Harsh Chaurasia: So I'll just tell. So basically, discretionary deals, which are like Salesforce, you are working with hyperscaler or digital transformation deals, and legacy, which are like automation, the old like publishing type of the overall bifurcation between those two?

Rahul Kanodia: We would not have that data because we don't break it up that way.

Mitul Mehta: But most of our revenues are coming from Digital Technologies or not discretionary. I'm just using the words, which we typically use. It's Digital Technologies and then the legacy systems. But most of our revenues now are from the digital space. So we are now no longer bifurcating between what's my Digital Technologies share. Digital Technologies is a predominant share of revenue.

Moderator: The next question is from the line of Grishma Shah from Envision Capital.

Grishma Shah: Curious to know if you could highlight how Dextara has done. I believe it now be more than 12 months that Dextara is part of Datamatics. So over the last 12 months, how has Dextara performed? And particularly in this quarter, what has been the growth for Dextara?

Rahul Kanodia: Yes. So Dextara has been with us for 9 months now, 3 quarters. We've been able to cross -sell, as I mentioned in my address, about 5 new customers of Datamatics that we've been able to cross -sell Salesforce services. By and large, the company remains stable . Our sales cycle on an average is about 9 to 12 months. So it takes that long to really generate business.

So I think we are well placed. The team is stable. We've had no attrition challenges there whatsoever. So I think we are well placed but it's been stable. The growth has not been as aggressive as we thought it would be, and that's important to call out but we are not having any major problems.

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Grishma Shah: So now is Dextara on path to do 30%, 40% kind of growth rates, which they used to do before we did the acquisition? Is it on that stellar growth run rate or we will take some more time as we are integrating?

Rahul Kanodia: No, we will take some more time. The integration exercise is fairly almost done another 2, 3 months and it will be over. The integration has gone up very smoothly. They have not crossed the 30% growth that we were expecting. But I think next year should be a better year because the pipeline is looking quite strong.

Grishma Shah: Okay. And the other question is on the revenue growth. While the revenue growth has been decent this quarter, given that the first 2 quarters of this year, we've struggled with our growth rates but margins have not inched up as anticipated. So what is the outlook on that? And also some color as to how the core business is going to shape up over the next 12 months, given that we are in the beginning of the year, how are the conversations happening? If you could provide some color.

Rahul Kanodia: So the margins have improved a little bit, if you notice. Yes. So having said that, we always have a spike in Q4. You would know that from our previous calls. And for that, we ramp up in Q3.

So the ramp -up that happens in quarter 3 tends to dampen the margins a little bit and the benefits are accrued in Q4. But margin has been retained at a decent level. So I'm not too worried about the margin front. Having said that, yes, we have taken steps to do more and more automation and tighten our belts and that exercise, of course, continues. Your second question was?

Grishma Shah: Sir, if you could provide an outlook as to how each of our 3 business segments are shaping up now that you would have started conversations for the year, beginning of the new calendar year.

Rahul Kanodia: They're all looking good. We are right now in the process of doing our planning for the next year. Our year, as you know, begins 1st of April. So before the end of this quarter, we will certainly have all our plans in place and see that. Now the only sort of unknown element there is a little bit of the U.S. market, although it's looking very positive and upbeat. But with the new administration in place, one has to look at their outlook towards outsourcing, and they may come. The policies around that is a little unclear. So that is something that we still are observing. But generally, the mood is positive.

Grishma Shah: Okay. So we've kind of moved in a very good revenue range this quarter. Sequential growth of 5% is also good and 15% sales growth year-on-year. Both the numbers look really good. So is this kind of a run rate or the absolute number that we intend to clock over the next few quarters or there were certain one-offs in this quarter?

Rahul Kanodia: We will maintain a certainly healthy growth going into the next quarter. As I mentioned, the pipeline is looking good. But obviously, this December ending quarter is always a little soft quarter because the world goes to sleep, there's Christmas vacations, Thanksgiving vacations, all of that. So given that, I think we've had a good performance, and I think we'll continue a very healthy trajectory going forward. Yes, Q4 should be also strong.

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Moderator: Sir, the participant got disconnected. The next question is from the line of Riddhi, a shareholder.

Riddhi: Congratulations on good numbers, first of all, sir. And my first question was actually regarding the EBITDA margin only, which you just answered. But I have another point of view on this question that from last 3 quarters, we have seen 13%, 12% EBITDA margins, whereas before that, we haven't seen such low margins for like 3 years. So first of all, what is the reason behind this?

s? And can we actually look forward for good mid-teen margins from next year?

Rahul Kanodia: Yes. So we are in the process of little more tightening our belt. You're right that the last 3 years has been better. But I think as we tighten our belt in this quarter, we will see better margins in the next year.

Riddhi: Okay. Second question would be, sir, we all know the global cues regarding the sector, AI and everything, the DeepSeek, the problems created by China on U.S. also. I would like to know the management outlook on this and whether it will impact our company's operations and financials.

Rahul Kanodia: So the release from China of the new platform will not impact our margins or our performance. They certainly launched a very good product, no doubt. But there is a fair amount of skepticism right now. The largest consumer market is still the Western world and the Western world is very wary with China, with their IP rights and things like that. So I don't know where that will go.

As far as AI is concerned, as I mentioned even with my visit to Davos that it's a very optimistic outlook. Everybody is very excited about that, very positive about that. But the projects are still small. Customers are still experimenting with AI. So nobody has gone down the path of large projects and a big bang. So they're all flirting with it. They're experimenting with it, they're testing it and small projects are being done. I think it will be another 12 to 18 months by the time we see some sizable projects coming down the path of AI. But that's a new frontier of technology. And therefore, every company has no choice but to focus on that area.

Riddhi: Definitely, we believe that there is space in this sector for everyone. Last question would be, sir, that it's a very good positive point for our company about the partnership with Microsoft, Google and Salesforce. I just need to confirm and reassure a shareholder that will this be continued for future, like how many years? And is there any plans to get business or anything like that?

Rahul Kanodia: Yes. So we are in dialogue with them for joint business and joint go-to-market. And we've had some very fairly decent traction with both of them. Both Google and Microsoft are leaders as far as the AI space is concerned. For the next 2, 3 years, easily, I see a stronger relationship building with them because the joint go-to-market will deliver the results. But they are the leaders in AI and that's what we are focusing on. So we do see a significant improvement in that engagement.

Mitul Mehta: I remind you that this is a technology partnership. It is where we get access to some of those cutting-edge technologies before it really hits the market and goes to a wider set of enterprises. So this relationship would give us the access so that we can build solutions for our customers on this and also jointly go to market with Microsoft and Google to some of the larger enterprises.

Moderator: We have a follow-up question from the line of Grishma Shah from Envision Capital.

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Grishma Shah: Sorry, sir, I got disconnected. I also am keen to understand how are each of these 3 segments shaping up for us? And with the new acquisition getting consolidated for the full quarter, what kind of run rate are we expecting from that acquisition?

Rahul Kanodia: So the acquisition will consolidate next quarter. This quarter, we've not had any impact of that because we acquired it on the 31st of December. Going forward, so roughly the revenue stream of that company is about INR 285 crores or thereabouts. So that's what will get added on to our numbers next financial year. So therefore, if you look at that, we are talking about roughly INR 2,000 -odd crores in revenue in next financial year on an overall consolidated basis, we've not yet baked in our growth strategies and growth plans, so that will come in.

Grishma Shah: Okay. So overall, on a consolidated basis, roughly INR 2,000 crores of sales for next year and INR 285 crores, particularly from this acquisition for the entire year. That's what you are saying?

Rahul Kanodia: That is correct.

Mitul Mehta: Roughly adding about \$10 million (Please read this as approx. \$8 million) on a quarterly basis.

Grishma Shah: Okay. And you mentioned the margins are 25% at the EBITDA level. Does it slow down equally well at the bottom line?

Rahul Kanodia: Yes, it slows down equally well, yes.

Grishma Shah: Okay. And can you give us some color as to how each of our segments are looking for the next financial year or calendar year, given that we've seen some challenges across 2 of the segments for sure, how things are shaping up?

Rahul Kanodia: No, I think that Digital Technologies and Digital Experiences are looking good. Digital Operations with this acquisition as it is get bolstered. So I think we are in a good place across the board or across all 3 of them.

Grishma Shah: Okay. And we also had some of our top clients scaling down. Are they back? Are they doing more business with us now? Or you see that possibility coming over?

Rahul Kanodia: Yes. So some of them are scaling up with us, and we see that happening already. So some of them did move some work to the captives but we also see them parallelly working with us and in fact, increasing their wallet share with us. So I think we are in a decent place.

Grishma Shah: Will it also be fair to assume that FY '26 would be a good year of consolidation and growth compared to one more M&A or you are still looking out for acquisitions?

Rahul Kanodia: So certainly, a lot of energy will be spent on the integration of TNQTech. We don't have any hot deals on the table. But yes, we are in touch with companies. We continue our dialogue. You never know what comes through. But yes, the focus will be more on the integration rather than going out and making several more acquisitions. Having said that, of course, we remain in touch with a few companies to keep exploring the market.

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Moderator: The next question is from the line of Jyoti Singh from Arihant Capital Markets.

Jyoti Singh: Sir, just wanted to understand on the TNQTech side. Like currently, we are having 13% revenue contribution from Europe. So as you clearly mentioned, we'll be enhancing more on the Europe side because of the TNQTech. So going forward, what our expectation on the revenue contribution side, it will going to increase? And also any bigger client that we got access through TNQTech on the Europe side?

Rahul Kanodia: Yes, so we were already working with a large client. And their wallet share was larger than ours. And with this acquisition, we've further consolidated our position with that large client. So did we acquire any new logo versus the acquisition? Not really. It was more of a consolidation strategy rather than a new logo acquisition strategy. Their presence in Europe in this space, particularly digital content was stronger than ours. We were more focused on the U.S. They were U.S. and Europe. So this gives us a stronger presence now in the European market.

Jyoti Singh: Okay. And sir, just wanted to understand with the synergy of TNQTech, we are seeing any visibility to acquire more clients in Europe on a larger scale basis?

Rahul Kanodia: Because we have a stronger presence in Europe, of course, the acquisition of new customers naturally goes up. Of their revenue, 47% comes from Europe and 53% comes from the U.S. So, of the INR 285 crores that I mentioned earlier, you can roughly estimate about 53% from the U.S. and 47% from the European market. So it does give us a much stronger presence in Europe.

Jyoti Singh: Okay. And sir, another on the number side, like this time, exceptiona

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basis. So obviously, it will not going to be in the upcoming quarters. So like can you guide us on the top line and bottom line, what our expectations or how optimistic we are?

Rahul Kanodia: Yes. As you see, we had a good quarter, Q3, and Q3 is always a slow quarter, relatively speaking, globally for all companies. So given that, I think I'm quite optimistic about Q4 and then the next

year as well. So , we don't typically give a very specific guidance around Q4 numbers. But yes, we are very optimistic about Q4.

Moderator: We have our next question from the line of Sanjay, an individual investor.

Sanjay : Congratulations on good revenue for this quarter. I guess this is the highest ever revenue given by the company. I mean you can confirm that but I think it's the highest revenue. The question is about seasonally, Q4 is the strongest quarter. So is that situation still stays? I mean, are you seeing the deals and the closures will be happening in Q4? Or there will be some spillover will go into Q1 and the revenue may get impacted?

Rahul Kanodia: No, I don't see revenues spilling over from Q4 to Q1. Deal flow will continue. I mean it's an ongoing everyday situation, yes. So there's no such pattern that you might see between quarters 3 and quarter 4. But revenues, I don't see any major spillovers.

Sanjay: Sure. But the seasonality, Q4 is going to be the strongest, right, better than Q3.

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Rahul Kanodia: Traditionally for us, it has always been the strongest. And yes, that will continue. Well, also next quarter, you will also have a spike because of the TNQ consolidation of that quarter. But generally have a Q4 spike anyway.

Sanjay: And should there be any impact in margins because of the TNQ revenue or it will be in similar lines?

Rahul Kanodia: No, it will improve a little bit for sure. But it's only quarter 1 quarter. So it will not be huge but there will be a positive impact.

Moderator: The next question is from the line of Deekshant B. from DB Wealth.

Deekshant B.: Congratulations on the great numbers, sir. Sir, the first question is out of the 2 acquisitions that we have recently made, what was the contribution of these 2 acquisitions to our top line?

Rahul Kanodia: So the first one, Dextara contributed about \$7 million to the top line on an annualized basis. TNQ has not impacted our top line because we will consolidate in Q4. Q1, technically, there was a consolidation of 1 day, which is really insignificant.

Deekshant B.: Okay. So on our core business, what has been the growth that we have registered for our core business?

Rahul Kanodia: So whatever growth you see is all the core business because like TNQ does not impact because it will come next quarter. And Dextara and Salesforce, we already had the Salesforce practice and that, as I mentioned earlier in one of the earlier questions, that will remain stable with some growth, not the 30% growth that we were expecting. So by and large, whatever growth you see is the core business of Datamatics.

Deekshant B.: I think you understand the line of thought process here is that what we are looking at is the 7%, 8% growth that we are seeing, what would be the contribution of the new acquisitions versus the stable business that we are having, sir? So that's the whole thought process here. Could you just shed some light on this, please?

Rahul Kanodia: So we had talked about a projection of about 4% impact with the Dextara and 4% organic growth totaling to about 8% for the year. That's what we had given in our earlier call.

Rahul Kanodia: Annualized basis .

Mitul Mehta: Not the quarterly basis. If you look at the quarterly numbers, quarterly growth Y -o-Y is about 15% and quarter -on-quarter is about 4.6%. and we are talking about a 4% impact on revenue top line through Dextara acquisition, which is now

9 months old, which is 3 quarters. TNQTech , that acquisition, the impact has not yet felt on any of the top line or the bottom line with a very, very marginal impact, if I have to put, which is for 1 day, which is negligible. What you will see from Q4 onwards, you will see a TNQTech impact on the quarter numbers.

Deekshant B.: Sir, what kind of growth do we think that TNQ can build us like in a year time?

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Mitul Mehta: So TNQ will add a top line of roughly about \$40 million (Please read this as approx . \$33 million) in a year and about \$7 million will come from Dextara. So purely from an inorganic, if you want to put it, then those 2 numbers you can add to the top line of Datamatics.

Deekshant B.: Wonderful. Sir, would this be margin accretive to us as in that would we be seeing better margin trajectory? Or do we think that the margins would be the same as TNQ is being amalgamated with the company?

Rahul Kanodia: It will be accretive. There will be margin improvement.

Deekshant B.: Okay. Sir, overall, what do you think are the growth drivers for us right now because we have done some inorganic acquisitions and the management has told us that we are still looking for

more opportunities. So what is the growth driver for us going forward, how we can go from a single digit to double-digit number?

Rahul Kanodia: I think the key element would be really the investments that we are making, and we are hoping that some of them will start giving the results. The focus that we have on hyperscalers continues. And the engagements with all these hyperscaler big tech companies should give us results fairly soon. Also, the renewed focus, in fact, we are right now in the midst of relooking at our strategy and account penetration and some of those account penetration should give us a better market. Then finally, of course, we've also increased our penetration in the European market. So the increase in presence in Europe, account penetration and the hyperscalers, I think as a combination will give us the upside that we're looking for.

Deekshant B.: Okay. Sir, a follow-up on this is, so right now, from a lot of peers in the same domain, people are preparing for an up cycle and up cycle is being seen. Sir, do you think that in, let's say, 6 to 8 quarters from now, we can see a top line growth of 20% plus?

Rahul Kanodia: A lot of it depends on some of the newer technologies that are now coming out into the world, particularly around AI. I think the jury is still out as far as that technology platform is concerned. I think in the next 6 to 12 months, you'll get a much better visibility as to what's happening in that space. The basis that we'll be able to be more confident talking about those kind of growth numbers.

Deekshant B.: Sure, sir. Sir, last question is on U.S. versus Europe. Sir, do you see better spending happening in Europe still? Or is it much more of a competitive market than U.S. because like the economy of U.S. versus Europe, there are quite significant differences, right?

Rahul Kanodia: Yes. So the U.S. is much more vibrant as a market, certainly a much faster decision-making larger deals. Europe is having their own set of economic challenges. So I wouldn't say it's more competitive but they are having a lot of pressure because of the current soft economy that we see pretty much across Europe. So in that sense, it is a softer market than the U.S. Our focus is therefore going to be more on the U.S. than in Europe. Of course, having said that, it's still a better market than India or the Middle East or some of the other parts of the world.

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Deekshant B.: Of course. Sir, just a last follow-up, sir, current, if you can just give even ballpark figures that what are we expecting post amalgamation, what would

be our revenue share from U.S. and

Europe, even if you could with any sort of timeline that you feel comfortable?

Rahul Kanodia: Yes. I think if you -- right now, our U.S. share is about 53%. Europe is about 23-odd percent. So together, I think that's 75%, 76%.

Rahul Kanodia: Yes. And 23% is India. That should go up to upwards of 80%, 85% with the acquisition of TNQ. So Europe and U.S. will both increase.

Deekshant B.: A major part of this will be U.S. or Europe?

Rahul Kanodia: 53% of that is U.S. and 47% is Europe. So major part will be U.S.

Ankush Akar: So broadly, from a revenue mix perspective, the U.S. will remain in the same range of 53%, 54% at overall level. Our Europe mix will go up with the TNQ acquisition, and that is what we will see from the next quarter.

Deekshant B.: Are we looking to acquire more?

Rahul Kanodia: As I said, we continue to be in dialogue with some companies, nothing serious. Right now, our focus will be more on integration of this company rather than acquisition. But yes, we continue some dialogue here and there.

Moderator: We have a follow-up question from the line of Hemant Shah from Seven Islands PMS.

Hemant Shah: I have 2 questions again. We have been spending, a lot in terms of technology since last maybe 1.5, 2 years, right? Maybe a newer technology, AI, you have been speaking on every call, right?

Rahul Kanodia: Yes.

Hemant Shah: So I mean, is this spending of last maybe 1.5, 2 years is going to yield positively in terms of EBITDA margins going forward? And what would be the quantum, which we are burning actually?

Rahul Kanodia: Yes. So we have mentioned in earlier calls that we are burning roughly about INR 40 crores to INR 50 a year on this technology. And that right now continues. We are still very hopeful of seeing the ROI on this investment because these are investments on all the latest technologies that we've been talking about, the whole area of intelligent document processing, IDP, robotics and now Agentic AI. So all of these technologies are critical for future growth because that's where the wave is and not being at the forefront of cutting-edge technology, you can be relegated and become obsolete very, very fast. So that will continue.

And now I think some of these technologies are maturing, even generative AI for the last few years has made a lot of buzz but it's beginning to mature and you can see that maturity coming in. So yes, we are still very hopeful of getting a good ROI on those investments.

Hemant Shah: Wonderful. But quantum , this spend is going to continue for even the current year, FY '26 as well, same quantum? Or I think, as you said, the maturity level has reached, I think the quantum would be lower?

Rahul Kanodia: No. The investments will continue. Hopefully, we'll get better deals, more deals than the larger deals but the investments will continue. Because this area of technology is moving very, very fast in multiple different directions. And any slowdown, then we will certainly fall back and we do need to keep pace with the current market. Particularly, the U.S. and China are way ahead as far as this technology is concerned. And it's important that we somehow keep pace with those guys to be able to adopt it.

Hemant Shah: Okay. So what would be your expectation of the ROI on this spending, Rahul, if I may.

Rahul Kanodia: I think another 1 year will give us a very good picture. In 12 months from now, we'll be in a very good place to know because by then, we have really matured and we would have started seeing a decent deal flow coming in.

Hemant Shah: Yes. Why I'm asking is because this is going to play a very critical role in improvement of the margin overall besides TNQ, right?

Rahul Kanodia: That's correct.

Hemant Shah: TNQ and \ Lumina Datamatics are the 2 entities, which are yielding

almost 23% to 25%

EBITDA margins. And the other part of the business, which is almost INR 1,500 crores of the business, which is yielding negligible margin, I would say, on a stand -alone basis, if you see. So I'm just trying to do a math. If the margins are going to improve, what would be a good margin where you will be satisfied technologically as well as I think, even after adoption of the AI in your whole organization?

Rahul Kanodia: So if you look at the mid -teens, it's certainly very, very doable.

Hemant Shah: Okay. Because if I do a pure clear math, we have done an EBITDA of INR 250 crores last year, INR 246 crores precisely. And the TNQ is going to be added for the next year and which is yielding 25% EBITDA, okay, on a top line of Indian rupees is around INR 290 crores, which is almost INR 70 crores. So INR 320 crores is the EBITDA, which is coming actually on a turnover of INR 2,000 crores, which is already having an EBITDA margin of 16%. So on and above that, what kind of delta we can expect by the spend of this AI, which we have been investing?

Rahul Kanodia: That's what I'm saying. So a lot of the AI projects and the technology projects today are still small pilots. They're still experimenting. The larger deal flow has not yet started. But certainly, when we compare ourselves with some of our other competitors , we are absolutely at the cutting edge of where technology is. So , I'm very optimistic about the deal flow coming in as this technology matures. We are still waiting for the larger deal flows to come in , but we are seeing the maturity coming in already. So , two years, they've all sort of flirted with it. They get a better sense of where it's going and how to deploy it. So I'm quite optimistic as to next year should be a good year in that space. Now if you're asking for a very specific number, I don't know because I don't have a buzz of who is going to take what decision.

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Moderator: Thank you. Ladies and gentlemen, that would be the last question for today. And I now hand the conference over to the management for closing comments. Over to you, sir.

Rahul Kanodia: Thank you, everyone, for being on the call with us today. Once again wish you a very Happy New Year and look forward to meeting you in the next quarter. Thank you for being on the call.

Moderator: Thank you. On behalf of Datamatics Global Services Limited, that concludes this conference.

Thank you for joining us, and you may now disconnect your lines.

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"Datamatics Global Services Limited
Q4 FY '25 Earnings Conference Call "
May 16, 2025

MANAGEMENT : MR. RAHUL KANODIA – VICE CHAIRMAN AND CHIEF
EXECUTIVE OFFICER
MR. ANKUSH AKAR – SENIOR VICE PRESIDENT AND
CHIEF FINANCIAL OFFICER
MR. MITUL MEHTA – EXECUTIVE VICE PRESIDENT
AND CHIEF MARKETING OFFICER

MANAGEMENT : MR. PRATIK JAGTAP – E&Y INVESTOR RELATIONS

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Moderator: Ladies and gentlemen, good day and welcome to Datamatics Global Services Limited Q4 FY '25 Earnings Conference Call. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Pratik Jagtap from E & Y Investor Relations. Thank you and over to you, sir.

Pratik Jagtap: Thank you, Manav. Good afternoon to all the participants in the call today. Welcome to the Q4 FY '25 Earnings Call of Datamatics Global Services Limited. The Results and Presentation have been already mailed to you, and it is also available on the website of Datamatics. In case anyone has not received a copy of Press Release or Presentation, please do write to us and we will be happy to send you all.

To take us through the results today and to answer your questions, we have with us the top management of the company represented by Rahul Kanodia, Vice Chairman and CEO; Ankush Akar, SVP and Chief Financial Officer; Mitul Mehta, EVP and Chief Marketing Officer. Rahul will start the call with a brief overview of the quarter on business, which will be then followed by Ankush who will take us through the financials. Then we will open the floor for Q&A session. I would like to remind you that anything that is said on this call, which gives any outlook for the future or which can be construed as a forward-looking statement, must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included but not limited to what we have mentioned in the prospectus filed with SEBI, and subsequent annual reports, which you can find on our website.

With that said, I now hand over the call to Rahul sir over to your Rahul sir.

Rahul Kanodia: Thanks Pratik. And very warm and welcome to all of you. And thank you for joining us for the Q4 FY '25 earnings call. I will begin by sharing key strategic highlights from our quarterly and annual performance, after which Ankush will provide a detailed overview of the financials. We will then open the floor for questions.

We delivered a steady performance in Q4 FY '25 with revenue of INR 497.2 crores, which is up 20.5% on a year-on-year basis and an EBITDA of INR 74.5 crores, reflecting a 15.3% year-on-year growth. Of course, this includes Q4 revenue contribution from TNQTech, which we acquired on the 31st of December 2024.

For the full year, we achieved revenues of INR 1,723.4 crores, representing a year-on-year

growth of 11.2% over FY '24. On an overall basis, 3% of our growth came from organic performance and the balance came from acquisitions. This year, we have seen an unexpected dip in volumes from our tax business due to the tax volume shifting to in-house captive centers. And we are seeing some slowness in pipeline velocity and decision making due to the tariff

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uncertainties. Going forward, we will continue to focus on our strategic accounts, expand our presence in the US and European markets, and drive cost optimization. To achieve this, we are aligning our teams around strategic and key growth accounts.

AI remains a cornerstone of our strategy. We believe in AI's transformative potential and remain committed to delivering impactful business outcomes for our customers through our AI-first approach. We are seeing more proof of concepts being done in this space and some of them converting into projects.

The Board of Directors has recommended a final dividend of INR 5 per share, which translates to 100% of the face value,

which is INR 5, reaffirming our commitment to shareholders.

In closing, I would like to express my sincere gratitude to our employees, customers, partners and shareholders for their continued trust and support. With that, I will hand over to Ankush for financial update.

Ankush Akar: Thank you, Rahul. Welcome, everyone, and thank you for joining us in Q4 FY '25 Earnings Call. Let me start with financial performance for the Q4 FY '25 and then I will take you through the Full Year FY '25 financial performance as well.

Our Q4 FY '25 revenue stood at INR 497.2 crores, reflecting growth of 16.8% on quarter-on-quarter basis. Our EBITDA for the quarter is stood at INR 74.5 crores, reflecting a 36.6% growth compared to the previous quarter. Our EBITDA margin for the quarter was 15% compared to 12.8% in the previous quarter. Our EBIT for the quarter stood at INR 54.5 crores, reflecting a 21.9% growth compared to the previous quarter. Our EBIT margin for the quarter was 11% compared to 10.5% in the previous quarter. Our Q4 FY '25 performance includes full quarter numbers of TNQTech acquired on 31st of December 2024.

Our other income for the quarter was INR 8.1 crores as compared to INR 10.7 crores in the previous quarter. The decline was due to the utilization of funds for the acquisition reflecting in lower income from investments. Our PAT after non-controlling interest was at INR 44.9 crores, down by 39.6% on quarter-on-quarter basis. The decline is due to an exceptional one-time gain in Q3 FY '25.

In terms of segment, our Digital Operations revenue for the quarter was Rs 266.4 crores, which is up by 49.7% on a quarter-on-quarter basis. Digital Operations EBIT margin was 16.4% for the quarter. Digital Technologies revenue for the quarter was INR 159 crores, which is down by 8.3% on quarter-on-quarter basis. Digital Technologies' EBIT margin was 1% for the quarter. Digital Experiences' revenue was INR 71.7 crores, a decline of 3.3% on a quarter-on-quarter basis. Digital Experiences' EBIT margin was 13.1% for the quarter.

Talking about FY '25 Financials:

Our revenues stood at INR 1,723.4 crores, reflecting growth of 11.2% on Y-o-Y basis. Our EBITDA for the year was INR 229.3 crores and EBITDA margin was 13.3%. Our EBIT for the

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year was INR 181.2 crores and EBIT margin was at 10.5%. PAT after non-controlling interest was at INR 205 crores and PAT margin was 11.6%.

For the financial year, if we see this segment, our Digital Operations revenue for the year was INR 785.8 crores, which is up by 13.2% from the previous year. Digital Operations EBIT margin was 14.9% for the year. Digital Technologies revenue for the year was INR 655.9 crores, which is up by 7.3% from the previous year. Digital Technologies' EBIT margin was 3.6% for the year. Digital Experiences revenue for the year was INR 281.7 crores, which is up by 15.4% for the previous year. Digital Experiences EBIT margin was 14.3% for the year.

We continue to maintain a healthy balance sheet despite utilization of funds for two acquisitions. During the year, our cash and investments net of debt remained strong at INR 415.3 crores. Our billed DSO was 57 days as of March 2025 as compared to 67 days as of March 2024.

In terms of geographical footprint, US remains our largest geography with 54% of the business coming from here, followed by India at 21%, UK and Europe at 15%, and rest of the world at 10%. In terms of industry footprint, technology and consulting was the largest segment for us, which constitutes 26% of the revenue, followed by BFSI which stood at 21%, then education and publishing stood at 18%, manufacturing and logistics which stood at 13%, non-profit and non-government organizations at 10%, retail at 8%, and rest of all are 4% of the revenues. Our

client conc

entrations remain healthy with top 5, 10 and 20 clients contributing to 20%, 33% and 48%, respectively.

With this, I will now pass on the call to the operator to open the floor for questions. Thank you for your patience and continued interest in Datamatics.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have our first question from the line of Mihir Manohar from Carnelian Asset Management. Please go ahead.

Mihir Manohar: Yes, thanks for giving the opportunity. Sir, I largely wanted to understand the digital tech part of the piece. I mean, so when I go to the presentation and through the website, broadly I mean we are doing managed services, Salesforce implementation, Microsoft related work and automatic fare collection also. If you can throw some light here as to what exactly are we doing here in digital tech? Because the reason I wanted to understand is the margins that is 4%, 5% EBIT margin range, 4 to 6%, so why is it that our EBIT margins are in this band versus when we see for other IT companies they are in the 11% to 15% band, depending on the company that you select. So, just wanted to get the sense as to what are we doing exactly here and how why our EBIT margins are this 4% to 6% range?

Rahul Kanodia: Sure. So, if you look at the core IT services, they are in the range of about 15-odd-percent in EBIT terms. That is impacted for two reasons. One is that all our investments in product development and the R&D that we are doing in AI is going into this bucket. And the second is the business that we do with automatic fare collection is also not a very healthy margin business, plus it has a large component of hardware. Since we are not a hardware company, it's basically Datamatics Global Services Limited

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a trading margin that you make on that. So, the AFC piece and the investments in products is what is eroding the margins. If you look under the sheets, basically the core IT services is running at about 15% margin.

Mihir Manohar: Okay. So, this 15% you mentioned is EBITDA or EBIT?

Rahul Kanodia: 15% is EBIT.

Mihir Manohar: EBIT, okay. If you can quantify the impact of yield driving both these things AFC as well as investments, I mean, so AFC is how large for us, I mean, out of INR 650 crores?

Rahul Kanodia: Yes, it is about Rs. 85 crores, INR 90 crores roughly, ballpark.

Mihir Manohar: On a quarterly basis?

Rahul Kanodia: No, no, no, annual basis, but that's a very low margin.

Mihir Manohar: Understood. Sure. Correct. And these investments that we were mentioning about before, these are the company level investments or only these segment level investments?

Rahul Kanodia: So, all the investments on technology fits into this. So, no matter where in the company we do R&D, all of it comes into the IT bucket.

Mihir Manohar: Okay, understood. Sure. That's it for my side. Thank you.

Moderator: Thank you. We have our next question from the line of Hemant Shah from Seven Island PMS. Please go ahead.

Hemant Shah: Hi, thank you for taking my question. Could you help me with the revenue contribution of TNQ in Q4?

Rahul Kanodia: Yes. TNQ revenue contribution in Q4 is about INR 74 crores.

Hemant Shah: INR 74 crores. And for the full year FY '25 what would be it? I mean, when we acquired the company last year it was around INR 290 crores.

Rahul Kanodia: Yes, I think it is around INR 287 crores or INR 290 crores, yes.

Hemant Shah: Okay. And secondly, is there any one-off with respect to this acquisition? In Q3 we had INR 5 crores of one-off I think you had mentioned, is there any one-off in Q4?

Rahul Kanodia: One-off expense you mean?

Hemant Shah: Yes, one-off expense.

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Rahul Kanodia: Yes, we had a one-off expense for the acquisition of TNQ

Tech. Ankush you want to say something?

Ankush Akar: So, we had one-off expense in the last quarter, quarter three, which was for the acquisition. For this quarter there is nothing as one-off.

Hemant Shah: Okay, okay. So, basically the depreciation and amortization, which has gone up from say almost INR 7 crores to INR 20 crores, this is going to be the new normal?

Ankush Akar: So, basically, when we do the acquisition, there is intangible assets as well which get generated. So, there are two basically intangible assets, goodwill and customer contracts. So, this is

basically an amortization of that customer contracts which will continue for the few quarters basically till it is amortized.

Hemant Shah: Okay . So, this includes goodwill amortization as well ?

Ankush Akar: Goodwill is not amortized, only the customer contracts which we have created. So, the INR 7 crores will continue for few quarters till it is amortized fully.

Hemant Shah: Could you quantify how many quarters?

Ankush Akar: It will be roughly over three years.

Hemant Shah: Over three years , alright. Okay . So, my next question would be after this TNQ Tech , this will be the first full quarter ?

Rahul Kanodia: Last Q4 was the full quarter , this will be the first full year.

Hemant Shah: Yes. So, FY ' 26 will be the first full year of TNQ Tech numbers, correct , I mean, consolidated numbers ?

Rahul Kanodia: Correct.

Hemant Shah: So, if you see, we have done INR 1,723 crores of top line and I think TNQ Tech anyway is going to have a top line of INR 300 crores. So, technically we should do around the INR 1,950 crores of sales for going forward in FY '26 comfortably without assuming any growth in the normal businesses, including the Lumina Datamatics as well as Datamatics standalone ?

Rahul Kanodia: That is correct.

Hemant Shah: Okay, okay . And where do you see , Rahul, the margin expansion scope ? I mean , in terms of Digital Operations we have done in Q4 16%, but if you see yearly it has declined , and even in Digital Experiences Q4 has done okay, but yearly I think it has declined. And Digital Technologies I think has done really bad margins , I mean , EBITDA margins.

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Rahul Kanodia: So, yes, it appears bad because of just the spend that we have , point number one. A nd point number two, in technologies we did have a little bit of a dip in revenue in Q4 . Having said that, the measures that we have taken to control costs should show us a significant change across the board . The maximum change you should be in the Digital Technolog ies area that you will see . But even in Digital Experiences we see an improvement in margin. So , we will see margin improvement, more so in these two pockets but you will see it across the board.

Hemant Shah: Okay . Even in Digital Operations we will also see some improvement because of TNQ Tech ?.

Rahul Kanodia: Yes. That is correct . Partly because of T NQTech , and partly because of some cost cutting measures that we have already taken care of .

Hemant Shah: Okay. So, if you just analyze this , I mean, and then for the next year, can we comfortably expect 150 bps to 200 bp s of margin improvement? I am not talking about the guidance, of course , this is pure mathematics.

Rahul Kanodia: Yes, I expect that.

Hemant Shah: Great. And lastly, could you throw some idea on deal wins, Rahul ? We have mentioned four or five deal wins in the presentation , is the size is abo ve INR 20 crores annually or below INR 5 crores annually ?

Rahul Kanodia: So, these new deals or new logos that we win , typically always start small in this scale. So, there are some very good logos that we have acquired, but they will always start with the range of \$200,000, \$300,000, that's about INR 1.5 crores to INR 2.5 crores. But then they scale depending on how the performance

goes, yes.

Hemant Shah: Okay . But is there any deal we have won over say INR 10 crores or even higher?

Rahul Kanodia: Yes, yes, there are. And there are some in the pipeline as well that we will close hopefully very soon.

Hemant Shah: Okay , great. So, lastly, I think if you can throw some light on AI driven revenues in FY '25, I think you ha ve mentioned around \$40 million in Q3.

Rahul Kanodia: \$40 million of AI?

Hemant Shah: For the year.

Rahul Kanodia: Our total top line roughly is \$200 million, so \$40 million just pure AI would be very heavy.

Hemant Shah: Okay . So, what would be the AI driven revenue?

Rahul Kanodia: Right now we are not tracking specific AI driven revenue because we are injecting AI across the board in multiple areas. So, in every project there is some component of AI that's coming in. It

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is very difficult to track pure AI revenue. Having said that, there have been a few POCs that I mentioned in my address, there are a few pure AI proof -of-concept projects done and they are now converting into live projects.

Hemant Shah: Okay . So, every year we spend around INR 40 crores to INR 50 crores with respect to the R&D

and the technology spend, right?

Rahul Kanodia: That is correct.

Hemant Shah: Which is going to continue even in '26-'27 as well ?

Rahul Kanodia: It will continue. We are realigning some of that from some product investments that we were making towards AI. So, we are sort of reallocating some capital. But yes, fundamentally these will continue.

Hemant Shah: Okay . Fair enough. And lastly, sorry to take so many questions. Thank you for this INR 5 dividend , this is a very good gesture . And I just wanted to know, I mean , there is one likewise competitor in the stock listed space which is MP S limited .

Rahul Kanodia: Yes.

Hemant Shah: And if you see the financials of MP S, I think it has steadily grown in terms of volume and even in terms of margins . If you see three years back, the size of the company was almost half the size which is today. And the margins have also already expanded from say 18% to almost 23 %, 23.5%. I mean, can we see this kind of trajectory with Datamatics Lumina , Rahul, because we have acquired so many fantastic assets and so many beautiful companies?

Rahul Kanodia: Yes. It would not be correct to compare all of Datamatics with MP S. MP S is one component of what we do . TNQTech, for example, that fits into that space. But there's a lot more than Datamatics . That's point number one. Point number two is that the margins in that space is similar for our division that's into digital content as well as TNQTech is similar to MP S. And the third is that the growth rate that you have seen in MP S has largely come through acquisitions. It has not been organic growth. So, yes, if you consider acquisitions, then you will see that. But right now, we have already made two acquisitions this year , so coming financial year we are not looking at any significant acquisitions.

Hemant Shah: Okay . But I mean , margin expansion as you rightly mentioned , around 150 bps to 200 bps is on a consol basis Datamatics all-inclusive is visible , right , and possible?

Rahul Kanodia: Yes. Yes.

Hemant Shah: Okay . Thank you so much. Thank you for taking questions. Thank you.

Moderator: Thank you. We have our next question from the line of Hemant Shah from Seven Island PMS. Please go ahead.

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Hemant Shah: Thank you for taking one more question. This is with respect to the interest cost and the debt is what we have taken , around INR 150 crores on the balance sheet for FY '25.

Rahul Kanodia: Yes.

Hemant Shah: So, how would the fund repayment we would be doing ? And this is for the TNQ Tech acquisition I assume?

Rahul Kanodia: Yes

So, that is correct , this is for the TNQ Tech acquisition. See , we are cash rich, so we can pay it off. So, I do not think we have any concern from payment . We will pay down those from future revenue accruals and profit accruals. That's the plan, and it's always good to remain liquid and that's the reason why we did take some debt.

Hemant Shah: Okay , fair enough. But we will be repaying it in the next two years or so from our internal cash flows ?

Rahul Kanodia: Three years.

Hemant Shah: Three years, okay.

Ankush Akar: See, on a yearly basis we are generating almost INR 200 plus crores of operating cash flow. So, I think borrowing is not an issue as of now.

Hemant Shah: Correct. I think with TNQ Tech we can generate even 20 % to 25% more, Rahul, if I am not mistaken.

Rahul Kanodia: Yes.

Hemant Shah: Alright, fair enough. But as a shareholder we would like to see margin improvement in all three segments , Rahul, Digital Technologies , Operations as well as Experiences . Since you are spending so much on R&D and automation, I think the fruits are still not visible. I mean , is there any reason or it's been still I think the business is asking for more spend ?

Rahul Kanodia: No, I think the spend in the business will be at a steady state. So, it's not asking for an increase in the spend , I think now the spend has to be more in some solutions that we take to market. So, it's more from a go-to-market kind of a thing. So, I am confident that we will see improvement on the bottom line across the board in this new financial year .

Hemant Shah: Okay . Because we have, I think , almost spent maybe INR 250 crores or INR 300 crores in last five or six years, right?

Rahul Kanodia: That's correct.

Hemant Shah: I think it would not be fair to assume 20% ROI for this investment.

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Rahul Kanodia: Some of them have an opportunity , potential to give us some very good returns. So, yes, let's see how that goes , we are still bullish .

Hemant Shah: Okay , fair enough. And you mentioned some slowdown in terms of intakes of the orders and some slowdown with the US market. Can you throw some light ?

Rahul Kanodia: Yes, we are seeing some of our customers go slow or pause some projects given the uncertainties around tariffs and given the possible inflation that they are talking about in the US. And we also see that impacting the pipeline a little bit. However , in the last week or two weeks , we have seen some easing off with the US Administration as far as China , Turkey , Syria and Saudi , I mean, all these countries that we talk about. So, if some of these things settle, then we should see an uptake hopefully soon.

Hemant Shah: Okay , fair enough. And lastly, we have 20% of our business from India.

Rahul Kanodia: Yes.

Hemant Shah: So, where do you see the potential of Indian market going on? And 20% is almost roughly INR 350 crores of business.

Rahul Kanodia: So, India is a tricky one because India is a very good market, but it is a price sensitive market. So, from a growth perspective India looks good. However, from a margin perspective, India will always be a little compressed , and that is the challenge we have with India .

Hemant Shah: Okay . But do you see the products you are offering , I think no other companies are offering to the MSME sector or maybe small companies. I mean , do you see that kind of potential ? I think India is growing , I do not know how far the market is growing in terms of the products what you are catering to .

Rahul Kanodia: No, the products we are selling in India as well as the Western markets . And the Western markets of course we get much better margins . A large part of it is also Digital Operations . So, Digital Operations hopefully we will get a flip when we are able to implement some AI solutions . Although having talked ab

out AI , again , right now the pricing structure of AI for India is still a bit of a challenge. The cost is not as cheap as India would like it to be , as a geography that is , because labor cost is quite cheap here . So, once that matures then we can deploy it and try to reduce the cost in India. But right now the Indian customers are a little vary when it comes to deploying AI because it does not give them financial gain, it gives them automation but not necessarily a financial gain.

Hemant Shah: Right, fair enough . Alright, thank you for taking all my questions Rahul . All the best and I will connect soon. Thank you.

Rahul Kanodia: Thank you.

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Moderator: Thank you. We have our next question from the line of Reuben Matthews from Equity Intelligence India Private Limited. Please go ahead.

Reuben Matthews: Yes, hi. I just got a quick question. I believe you recently met with Google. I am just trying to understand how did the meeting go ? I mean, can give a little bit more information on what exactly would you be doing with Google?

Rahul Kanodia: So, we had a good meeting with Google, it's about the joint go -to-market. So, we are taking some of their solutions, particularly using AI to the market and they are taking us to their customer base as well. So, it's a joint initiative to deploy AI solutions to the customer base that we have and that they have. And we are building some other solutions on top of their platform .

Reuben Matthews: Okay . So, is that one of the deals that you said that you won or is it still under discussion?

Rahul Kanodia: No, we have not yet closed any deals with Google , those are still in the pipeline.

Reuben Matthews: Thank you.

Rahul Kanodia: Thank you.

Moderator: Thank you. We have our next question from the line of Mihir Manohar from Carnelian Asset Management. Please go ahead.

Mihir Manohar: Yes. Thanks for giving the follow -up. Pardon for my ignorance sir, I broadly wanted to understand this AI investments that we are making , what are these towards exactly? I mean , I know that we have TruBot, TruCap, Lumina, different categories of products. So, I mean , these investments that you are making and what exactly are they into?

Rahul Kanodia: So, they are in building these products , now we have been putting a lot of GenAI into these products , and now we have got something that we are developing is agentic AI. So, we are building solutions around agentic AI. So, all of that is where the R&D is going around the latest technologies around AI. The whole space of AI is moving very, very fast right now and therefore it means that we are on our toes , cautiously doing R&D and implementing the latest solutions available. So, yes, these products are around automation , around intelligent document processing extracting and interpreting information , and around business intelligence.

Mihir Manohar: Okay , understood. And would these products be sufficient itself for us to, I mean , in the future revenue generation becoming directly possible only from the sale of products or subscription of products ? Or will it be a part of managed services and product like services kind of a thing going ahead ?

Rahul Kanodia: It is both. So, we are selling these products as licenses and we are also using these products as part of our managed services , so it's both.

Mihir Manohar: Okay . Understood. Out of INR 1,700 crores how much will be pure product revenue ?

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Rahul Kanodia: So, that's a little tough one because those that go as part of managed services, we are not able to track that revenue specifically to the product . And the cost of the R&D and product building is all put into the Digital Technologies bucket. Therefore , you see the technology bucket having a little

depressed margin.

Mihir Manohar: Understood. So, what would be the annual investment that would be towards the agentic AI investment?

Rahul Kanodia: That's hard to say. AI in general, AI and all the products together is about INR 40 crores to INR 50 crores, but I cannot slice it out, break it up to give you these slices , because there's a lot of interrelationships between them , it's hard to say what is what .

Mihir Manohar: Sure, sure. Second question was on the comment in the start you made , I mean, there was some dip in volumes because of the shift to captive centers. Is this happening in your top 10, top 20 clients? How to see this? And how important or how significant is this? Or in which area it is happening?

Rahul Kanodia: Yes, it did take place with some of the top customers . And if you see the top five customers that we have had, we see a dip in the percentage of revenue that we get. But generally , in industry one does see a trend towards captive centers, and we see growth in the captive units and companies preferring slowly moving in that direction. However, the current customer base that we have, I am not seeing too many shifts. I am not worried about that . But yes, some of the larger customers do explore having their own operations in India.

Mihir Manohar: Understood. Sure. Got it. Thanks to you from my side . Thank you.

Rahul Kanodia: Yes. Although I do see very often captives and vendors coexisting in an enterprise , so they have a dual model where they do both.

Mihir Manohar: Understood. Also the one last question on this captive centers . I know we have seen captive centers built up in the last two, three years . From a broader thought process perspective and from an industry perspective, when do captive centers start getting importance versus outsourced players ? At what stage of industry does that happen? How does industry valuation happen, just wanted to understand that ? Is it that when new technology comes in, people tend to have more of captive centers, and slowly, gradually, eventually as and when it gets more used, it starts shifting to outsourcing , how does it happen ?

Rahul Kanodia: No. So, there's no pattern in the industry and we have seen it across the board that large companies have captives, they have divested. Small companies have started captives. It's all over, there's no pattern as such. Typically, they do not do it for new technology. New technology is easier with vendors because vendors service many more customers and therefore more exposed to technology . So, that is certainly not a trigger . But there is no pattern in the industry to who is inclined to go with the captive versus who is inclined to go with the vendor.

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Mihir Manohar: Understood . And just regarding the client, the captive center that you basically saw this saw in BFSI or tech or consulting part of the piece?

Rahul Kanodia: BFSI.

Mihir Manohar: That's it from my side . Thank you.

Rahul Kanodia: Thank you.

Moderator: Thank you. We have our next question from the line of Sahil Jain from Enigma Investment Partners. Please go ahead.

Sahil Jain: So, sir with the increase in TNQTech revenues , will we see a shift in geographic concentration , like well the US and Europe concentration increase from the pie ?

Rahul Kanodia: You will see, and you have seen some of it already . But yes , you will see the piece increasing more in Europe than in the US because the Datamatics ratio in the US and TNQTech ratio in the US is roughly the same, so you would not see too much impact on the US . But yes, you will see growth in Europe .

Sahil Jain: So, that will automatically get transferred into higher margin, right , from what we are currently doing ?

Rahul Kanodia: That is correct.

Sahil Jain: Understood, sir. And sir, can you just give an outlook of h

ow the Dext ara business is performing?

Any sort of tariff impact or anything that is affecting that business?

Rahul Kanodia: No, no, tariff impact on that. I think the whole tech and BPO industry is right now insulated from the tariff war. You never know what comes in the future. But as of now, I think its okay. Dextara has been a little soft in performance, but this year we should have an uptake. In fact, I mentioned in the last call that we have got five logos from the Datamatics customer base where we successfully cross sold Salesforce services.

Sahil Jain: Understood. That is all from my side. Thank you.

Rahul Kanodia: Thank you.

Moderator: Thank you, sir. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Rahul Kanodia: Thank you everybody for being on this earnings call for the year ending '24-'25. I look forward to talking to you once again as we enter the new year in the next quarter. Thanks once again for your time with us.

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Moderator: Thank you. On behalf of Datamatics Global Services Limited, that concludes this conference.

Thank you for joining us . And you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings

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"Datamatics Global Services Limited
Q1 FY '26 Earnings Conference Call"
August 07, 2025

MANAGEMENT : MR. RAHUL KANODIA – VICE CHAIRMAN AND CHIEF
EXECUTIVE OFFICER
MR. ANKUSH AKAR – SENIOR VICE PRESIDENT AND
CHIEF FINANCIAL OFFICER
MR. MITUL MEHTA – EXECUTIVE VICE PRESIDENT AND
CHIEF MARKETING OFFICER

MODERATOR : MR. PRATIK JAGTAP – E&Y INVESTOR RELATIONS

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Moderator: Ladies and gentlemen, good day and welcome to Datamatics Global Services Limited Q1 FY '26 Earnings Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pratik Jagtap from E&Y Investor Relations. Thank you, and over to you, sir.

Pratik Jagtap: Thank you, Bhavya. Good afternoon to all the participants in the call today. Welcome to Q1 FY '26 Earnings Call of Datamatics Global Services Limited. The Results and Presentation have been already mailed to you, and it is also available on the website of Datamatics. In case anyone has not received a copy of press release or presentation, please do write to us, and we will be happy to send you all.

To take us through the results today and to answer your questions, we have with us the top Management of the Company, represented by Rahul Kanodia, Vice Chairman and CEO; Ankush Akar, SVP and Chief Financial Officer; Mitul Mehta, EVP and Chief Marketing Officer. Rahul will start the call with a brief overview of the quarter on business, which will be then followed by Ankush who will take us through the financials. Then we will open the floor for Q&A Session.

I would like to remind you that anything that is said on this call, which gives any outlook for the future or which can be construed as a forward-looking statement, must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included but not limited to what we have mentioned in the prospectus filed with SEBI and subsequent annual reports, which you can find on our website.

With that said, I now hand over the call to Rahul sir. Over to you, Rahul sir.

Rahul Kanodia: Thank you, Pratik. A very warm welcome and thank you all for joining our Q1 FY '26 Earnings Call. I will begin with the key highlights from our quarterly performance, after which Ankush will walk you through the financial update. After that, we will open the floor for Q&A session. We delivered a healthy performance in Q1 FY '26, reporting a revenue of Rs. 467.6 crores and 18.7% year-on-year growth, though reflecting a 6% sequential decline, as Q4 traditionally tends to benefit from our tax processing business and we see a spike in Q4 normally. Our EBITDA stood at Rs. 75.9 crores, a healthy margin of 16.2% on revenue, driven by continued focus on

operational efficiencies and cost optimization initiatives. We remain focused on sustaining this momentum throughout the rest of the Financial Year '26. These efforts have led to a notable margin improvement in Digital Technologies, while Digital Operations' margins remain stable. I would like to take a few moments to share the key updates of our business segments:
Starting with Digital Technologies:
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I am pleased to report that our ongoing cost optimization efforts have led to an improvement in margins across Digital Technologies segment. There is a direct result of disciplined execution on operational efficiencies. On the innovation front, we made significant strides with AI-driven solutions. We have successfully built AI agents tailored for key verticals, including insurance, banking, and logistics, showcasing the depth and versatility of our capabilities.

We are also proud to be partnering with a leading bank in UAE, where we are playing a pivotal role in helping them define their AI strategy and establish their AI center of excellence. This is a long-term strategic engagement that underscores our thought leadership in the AI space.

A major

Japanese consumer electronics Company has selected our intelligent automation suite, including TruCap+, TruBot, and TruBI, to drive process automation. This win validates the strength and the relevance of our intelligent automation offerings on the global stage.

Moving to our Digital Operations business:

We recently launched the latest version of FINATO Order-to-Cash application, which now includes our enhanced version of cash, credit, and collection features. Notably, this upgrade introduces an AI-powered collection agent which provides out-of-the-box functionality to proactively follow up with customers on pending payments, driving faster collections and improve cash flow. Our deal pipeline continues to look healthy, giving us visibility into the future growth.

In the Digital Experiences business:

We observed revenue and margin decline in Digital Experiences primarily due to one of our top 10 customers transitioning partially some of its operations into their captive unit. We expect another customer to transition to their captive unit, to their GCC, in Q4 of this year.

However, we have signed long-term contracts with the large American optical retail chain to evaluate their omni-channel customer experience and with an American pharma enterprise for their customer outreach initiatives. Across these customers, we are implementing digital AI agents to augment human agents for delivering enhanced productivity and customer experience. Additionally, we are working on GCC offering as a growth driver for the organization. We have a good pipeline of AI-based projects across all our lines of businesses. Some of the pilots we have done are now converting into full-fledged commercial projects.

As far as tariffs are concerned, we see no direct impact on us. However, many customers are still treading slowly due to the tariff situation.

I am proud to share that we recently celebrated a remarkable milestone, the 50th anniversary of Datamatics. Over the past five decades, we have not only witnessed, but also played a role in the evolution of India's IT and BPO industries. What started as a bold vision of our Chairman and Datamatics Global Services Limited

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Founder, Dr. Kanodia, has now grown into a resilient and innovative enterprise, thriving through every wave of technological change.

As we look ahead, I am truly excited about the future. We stand at the forefront of a new technological revolution and Datamatics is strongly positioned to seize the opportunities it brings. A heartfelt thank you to our customers, employees and investors for being an integral part of this journey.

With that, I will now hand over the call to our CFO Mr. Ankush Akar. Over to you, Ankush.

Ankush Akar: Thank you, Rahul. Welcome, everyone. And thank you for joining us in Q1 FY '26 Earnings Call.

Let me take you through the financial performance for Q1 FY '26:

Our Q1 FY '26 revenue stood at Rs. 467.6 crore, reflecting a growth of 18.7% on year-on-year basis and a decline by 6% on quarter-on-quarter basis. Typically, the fourth quarter is a seasonally strong quarter with higher volumes, which is followed by a sequential decline in 1st Quarter.

Our cost optimization efforts and enhanced operational efficiency helped us improve our EBITDA to Rs. 75.9 crore, a growth of 1.9% on a quarter-on-quarter basis. On a Y-o-Y basis, we grew by 47.7%, which includes numbers from TNQTech. This reflects our commitment to improve performance despite macroenvironment challenges and softness in

revenue. Our EBITDA margin for the quarter stood at 16.2%, reflecting an expansion of 319 basis points on year-on-year basis and 125 basis points on quarter-on-quarter basis. Our EBIT for the quarter stood at Rs. 56.4 crore, which is up by 3.5% on quarter-on-quarter basis and 32.5% on year-on-year basis. Our EBIT margin was at 12.1%, reflecting an expansion of 126 basis points on year-on-year basis.

O

ur PAT after non-controlling interest was at Rs. 50.4 crore, up by 12.3% on quarter-on-quarter basis. Our PAT margin stood at 10.5%. EPS for the quarter stood at Rs. 8.52 per share, reflecting a growth of 12.2% on quarter-on-quarter basis and 15.7% on year-on-year basis.

In terms of segment, Digital Technologies' contribution to total revenue was at 31%, Digital Operations' contribution at 55% and Digital Experiences' contribution at 14%. Our Digital Operations' revenue for the quarter was Rs. 255.6 crore, and EBIT margin was at 16.4%. Digital Technologies' revenue for the quarter was Rs. 144.4 crore, and EBIT margin was 6.9%. Digital Experiences' revenue for the quarter was Rs. 67.6 crore, and EBIT margin was 6.8%.

We continue to maintain a healthy balance sheet. As of June 30, 2025, our net cash and investments, net of debts, stood at Rs. 457.3 crore. Our billed DSO was at 56 days as of June 2025 as compared to 57 days as of March 2025.

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In terms of geographical footprint, U.S. remains our largest geography with 55% of our business coming from here, followed by UK and Europe at 21%, and India 16%, and ROW at 8%. Our client concentration remains very healthy with top 5, 10 and 20 clients contributing to 25%, 38% and 52% respectively.

With this, I will now pass on the call to the operator to open the floor for questions. Thank you for your patience and continued interest in Datamatics.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Srinivasu K from TIA. Please go ahead.

Srinivasu K: My question is about your IP strategy for the AI. How does your AI stack, like TruAI, TruCap+, TruBot, actually differentiates from the global players like UiPath or even Newgen Software?

Rahul Kanodia: So, in some ways, we compete with them. So, in some ways, it is similar. I do think that we have had an edge in terms of our partnerships with the OEMs like Microsoft and Google, where we were able to implement a lot of AI technologies into these platforms. And that does give us a differentiator. Having said that, competition is not going to be slow. They will catch up very soon. So, yes, we compete with them. We are in a similar space. But the fundamental difference is because Datamatics comes from a services background, we understand how to make sure that these products go live with the customer, whereas the others are purely product companies. So, once they sell a license, then beyond that, the success of that license really lies in the hands of the customer, whereas in Datamatics' case, we are able to ensure that it goes live and gives the customer an ROI. And that is why it gives us an edge.

Srinivasu K: You also mentioned in your presentation that small language models and Copilot integrations with Microsoft and Google. So, is it used internally or offered commercially?

Rahul Kanodia: These are commercially done. Small language models are built specifically for each customer. So, it is very customer-specific. Copilot also, we are using it internally, plus we are implementing it for our customers as well. And many customers have bought the licenses, but they struggle to get an ROI from it or struggle to really implement it. And that is where we make sure that they succeed.

Srinivasu K: So, what is your go-to model for monetizing this AI, sir? How are you pricing them?

Rahul Kanodia: It is not a product that has a standard price. A lot of this is customized depending on the need of the customer and depending on the integration it needs to be done with the customer's enterprise systems. There is no straight answer to how do we price it. But today, AI is a little bit of at a premium price, so that we do see that as a premium coming in.

Srinivasu K: So, my last question, sir, is clients are asking for AI-based intelligent automation versus the t

raditional automation and RPA?

Rahul Kanodia: Yes, that you see a significant move in that direction.

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Mitul Mehta: Also, what happens is when there are certain use cases which traditional automation solutions cannot address, so that is when the AI is brought in. So, they both have very, very clear use cases. It is not that the traditional RPA is out of the window. It definitely has its set of use cases, but intelligent automation, which is AI-driven RPA and IDP reaches a little further down in

terms of solutions and automation.

Srinivasu K: So, are you going beyond this document processing with respect to AI?

Rahul Kanodia: Yes. So, document processing is one component. But the moment you put robots, RPA, and then you put Agentic AI, it is a very different game.

Mitul Mehta: It helps you do more complex tasks. You can automate much more complex tasks. You can go live much faster because your training periods are less. So, there are definitely value propositions around AI and a larger automation suite, which is what comprises of IDP, RPA, agents, and BI.

Moderator: The next question is from the line of Grishma Shah from Envision Capital. Please go ahead.

Grishma Shah: Good evening to the Management Team and thanks for taking my question. Keen to know how we have done organically. I understand the integration of TNQTech in our business. So, year-on-year, the growth looks fantastic. But if you could highlight how's the organic business done, how's Dextara Datamatics done, that should be helpful.

Rahul Kanodia: So, on a sequential quarter basis, we have degrown 6% as we have shown in our numbers. On a year-on-year growth, I think we have had a mid-single-digit kind of growth, so it has been sort of muted. Going forward, we see a similar trend because there is a lot of slowness in the decision-making that we see on the client.

As far as Dextara Datamatics and TNQTech concerned, the integration is going smooth. I think they are both in a very stable situation. So, we are in a good place with both these organizations.

Grishma Shah: So, given that now Dextara Datamatics has integrated and finished one year, I suppose, now, how has Dextara Datamatics grown on a year-on-year basis for this quarter?

Rahul Kanodia: So, this quarter is flat, but what is happening now is that we see a lot more traction from our existing customer base. So, the cross-sell strategy seems to be delivering and we have been able to take the Dextara Datamatics expertise to a lot of our current and new opportunities. So, that integrated offering, we see much more happening now. So, it has taken about a year, but we have started seeing that already.

Last quarter, if you remember, we had talked about five customers where we were cross-selling.

Today, in one quarter, we have gone to eight. So, there are three additional customers. Hopefully,

we should pick up a little more as you go forward. So, the other traditional sales team of

Datamatics has now come up to speed with understanding their offerings.

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Grishma Shah: And TNQTech, how has it grown year-on-year? I understand it was not part of Datamatics a year ago, but just to understand how business has grown.

Rahul Kanodia: TNQTech has shown good growth quarter-on-quarter. Their profits are also very, very stable.

So, in fact, that acquisition has turned out to be very good for Datamatics. Right now, we are in the process of integrating it. So, that will take a little more effort. But it is going very smooth.

And it's helping.

Grishma Shah: So, Quarter 1 last year to Quarter 1 this year, TNQTech has grown?

Rahul Kanodia: 2%.

Grishma Shah: 2% growth.

Rahul Kanodia: You were talking about Quarter 1 of last year to Q 1 of this year.

Grishma Shah: Yes.

Rahul Kanodia: Yes, we have had a 2% growth, but our

sales cycle is about 9 months roughly. So, you can't expect anything to change in one or two quarters.

Grishma Shah: And on the margin side, if one looks at various segments, margins on the Digital Experiences side has taken a significant dip. Is it just because of the customer migration that you spoke about?

Rahul Kanodia: That is correct. There is a customer migration and also what's happened is when the customer migrates to their captive, we might still have a headcount that remains with us for a while.

Because we are not rebadging, we are not moving people. So, the people stay back, the customer moves, and it takes a quarter to sort of streamline that piece. But on that front, we are on the verge of signing some very good deals. So, I think we will bounce back quite quickly.

Grishma Shah: And on the Digital Technologies side, year-on-year, we see improvements as highlighted by you because of operational efficiency. So, do we see margins improving significantly as we close the year in this segment?

Rahul Kanodia: I think we will see another 100-basis points improvement at least probably. So, overall, at the Company level, we will see between 50 to 100 basis points. It will vary. Digital Technologies will be a little better. Digital Experience will bounce back a little bit. So, it will be a combination of all these things. Digital Operations and the whole digital content will be very stable.

Grishma Shah: And overall, for the year the organic business would grow like low single digits and TNQTech, what is the outlook?

Rahul Kanodia: Yes, so I am looking at a mid-single digits kind of growth across the board.

Grishma Shah: But TNQTech business is supposed to deliver much better growth.

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Rahul Kanodia: No, if you see the TNQTech details when we had acquired them, one of our strategies was to plug in our sales team into their operations and get that growing faster. This has only been two quarters. The sales teams have connected. They are talking to each other. They are working together. So, we should see an improvement. But the sales cycle is about 9 months to 12 months in our business. So, yes, you will not see an uptake in one or two quarters.

Moderator: The next question is from the line of Garvita Jain from Seven Islands PMS. Please go ahead.

Garvita Jain: My question is that we have new addition of customers and new orders. So, could you please clarify, these orders are out of USA or worldwide?

Rahul Kanodia: They are across the board, USA, Europe, India. So, I don't have that breakup handy. But across the board, we are having a new logo acquisition.

Rahul Kanodia: There is a little more focus on Europe and the U.S., so therefore there is more over there compared to India and Middle East.

Garvita Jain: So, majority is from USA, right?

Rahul Kanodia: Yes. USA would be number one, Europe is also there, but yes, USA would dominate.

Garvita Jain: Any number, if you can give me, what percentage?

Rahul Kanodia: I don't have those numbers handy right now.

Moderator: The next question is from the line of Dhanashree Jadhav from Choice Institutional Equities. Please go ahead.

Dhanashree Jadhav: Sir, you spoke about the growth to be mid-single digit for all the three segments. So, if you can throw some more light, like, are we seeing turnaround-led growth in Digital Technologies?

Because margins have expanded quite strong there. Plus, Digital Operations growth will be led by TNQTech. So, just want to have a long-term view on how our growth will look like. So, FY '26 will be strong led by inorganic, but going forward for FY '27 also, if you can throw some points.

Rahul Kanodia: Yes, this year, we are looking at mid-single digits, as I mentioned. There will be, some of these will grow a little stronger. Digital Experiences, as you saw, had a little downswing and it will bounce back, but

net-net at the end of the year will be a little under pressure. Having said that, because the decision-making has been slower because of all the tariff wars and uncertainties that we have, I am not looking at an aggressive performance this year beyond the 5%, 6% that we talked about.

Next, three years, if you are looking at that outlook, I think on the back of AI, I am looking at a very good outlook. Our pipeline is quite decent on that. A lot of our POCs or pilot projects are now converting into commercial projects. And we should see a significant uptake in an AI-led Datamatics Global Services Limited

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kind of operation, both in Digital Operations, Digital Experiences, as well as Digital Technologies, across the board. So, I am very bullish about the next three years, but this year will be a little soft. A lot of our new customer acquisition is also based on some AI solutions that we have been able to showcase.

Dhanashree Jadhav: And regarding the margins, we have said around, if I am not wrong, we have said expansion of 50 to 100 basis points, right, for this year?

Rahul Kanodia: Yes.

Dhanashree Jadhav: And predominantly will be led by Digital Operations, if I am not wrong?

Rahul Kanodia: Digital Operations for sure. Some of it also coming from Digital Technologies.

Dhanashree Jadhav: And I mean, the turnaround and whatever new progress we are seeing on the AI front, AI-led offerings, so, can I infer that going forward, FY '27, '28 also, there would be a steady improvement in the margin profile that we are seeing currently?

Rahul Kanodia: So, that we will see. That is you are talking about next year and year after. So, we will have to see how everything pans out. It is beginning to show good productivity gains and therefore better margins. It also depends on how we are investing in it. Right now as we talked about that we invest about Rs. 40 crores to Rs. 50 crores depending on the impact. But I think we take that call towards the later part of this year.

Dhanashree Jadhav: So, this Rs. 40 crores to Rs. 50 crores investment we have already done in FY '25, right?

Rahul Kanodia: So, our annual investment is in that range. Earlier we were investing in the IP development on robotics and IDP and things like that. And now we have sort of pivoted a little bit of that into AI. So, we have reduced the investment in those IPs that we had traditionally and putting the investment into AI. Generative AI to be more particular.

Moderator: The next question is from the line of Srinivasu K from TIA. Please go ahead.

Srinivasu K: What is your hiring trends and utilization level, sir?

Rahul Kanodia: So, that is not a straightforward question. Utilization goes typically when you are looking at

bodies in the tech space. In the BPO space, Digital Operations and Digital Experiences, you don't go by utilization. It is really the volume that a person does.

If you see our attrition, our attrition is down. The industry overall is soft. So, we do expect the attrition to remain under control quite a bit. In terms of headcount increase, it will be proportionate to our revenue. Because on the AI or the IP side and the AI side, we are still converting the pilots into commercial projects. So, that is still going on. So, you are not seeing the differential between the two.

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But however, for example, on the Digital Experiences side, increasingly we are now deploying AI agents versus human agents. And AI agents are augmenting our human agents. So, you will see, to some extent, disproportionate revenue increase compared to headcount increase. But right now it is not clear because some of these still have to have an adoption by the client. And right now they are still kind of early stage of adoption.

Srinivasu K: And what is your revenue outlook for FY '26, sir?

Rahul Kanodia: So, as I said

d, we are looking at a mid-single-digit kind of growth in this financial year. Organic.

Then, of course, you can bolt on the inorganic, which is the TNQTech piece.

Moderator: The next question is from the line of Sumukh from Korman Capital. Please go ahead.

Sumukh: So, my question was, how is your Company different from InfoBeans? Because, from what I know, even they have a partnership with Microsoft, and they do the implementation to their clients. So, if you could throw some light on how you guys are different, that would be great.

Rahul Kanodia: So, I don't know InfoBeans, so I really can't comment on what they are doing and what we are doing. But companies like Microsoft and Google have tens of hundreds of partners globally. So, I don't think the partnership, the question is what kind of solution are we building along with these OEMs? And that is what's important. How do we jointly go to market and customize unique solutions for the customer base.

I know that we are working both on the technical side with the technical R&D team, which is a very good engagement that we have, and we are able to jointly go to market and build unique solutions for customers.

Now, as far as InfoBeans is concerned, I really don't know what they are doing. So, I would refrain from any comment on that.

Moderator: The next question is from the line of Bimal Parekh from Sunidhi. Please go ahead.

Bimal Parekh: As you mentioned that this year, you are expecting a mid-single-digit kind of growth. And the 1st Quarter, we have shown around 17% or 16% growth. So, does that mean that the next few quarters, are we looking at negative growth or if you could throw some light on that?

Rahul Kanodia: No, no. Let me clarify. We are talking about organic growth at mid-single digits. Then you bolt on the acquisition that we made with TNQTech. So, therefore, you are looking at, so, we have showed a year-on-year growth of 18%. That should continue. That trajectory will continue.

However, in Q4, it will be slightly different because last year, Q4, we had the TNQTech numbers reflecting in our numbers. So, this year, Q4 will not show that. So, I am differentiating between organic and inorganic. So, I think you will see it in the teens.

Bimal Parekh: I appreciate it.

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Moderator: The next question is from the line of Yogesh Bhatia from Sequent Investments. Please go ahead.

Yogesh Bhatia: So, there are a lot of AI initiatives that we are taking across the Digital Technologies, Digital Operations, and Digital Experiences. So, I want to know, is there any sort of metrics that we are tracking in which we can say that this growth is because of the AI initiatives and otherwise it is conventional growth?

Rahul Kanodia: That is difficult because today we are infusing AI into every opportunity that we have because that is going to be the norm very, very soon. So, across these three operations and some of the newer wins are on the back of the AI solution that we have been able to showcase.

I think the days of the traditional services are numbered and you are not going to see that. So, it is very difficult to pull out and you get very few these are purely AI deals. They are all integrated with Digital Technologies, Digital Operations, Digital Experiences. So, pure AI you won't find and then everything has AI in it. So, it is very difficult to pull out a number saying this is specifically due to AI. But we can see that because we were able to showcase some uniqueness and productivity improvement to the customer, we were winning those deals.

Moderator: The next question is from the line of Bimal Parekh from Sunidhi. Please go ahead.

Bimal Parekh: Just wanted to understand that you mentioned that this growth trajectory of around 18% will continue, right, for the year?

Rahul Kanodia: Yes, so if you are looking at the year-on-year, 18%, in

Q4, it will dip a little bit because Q4 numbers have the TNQTech numbers. But yes, you are looking at the certainly mid-teens.

Bimal Parekh: Mid-teens for the year.

Rahul Kanodia: Yes.

Bimal Parekh: And in terms of the EBITDA, we will continue our higher EBITDA, what we have shown?

Rahul Kanodia: Yes, on the EBITDA, we see an improvement. Actually, we see a 50 to 100 basis points improvement during the course of the year.

Moderator: Ladies and gentlemen, this was the last question. I now hand the conference over to the management for the closing comments. Thank you, and over to you, sir.

Rahul Kanodia: Thank you, everybody, for participating in our earnings call. I really appreciate the time and attention that you are giving to Datamatics. And thank you for your word of confidence in the Company and our performance. I look forward to once again meeting all of you in the next quarterly earnings call. Thank you again.

Moderator: Thank you. On behalf of Datamatics Global Services Limited, we conclude this conference.

Thank you for joining us and you may now disconnect your lines.

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August 07, 2025

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Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Nov 2025

DATAMATICS GLOBAL SERVICES LTD.

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| Fax : +91 (22) 2834 3669 | CIN: L72200MH1987PLC045205 | investors @datamatics.com | www.datamatics.com November
06, 2025

To,
BSE Limited
Phiroze Jeejeeboy Towers,
Dalal Street, Mumbai – 400 001
BSE Security Code: 532528

National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East) Mumbai 400 051
NSE Symbol : DATAMATICS

Sub: Transcript of the Earnings Call for the quarter and half year ended
September 30, 2025

Dear Sir/Madam,

Pursuant to Regulation 30 and Part A of Schedule III read with Regulation 46 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please note that the transcript of the Investors' / Analyst Earnings Call held on October 31, 2025 at 04:00 P.M. IST for the Unaudited Standalone and Consolidated Financial Results for the quarter and half year ended September 30, 2025, has been made available on the website of the Company at - <https://www.datamatics.com/about-us/investor-relations/earnings-call>.

Kindly take the above on your record.

Thanking you,

For Datamatics Global Services Limited

Divya Kumat
President, Chief Legal Officer & Company Secretary
(FCS: 4611)
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"Datamatics Global Services Limited
Q2 FY '26 Earnings Conference Call "
October 31, 2025

MANAGEMENT : MR. ANKUSH AKAR – SENIOR VICE PRESIDENT AND
CHIEF FINANCIAL OFFICER

MR. MITUL MEHTA – EXECUTIVE VICE PRESIDENT
AND CHIEF MARKETING OFFICER

MODERATOR : MR. PRATIK JAGTAP – E&Y INVESTOR RELATIONS

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October 31, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to Q2 and FY '26 Earnings Conference Call of Datamatics Global Services Limited. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Pratik Jagtap from E&Y Investor Relations. Thank you, and over to you, sir.

Pratik Jagtap: Thank you, Hina. Good afternoon to all the participants in the call today. Welcome to Q2 FY '26 Earnings Call of Datamatics Global Services Limited. The results and presentation have been already mailed to you, and it is also available on the website of the Datamatics. In case anyone has not received a copy of press release or presentation, please do write to us, and we will be happy to send you all.

Before we begin, please note that Mr. Rahul Kanodia, Vice Chairman and CEO, is unwell and will not be joining the call today. To take us through the results today and to answer your questions, we have with us the top management of the company represented by Ankush Akar, SVP and Chief Financial Officer, Mitul Mehta, EVP and Chief Marketing Officer. Ankush will start the call with brief overview of the quarter on business, followed by the financials. Then we will open the floor for Q&A session.

I would like to remind you that anything that is said on this call, which gives any outlook for the future, or which can be construed as a forward-looking statement must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included, but not limited to what we have mentioned in the prospectus filed with SEBI and subsequent annual reports, which you can find on our website.

With that said, I now hand over the call to Ankush. Over to you, Ankush.

Ankush Akar: Thanks, Pratik. A very warm welcome, and thank you all for joining our Q2 FY '26 Earnings Call. Hope you had a wonderful Diwali this year and wishing you a very prosperous new year.

I will begin by sharing some key highlights from our quarterly performance, followed by financial updates. We will then open the floor for Q&A session.

We have continued our growth momentum from the previous quarter to Q2 FY '26, reporting revenue of Rs. 490.2 crores, an increase of 4.8% quarter-on-quarter. Our EBITDA stood at Rs. 88.8 crores, reflecting a substantial growth of 17% quarter-on-quarter with EBITDA margin at 18.1%. Our continued focus on operational efficiency, financial discipline and prudent cost management, along with a healthy quarter-on-quarter revenue growth has resulted in a strong improvement in profit margins. The quarter-on-quarter revenue growth for both Digital Technologies and Digital Operations was robust. As expected, Digital Experiences had a softer quarter as 2 of our clients transitioned work to their captive centers. Even so, we continue to sign

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additional marquee logos like one of the largest American optical retailers and a global leader in digital media and experience solutions, which will scale in the coming quarters.

We are happy to share that Digital Technologies delivered an EBIT of 10.8% in Q2 FY '26, which has been the best performance over the last several quarters. We also had a healthy quarter-on-quarter margin improvement across Digital Operations and digital experiences. We are seeing the softness in the Western markets bottoming out and are having promising conversations with several prospects. We remain focused on sustaining the momentum while continuing to invest

in emerging technologies and innovation. Going forward, we remain confident of maintaining our performance trajectory.

Now let me take you through the financial performance for the quarter and half year ending 30th September 2025. As mentioned earlier, our Q2 FY '26 revenue stood at Rs. 490.2 crores,

reflecting a growth of 4.8% on a quarter -on-quarter basis and 20.5% on a year -on-year basis. We achieved strong results through our strategic focus on operational efficiency and cost optimization. Our EBITDA for the quarter stood at Rs. 88.8 crores, a growth of 17% on a quarter -on-quarter basis and 82.2% on a year -on-year basis. Our EBITDA margin for the quarter stood at 18.1%, reflecting an expansion of 613 basis points on year -on-year basis.

Our EBIT for the quarter stood at Rs. 68.9 crores which is up by 22.1% on quarter -on-quarter basis and 75.2% on a year -on-year basis. Our EBIT margin was at 14.1%, reflecting an expansion of 439 basis points on a year -on-year basis. Our PAT after noncontrolling interest for the quarter was at Rs. 63.2 crores, up by 25.5% on a quarter -on-quarter basis and 49.3% on a year -on-year basis. Our PAT margin stood at 12.5%. EPS for the quarter stood at Rs. 10.7 per share, reflecting a growth of 25.5% on a quarter -on-quarter basis and 49.1% on a year -on-year basis.

In terms of segment, our Digital Technologies revenue for the quarter stood at Rs. 153.1 crores, which is up by 6.1% on quarter -on-quarter basis. Digital Technologies EBIT margin was at 10.8% for the quarter, reflecting an expansion of 388 basis points on quarter -on-quarter basis. Digital operations revenue for the quarter stood at Rs. 272.5 crores, which is up by 6.6% on a quarter -on-quarter basis. Digital Operations EBIT was at 16.7% for the quarter, reflecting an expansion of 29 basis points on a quarter -on-quarter basis. Digital Experiences revenue stood at Rs. 64.6 crores, a decline by 4.4% on a quarter -on-quarter basis. Digital Experiences EBIT margin was at 10.8% for the quarter, reflecting an expansion of 402 basis points on a quarter -on-quarter basis.

In terms of geographical footprint, the U.S. remains our largest geography, contributing to 56% of our business, followed by U.K. and Europe at 21%, India at 15% and ROW at 8%. Our client concentration remains very healthy with top 5, 10 and 20 clients contributing to 26%, 39% and 52%, respectively.

Talking about half year ending 30th September 2025, our revenue stood at Rs. 957.8 crores, reflecting a growth of 19.6% on a year -on-year basis. Our EBIT for the half year stood at Rs. 125.4 crores, a growth of 53% on a year -on-year basis. Our EBIT margin for the half year was at 13.1%, reflecting an expansion of 285 basis points on a year -on-year basis.

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We continue to maintain a healthy balance sheet. As on 30th September 2025, our net cash and investments net of debt stood at Rs. 509.4 crores. Our billed DSO was at 55 days as of 30th September 2025 as compared to 57 days as of March 2025.

With this, I will now pass on the call to operator to open the floor for questions. Thank you for your continued interest in Datamatics.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Shruti Gulati, an Individual Investor.

Shruti Gulati: First of all, I would like to congratulate the management for gaining such good numbers. Sir, I have one question. Actually, I'm curious to know about the broader picture for the company as AI is coming in a big way and going to replace the human manpower. So what are the perspectives for the future, can you guide me for that? And can you throw some light on this thing?

Ankush Akar: Yes. Thanks, Shruti. So we, as we have highlighted earlier as well, we continue to invest in innovative new technologies every year, anywhere bet

ween Rs. 40 crores to Rs. 50 crores, we

invest in those innovations every year. And it's been, last couple of years, if we look at it with the advent of Gen AI and the amount of investment which has gone into the AI space, the changes are coming very fast. I think our company is pretty much equipped enough in terms of handling all those new changes which are coming in. We continue to show a strong growth. We continue to work with our customers to provide them the solution, helping them solve the business problems. I would request Mitul to add on to this, Mitul?

Mitul Mehta: Thanks, Ankush. So Shruti, AI is extremely powerful technology. We can see a lot more that can be done using AI. Nevertheless, of course, it is still at a nascent stage in terms of adoption.

A lot of enterprises are doing proof of concepts and testing out AI in their various corners of the business. Some have already also brought into mainstream. So overall, as a technology, it's extremely promising. Datamatics is also extremely bullish on this technology, and we are investing, as Ankush mentioned, and that's the future. We have good partnerships with marquee companies like Microsoft, Google, who are pioneers and leaders in this technology. So net-net, this definitely holds a lot of potential, and we are looking towards it.

Shruti Gulati: As everybody knows, it's a big boom in AI in the U.S. So other companies are also under threat of all these things. What is the better perspective you will give for coming 4/5 years? Is India nn IT under threat?

Mitul Mehta: So AI as a technology is very powerful. It will definitely change the business models, not just for us but every body in this industry. It will change business models. But definitely, while this change is happening, we will not be sitting back, and we will also be part of that change. As you are aware, Datamatics is about 50-year-old company, and we have seen multiple waves of these technology changes. So we are fairly confident that we will be able to move with the technology.

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Shruti Gulati: So India is also planning its own AI tools rather than we are borrowing from the other countries or we will purchase from them. India is also innovating their own, like we are also doing that?

Mitul Mehta: There are 2 types of AI. One is whether you are a company like OpenAI or Google who have their own large language models. To best of my knowledge, we are, as a country, I'm not sure what is happening at that level. We still see Google and Microsoft, especially in the enterprise side, which we work in, they are focused on. And we are more service providers of building solutions on top of AI. And that is where we are, that's where we play in that segment.

Shruti Gulati: Please share what is the plan to increase our ROE?

Ankush Akar: We continue to look at in terms of, as I highlighted, prudent financial management. We are looking at cost very categorically. So cost optimization is something which is there as well as the growth. So as we grow, as we have a sustainable profitable growth, you will continue to see our ROE also improving. Rather, if you actually look at as of September, our ROE will be somewhere around 16%. So it's on the improvement track.

Shruti Gulati: Okay. Are we doing any acquisitions for them?

Ankush Akar: Last year, we did 2 acquisitions already, Dextara and TNQTech. As of now, while we continue to have a lot of discussions, there is nothing in the pipeline, which I can talk about, but we continue to explore new targets.

Moderator: The next question comes from the line of Yajat Shah from Family Office.

Yajat Shah: Congratulations on a good set of numbers. Just had a question. What is our current expense or loss on the AI front? Can you break it down for this quarter and the half year?

Ankush Akar: So, as we continue to highlight in te

rms of every year, we invest in the newer technologies, including AI, anywhere between Rs. 40 crores to Rs. 50 crores are annualized spend that we do on this front. I would not say it's a loss, but it's an investment which is there for the future growth prospects as well as the benefits that we can reap from that. And that's, we continue to do it in the future as well.

Yajat Shah: So, this year also, will it be Rs. 40 crores, Rs. 50 crores, can you break it down in a half year or a quarterly perspective?

Ankush Akar: For the full year, we will be in the similar range of Rs. 40 crores to Rs. 50 crores. We will continue to invest it. We don't see any reduction as of now in that budget that we have kept for future investments.

Yajat Shah: Okay. And so far, half of it has already been done or is there a capex figure?

Ankush Akar: Yes.

Moderator: The next question comes from the line of Subhankar Ojha from SKS Capital.

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Subhankar Ojha: For H1, you had a growth of 19%. How much of that is organic and how much is inorganic of it?

Ankush Akar: See, Subhankar, when we acquired TNQTech, which was last year December end basically 1st of Jan when we acquired, it's around Rs. 73-74 crores is the run rate that was there. Additional to that is all organic growth, which is there, which we have been doing. So even quarter-on-quarter, if you look at it, our growth is 4.8%, so which is all organic. Now all acquisitions are integrated.

Subhankar Ojha: Okay. Great. So, if I remember, quarter 1 end, we had talked about a mid-single-digit sort of a growth guidance for the financial year '26, but I think we've done better than that actually. Are we still maintaining that mid-single-digit sort of organic growth or we are confident about a better growth for the rest of the financial year?

Ankush Akar: So, what we spoke about is organically, we will be doing mid-single digit, including the acquisition we did last year, which you have seen the Q4 numbers was reflective of that. We will be closing around mid-teens kind of growth, which is what we see anyway, the quarter-on-quarter, year-on-year growth we see right now. So, we will be in the mid-teens for the full year level, Subhankar.

Subhankar Ojha: Great. And in terms of the margin, you had a very strong EBITDA margin this quarter. And what is it that you will attribute this margin to? And what is the sustainable margin for this year and the coming year?

Ankush Akar: I think we highlighted even 4, 5 quarters back when we have seen a quarter where our profitability was down. We highlighted that we are continuing to focus on a strategic basis to look at in terms of how we can drive the operational efficiencies, the cost optimization. And those efforts are paying off as we see every quarter, we see an improvement on a quarter-on-quarter basis, and we are fairly confident to sustain the momentum.

Subhankar Ojha: Okay. So, 18% sort of margin is sustainable. And you did talk about some ROE aspiration. I couldn't catch that number. I think you did talk about some ROE aspiration that you have.

Ankush Akar: No, we have not talked about any aspirations from an ROE perspective. But what we just highlighted right now is in terms of, as of September, our ROE is around 16%. So that's what we highlighted.

Moderator: The next question comes from the line of Bharat Gulati from Dalal & Broacha Stock Broking.

Bharat Gulati: I just want to clarify that what would our revenue from our AI products be for this quarter?

Ankush Akar: We don't separately carve out and share the information about the AI product specific revenue. But what you look at is in terms of the Digital Technologies revenue including that product revenue, which is there as well. And we have a healthy quarter from a Digital Technologies perspective. Our quarter-on-quarter revenue growth

is 6.1% for Digital Technologies.

Bharat Gulati: So a majority of that growth would be attributed to our products?

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Ankush Akar: It's a mixed bag. Even products go as part of our overall solution. So, carving out may not be relevant.

Bharat Gulati: So, I'm trying to understand that if margins have, I mean, almost gone up by 400 basis points, is that attributable because product revenue has shot up? Or is that a mix of our deals also having better margins now?

Ankush Akar: No, it's a mix of deals, operational efficiencies, and the cost optimization that we were driving. It's a complete mix of those things, which is why we see improvement. That's where you see quarter-on-quarter, the Digital Technologies margin has improved.

Bharat Gulati: Yes. I mean, just to understand, so are these margins in all 3 verticals going to be sustainable? Or are we going to see a slight dip? Or is it going to increase even further?

Ankush Akar: Our efforts are to basically continue to improve the profitability further. We may see some softness in the Digital Experience space. As we highlighted even during the last call as well, we expect one of our customers to transition sometime by end of December. We continue to look at in terms of optimizing the efforts, the Digital Technologies and Digital Operations, we are fairly confident of sustaining and improving the profitability. Digital Experiences might see a short-term challenges and softness, but we are confident we will turn around that as well.

Bharat Gulati: Got it, sir. And just to understand, so we have about Rs. 500-odd crores of cash, and we have pretty good cash flows as well. So I mean, just to understand, are we planning to do any acquisition this year? I understand that you said earlier that you are looking out, but is there a plan this year to acquire and continue inorganically growing?

Ankush Akar: We basically look at in terms of the right target or candidate. If we find it, we may do it. But as of now, there's nothing in the pipeline. We will continue to explore and see how we can utilize it better.

Moderator: The next question comes from the line of Grishma Shah from Envision Capital.

Grishma Shah: As observed from your presentation, the Digital Operations division continues to do reasonably well. I'm talking about year-on-year, that should be primarily because we've done the acquisition. But the other 2 segments continue to see reasonable softness on a year-on-year basis. So, how does the second half look like for us?

Ankush Akar: As I highlighted in terms of full-year perspective, we are still maintaining a mid-teen kind of growth, including acquisition or mid-single-digit growth from an organic basis. The growth will be coming across board from Digital Operations and Digital Technologies. And, in Digital Experiences we may see some softness, as I highlighted earlier already.

And there were challenges that we have seen in the Digital Technologies space, where we have seen some reduction. But right now, we are fairly confident in terms of the way things are changing and in the Western markets, at least the softness and the slowness that we have seen in the past seems to be bottoming out. So we may see the positive outcome in the near future.

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Grishma Shah: Okay. And how has Dextara performed on a year -on-year basis? I'm sure you're not giving numbers, but at least if you could tell us that is it growing rapidly as it used to before we acquired it?

Ankush Akar: So, it's been going good. We have integrated it fully. What we are seeing is in terms of the positive traction across our customers, the deal sizes are also increasing now. So it's going good overall.

Grishma Shah: Okay. So, you don't see any customer challenges in Digital Tech

nologies division going ahead?

It's only experiences that would see some challenges, right?

Ankush Akar: In Digital Experiences, that too only one customer decided to transition out to its captive. That is the only challenge. Otherwise, from a delivery perspective, we don't see any challenges.

Grishma Shah: Okay. And I see the margin improvement in Digital Experiences on a sequential basis. So, I'm assuming a lot of pain has settled down?

Ankush Akar: Yes. But we still expect that the one customer transitioning out is in quarter 3. So, we may see some blips here and there, but we are closely watching. And we will try to mitigate any risk which is there.

Moderator: The next question comes from the line of Sumukh from Korman Capital.

Sumukh: Congratulations on great numbers. Sir, my question is more on the industry. So, when we see the IT services industry, right, we have a few companies that the EBITDA margin of IT services varying from 15% to 25%. So, what could be the contributor to this high range of EBITDA margins across like, is it the geographic mix or vertical mix, or Tier 1, Tier 2 employee mix?

Ankush Akar: So there are multiple things which are there. If you look at the Tier 1s like TCS and Infosys, their operating margin is anywhere between 23% to 25%. And when it comes to mid-tier companies, on an average, it will be around 14% to 15% kind of EBIT margin, which will be there, where some of them might be commanding 17% to 18%, some will be in the lower range. But average is around 14% to 15% of EBIT which is there. And it is largely to do with in terms of the kind of mix which is there, the pricing that one can command, the kind of utilization, which is there, kind of deals which are there. So there are multiple different reasons which are there.

Some of the things will be with respect to the shore mix which is there, the utilization, what they can drive, the kind of investments which they are making in the future, as well defines the kind of margins they are maintaining. As highlighted, we basically spend anywhere between Rs. 40 crores to Rs. 50 crores every year, which goes through the P&L. So it's not capitalized, it's a hit to the P&L.

Sumukh: Okay, sir. Got it. And one more thing. So this Rs. 40 crores to Rs. 50 crores that you guys are investing. So any light on that, like where are you guys investing this? And are you building a tool or a product for any specific use case for your client, or any light on that, sir?

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Mitul Mehta: We are investing this money in more emerging technology right now, it's AI. And what we are doing one is we are experimenting in how we can build in excellence in operations. We can use built-in accelerators, platforms. We add them in our products and so on and so forth. So it basically is used across all the lines of businesses. So that's where we are currently investing.

Sumukh: Can you give an example of the use case of how this can help your client, or anything that you guys are working on currently?

Mitul Mehta: So, for example, we are building accelerators for Digital Technologies, which help speed up the entire application development, testing, those are the ones, which are all Gen AI-based.

FINATO, which is our finance transformation platform. So we are using AI in that platform to speed up and more accurately process payments, orders, make payments, and so on and so forth.

Similarly, in customer experience, we are augmenting our agents with AI agents, which would enable them to do a faster turnaround time of resolution, which is TAT, and so forth.

Sumukh: Okay. Got it. So my guess is you guys choose products from Microsoft, like Copilot or Gemini from Google, and build your tools on top of these LLMs. Is that correct?

Mitul Mehta: Right. So we use the core AI from Microsoft, from Google, and also various

open sources which

are there in the market. So there are many LLMs. So, depending on what's the best fit, that's what we do, and we build our solutions on top of that.

Moderator: The next question comes from the line of Atul from Sunidhi Securities.

Atul: Sir, congratulations on good set of numbers. Sir, my question is on the AI projects which we have delivered in this quarter. So basically, we have mentioned in our PPT that we have developed some SLM in partnership with Microsoft. So if you could, sir, give us some idea that

what type of projects we have developed and who are the clients? And if you could give some overview on that part, that will help us to understand the projects which we are dealing in.

Mitul Mehta: So we can't give details of clients and projects because we are under NDA with most of our clients. But to answer, of course, while the industry is looking at AI to further automate and bring them into their operations, we are doing a lot of POCs that require LLMs and SLMs to be built on top of it and test it out in the market. And once if it is proven to be done, it further goes into production. But unfortunately, because of our NDAs, we will not be able to get any more details or specifics on that.

Moderator: The next question comes from the line, Dhanshree Jadhav from Choice Institution Equities .

Dhanshree Jadhav: Yes. So my question, first question was with regards to digital experience, wherein we are seeing this client transition happening in third quarter. So, if you can throw some more insight to this client about the transition of captive. And when should we see a recovery? I mean, excluding this client, how should we see this business growing in coming quarters?

Second question is on, we have cited about cost optimization and other factors, which is helping the margin expansion, very strong margin expansion across the 3 segments we have witnessed.

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But any other qualitative aspects in terms of pricing to it or AI-led levers to the margins? So that would be helpful.

And lastly, the double-digit growth that we expect, I mean, you have said overall growth should be in mid-teens for FY '26. So if you can give some picture on how should we see our growth even beyond that? So what are the areas, categorically we are looking to scale our growth ahead going forward? So yes, these are the 3 questions ?

Ankush Akar: So first thing what you asked with respect to Digital Experiences . So this has nothing to do from a quality perspective. I think the customers were having their captive s and they decided to move to the captive s. So that was one reason why they basically have gone. We are fairly confident and looking at it in terms of how we can backfill those losses that are there. So at least in the coming future, continue to sign up new deals with marquee logos. I highlighted this during our commentary as well. So we continue to sign up new logos, expand among the existing customers as well. So we will be able to recover it in the next few quarters, and any losses that are there from that perspective.

From a cost optimization perspective, again, what I highlighted since last 4 quarters, we have been looking at it strategically in terms of how we can drive the operational efficiencies, how we can optimize the cost, have a lean cost structure. And that is something which has been helping us in terms of driving the kind of numbers that we see from a profitability perspective. It's been a strategic initiative that is being driven by the leadership team, looking at each cost elements, looking at in terms of how we can drive the operational efficiencies, how are we pricing our deals as well? It's something that we are looking at kind of margins that we maintain, which is helping us across board.

From a growth perspective, now again, what I highlighted is in terms

of including the

acquisitions, we will be able to maintain mid-teens kind of growth. From an organic perspective, it will be mid-single-digit kind of growth that we will see. What I have highlighted earlier in terms of the Western market, the U.S. and European market, which is there, we see that the softness that we have seen from the last few quarters is bottoming out, and we may be able to see a positive outcome in the near future. So we are hopeful of seeing a positive traction with our customers.

Moderator: The next question comes from the line of Rahil from Sapphire Capital.

Rahil: Yes. Sir, revisiting the discussion on the investment front, which you have repeatedly mentioned during the call of Rs. 40 crores to Rs. 50 crores annually. So firstly, what I want to know is how long has this been going on for this particular figure? And is this to be treated or considered as a capex , let's say, for example, a manufacturing firm does, let's say, they are setting up a capacity and then it gives a certain asset turn. Or is this something which is just like a general expense for this kind of a business? So what I'm trying to understand is, let's say, you've been doing this Rs. 40 crores to Rs. 50 crores annual expense for the past 3 years. And now from year 4 or year 5, it will give us a certain kind of boom in our growth trajectory because we're still kind of guiding for mid-teens kind of growth. So I'm trying to understand that these investments in AI will lead to 25% plus growth for the coming 3 years. Just your outlook on that?

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Ankush Akar: So the investment is something which is must for our kind of organization, specifically the IT, the technology is going through a rapid change. And if we don't invest in the new innovations, new technologies, we may not stay relevant. So to stay relevant, we have to continue to invest in the business. And that is something that we have been doing from last few years. This is something we, as an organization has decided not to capitalize. We basically continue to expense it out every year. And that's something which has been, we have been highlighting for at least a couple of years, that we expense it out. We don't capitalize these expenses.

Rahil: Okay. So let's say, if Datamatics wants to grow 25% plus in the next 3 years or maybe at some point, what needs to be done? Are these investments not enough? So if there is some other strategy which you can lay out for us?

Ankush Akar: So strategically, what we have been doing is in terms of there are multi levels that we are looking at, okay? If you have gone through our presentation as well, what we have been looking at is in terms of one from the U.S. and European geography. We have been specifically focused on those geographies. We have invested in the sales team in those geographies, strengthening it, making sure that we have the right people to drive the growth across customers. That is one thing that we have been doing it.

The second is in terms of from an AI and the technological innovation investments, which we continue to do. We have been doing it every year. We have quite a few products which are there in the AI space, TruBot, TruCap+, TruAI, TruDiscovery, which are there, which we basically go back to our customers to showcase the value in terms of the kind of business problems, solutions that we can give and how we can drive the benefit to them.

Another thing which is there that we are specifically focused on driving the industry -specific solutions. So, we are basically focused on the key industries which are there, where we are looking at in terms of how we can drive the cross -sell, upsell benefits. We have the hyperscalers. We are partnering with Microsoft, Google, Salesforce, so that should help us in the near future in terms of getting the growth.

Rahil: So, given the

current ground scenario, for a company like us in this industry, and you're seeing traction is coming from customers and the way you invest in U.S. and Europe, given our position, is a 25% or 30% kind of growth possible at this moment or still way ahead of us?

Ankush Akar: See, I would not put it in terms of that 25%, 30% is possible or not possible. We, as a management team, continue to work in terms of how we can maximize the value. So, from a revenue maximization and profit maximization perspective, we continue to work. And we may see the positive outcome in the near future.

Moderator: The next question comes from the line of Srinivasu from TIA .

Srinivasu: Congratulation for the great set of Q2 numbers. My question is about the industry overview of Agentic Workflows. If you see the global orchestration players like ServiceNow, Pega, Salesforce are talking very big about the workflows and adoption across industries. So that generally spins over to services companies like Datamatics, you have a moat in TruCap+, Datamatics Global Services Limited

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FINATO, where you are already build products towards this. So, are you seeing more packages to sell bigger deal sizes? Are you able to cross -sell? So, are you seeing these kind of trends?

Mitul Mehta: So, Agentic is definitely a very, very promising technology where autonomous agents would make decisions and will automate things faster. So that was one part. Second, as I had mentioned in one of the earlier responses, we are fairly bullish about AI as a technology and what capability it would bring to the table. And Agentic is one part of it. Going forward, we definitely are integrating AI into all our solutions, products, services and it is going to be an imperative for any organization in this business. to adopt AI. So, the short answer is, yes, even customers are looking for it, and we are here to service that need.

Srinivasu: So currently, you are serving traditional workflows than Agentic workflows. That's what you're trying to say and you are trying to address this as well.

Mitul Mehta: Correct. So, it is a transition thing because you can't overnight move into Agentic workflows because Agentic workflows also would need a large amount of data sets and various compliance. So, there are multiple factors which will allow Agentic workflows to involve or not, which, of course, means customers should be open to that, number one.

Number two is the industry which they work in should be compliant. If it's a compliance -driven industry, then what are the government rules and regulations around it. So, there are multiple factors external to just the technology. And that we have to be cognizant of that fact that whether it will allow us to do it. Wherever possible, definitely, we plan to deploy that.

Moderator: The next question comes from the line of Yajat Shah from Family Office.

Yajat Shah : Just wanted to ask the current revenue of our recent acquisitions, like TNQTech and Lumina, like what was it for this quarter? And what was the EBITDA margin as well? Like are we

integrated with the synergies that we were talking about a few quarters ago?

Ankush Akar: So, we don't report those numbers separately as of now. And TNQTech when we acquired, what we highlighted, it was anywhere around Rs. 2 73 crores is the revenue number, which was there.

We continue to integrate it well. They are showing good traction, good results as well.

Yajat Shah : Can we have a figure, if you don't mind? That, if possible?

Ankush Akar: See, it's part of my Digital Operations. So, you can look at the overall Digital Operations. We close to Rs. 272 crores of revenue this quarter.

Yajat Shah : Okay. And just one more question. It was already high -margin business. So, like with the synergies and integration, like is there even higher margin possible?

Ankush Akar: We are maintaining the similar kind

of margins, which used to be there.

Moderator: The next question comes from the line of Bimal Parekh from Sunidhi.

Bimal Parekh: Congratulations for a great set of numbers. Most of my questions have been answered on the research side, the R&D, which we do around Rs. 40 crores to Rs. 50 crores, which we spend

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every year. I just wanted to know that under which particular division do we consider it as a cost?

Ankush Akar: So, it is basically largely into the Digital Technology space, which is there.

Bimal Parekh: Okay. So typically, that means that our EBITDA would have been higher by Rs. 20 crores if we would have not, if you would have capitalized it, right?

Ankush Akar: Yes.

Bimal Parekh: So, the margins would have expanded to that extent?

Ankush Akar: Yes, sir.

Bimal Parekh: Okay. On the other thing, which I just wanted to understand from you is that what kind of ROIs are the customers getting when they are adopting AI, which you all implement? So just a ballpark number or an average number, if you could give us some understanding how AI is changing the landscape for customers?

Mitul Mehta: I don't think there's a definite answer to this one, but let me try and answer that. So, one is a lot of customers are right now in the early stages of adoption, POCs. They are looking at what further automation AI can bring to them, number one.

Number two is ROI is also subject to the scale and the complexity of the process or of technology, what they are adopting. So, it is not a very straightforward answer that this is the kind of ROI they are getting. A lot of times, like ROI is not just a cost-based ROI, but it's an opportunity -based ROI, where enterprises, we've seen are able to do things much faster, and therefore, their turnaround time is better to their customers, which bring in a different kind of customer delight.

Also, we've experienced with one of our credit rating customers where because of AI, they were able to launch a completely new set of offering which earlier was not possible. So, every industry, every customer has its own way of calculating an ROI. So, I don't know whether that answers your question,

Bimal Parekh: Mitul, but that's is this definitely helping customers? I mean they would be measuring it to something in their operations to understand whether the other divisions need to go for AI adoption or not?

Mitul Mehta: That's also a very, very good question. So, one of the things which of course, there is a peak of expectation of AI in the market. People think that AI is a magic wand, and everything can be done through AI. However, whenever we consult our customers, we always tell them that you have to be very selective of where AI can be useful, where AI cannot be useful.

For example, things which are scalable and not that complicated, that should be the first places where you should bring in AI and transform where the data sets are available and so on and so forth versus you take the most complex case in your enterprise and try to solve that with AI, that may not be the best candidate for it.

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So that part of consulting is something which we give to our customers. And that's what also helps them to get the right set of success and ROI and set a right expectation within the organization. So that's where we are.

Moderator: Thank you so much. As there are no further questions, I would now like to hand the conference over to management for closing comments.

Ankush Akar: Thank you, everyone, for being on the call with us today. Once again, we wish you a very happy

Diwali and look forward to meeting you in the next quarter. Thank you.

Moderator: On behalf of Datamatics Global Services Limited, that concludes this conference. Thank you for joining us, and you may now d

isconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Feb 2026

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04 , 2026

To,
BSE Limited
Phiroze Jeejeeboy Towers,
Dalal Street,
Mumbai - 400 001.
BSE Security Code: 532528
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex,
Bandra (East) , Mumbai - 400 051.
NSE Symbol: DATAMATICS

Sub.: Transcript of the Earnings Call for the quarter and nine months ended
December 31 , 2025

Dear Sir / Madam,

Pursuant to Regulation 30 and Part A of Schedule III read with Regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please note that the transcript of the Analyst / Investors' Earnings Call held on January 29, 2026 at 05:00 P.M. IST for discussion on Unaudited Standalone and Consolidated Financial Results for the quarter and nine months ended December 31, 2025, has been made available on the website of the Company at - www.datamatics.com/about-us/investor-relations/earnings-call.

Kindly take the above on your record.

Thanking you,

For Datamatics Global Services Limited

Divya Kumat
President, Chief Legal Officer & Company Secretary

Encl: a/a
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"Datamatics Global Services Limited
Q3 FY '26 Earnings Conference Call "
January 29, 2026

MANAGEMENT : MR. RAHUL KANODIA – VICE CHAIRMAN AND CHIEF
EXECUTIVE OFFICER
MR. ANKUSH AKAR – SENIOR VICE PRESIDENT &
CHIEF FINANCIAL OFFICER
MR. MITUL MEHTA – EXECUTIVE VICE PRESIDENT
AND CHIEF MARKETING OFFICER

MODERATOR : MR. PRATIK JAGTAP – E&Y INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to Datamatics Global Services Limited Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in a listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-screen phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pratik Jagtap from EY Investor Relations for opening remarks. Thank you, and over to you, sir.

Pratik Jagtap: Thank you, Shruti. Good evening to all the participants in the call today, and welcome to Q3 FY '26 Earnings Call of Datamatics Global Services Limited. The results and presentation have already been mailed to you, and they are also available on the website of Datamatics. In case anyone has not received a copy of press release or presentation, please do write to us, and we will be happy to send you all.

To take us through the results today and to answer your questions, we have with us the top management of the company represented by Rahul Kanodia, Vice Chairman and CEO; Ankush Akar, SVP and Chief Financial Officer; Mitul Mehta, EVP and Chief Marketing Officer. Rahul will start the call with a brief overview of the quarter on business, which will then be followed by Ankush, who will take us through the financials. Then we will open the floor for Q&A session.

I would like to remind you that anything that is said on this call, which gives any outlook for the future or which can be construed as a forward-looking statement, must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included, but not limited to what we have mentioned in the prospectus filed with the SEBI and subsequent annual reports, which you can find on our website. With that said, I now hand over the call to Rahul, sir. Over to you, sir.

Rahul Kanodia: Thank you, Pratik, and a good day, everyone, and thank you all for joining the Datamatics Q3 FY '26 Earnings Call, and I wish you all a very happy New Year. I will begin the call with sharing some key highlights from our quarterly performance, followed by Ankush, who will take you through the financial update. We will then open the floor for Q&A sessions.

Our total revenue for Q3 stood at Rs. 510.1 crores, giving us a revenue growth of 19.9% on a year-on-year basis and 4.1% on a quarter-on-quarter basis. Our EBITDA for Q3 stood at Rs. 96.2 crores, giving us an EBITDA growth of 76.4% on a year-on-year basis and 8.3% on a quarter-on-quarter basis. We improved our EBITDA margin by 604 basis points year-on-year and 75 basis points quarter-on-quarter to 18.9%, driven by our focus on improving operational efficiencies and disciplined cost optimization. I'm happy to state that this is one of the best quarters from a revenue and EBITDA perspective. We recorded a quarter-on-quarter revenue growth across all 3 business segments. In Digital Technologies, we delivered a double-digit revenue growth and a sustained double-digit EBIT margin. Revenue in digital operations remained stable and EBIT margins improved to 18.1%. Digital Experiences performance

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remained soft. And as highlighted in the previous Q2 of our clients are transitioning their work to their captive centres. However, we continue to add new logos as well as expand our existing relationships across clients.

Datamatics is investing decisively in enterprise AI we are further democratizing AI across the organization. I'm excited that we are rolling out Google Gemini Enterprise across the organization, empowering our teams to build intelligent agents, improve

productivity and drive

innovation at scale. In partnership with Google, we have certified 200 employees on Gemini Enterprise in the past 1 month as Phase 1 of this exercise. Additionally, we have built industry-specific AI solutions for insurance, banking and logistics, enabling autonomous workflow orchestration, smarter decision-making and enterprise-wide productivity at scale. This strengthens our AI-first culture and positions Datamatics for sustainable growth and long-term value creation.

Our continued focus on scaling strategic accounts, strengthening global delivery and optimizing execution has further improved operating leverage and contributed to sustained margin improvement. With that, I will now hand over the call to our CFO, Mr. Ankush Akar. Ankush, over to you.

Ankush Akar: Thank you, Rahul. Welcome, everyone, and wishing you a very happy new year. Let me start

with the financial performance for the quarter Q3 FY'26 , and then I will take you through the 9 months ended December 2025 financial performance as well.

Our Q3 FY '26 revenue stood at Rs. 510.1 crores, reflecting a growth of 19.9% on a year -on-year basis and 4.1% on a quarter -on-quarter basis. Our sustained cost optimization efforts and enhanced operational efficiency helped us improve our EBITDA to Rs. 96.2 crores, a growth of 8.3% on a quarter -on-quarter basis and 76.4% on a year -on-year basis. Our EBITDA margin for the quarter stood at 18.9%, reflecting an improvement of 604 basis points on a year -on-year basis and an improvement of 75 basis points on a quarter -on-quarter basis. Our EBIT for the quarter stood at Rs. 74.2 crores, which is up by 7.7% on a quarter -on-quarter basis and 65.9% on a year -on-year basis. Our EBIT margin was at 14.6%, reflecting an improvement of 404 basis points on a year -on-year basis and improvement of 50 basis points on a quarter -on-quarter basis. Changes in the new labour codes resulted in a one -time increase of Rs. 40.3 crores in gratuity and leave encashment liability. This one-time increase was shown as an impact on labour codes under the exceptional item. Due to this impact, our PAT after noncontrolling interest was at Rs. 36.4 crores, down by 42.5% on a quarter -on-quarter basis. Our PAT margin stood at 7%. Excluding the one-time impact, our PAT would have been approximately 12.7%. Our EPS for the quarter stood at Rs. 6.16 per share.

In terms of segments, Digital Technologies revenue for the quarter stood at Rs. 169.6 crores, which is up by 10.8% on a quarter -on-quarter basis. Digital Technologies EBIT margin was also at 10.8% for the quarter. Digital operations revenue for the quarter stood at Rs. 273.8 crores, which is up by 0.5% on a quarter -on-quarter basis. Digital Operations EBIT margin was at 18.1% for the quarter. Digital Experiences revenue stood at Rs. 66.7 crores, which is up by 3.2% on a quarter -on-quarter basis. Digital Experiences EBIT margin was at 9.6% for the quarter. In terms
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of geographical footprint, the U.S. remains our largest geography with 52% of our business coming from here, followed by the U.K. and Europe at 22%, India at 17% and ROW at 9%. Our client concentration remains very healthy with top 5, 10 and 20 clients contributing to 29%, 42% and 55%, respectively.

Let me now take you through the performance for the 9 months ended December 2025. Our revenue stood at Rs. 1,467.9 crores, reflecting a growth of 19.7% on a year -on-year basis. Our EBITDA stood at Rs. 261 crores, a growth of 68.7% on a year -on-year basis. Our EBITDA margin for the 9 months ended stood at 17.8%, reflecting an improvement of 516 basis points on a year -on-year basis. Our EBIT for the period stood at Rs. 199.6 crores, which is up by 57.6% on a year -on-year basis. Our EBIT margin was 13.6%, reflecting an improvement of 327 basis points on a year -on-

-year basis. Our profit after tax , after noncontrolling interest, was Rs. 150 crores, down by 6.3% on a year -on-year basis. Our PAT margin stood at 9.9%. This decline was primarily due to a one -time exceptional charge of Rs. 40.2 crores arising from changes in labour codes. In comparison, 9 months ended December 2024, PAT was Rs. 160.2 crores, which also included an exceptional gain of Rs. 34.8 crores. Excluding exceptional items, profit before tax grew strongly by 39.8% on a year -on-year basis. Our billed DSO was at 55 days as of December 2025. We continue to maintain a healthy balance sheet. As of December 2025, our net cash and investment net of debt stood at INR540.2 crores.

Overall, we had a good quarter with a strong financial performance. With this, I will now pass on the call to the operator to open the floor for questions. Thank you for your patience and continued interest in Datamatics.

Moderator: Thank you very much. The first question is from the line of Dhanshree Jadhav. Please proceed.

Dhanshree Jadhav: Congrats on great set of numbers on operational side. So my question is how should we see the segmental mix evolve in the next couple of quarters? And also, if you can throw some light on digital experience, which has shown some decline in this quarter, whether it will recoup that decline -- sorry, not decline , in terms of margins and overall growth going ahead? That is the first question.

Second is if you can throw some light on order booking and the nature of deals that we have won this quarter and pipeline if you can give us some views on how it is growing and some views on overall growth and margins going ahead?

Rahul Kanodia: So on the Digital Experiences, I mentioned about 2 quarters earlier that we have 2 customers who are moving their work to the captives. And therefore, you see the margins becoming a little softer and the growth not being as much. Quarter 4 of this year, we will expect the full impact of that transition. From quarter 1 of next year, we'll see an upswing because we signed several new logos and they are much healthier margins as well. So we will see an upswing in Digital Experiences starting quarter 1 of next year. But quarter 4 will remain a little soft.

On digital operations and digital technologies, as you see, the numbers in digital technologies

have been quite robust, and I see that continuing for the next few quarters. I don't see a major challenge there. We have a healthy pipeline.
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On digital operations, there's a lot of transitioning happening on the AI side. So the margins are improving. The pipeline will also improve as we deliver the solutions for automating business processes. So that's really going to be the driver going forward. Overall, I'm quite okay with the next year going ahead.

To your point in terms of the pipeline and the quarter, right now, it's still fairly strong. In fact, we are seeing a little uptick on the pipeline. So that's good. I think the current uncertainties in the U.S. have become a state of normal in a way. Everybody knows, and everybody remains uncertain. So they've to take it in this ride. Generally, the mood is improving. The velocity is still slow, but we see a slight upward trend.

Moderator: The next question is from the line of Yatin Shah, an investor.

Yatin Shah: Congrats on a great set of numbers. Just had a question regarding the Google Gemini enterprise solutions that we have started to do. Is this a big portion of our revenue? And also, what is the expected revenue mix from that?

Rahul Kanodia: We are implementing Google Gemini across the enterprise within Datamatics. So every person will be powered with an AI tool in his hands. That should impact productivity, efficiency, and things of that. We are also integrating some Google technologies into our AI solutions, which we are

bringing to market. We've built agent AI platforms for insurance, for logistics, for banks, and we've started taking that to market.

The revenues will flow in the next few quarters. We've tested the solutions right now, and the response has been quite promising from customers. But I think once we nail a few customers or once we acquire a few customers in the next, say, 3 to 4 months, we will get a good visibility on what those revenues will look like.

So the agenda of Google Enterprise is to get every person hands-on with AI technology in the company, being an AI-first company, which becomes paramount. So far, the pockets of AI have been concentrated with a few people who are deep into the AI space who are experts. But now we need to democratize this and make sure that every employee in the company is thinking AI first and is powered by an AI tool. So that's the agenda.

Yatin Shah: Great. Great, sir. And one last question. The labour code impact, is this just for this quarter? Or will we see any impact over the next throughout the year?

Rahul Kanodia: It is just for this quarter in the sense that there is a backlog because of the one-time hit with a retrospective effect. Therefore, this quarter has taken a big hit. From the next quarter onwards, it has become a routine marginal increase in gratuity. So we expect something in the range of maybe 0.5. But there we still have to do the math because all these regulations are not yet clear. They're still coming out with clarifications. So we are keeping our eyes open and talking to the consultants who can advise us on that. So, but fundamentally, going forward, there's not too much of an impact.

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Moderator: The next question is from the line of Grishma Shah from Envision Capital.

Grishma Shah: Curious to know how TNQ Tech is doing? And till 9 months, we have the benefit of integrating TNQ on a year-on-year basis. Therefore, the numbers look good. But if you had to exclude that and then look at the stand-alone business, if you could give us some idea as to how the business has done, that should be great.

Rahul Kanodia: So, TNQ is doing good. —We are successfully integrating it very well into the company. Overall, we've had a sequential quarter-on-quarter growth of 4% as you see. So that, of course, includes TNQ as well as the rest of Datamatics. So, the growth is not coming from the acquisition. Of course, we got a bump up because of 19% because of the acquisitions for Q1, Q3. But if you see for the last 2 quarters, our sequential quarter growth has been 4% number for this quarter as well as the previous one. So I think we are doing quite well in terms of organic growth and integration of TNQ. And they remain financially healthy. In that sense, it was a very good acquisition from a Datamatics perspective.

Grishma Shah: If you were to look at even sequential growth of 4%, I mean, if you could give us year-on-year, how has TNQ grown?

Rahul Kanodia: I don't have that figure handy, but I know they've had a good growth. Their growth has been in

line with the rest of Data matics . I don't have the figure exactly on hand. So I would be hesitant to give you a number. But maybe offline, we can have a conversation when we can pull out those numbers or specifically.

Grishma Shah: Okay. And just transitioning to the captive centre for the Digital Experience business line. This has been going on since last December, if I remember correctly, the last December quarter was really a slow quarter for us. Does it take like 4 quarters for the work to transition?

Rahul Kanodia: Yes. It depends on each customer's situation, but it could be between 1 quarter , as a minimum, would be 4 maximum . It depends on the situation. So these are both very slow and steady, but this was something that was riding on the wall. So it's good that it's been

slow and steady.

Therefore , it does not create undue pressure on Datamatics as well as the customer.

Grishma Shah: For FY '27, what does the outlook look like? Is it a flat year in terms of growth? Or is it low single digits? So what does it look like for you given the deal pipeline that is in front of?

Rahul Kanodia: we are looking at high single -digit growth. And then, of course, occasionally, we do look at M&A. So I'm not factoring M&A into this, but the high single digit is something that would be a decent number to look at.

Grishma Shah: Is Gemini the first AI tool that we are implementing? Or I believe we would have multiple other AI tools also that we were working on, right?

Rahul Kanodia: We worked with Lama from Facebook. We worked with Anthropic. We worked with Microsoft OpenAI, which is a big one, is ChatGPT. We worked with Google as well. So we worked with multiple. We found that Gemini has an edge over most others on several fronts. Therefore , we've gone with Gemini across the board because we find that output to be much better. And the idea
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is to democratize it. So , really, the assistance that we're getting from Google is to train our people and empower all the employees.

Having said that, in different pockets, we use different AI tools. So not one tool is going to fit everything. So somewhere we are using Anthropic, somehow it's using OpenAI, but Gemini will be the dominant one.

Mitul Mehta : Hi, this is Mitul here. So , while we are using Gemini for internal productivity tools, while we are building solutions, while we are recommending classic cases to customers —we have capabilities across all the tools and AI models Rahul mentioned, be it OpenAI, Microsoft OpenAI, Anthropic, Google, or Lama. So, capability development is across. But then , when we have to adopt one particular tool across the organization for the people, that's why we decided to go ahead with Gemini, which suited us as an organization.

Rahul Kanodia: Having said that, we've also built our own small language models that we've deployed in technology customer situations because they require that kind of a solution, right?

Grishma Shah: Okay. And will the growth for next year be led by digital operations? Or you think it will be across all the 3 segments ?

Rahul Kanodia: It will be across all the 3 segments. I think technologies would probably be a leader, and you will see an uptick in experiences as well. but it will be across all 3 largely.

Grishma Shah: Okay. And how is Dextara doing above company average growth?

Rahul Kanodia: Yes. Dextara is doing very well, and we've been able to very successfully cross -sell into the Datamatics customer base. We've got a very strong pipeline right now , and not only a strong pipeline, but also much larger deals compared to what Dextara had. So overall, quite optimistic about the way Dextara is panning out because of the cross -sell, the pipeline, and the deal sizes that we're getting. And that allows us in our strategy of penetrating our existing accounts very well.

Moderator: The next question is from the line of Bimal Parekh from Sunidhi Securities .

Bimal Parekh: Congratulations on a great set of numbers. So my question was basically that during Q3, what was the spend on AI, which we have written off is my first question. And the other was to Rahul bhai that in his earlier experience, when he had said that most companies are just testing out AI.

So what is the experience now? Are the companies running up to give more projects?

Rahul Kanodia: Yes. So , to your question, our spend, I can't specifically say AI, but our spend on these transformation technologies is roughly Rs. 40 crores to Rs. 50 crores a year. Earlier, it was more in the product space where we are pivoting away from product investments and more into the AI investment.

So basically, it's all in the investment space, right? So a little more on investment.

So we've reallocated our plans internally. So that investment continues.

To your other question on Testing. So , the customers are testing these things right now, they started going into production. Also, we see some customers going into mainstream production.

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And not only that, we find some customers very open to adopting technology as the main platform on which they want to operate. So we started seeing that transition happen. As I mentioned in my address that there are a few solutions that we built, which we showcased to customers. We've already piloted it, and the customers have loved the demos that we've seen, not only demos but proof of concept, actually. So now it's about cashing in on those opportunities and converting them into live transactions.

But the hesitation that we used to see about a year ago, it seems to be waning, and we see them more open to adopting AI in the main operations of their business. So that's good news. And also the solutions that they're seeing from Datamatics, they've been extremely happy about what they see.

Bimal Parekh: So sir, do you expect this Rs. 50 crores to be spent every year or you expect that to taper down?

Rahul Kanodia: Right now, we will maintain that between Rs. 40 crores and Rs. 50 crores because this whole area of technology is changing so fast, and we need to keep abreast with that area. So we will maintain it for some time. But we keep reviewing every quarter just to see where we're going. So as of now, it's there.

Bimal Parekh: And we write off this as an expense in our books instead of capitalizing, right?

Rahul Kanodia: That is correct.

Bimal Parekh: And sir, any other industries that we are now targeting? I believe last time was BFSI largely insurance. So, are there any other industries that we are targeting?

Rahul Kanodia: Our footprint is large in manufacturing, in education and publishing and BFSI. These are the 3 dominant ones. So I think that should remain as it is. We are not looking at any new industry presently.

Bimal Parekh: Okay. Your U.S. was kind of lukewarm. So has things reversed there? Or they are still lukewarm towards Indian?

Rahul Kanodia: They are still a little lukewarm more because of, I think, political reasons and political pressures more than business. And I think that overhang of the politics is still there. It's beginning to look up right now. So, it is improving because I think everyone is now very comfortable with the uncertainty. Everybody is in the same board, and they've been in this board for quite a while. So I think that's the new normal that it just remains uncertain. So generally, it's looking up, but there is still a political overhang, and we don't know which way it will go.

Moderator: The next question is from the line of Rahul from Sapphire Capital.

Rahul: Yes. So just picking up on the previous one for the U.S. market. So it is still like a heavy chunk of our business, like 50% plus?

Rahul Kanodia: Yes.

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Rahul: Okay. So because the scenario is ever growing and not looking like it will settle in the near term. So are you trying to diversify and move away from the market? Or is it still reaping us good kind of contracts and business?

Rahul Kanodia: We've got good contracts in business. We're not looking at diversifying because between the U.S. and the U.K., it pretty much covers 80% of the global outsourcing market. So if you're looking out elsewhere, you're looking at as best traction. Now 20% is the rest of the world. Obviously, we can't go to some low-cost destinations like Africa and South America. We can't go to certain other countries that are non-English speaking, which are very different. The

refore,

really, that is the market, and we will continue to focus on it. I'm sure this current political headwind will wane out soon, and we are hoping that it at least reduces, if not goes away completely, and that should improve the mood amongst all customers. So no, we are not looking in other geographies, was for diversifying.

Mitul Mehta: Also, our focus is on growing our existing customers. That is what one of the key growth strategies is, which is basically, again, distributed across the geography, which is the U.S., Europe, India, the Middle East. So, I think that we have our hands full enough to plough there. Once the overall economic environment improves, I'm sure you'll see those in numbers.

Rahul: So, is it fair to say that with your current customer base in the U.S. mainly, there is a lot of scope for further wallet-share increase? Which can let us sustain a good amount of growth for the coming years?

Mitul Mehta: Yes, absolutely. These are large enterprises, and we need to mine them. We need to build stronger relationships with them. And that's what the strategy is, and we are gearing up we have

already geared up ourselves. Last year, we launched it, and we are seeing the fruits of that.

Rahil: Secondly, so the Q3 was impacted by the labour cost changes. Now you're saying it's going to taper down and settle in from the next quarter on, versus quarter 4, profitability will inch up, right, and the same effect will not be there?

Ankush Akar: So, as highlighted, this is a one-time impact of the past liability, which was there because of a change in the definition of wages. So that impact is a one-time impact. Going forward, we don't see any material impact. There will be a minimal increase, which will be there, but we don't expect any material impact of this.

Rahul Kanodia: It is just a one-time legacy impact. That's impacted the whole industry.

Rahil: So fair to say the EBITDA margin, of course, is not related to this labour impact, but I'm just in general asking if the EBITDA margins are sustainable because quarter-on-quarter, we have been growing by a few basis points, and you closed with 19%. So is this sustainable for quarters ahead?

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Ankush Akar: Yes, we will be sustaining the EBITDA margins. We continue to look at in terms of how we can keep our cost in control and keep growing. That's basically the key thing that we are looking at.

So EBITDA will maintain the EBITDA margin and keep improving.

Rahil: Okay. You're confident of that. And lastly, you said FY'27, you see high single-digit growth.

Now, are you being conservative there? Because in the last 3 quarters, year-on-year, you have grown around 18% to 20%. So why, as a company, are we not still coming ahead and guiding with a strong 20%, 20% plus growth for the consolidated level?

Rahul Kanodia: The growth that you see includes some degree of an acquisition, and therefore, you see a bump up. We rather be conservative because there's still a lot of uncertainty, partly thanks to the political situation, partly thanks to the disruption that AI can have. And therefore, there's some degree of greyness there. Therefore, this is the current outlook. Of course, every quarter passes, we'll get better clarity, and I'm sure we'll have those conversations to see whether we need to change our estimations of future growth. But right now, this is what we're looking at. It is a little conservative, but it does include an M&A in the last.

Rahil: Yes.

Rahul Kanodia: But the sequential growth, if you see, we've had for 2 quarters, 4%. So it's been a very healthy, organic, sequential growth.

Moderator: The next question is from the line of Srinivasu from TIA.

Srinivasu: Congratulations for a great set of Q3 numbers. Are Datamatics clients asking you to build AI agents on top of the

existing platforms like Microsoft, Google, Salesforce? Or, do you have any

AI accelerators that you built by yourself, which is actually driving this?

Rahul Kanodia: So we have a few accelerators that we are deploying. I earlier talked about agentic underwriting for logistics, for banking, for insurance. We've built solutions around Microsoft Copilot. So yes, we have built on top of the existing platform because we don't build a foundation model. The foundation model is from these large tech companies like Google and Microsoft.

So, we've taken those as a platform. Now when you build it on the customer's environment, you have to integrate it into the core systems. It cannot be a bolt-on sitting on top. So therefore, customers are still testing that. They are not quite clear how to do that because there's a fear of data going outside the enterprise. So that's the biggest fear. So our solutions are delivering good. Now when it comes to building solutions for the customer, that is still sporadic because not every customer will allow you to touch the core systems. And AI will really work only when you can directly access data in their systems. But the point I made earlier was that customers are now maturing and coming to terms with the fact that it's a good solution. It's a good thing to do. And therefore, more and more customers are sort of going down the path of putting into the main systems.

Srinivasu: Compared to other IT service companies, in India, what Datamatics actually having a differentiation in terms of agentic workflow orchestration? Or do you have AI-based automation or AI-based DX personalization? What exactly the strength of Datamatics?

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Rahul Kanodia: We have gotten Agentic AI workflow built. We have a whole platform. We've trained several people. I think the key to this market is how fast you can move in the market. And we've had a good start. We've moved in fast. We've got a few very good customers. So that's really the key. Also, the benefit that we've been able to deliver is because we understand the business process

services as well as the technology services, we're able to put them together very well and deliver the end result. Ultimately, the customer is looking at better, faster, cheaper. And we have successfully delivered a return on investment to the customer. So it's really an integrated IT and operations story that goes very well and the ability to deliver ROI.

Moderator: The next question is from the line of Sanjyot, an Investor.

Sanjyot: Congratulations on a good set of operational numbers in a tough market. I have 2 questions. One is like Q4 is generally seasonally a good quarter for Datamatics. And you mentioned that legal experience is going to have some impact on the quarter. Overall, it's going to be kind of a muted quarter compared to Q4 vs Q4?

Second question is on the employee headcount side in Q3, have you added any number of employees, what is the current employee count? And on a wage hike, is it already done for this financial year? Or is it going to happen in Q4?

Rahul Kanodia: Yes. So on the employee count, we've not added too much more. It's more about augmenting it with AI and improving productivity and not really increasing headcount now. In terms of the wage hike for this year, there's nothing happening this year. We already did a midyear increment cycle. The next cycle will probably be next financial year, April-May time frame. On your first question, if you just chalk my memory on the first one. Digital Experiences will have a little muted thing, but I think it will pick up in Q1 of next year. So Q4 might be a little soft, but Q1 will pick up.

Sanjod: Digital Experiences business will it pick up from the Q1, but in the Q4, it will be having some impact. And overall, the way Q4 is generally a higher quarter, it will have

a little impact on Q4.

But the other two businesses will be doing well?

Rahul Kanodia: Yes we have some cyclical business. And then, because of the growth in the noncyclical business and the acquisition that we made, both Dextara as well as TNQ, the ratio of cyclical business has reduced. So we will see a spike in Q4, but it will not be as prominent as it has been in the past because the other businesses, which are sort of larger and more stable, have grown. So yes, we will see a spike, but not as steep, because the others are more stable.

Moderator: The next question is from the line of Bimal Parekh from Sunidhi Securities.

Bimal Parekh: Just wanted to understand which industry is best as far as adopting AI in your opinion? And what is your experience?

Rahul Kanodia: So the industries that are very heavy with information processing are the more likely ones. So banking, finance, and insurance are adopting it quite well. They have a concern about data security and data privacy. But aside from that concern, they are very, very open to using AI. They have issues with compliance. But compliance when you use it internally, that's a very
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potent area to explore AI because AI can automate a lot of the manual paperwork that goes on in compliance. But since these industries are regulated, they need to be a little cautious. Industries that have been laggards, I would say, is publishing because they are very concerned about the IP rights of the authors and they're concerned about AI violating the intellectual property rights of authors. So that's been a little slow. The technology industry has been good. Manufacturing, more so, because a lot of manufacturing goes into core brick-and-mortar kind of stuff, where AI is a very different use case. So, it's really BFSI and technology, which have been large ones. Education publishing has been a little slow. Manufacturing has been kind of average. So this has been our experience so far. Logistics is also doing a decent amount because logistics has a lot of information that they process, and that's where they use AI.

Moderator: As there are no further questions from the participants, I now hand the conference over to the management for the closing comments. Over to you, sir.

Rahul Kanodia: Thank you, everyone, for being on this call with us, and thank you for your confidence in Datamatics. I think we've had a good interaction today. I look forward to meeting all of you in the next quarter. Wishing you once again a very Happy New Year, and we'll see you soon. Thank you again.

Moderator: Thank you. On behalf of Datamatics Global Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your line.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.